



Absa Bank Kenya PLC

Integrated Report and Financial Statements 2019





We are driven by our **purpose**
and guided by our **promises**.
We live by our **values**.

The Absa Group today

“ We are creating an organisation that can make better decisions faster, is aligned and engaged at every level, headed by leaders who inspire the whole organisation to action and give our employees an emotional sense of belonging and commitment. ”

We are an African group, inspired by the people we serve and determined to be a Group that is globally respected and that Africa can be proud of. We are committed to finding local solutions to uniquely local challenges and everything we do focuses on adding value.

Purpose

Bring your possibility to life

We believe in possibility, in the actions of people who always find a way to get things done. We believe in creating opportunities for our customers to make their possibilities real and supporting them every step of the way.

Aspirations

For our people, we will create a culture that appreciates, unifies and differentiates us from our competitors.

For our customers, we will create unprecedented, seamless experiences to engage and delight them.

For society, all our employees will lead with a conscience... doing the best for people and the planet.

Values

1. We drive high performance to achieve sustainable results.
2. Our people are our strength.
3. We are obsessed with the customer.
4. We have an African heartbeat.

Group strategy

Our strategy will bring our purpose to life as we pursue our goal of growth.

“ As a financial services provider, we play an important role in the economic life of individuals, businesses and nations. We help to create, grow and protect wealth through partnerships in economic development, while playing a shaping role in Africa's growth and sustainability. ”



Our strategic objectives

1. Growing our portfolio while contributing to the growth of the markets we serve.
2. Reducing costs by creating a more efficient and effective organisation.
3. Delivering top, sustainable returns that maximise long-term value.

Our measures of progress

1. To grow revenue faster, on average, than the South African banking sector from 2019 to 2021, with an improving trend over time and within appropriate risk appetite parameters.
2. To consistently reduce our normalised cost-to-income ratio to reach the low 50s by 2021.
3. To achieve a normalised Group return on equity of 18% to 20% by 2021, while maintaining an unchanged dividend policy.

Icons used in this report

Six Capitals

	Financial capital	A balanced funding mix and solid equity position to support operations and business activities of taking deposits and lending.
	Manufactured capital	Infrastructure including the property, equipment and technology used in the production of services and the delivery of products to our customers.
	Human capital	A strong ethical culture that is customer and employee centric with competent and skilled employees engaged within a diverse workforce.
	Social and relationship capital	Collaborative relationships with a range of stakeholders including our customers, strategic service partners, regulators and communities where we operate and aim to contribute to socioeconomic development and societal wellbeing.
	Intellectual capital	Safe, effective information and technology infrastructure combined with a strong brand and institutional knowledge, specialised skills and expertise.
	Natural capital	Responsible use of natural resources including energy sources (electricity, solar and gas), air, water, paper and the management of impacts including carbon emissions, water and waste.

Stakeholders



Stakeholder engagement is a value-creating process that is of critical importance in furthering Absa's growth ambitions. Engaging with stakeholders in a structured and well-coordinated manner, through meaningful, transparent communication, enables us to cultivate relationships that can serve as valuable capital in both good and challenging times. It is a process that provides important information about our business as well as about our social, political and physical environment. Principle 16 of King IV advocates for the adoption of a stakeholder-inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interests of the organisation over time. The range and extent of engagements is vast and our approach is informed by the specific stakeholder as well as by the need for engagement.

Navigation





Absa Bank Kenya PLC

Absa Headquarters
Waiyaki Way
PO Box 30120 - 00100
Nairobi

To our valued stakeholders

Absa is responding to the evolving COVID-19 crisis

On 11 March 2020, the World Health Organization declared COVID-19 (novel coronavirus) a pandemic. This serious public health and economic crisis requires decisive and coordinated action from all spheres of society.

The level of uncertainty relating to this crisis is extremely high and unprecedented, and its impact on markets and the global economy is already profound. Since our guidance at the time of results, events have unfolded rapidly, and capital preservation and liquidity are our priority. We are reviewing our assumptions and plans in order to anticipate and mitigate the risks ahead.

Absa responded immediately to protect the health of our employees, customers, clients and other stakeholders. Our response included measures to educate and inform our employees about the COVID-19 virus, and how to prevent and contain it from spreading, including heightened cleaning protocols in line with expert guidelines from health agencies and the World Health Organisation. We implemented numerous policies relating to travel and work practices in order to mitigate risk of exposure for our employees and the broader stakeholder community with whom they interact.

We also strengthened our business continuity plans to sustain our operations, with resilience planning also taking place regarding our liquidity and capital base, the needs of our customers, and our regulatory engagements.

In parallel, we are working with public health authorities and agencies in Kenya to support their coordinated efforts, and we have mobilised our citizenship programme to contribute to humanitarian and community support initiatives wherever we can.

In response to the measures initiated by the Kenyan Government, we have introduced far stricter controls. Banking is an essential service, and we continue to provide service to our customers. Those who are in the front line directly supporting our customers or in the back-office supporting our payments infrastructure banking platforms, products and other key infrastructural services are being assisted in every way possible to ensure that our operations continue while managing the ongoing safety of our employees. Wherever practical, work is being done from home, with significant upgrading to our remote access capabilities to enable employees to deliver the required services.

Our customers and clients are at the heart of everything we do and we announced a comprehensive payment relief programme that will be implemented in line with respective laws, conditions and regulations following careful consideration by country management team.

We are offering our expertise to policy makers and industry bodies who are developing coordinated responses to mitigate the systemic shocks that are threatening the economic infrastructure and social stability of Kenya.

Our 2019 Integrated Report reflects, in the main, our performance in 2019, but we are very aware that 2020 will be a far more challenging year than could have thought possible. We have, given the knowledge that we have at this stage, not indicated anticipated impacts in this report but we are cognisant that COVID-19 will be a significant consideration in our approach, planning, stress testing, and the like. We have therefore not reflected a revised outlook throughout the report as the effects will be dynamic and hence without certainty at the date of approving this report.

We will continue to keep you informed of material developments in our business as they arise.

Kind regards

Charles Muchene
Chairman

Jeremy Awori
Managing Director

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About this report

As Absa Bank Kenya PLC, we strive to incorporate the principles of integrated thinking into our business and ultimately our reporting. We aim to help the reader understand how we define, measure and report on value creation. This value creation is defined in the form of the six capitals model.

Value creation is the result of how we apply and leverage our capitals while making trade-offs. Our relevance and ability to create long-term value, now and in the future, are interrelated and fundamentally dependent on the forms of capital available to us. This includes how we use these forms of capital to realise positive returns to the business. It also includes the value that they deliver to business growth and sustainability as well as to society as a whole.

Reporting period and forward-looking statements

Our report covers the period from 1 January 2019 to 31 December 2019. Any notable or material events after this date and up until the approval of our Integrated Report are also included. Statements relating to future operations and performance of the Group are not guarantees of future operating, financial or other results. They involve uncertainty, as they rely on future circumstances – some of which are beyond our control. Therefore, ultimate results and outcomes may differ.

Target audience

This integrated report is our primary report to our investors. It also contains information relevant to other key stakeholders. The manner in which these stakeholders have been identified and the material issues defined for the reporting period are further unpacked on page 8-9 of this report.

Financial and non-financial reporting

This report contains information regarding stakeholder relationships, material matters, risks and opportunities and contains forward-looking statements. An attempt is made through the use of the six capitals model to articulate the linkages between both financial and non-financial indicators.

Assurance

We employ a combined assurance model to assess and assure various aspects of the business operations, including elements of external reporting. These assurances are provided by the Management and the Board. The scope of services performed by our external assurance providers refers to the Absa Bank Kenya PLC Annual Financial Statements (AFS), presented in pages 111 to 213. We received external assurance from our auditors, EY (pages 107 to 110), on the fair presentation of these annual financial statements.

The six Capitals Model					
					
Financial	Intellectual	Human	Manufactured	Social and Relationship	Natural
Our shareholders' equity and funding from investors and customers, which are used to support our business and operational activities, including credit extension.	Our brand and franchise value, research and development, innovation capacity, reputation and strategic partnerships, as well as the products we offer to our customers.	Our culture and our people, investing in their development and our collective knowledge, skills and experience to enable delivery of innovative and competitive solutions for our customers.	Our business structure and operational processes, including our physical and digital infrastructure, that provide the framework and mechanics of how we do business and create value.	Our citizenship and strong stakeholder relationships, including with the communities in which we operate, recognise the role that the banking sector plays in building a strong and thriving ecosystem.	Our impact on natural resources through our operations and business activities.

Value creation through our sustainability framework

In 2019, we refreshed our sustainability aspirations to enable us embed our shared value creation agenda in the way we do our business and the services and products we offer. We have embarked on this new journey and are building a framework to guide our overarching sustainability approach underpinned by our strategic priority: "to become a force for good in society".

Our sustainability agenda is led by the Country Management Committee (CMC), working through the establishment of a sustainability committee which reports directly to CMC. Clear Key Performance Indicators (KPIs) will be set and directed from CMC throughout the organisation to facilitate the realisation of our goals. It is acknowledged that, in order for our Sustainability Agenda to be a success, it needs to touch on all facets of the organisation, requiring a holistic approach to ensure we achieve our set KPIs.

Overall, we want to contribute to the Sustainable Development Goals (SDGs) as we pursue our strategic objectives to maximise growth, transformation and the returns and create stakeholder value.



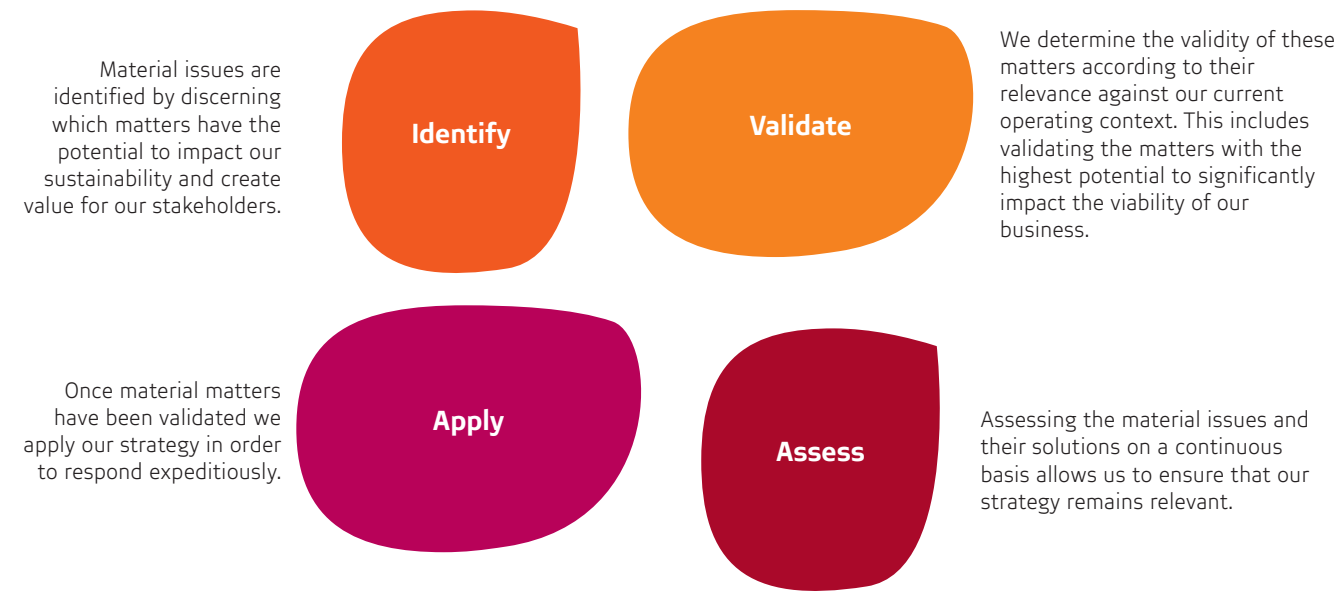
In 2019, we became one of the signatories of the Principles for Responsible Banking (PRB), committing to strategically align our business with the Sustainable Development Goals (SDGs) and the Paris Agreement on climate change. The Principles for Responsible Banking will provide Absa with an effective framework to systematically identify and seize new business opportunities created by the emerging sustainable development economy, while at the same time enabling the bank to effectively identify and address sustainability risks.

Additionally, in 2019, we joined the UN Global Compact Kenya chapter. UN Global Compact is the world's largest sustainability movement by companies that seek to align corporate strategies and operations with the universal principles on human rights, labour, environment and anti-corruption and take actions that advance societal goals.

About this Report continued

Materiality

Determining materiality is critical to a business, ensuring its ability to manage both internal and external risks and opportunities. These, in turn, have a direct bearing on the ability of the business to protect value creation in the form of future financial performance, enhanced brand value and ensure legal compliance. This report aims to provide a response to the material issues raised by stakeholders during the year. Acknowledging the concerns raised and outlining how they were addressed facilitates the bank's ability to create long-term embedded value for all stakeholders. The determination and assessment of materiality to the business is an ongoing process driven by both external and internal reviews. This is defined through a four-step process of identifying, validating, applying and assessing materiality.



Benefits of Determination of Materiality

- Track future trends, business risks and opportunities that influence our ability to create value
- Facilitate decision making
- Facilitate integration of non-financial and financial aspects of the business
- Embed value throughout the supply chain
- Enhance stakeholder engagement
- Allow for alignment of strategy to market shifts over time



Material matters raised by stakeholders in 2019

Stakeholder	Material issues raised	Page reference
 Investors	• Response to interest rate caps repeal • Impact of transition including: > Costs > Risks especially loss of market presence > Opportunities for growth and growth projections > New earnings potential > Validity of strategy > Future potential of the share price • Responsiveness to new competitive landscape • Adaptability to changing technology in the banking sector • Prospects of future dividends payouts	 35-37
 Customers	• Efficiency and quick turnaround time • Credit process simplicity • Increased touch points including footprint and channels • Transition impact and prospects • Improved communication on products and product innovation	 50-53
 Society	• Transition impact • Enhancement of the citizenship programme • Anticipated new partnerships • Impact of transition and rebranding including: > Safety of customer deposits > Autonomy of new entity > Costs of separation > Concern over job losses > Enhancement of the Bank's competitive advantage in the market • Concerns over interest rate caps and access to credit	 54-63
 Regulators	• Compliance level in line with key financial sector challenges such as: > Financial Crime, Cyber Security, Data Protection, Money Laundering, Fraud • Compliance with the Data Privacy Act • Level of transition readiness • Response to repeal of interest rate caps, with a specific focus on the SME sector • Alignment to Big 4 Agenda • Implementation of the demonetisation programme	 59-60
 Employees	• New reward model • Transition impact especially on job security • Improved systems abilities • Enhanced customer experience • Re-tooling and re-skilling in line with the fourth industrial revolution	 77-80
Partners	• Empowerment of suppliers, including through provision of credit • Empowerment of SMEs to provide services to Absa	 70-71

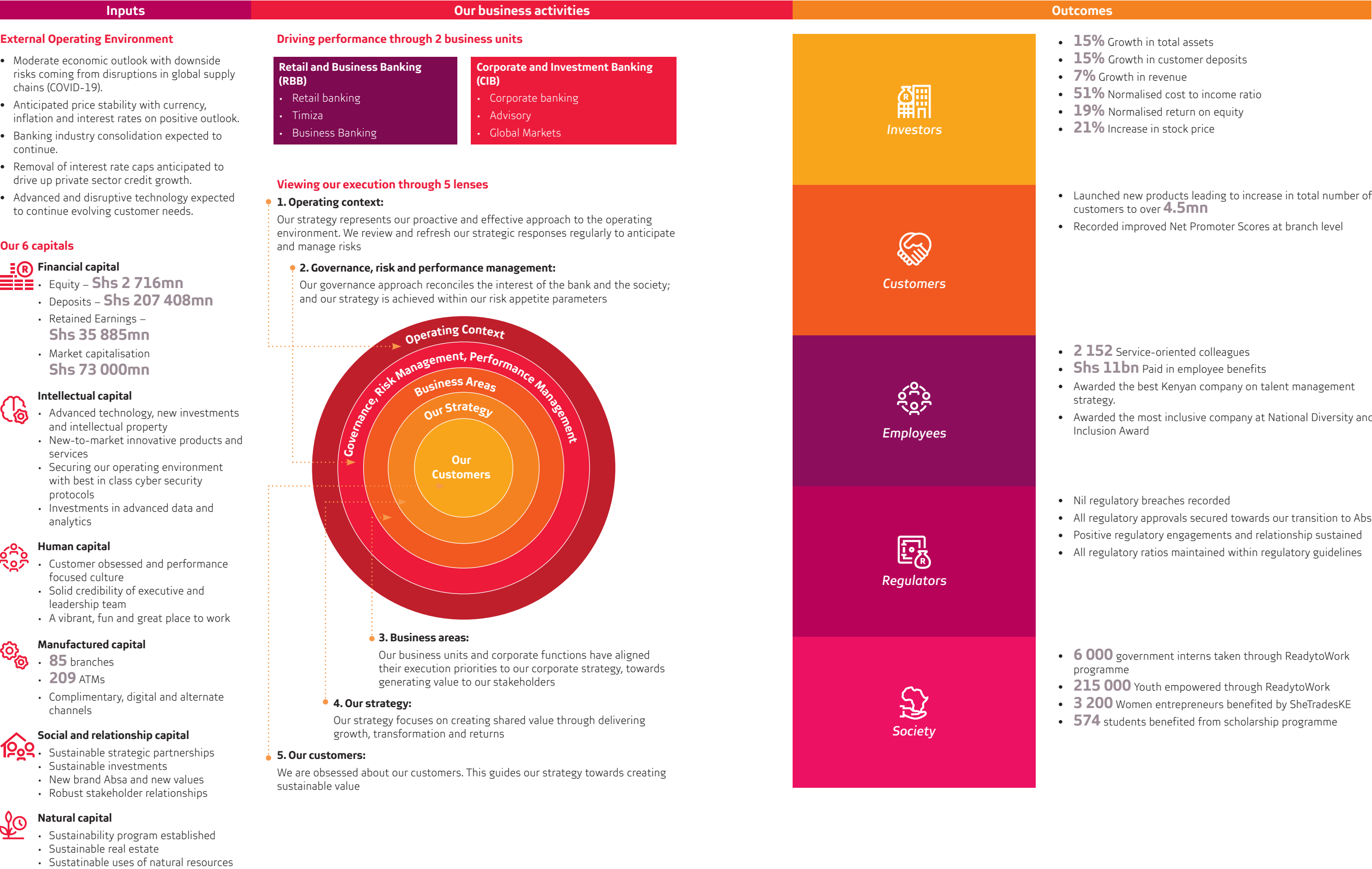


Our Bank

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An image mapping and light up showcase of the Kenyatta International Convention Centre to mark the launch of the Absa brand in February, 2020.

Our value creating business model



Absa presence



Customers are served through an extensive branch and self-service terminal network, digital channels, financial advisors, relationship bankers and dealerships, originators, alliances and joint ventures.

- 14 countries¹
- 38 472 employees
- 1 016 branches
- 9 763 ATMs
- 115 708 point-of-sale devices

- Call centres**
- * Sales, service and general enquiries.
 - * Interactive voice response capability.

- Our digital offering**
- * Transacting and sales through Absa Online Banking, Absa Access and Virtual Investor.
 - * Mobile apps, such as the Absa Mobile Banking App, NovoFX, Hello Money, Jumo and Timiza.
 - * ChatBanking on WhatsApp and Facebook Messenger.
 - * USSD code-based functionality.
 - * Online transactions via third-party sites.

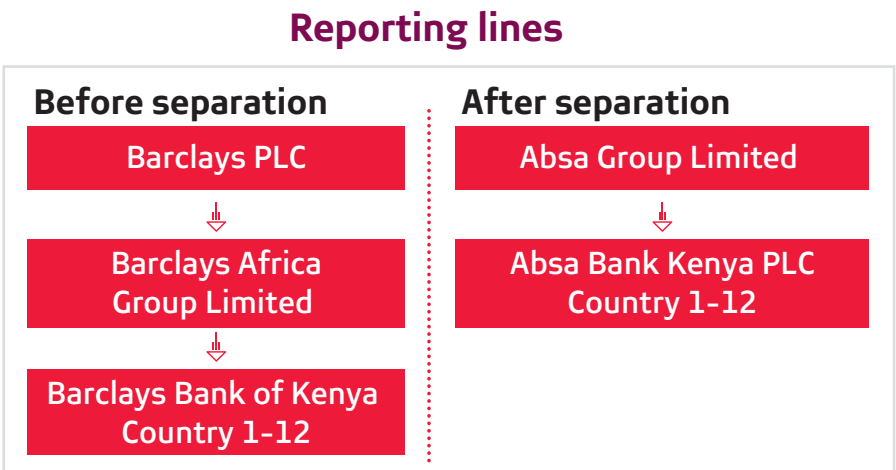
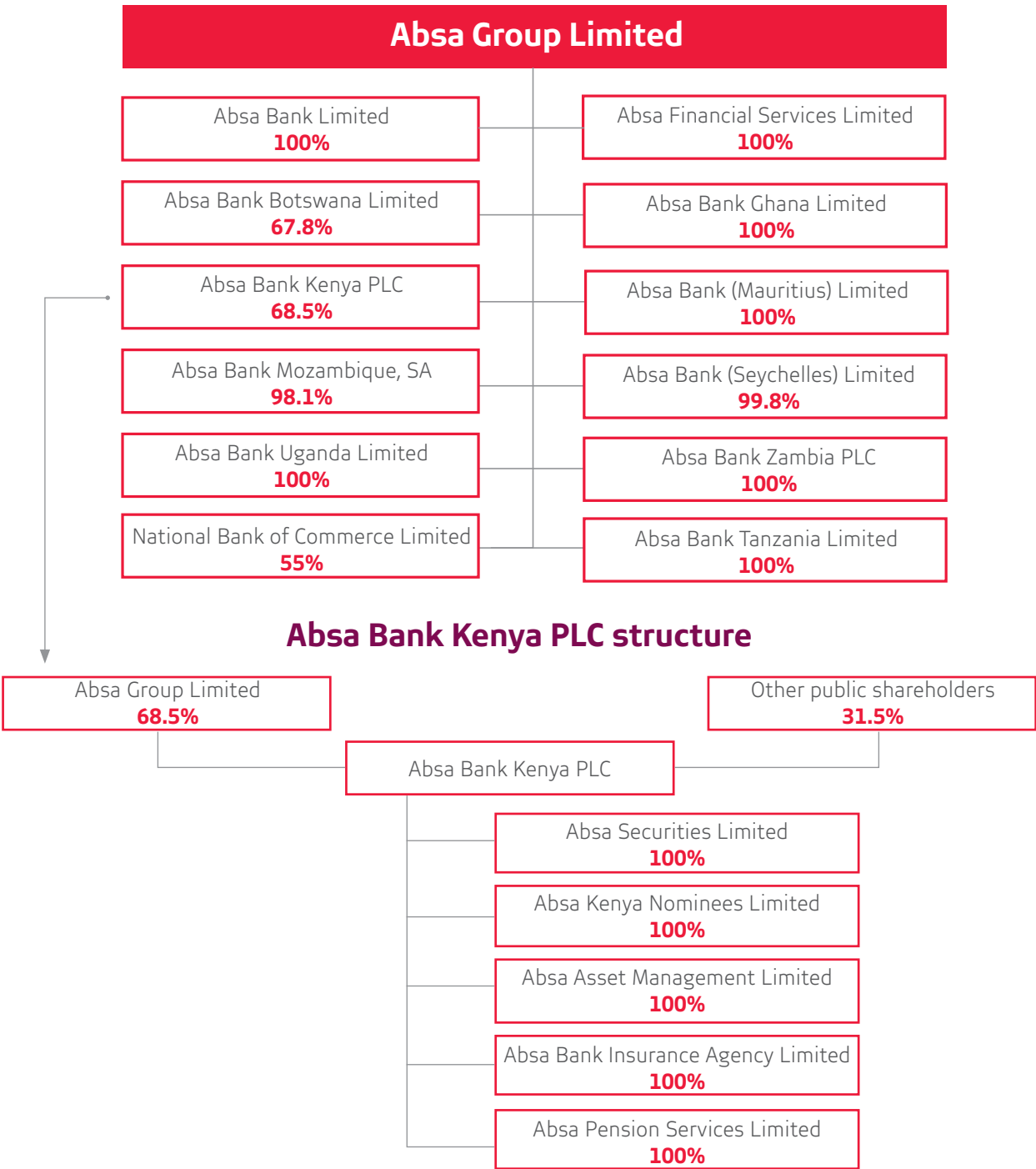
- Our wide array of partnerships**
- * Agency banking at third parties for bill payments, deposits and withdrawals.
 - * Access to financial services through our telecommunications and retail partners, which enhances our digital offering.

¹ Other offices: Namibia, Nigeria, United Kingdom and United States.

² Absa Bank Tanzania and National Bank of Commerce combined.

Botswana 1 200 32 114 4 900 Founded: 1950	Seychelles 282 8 21 1 400 Founded: 1959
Kenya 2 152 85 214 5 900 Founded: 1916	South Africa 28 296 632 8 656 94 657 Founded: 1888
Ghana 1 167 60 171 500 Founded: 1917	Tanzania² 1 662 64 246 950 Founded: 1925
Mauritius 743 16 40 1 400 Founded: 1919	Uganda 934 39 74 1 201 Founded: 1927
Mozambique 857 44 107 900 Founded: 2002	Zambia 890 36 120 3 900 Founded: 1918

Ownership and reporting structure



Our Strategy: Growth, Transformation and Returns

Overarching our strategy is our purpose: 'To bring your possibility to life'

As one of the largest financial institutions, Absa Bank Kenya PLC is a core element of the Kenyan economy and integral to the fabric of the Kenyan society. Our purpose is to 'bring your possibility to life', as we believe in the actions of people who always find a way to get things done. We are obsessed about our customers, with creating opportunities for them to make their possibilities real and to support them every step of the way. We are a future-focused organisation, driven by progress and our desire to thrive together with the society beyond commercial success. This purpose forms the foundation of our existence.

Our Strategy has *three pillars, four priorities, four enablers and one measure of success*

Three Strategic Pillars

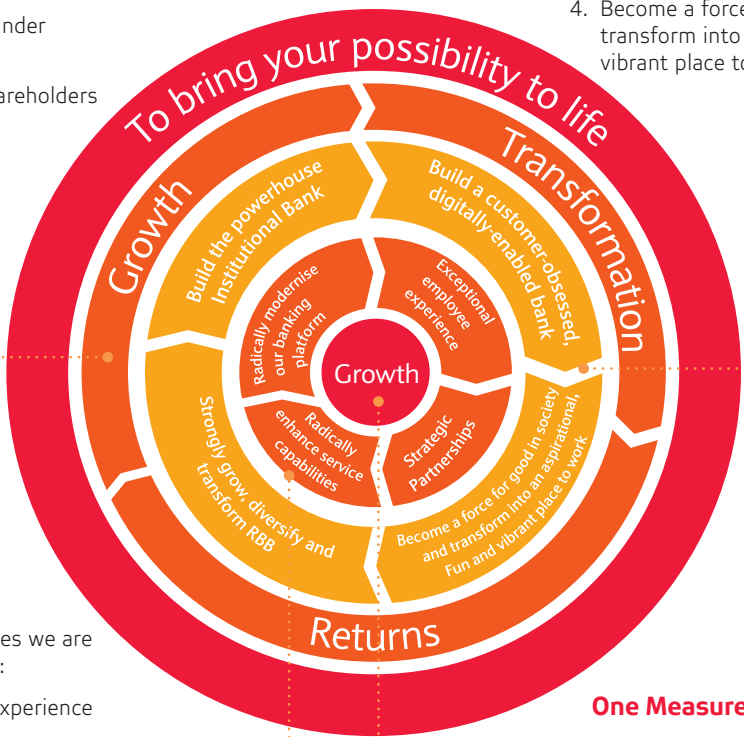
Our strategy is anchored on the 3 pillars of Growth, Transformation and Returns, targeting to:

- 1. Gain revenue market share under Growth
- 2. Improve efficiency under Transformation
- 3. Grow returns for shareholders under Returns

Four Strategic Priorities

We have four priorities with which we execute our business objectives:

- 1. Build a customer-obsessed, digitally-enabled bank
- 2. Strongly grow, diversify and transform Retail and Business Banking
- 3. Build a powerhouse institutional bank
- 4. Become a force for good in society and transform into an aspirational, fun and vibrant place to work



Four Key Enablers

To execute our four priorities we are investing in 4 key enablers:

- 1. Exceptional employee experience
- 2. Strategic partnerships
- 3. Service capabilities
- 4. A modern banking platform

One Measure of Success

Our one measure of success is growth of our business ahead of market growth rate to gain market share

We believe delivering the best customer experience will result in achieving this goal

Being the **best**
in **customer experience**
is **our vision**

The results from our second year of executing our five-year strategy validate that our strategy is working.

Growth outcomes

8.6%* Market Share (2018 : 8.5%)		
Total Asset: Shs 375bn (up 15%)	Total Deposit: Shs 238bn (up 15%)	Customer Growth to 4.5mn

Transformation outcomes

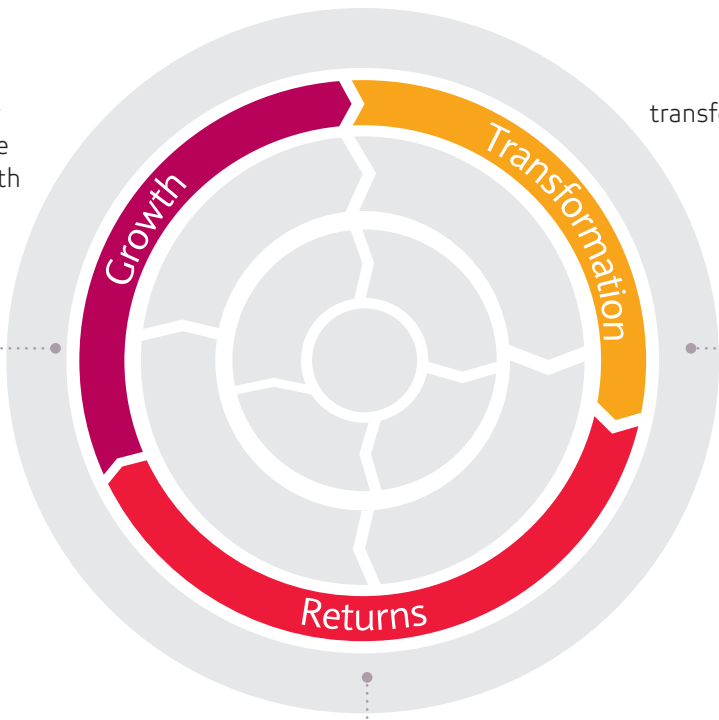
51% Normalised CIR (2018 : 55%)	
ENPS Score: 35% (up from 28%)	Absolute normalised cost growth: 4% below inflation

Growth:

Our goal is to unlock growth opportunities for all our stakeholders while delivering financial growth goals in line with our commercial strategy

Transformation:

Our aspiration is to transform our business for the modern era



Returns:

Our goal is to maximise returns for all our stakeholders by ensuring our financial capital is properly optimised and the stock price improves

Return outcomes

18.4% Normalised ROE (December 2018 : 17.3%)	Best performing Bank stock Jan 2018 - Dec 2019 at 39% increase
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*Q3 2019 results annualised

Progress against our four strategic priorities

We have made material progress against our four strategic priorities

1. Build a customer-obsessed, digitally-enabled bank

We are in an age where we have to be restless in adapting and evolving to customer needs in an accelerating technology-driven competition while navigating a complex regulatory mandate.

- **4.5mn** customers on-boarded on **Timiza**
- Over **70%** of customer transactions processed outside the **branch**
- Implemented **phase 1 of our robotics-led automation programme**
- Attained **good progress** in improving our net promoter scores at branch level

2. Build the powerhouse Institutional Bank

We aspire to not only support our corporate clients but also drive growth and evolution of financial markets;

We believe developing ecosystems will be the way to win and we see ourselves dominating in ecosystem banking as the key to be the powerhouse institutional bank.

- **Global Markets income** grew by **43%** from 2017 to 2019
- **Net corporate lending** grew by **19%** and **customer deposits** are expected to grow by **68%** from 2017 to 2019
- We have sustained our **No. 1** position in **global markets** business
- We have received a number of **awards and recognitions** in corporate and investment banking
- We have announced entry into **asset management business** to expand our institutional banking capabilities



3. Strongly grow, diversify and transform RBB

The younger demographic financial needs lean towards ease of access, personalisation and relevance. Better economic environment incubate entrepreneurship and develop the SME segment.

- **Double digit** growth in customer deposits driven by innovations in transactional accounts
- **New business launched:** Timiza virtual banking, La Riba trade finance, Signature Credit Card and Wealth management among others
- **Awarded** Best Shariah Compliant **Investment Bank in Kenya** (Business Vision-UK 2018)
- **Awarded** Best **Mortgage Financier in Kenya** (Real estate Excellence Awards 2018)

4. Become a force for good in society and transform into an aspirational, fun and vibrant place to work

This will ensure a sustainable and responsible approach that is integral to what we do and how we operate as we transition to Absa.

- **215 000** Youth beneficiaries empowered through **ReadytoWork** programme
- **574** students benefitted from Absa Scholarships
- **>3 200 women entrepreneurs** trained and provided credit facilities to support their business by **SheTradesKE**
- **36%** of senior roles held by **women**
- **500mn homes** globally to be reached through the magical Kenya Open presented by Absa
- **Awarded top 5 financial Services Employer** of the year (2018)



(From left to right) Peter Matlare, Deputy Group Chief Executive, Absa Group Limited, Jeremy Awori, Managing Director and CEO, Absa Bank Kenya PLC, Charles Muchene, Chairman, Board of Absa Bank Kenya PLC and Daniel Mminele, Group Chief Executive, Absa Group Limited, press the buzzer during the unveiling ceremony of the Absa Headquarters along Waiyaki Way, in Nairobi, Kenya in February, 2020.



Value proposition

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Absa employees join a troupe of traditional dancers to celebrate the launch of Absa in Kenya.

Reflections from the Chairman



We have enjoyed tremendous success in the last 104 years and we intend to build on this strong foundation as we renew ourselves through the new brand Absa.

Welcome to Absa Bank Kenya PLC.

This is our first annual integrated report under our new brand, signifying closure of an exceptional part of our history while signalling the start of a new phase of our journey. We are proud to have been a part of the Kenyan story over the past 104 years under the Barclays brand. We have enjoyed tremendous success in that period, establishing a leading financial institution that is solid, trusted and reliable. We intend to build on this strong foundation as we renew ourselves through our new brand Absa – a dynamic, African-rooted and innovative business.

The past year has been marked with impressive progress in our strategy of Growth, Transformation and Returns. This is in line with our intent to achieve growth and high sustainable returns, improve on customer experience, increase our agility, leverage technology and impact society. We are committed to being adaptive to a fast-changing financial world where disruptive technologies and innovative business models are becoming an ever-present reality.

We are at the tail end of the separation and transformation process from Barclays. This has entailed several changes in processes, technology, structures and physical branding. But more importantly, it has involved the adoption of a new culture in line with our parent company; Absa Group that focuses on obsession with the customer, collaboration, innovation, dynamism and diversity. We have rebranded all our bank branches with our new array of colours reflecting warmth, vibrancy and the promise to enhance service levels and accessibility while being more responsive to customer needs.

New prospects, new aspirations

Transition to our new brand provides us with an invaluable opportunity to revitalize our client proposition and deliver greater value for stakeholders. As Chairman of the Board, I am excited by our prospects, which are filled with remarkable possibilities, as we roll out our new brand in line with the Absa Group strategy that prioritises cultural transformation as well as restoring our leadership position in the Group's core business areas and developing pioneering propositions for customers, employees and broader stakeholders.

For our customers, we are offering an improvement in service and increasingly tailored products that address their needs and deliver on their aspirations. From the onset, we aim at improving our technology-driven channels through new and improved digital platforms to enhance ease and convenience for customers, allowing for quick and efficient transactions. Product innovation will be a key facet of our customer offerings consistent with Absa Group's dynamic and entrepreneurial culture that is inquisitive, courageous and solution oriented. We intend to offer the best in class services and products using cutting edge technology and extending a wide array of products through our digital channels while increasing customer touch points. As an African brand, we resonate more closely with local realities through our products and processes. These include responding faster to customer issues through devolved decision making, focusing on the key growth sectors around Small and Medium Enterprises (SMEs), and resonating with the demographic realities of the continent and evolving market trends.

Our employees remain central to the delivery of our strategy and a core pillar of our success. Our intent is to provide the best employee value proposition in the market, creating a world class workplace that rewards performance, innovation and ethical conduct. We have already embarked on several culture transformation initiatives aimed at inculcating Absa's culture and values in our workplace. Key in this regard is our emphasis on a digital workplace as a precursor for delivering a digital bank. Increasingly, our workplace will be digitally driven, removing unnecessary inefficiencies and obstacles and empowering employees to make data driven decisions. In this regard, we have invested in a new people management system, Workday, resulting in greater efficiency through simplified processes, devolved decision making for managers leading to faster approvals and increased employee accountability. We envisage that similar initiatives will continue as we look to create the workplace of the future that is dynamic, performance driven and digital accompanied by the requisite upskilling. The prospects for our employees, including career progression, training and development, competitive remuneration, a world class workplace and meaningful work is impeccable. Through them, we will create value for our customers and stakeholders, in line with our corporate purpose "to bring possibilities to life".

Overall, we are on an exciting adventure to recreate banking. We are creating an organisation that can make better decisions faster, is aligned and engaged at every level, headed by leaders who inspire the whole organisation to action and give our employees an emotional sense of belonging and commitment. We resonate with Absa Group's overarching inspiration – *"we are an African group, inspired by the people we serve and determined to be a Group that is globally respected and that Africa can be proud of. We are committed to finding local solutions to uniquely local challenges and everything we do focuses on adding value"*.

This does not mean we will abandon our legacy strengths. We remain an international brand that is solid, reliable and trusted, grounded on sound governance and management practices. Our risk framework is cutting edge, enabling us to anticipate and respond to risk adequately while addressing an array of emerging risks, particularly those related to technology. Ethical conduct underpins our business practices and is anchored on our conduct risk framework which ensures we avoid any actions that create adverse impacts on our stakeholders.

We maintain a wide array of relationships with local and international financial institutions, enabling us to offer a wide array of products and services locally and offshore. Most importantly, we retain an exceptional and strong leadership team in the Board and senior executives who are committed to delivering on the Bank's strategy while upholding the highest standards of integrity.

Our strategy

Our strategy is focused on Growth, Transformation and Returns and is built on key fundamentals, including the management of risks, maintenance of a high level of capital, efficiency of operations and high quality service. In 2019, we recorded progress on our strategy based on the three key pillars. Our business continued to grow with assets up 15%. We transformed to a more efficient bank and on returns our stock price increased by 21%.

The Bank posted satisfactory financial results. Normalised Profit Before Tax (PBT) increased by 15% year on year to Shs 12.3bn. This was underpinned by a strong and disciplined execution of our strategy through product innovation, focus on creating value for customers and stakeholders and operational efficiency. As an outcome of the pleasing results, the Board has recommended a final dividend of Shs 0.9 per share with total dividend of Shs 1.1 per share a, 80% payout ratio.

Good governance and sustainability

Throughout the year, the Board has provided independent oversight and leadership of the Bank, supporting management with strategic imperatives to respond to the dynamic operating environment. A key component of our engagement has been ensuring that the Bank continues to adhere to its high standards of integrity and ethical practices. We are cognisant of the challenges facing our society in addressing issues of corruption and poor governance and consider these as extremely material and current concerns. Additionally, we recognise that finance can be a force for good in society, enabling economic progress through access to finance and support to entrepreneurial and economic activities. We are intentional in our aspiration to catalyse positive impact in our society. Absa supports and contributes to various initiatives to drive sustainable economic growth as a key factor of our sustainability agenda. In December, the Board deliberated and approved our commitment and strategy to contribute towards the attainment of the Sustainable Development Goals (SDGs), showcasing our intent to be deliberate in impacting society.

Changes in the Board

In 2019, we bade farewell to Norah Odwesso who resigned from the Board on 31 July 2019 having served for five years. Norah brought invaluable skills and experience to the Board, including several years of senior leadership experience in top tier international companies. We wish her well in her endeavours.

Appreciation

I would like to express my gratitude to all our stakeholders. In particular, I would like to thank those who have steadily steered the transition process seamlessly. The Bank's employees have shown great maturity and strength during this time given the uncertainty that accompanies any major change. The executive management team led by Jeremy Awori has steadfastly focused on the Bank's strategy with remarkable excellence and fidelity, while the Board has continued to provide sound counsel and leadership. Above all, I would like to celebrate our customers who have remained loyal and optimistic as they journey with us. As we look back proudly at our heritage as Barclays Bank, we are inspired in our new brand to aspire for another 100 years of creating shared value as Absa Bank Kenya PLC.

Charles Muchene
Chairman, Board of Directors

Our Board of Directors



62
Charles Muchene
Chairman



49
Jeremy Awori
Executive Director and
Chief Executive Officer



46
Yusuf Omari
Executive Director and
Chief Financial Officer



49
Dr. Laila Macharia
Non Executive Director



71
Ashok Shah
Non Executive Director



49
Winnie Ouko
Non Executive Director



54
Patricia Ithau
Non Executive Director



66
Japheth Olende
Non Executive Director



55
Louis Onyango Otieno
Non Executive Director



41
Loise Gakumo
Company Secretary

 Detailed biographies
of our Board members
page 25-26.

Charles Muchene
Chairman
Appointed to Board: August 2016
Appointed Chairman: October 2016
Committee Membership: CGNC

External Directorships
• AIG Kenya Limited

Previous Roles
• Chairman and Non-Executive Director, East African Breweries Limited
• Independent Non-Executive Director, CFC Stanbic Holdings Limited
• Country Senior Partner and Financial Service Industry Leader, PricewaterhouseCoopers

Qualifications
• Bachelor of Commerce (Hons), University of Nairobi
• Fellow, Institute of Certified Public Accountants of Kenya
• Member, Institute of Certified Public Secretaries of Kenya
• Member, Institute of Directors

Jeremy Awori
Executive Director and Chief Executive Officer
Appointed to Board: February 2013
Committee Membership: CC

External Directorships
• Board Member, Kenya Private Sector Alliance (KEPSA)
• Executive Council Member, Kenya Bankers Association

Previous Roles
• Former Chairman, Kenya Bankers Association
• Chief Executive Officer, Standard Chartered Tanzania
• Regional Sales and Performance Director, Standard Chartered Middle East, South Asia and Africa
• Head of Consumer Banking, Standard Chartered UAE
• Executive Director and Head of Consumer Banking, East Africa

Qualifications
MBA, McGill University (Canada)
BSc. Pharmacy, Manchester University (UK)
Fellow, Aspen Global Leadership Institute
Member, Young Presidents Organisation

Yusuf Omari
Executive Director and Chief Financial Officer
Appointed to Board: June 2009
Committee Membership: None

External Roles and Memberships
• Board Member, University of Nairobi Enterprise Services
• Board Member, the Institute of Certified Public Accountants of Kenya (ICPAK)

Previous Roles
• Head of Compliance, Barclays Kenya
• Head of Internal Audit East and West Africa, Barclays Kenya
• Senior Auditor, KPMG

Qualifications
• Advanced Management Program (AMP), Strathmore and IESE Business School
• MBA, Strathmore Business School
• B.A. Economics, University of Nairobi
• Fellow, Institute of Certified Public Accountants of Kenya
• Certified Internal Auditor

Dr. Laila Macharia
Non Executive Director
Appointed to Board: August 2014
Committee Membership: CGNC, ARC

External Roles and Memberships
• Chairman, Africa Digital Media Group
• Chairman, Africa Leadership Initiative - East Africa
• Non-Executive Director, Centum Investment Company PLC
• Non-Executive Director, Two Rivers Development Limited
• Non-Executive Director, Pearl Marina Estates Limited
• Non-Executive Director, Vipingo Development PLC
• Member, Centum Foundation

Qualifications
• LLD, Stanford Law School (US)
• LLM, Stanford Law School (US)
• LLM, Cornell Law School (US)
• LL.B, Cornell Law School (US)
• B.A., University of Oregon (US)
• Member, State Bar of New York (US)
• Member, State Bar of Maryland (US)
• Member, Law Society of Kenya

Ashok Shah
Non Executive Director
Appointed to Board: August 2011
Committee Membership: CC, ARC

External Roles and Memberships
• Group CEO of the Apollo Investments Ltd.
• Board Member, CDS Corporation
• Board Member, Capital Markets Challenge Fund
• Board Member, APA Insurance Limited
• Board Member, Apollo Life Assurance
• Board Member, Apollo Asset Management
• Board Member, Reliance Insurance Company Tanzania
• Board Member, Apollo Insurance Uganda Limited

Qualifications
• Dip. Applied Chemistry, Kingston University (UK)
• Member, Chartered Institute of Arbitrators
• Associate, Chartered Insurance Institute

Winnie Ouko
Non-Executive Director
Appointed to Board: August 2014
Committee Membership: ARC, CC

External Roles and Memberships
• Co-Founder and Director, Lattice Consulting Limited
• Executive Director, Lattice Training
• Director, Kenya Pooled Water Fund
• Director, Vodacom Tanzania

Previous Roles
• Associate Director, Standard and Poor's (US)
• Auditor at PwC Kenya

Qualifications
• MBA, Cornell University (US)
• Bachelor of Commerce,(Hons), University of Nairobi
• Certified Public Accountant (CPA) (K)

Our Board of Directors continued

Patricia Ithau
Non Executive Director
Appointed to Board: March 2016
Board Chairperson: Absa Securities Limited
Committee Membership: CGNC

- External Roles and Memberships**
- Regional Director, Stanford Institute for Innovation in Developing Economies – Stanford Seed
 - Non-Executive Director, Trade and Markets East Africa
 - Non-Executive Director, Kenya Private Sector Alliance (KEPSA)
 - Non-Executive Director, WPP Scangroup Ltd
 - Non-Executive Director, Jambojet Ltd
 - Trustee, Vodafone Foundation UK
 - Executive Coach, Academy of Executive Coaching

- Previous Roles**
- Managing Director, L’Oreal East Africa
 - Managing Director EABL – international
 - Managing Director Uganda Breweries Ltd

- Qualifications**
- Advanced Management Program (AMP), Strathmore and IESE Business School
 - MBA, United States International University Africa
 - Bachelor of Commerce (Hons), University of Nairobi
 - Dip. Executive Coaching, Academy of Executive Coaching

Japheth Olende
Non Executive Director
Appointed to Board: March 2018
Board Chairperson: Absa Bank Insurance Agency Limited
Committee Membership: CC

- Previous Roles**
- Board Member – Retirement Benefits Authority
 - Board Member – AIG Kenya Insurance Company
 - Board Member – AIG Uganda Insurance Company
 - President, American Chamber of Commerce Kenya Chapter
 - Director, Association of Kenya Insurers
 - Director, Eagle Eye Laser Centre

- Qualifications**
- Bachelor of Commerce (Hons), University of Nairobi
 - Chartered Insurer, CII London
 - Member, Institute of Directors

Louis Onyango Otieno
Non Executive Director
Appointed to Board: March 2018
Board Chairperson: Absa Asset Management Limited
Committee Membership: ARC, CGNC

- External Roles and Memberships**
- Board Member, Nation Media Group
 - Chairman, Sera Afrika

- Previous Roles**
- Director, Corporate Affairs, Microsoft 4Afrika
 - General Manager, East and Southern Africa, Microsoft Corporation
 - President, American Chamber of Commerce – Kenya
 - ICT Advisor to the Presidents of Tanzania, Uganda and Mozambique
 - ICT Advisor, COMESA Business Council
 - Board Member, Kenya Vision 2030
 - Board Member, Red Media Africa (Nigeria)
 - Board Member, Enablis East Africa
 - Board Member, Fintech International

- Qualifications**
- MBA, Long Island University
 - BSc (Hons) Computer Science, Mercy College

Loise Wambui Gakumo
Company Secretary
Appointed to the role: March 2019

- Previous Roles**
- Group Company Secretary & Chief Legal Adviser, Centum Investment Company Plc

- Qualifications**
- MPA, University of Nairobi & Kenya School of Government (In progress)
 - LLB, University of Nairobi
 - Dip. Law, Kenya School of Law
 - Advocate of the High Court of Kenya
 - Notary Public
 - Commissioner for Oaths
 - Practising Certified Public Secretary (CPS) Kenya

Value creation through good governance

The Board seeks to create maximum shared value for stakeholders through the Bank’s strategy and operations while taking cognisance of the overarching purpose, material macro environment trends and ensuring the business model is sustainable and resonates with stakeholder needs. The Board also monitors the availability, quality and quantity of capital inputs as a key component of good governance, ensuring the Bank is adequately and appropriately resourced. All these aspects inform the Bank’s strategy and provide inputs for the setting of financial and non-financial targets.

Governance philosophy

Absa Kenya is committed to the highest standards of governance, ethics and integrity. We seek to act in the best interest of our stakeholders and have adopted sound governance structures, frameworks, policies, procedures and practices in the operations of the Bank. In the course of the year, the Board has diligently provided oversight of these governance functions, ensuring their strict adherence and implementation. We believe that good governance contributes to improved performance, enhanced stakeholder value, transparency and accountability while providing clear proof of our commitment to adhere to our corporate values.

Directors’ responsibilities

- The Board’s collective roles and responsibilities are primarily to:
- Establish and direct the bank’s strategy;
 - Deliberate and approve policy and planning;
 - Provide governance oversight and monitoring; and
 - Ensure accountability.

This is achieved through effective leadership and oversight of the Bank including strategy formulation and execution. The Board also ensures that it delegates the responsibility of the day to day management of the Bank to a competent executive management team. Other responsibilities of the Board include ensuring compliance to legislative and regulatory requirements, providing information and disclosures to stakeholders, protecting the interest of stakeholders and ensuring adherence to sound risk management practices.

Each director is provided with a role profile and a charter of expectations upon appointment, documents which clearly outline the behaviour and competencies expected from them, including expected time commitment. On average, the time commitment for Non Executive Directors is 30 to 40 days per year. Performance indicators are included in the role profiles to guide the directors, and it is against these indicators that their individual performance is evaluated each year.

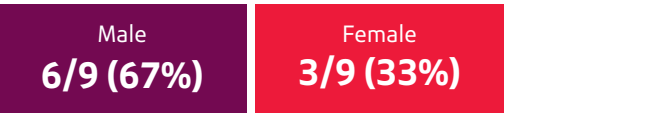
Board composition and diversity

The Board is composed of nine members. The majority of Board members are independent Directors, ensuring independent judgement and diversity of views and opinions, thus protecting and preserving the best interests of the Bank’s stakeholders.



Gender

Gender diversity is an issue of increasing social relevance and a proven enabler of better financial performance. Absa Kenya is committed to promoting gender diversity at Board level, ensuring we surpass the constitutional one-third threshold.

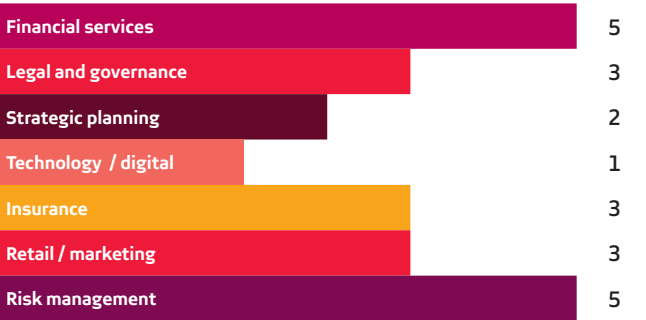


Age



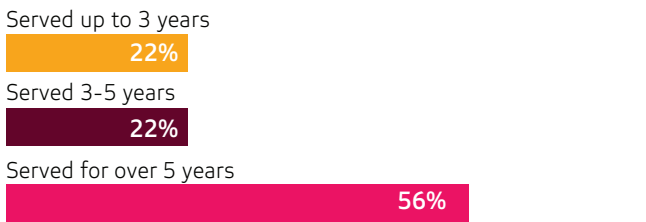
Board skills

Boards of financial companies require a wide array of skills to provide sound governance oversight, direct strategic imperative and create value for stakeholders. Board skills requirements are influenced by trends in the macro environment, the Bank’s strategy and the need for strong thematic expertise and experience based on key stakeholder needs. Our Board skills profile showcases a diversity of knowledge, skills and experience as outlined below:



Board tenure

At each Annual General Meeting (AGM), one-third of the directors, who have been longest in office, retire, but are eligible for re-election. Where a new Board member is appointed, they hold office until the first AGM held after their appointment before they are eligible for re-election by the shareholders.



Value Creation through good Governance continued

Board training

Over the past two years, we have strengthened our Board skills and experience by undergoing training to address recent legislation on Data Protection as well as changes in legislation in the banking sector and the impact that would have on the business. This came after the training in General Data Protection Regulation (GDPR) conducted in 2018, which forms the greater part of the Data Protection Act passed in 2019. The Board has also undergone training in cyber resilience and cyber readiness.

In addition, in June 2019 our Board members attended a two day Audit & Remuneration Conference in Johannesburg, South Africa organized by Absa Group Limited where key topics such as Governance, Conduct Risk, Financial Crime, Developments in Cybercrime, People & Culture, Remuneration among others were discussed. The Board felt that the training was highly informative and they drew various key learnings which they are keen to see implemented in the Bank. These Board trainings which exceeded the 12 hour corporate governance training requirement provided for in the CMA Governance Code demonstrate the Board's commitment to continuous development so as to ensure greater efficiency in their role.

Board effectiveness review

Every year, the performance of the Board and its committees is evaluated against their respective mandates, and the results are collated by the Company Secretary and communicated to the Board for appropriate action. In 2019, the Board effectiveness assessment was conducted by an external consultant and the key focus areas were; Board structure, composition, roles and responsibilities, key functions and processes, dissemination of information, meetings (agenda, frequency, quality), Board development and relationships, overall Board performance and contribution.

The key areas of improvement from the previous Board Evaluation were identified as follows:

- Directors are now well informed of Committee activities as all Directors were granted access to Committee packs;
- The quality and depth of board packs has improved;
- The Board has been spending more time on strategic issues; and
- Through the Corporate Governance & Nominations Committee, the Board is now more involved in the Managing Director's and Senior Management succession planning.

The areas of improvement identified from the 2019 evaluation are as follows:

Board succession planning

The members felt that there was need to develop a formal succession plan to develop a pipeline of directors to fill in vacancies as they occur and also identify potential successors for Committee Chairpersons.

Board composition

The Board is satisfied with the current mix of skills on the Board. However, they propose to have younger directors on board would be useful to obtain diverse insights on the Bank's products and services

Board development

In addition to the training being provided to the Board, the members felt that it would be useful to have training in technology related areas on emerging trends such as cryptocurrency, block chain technology and big data.

Business strategy

The Board continued its key role of strategic oversight by ensuring the Bank maintains a disciplined and constant focus on the key strategic drivers of the business, clarity on trends and changes that will influence the Bank of the future, regular review of the market landscape and sharing of the available opportunities to improve performance. The Board monitors the strategy dashboard every quarter and interrogates areas of acceleration in strategy implementation.

Board committee reviews

The Board has three mandated committees, comprising suitably skilled Directors, to oversee and govern their respective areas. Committee Chairpersons provide both written and verbal feedback to the Directors during Board meetings. The mandates and membership of board committees, as well as the key activities of each committee during 2019 are outlined in the reports from each of the Committee Chairperson provided on pages 89-94.

Relationship with stakeholders

The Bank is committed to transparency when communicating to stakeholders. We provide diverse information on the Bank through published and electronic reports and media. We have also developed several channels through which stakeholders can engage with us. We are committed to providing feedback on stakeholder concerns promptly. Our key publications can be found on our website www.absabank.co.ke.

Role of the Board in promoting sustainability

The CMA's Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 outlines the need for the Board to ensure that the Bank's strategy promotes sustainability. In this regard, the guidelines require that the Board pays attention to Environmental, Social and Governance (ESG) aspects of the business, which underpin sustainability.

ESG plays a critical role in Absa Kenya. The Board is committed to sound ESG practices in the operations of the Bank. In 2019, the Board oversaw the development of a sustainability strategy and framework with commencement of sustainability reporting expected in 2020.

Board statement on the transition to Absa

Transition to Absa

Barclays Bank of Kenya Limited operations have officially re-branded to Absa Bank Kenya PLC, in line with the parent company Absa Group's strategic plans on the continent. On 7 February 2020, Barclays Bank of Kenya Limited was officially renamed Absa Bank Kenya PLC and started trading under its new name and new share code (Absa) on the Nairobi Securities Exchange on 12 February 2020. The name change marks the start of a new era for the Bank. The new name and brand are an expression of the new purpose and strategic direction. Our commitment is to grow in Kenya with a truly African shared sense of purpose and identity.

The Bank's subsidiaries were also renamed following the change of the Bank name as follows: Barclays Credit Limited was renamed Absa Asset Management Limited, Barclays (Kenya) Nominees Limited was renamed Absa Kenya Nominees Limited, Barclays Bank Insurance Agency Limited was renamed Absa Bank Insurance Agency Limited, Barclays Financial Services Limited was renamed Absa Securities Limited and Barclays Pension Services Limited was renamed Absa Pension Services Limited.

The change comes after the parent company Barclays Africa Group was renamed Absa Group in July 2018, as part of its separation from UK-headquartered Barclays PLC, allowing it to embark on a new era as a standalone African banking group with global scalability.

Part of the Absa Group's separation agreement with Barclays PLC was to remove the Barclays brand from all assets by mid-2020. The change in name and brand for the Bank and its subsidiaries was well ahead of schedule. The continent-wide rebranding from Barclays to Absa was considered one of Africa's most ambitious rebranding programmes, with offices, stationery, signage, branches, digital interfaces and so much more requiring change across 12 markets.

Commenced in earnest towards the end of 2019. We confirm that products and service functionality will not be affected by the re-brand, although the visual look and feel will change. The customers will, and we are sure they already have, experienced faster, easier and better services.

Delivering the Absa Bank Kenya PLC – the strategic Bank with unlimited opportunities and possibilities

The Bank is already implementing the new growth strategy that prioritises cultural transformation as well as restoring leadership position in the group's core business areas, and developing pioneering propositions for customers and clients. The new Absa brand design is an expression of the Bank's new purpose, which is 'bringing your possibility to life'.

The Bank is fully anchored on the Absa Group family – a standalone African group with a new brand design fit for a forward-looking business in a digital age. The Absa Group has a presence in 12 African countries. In renaming Barclays' banks across the continent, the Absa Group will be able to build on the pedigree of the Absa brand as a strong and stable bank. The brand has substantial equity – Absa was named the fourth most valuable brand (with an estimated value of R18.9 bn, or about US\$1.5 bn) in South Africa by global brand valuation and strategy consultancy Brand Finance in 2018.

As Absa Bank Kenya, we will build the brand as a bank that Kenyans, and indeed Africa's people can be proud of, a bank that is part of a truly independent African group with global scalability.

We remain hugely proud of the continuing positive impact which the Bank has in the communities in which we operate around the country.

Building on our strong foundations

We have existed in this country for 104 years. Our culture then and today is outperforming customer expectations. It is a culture driven by a deep commitment to help customers, clients, and the wider society, to bring their possibilities to life.

Our focus is now on building the Bank of the future. We remain fully committed to our model as a strong and energised bank and will remain a well-anchored financial institution, providing excellent products and services to our clients, underpinned by world class operations. We believe we are well -positioned to deliver future growth and appropriate returns for shareholders.

We continue to invest in our technological and digital capabilities. We are using technology to deliver more meaningful customer experiences by transforming the way we interact with customers, leveraging data analytics and utilising the opportunities presented by Internet Banking. Delivering a truly customer-centric model is at the heart of the Bank's strategy.

Key outcomes we will look to achieve include:

- Building trust with our customers and clients, so that they can recommend us.
- Successfully innovating and developing products and services that meet their needs.
- Offering suitable products and services in an accessible way, ensuring excellent customer and client experience.

We remain focused on conduct, regulations and delivering enhanced controls

We aspire to be one of Kenya's most respected and well-regarded banks. We have worked hard to resolve outstanding legacy issues, while continuing to strengthen our control environment. We put our customers and clients at the heart of everything we do and seek to strengthen the trust of our customers, clients and wider society.



Transition milestones



Left to Right: Geoffrey Odundo, CEO, Nairobi Securities Exchange, Peter Matlare, Caroline Ndungu-Director, Marketing and Corporate Relations, Absa Bank Kenya PLC, Charles Muchene, Samuel Kimani, Chairman, Nairobi Securities Exchange, Daniel Mminele, Jeremy Awori and Bob Karina, Vice Chairman, Nairobi Securities Exchange, during the bell ringing ceremony to mark the change-over of the bank’s ticker name to Absa in February, 2020.

2013	2013	2016	2016	2018	2018	2020
Barclays Majority Shareholder in Kenyan Entity since 1916	Barclays restructures regionally forming Barclays Africa Group Limited - 12 African countries make up the Group	Barclays Bank PLC (UK) divests from Africa	Between 2016 and 2019, Barclays PLC reduces its shareholding in Barclays Africa Group Limited (BAGL) from 62.3% to 14.9%.	June 2018 Barclays Africa Group Limited changes name to Absa Group Limited	June 2018 separation process initiated with Barclays PLC (includes the Kenyan Entity)	In February 2020, Kenyan entity changes its name to Absa Bank Kenya PLC.

Over the last two years, we have meticulously undertaken a transformation journey from Barclays Bank of Kenya to become Absa Bank Kenya PLC. This is in line with the Bank’s parent company Absa Group’s 2018 decision to rebrand all operations across the continent to Absa. The Absa Group strategy prioritises cultural transformation as well as restoring leadership position in the Group’s core business areas and developing pioneering propositions for customers and clients.

Although Barclays continues to have a significant stake in Absa Group at 14.9%, it is no longer the majority shareholder, and the Group has undergone an extensive managed separation process to detach its operations in Africa from those of Barclays Bank PLC (UK). By the end of 2017, Barclays Bank PLC had reduced its shareholding in Barclays Africa Group Limited (now Absa Group Limited) from 62.3% to 14.9%. This means that, although Barclays Bank PLC remains a partner and shareholder, the African Group cannot legally use the name “Barclays” after mid-2020.

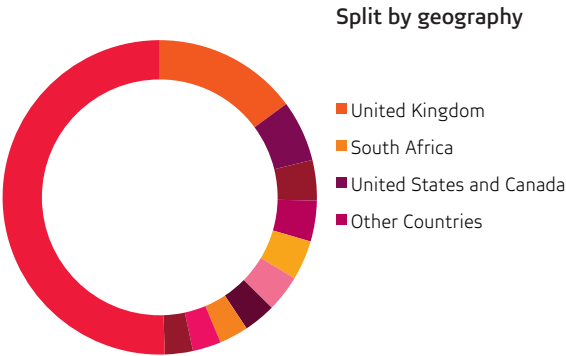
The transition will help Absa Bank Kenya tap into Absa Group’s extensive footprint to unlock more value for its shareholders, customers and all other stakeholders.

Shareholding 2019

Summary of Absa Group Limited Shareholding 2019

Major ordinary shareholders

- Barclays Bank PLC (UK)
- Public Investment Corporation (SA)
- Deutsche Securities (SA)
- Old Mutual PLC (SA)
- Prudential Investment Managers (SA)
- Black Rock Incorporated (US)
- The Vanguard Group Incorporated (US,AU)
- Citigroup Global Markets (SA)
- Dimensional Fund Advisors (US,UK)
- Investec Asset Management (SA)
- Other



Summary of Absa Bank Kenya Shareholding 2019

Absa Bank Kenya PLC share register periodic report for December 2019

Top 10 shareholders

Rank	Name	Domicile	Total Shares	%
1	Absa Group Limited (formerly Barclays Africa Group Limited)	FC	3,720,816,000	68.50%
2	Standard Chartered Nominees Resd A/C Ke11401	LC	46,506,712	0.86%
3	Kenya Commercial Bank Nominees Limited A/C 915b Kenya Co	LC	41,863,390	0.77%
4	Standard Chartered Kenya Nominees Ltd A/C Ke002382	FC	38,351,220	0.71%
5	Standard Chartered Nominees Resd A/C Ke11450	LC	37,857,590	0.70%
6	Patel,Baloobhai;Patel,Amarjeet Baloobhai Patel	LI	37,412,620	0.69%
7	Standard Chartered Kenya Nominees Ltd A/C Ke23050	FC	35,529,992	0.65%
8	Standard Chartered Kenya Nominees Ltd,A/C Ke20510	FC	29,708,377	0.55%
9	Standard Chartered Nominees A/C 9230	LC	26,594,420	0.49%
10	Standard Chartered Nominees Non-Resd. A/C Ke8723	FC	26,577,320	0.49%
11	Others		1,390,310,359	25.60%

Absa Bank is a solid international and trusted brand in Africa. We are also a dynamic bank with strong African roots. We intend to capitalise on the exceptional brand equity and recognition of Barclays while bringing our own unique culture.

Our country management committee

Absa Bank Kenya PLC country management committee is a diverse and experienced management team comprising the Chief Executive Officer, Chief Financial Officer and 12 other members in senior management.



Jeremy Awori
Chief Executive Officer



Yusuf Omari
Chief Financial Officer



James Muchiri
Chief Operating Officer



David Hardisty
Retail and Business Banking Director



James Agin
Corporate and Investment Banking Director



Anthony Kirui
Director Global Markets



Geneva Musau
People and Culture Director



Laban Omangi
Director Compliance and Legal



Chiera Waitthaka
Chief Risk Officer



Christine Mwai-Marandu
Country Credit Director



Moses Musyoka-Muthui
Country Strategy Director and Head of CIB Finance



Caroline Ndong'u
Marketing and Corporate Relations Director



Anthony Mulisa
Regional Treasurer EA and Separation Programme Director



Joshua Ndong'u
Regional Director and Chief Internal Auditor, Kenya

Detailed biographies of our Country Management Committee members are available on our website.

Reflections from the Chief Executive Officer



We are now proudly Absa Bank Kenya PLC; Accessible, dynamic and forward-looking financial institution committed to the future of Kenya and her people.

Introduction

2019 was an eventful year for us, as we transitioned from Barclays Bank of Kenya to Absa Bank Kenya PLC. This transition has been both challenging and rewarding, calling for careful planning, diligence and seamless execution. I am proud to note that our Board of Directors, Management and separation teams have worked assiduously to ensure the completion of the transition with the invaluable support of Absa Group.

Our new brand carries a promise of “bringing possibility to life”, our sole corporate purpose. It exudes energy and passion, reflective of Kenya’s youth and dynamic markets. In line with this new brand, we focused on culture change targeted at employees and aimed at reinforcing Absa’s four core values; we drive high performance to achieve sustainable results; we are obsessed with the customer; our people are our strength and we have an African heartbeat.

Execution in 2019

Our 5 year strategy announced in 2018 seeks to deliver Growth, Transformation and Returns. In 2019; our second year of implementation, we achieved broad-based success building on a strong foundation of 2018 achievements.

On Growth, we set new growth records on various fronts. Our balance sheet grew by double digits; Customer loans and advances grew 10% year-on-year to Shs 195bn. We safeguarded Shs 238bn of deposits for our customers, reflecting the fastest growth in a decade at 15% year-on-year. A strong revenue growth in a decade of 7% buttressed by a well-contained cost base and increased our operating profit by 12.7% year-on-year, which was the highest growth since 2010. These financial successes reflected the results of our collective efforts to transform customer experience. We developed products and services to meet evolving customer needs; for example, we launched new propositions under SheTradesKE, a Shs10bn kitty targeting women in business, Trade and Transactional banking capabilities, Wealth and Asset management, Enterprise Supply Chain Development and Wezesha Biashara, an enhanced Small and Medium Enterprises proposition.

On Transformation, our key priority for the year was to ensure the finalisation of the transition to the Absa brand. We made substantial strides in introducing Absa Bank Kenya PLC, focusing on key stakeholders, especially our customers and employees. Throughout the year, we engaged in a process of consultation and communication with our stakeholders, ensuring they understood our brand change journey. We are now proudly Absa Bank Kenya PLC an accessible, dynamic and forward looking financial institution committed to the future of Kenya and her people. This inflection point presents us with a great opportunity to build on the rich heritage that Barclays established in Kenya, while creating our own destiny as an integral part of one of the largest pan-African banking groups

We also made extensive changes to our technology systems, rolling out over 150 material changes touching over 300 applications. These included 70 technology-specific projects in line with Absa Group’s technology requirements and brand changes to all branches, digital platforms, marketing collateral, ATMs and Bank premises.

We believe our business is about people. Our transformation starts with people; with customers and colleagues being at the heart of everything we do while focusing on bringing possibility to life for our customers and the society. With that in mind, we introduced a new culture, with a focus on building an aspirational, fun and vibrant place to work for our colleagues. We introduced a broad based colleague system-Workday that replaced 14 internal systems and delivered new capabilities like social media and live broadcast.

We took bold strategic choices to position us favourably for the digital era while driving efficiency and improving customer experience. In 2019, we continued to invest in automation, robotics and to optimise operations and allow for customised customer solutions; ultimately enhancing customer experience. We acknowledged the changing pattern in customer preferences towards alternate channels and therefore continued reconfiguring our branch network whilst enhancing the capabilities of our alternate channels.

We also introduced remote cheque capture for corporate clients, enabling clients with large cheque volumes to process their cheques without having to visit a branch. We also made improvements to our online banking platforms and enhanced ecosystem banking through collaborations across our business units and subsidiaries, thus improving benefits to our customers by providing diverse services under one roof.

Reflections from the Chief Executive Officer continued

The further devolution of decision making to the branch level has enhanced customer experience and improved turn around times. This has required improved knowledge sharing at branch level to facilitate the articulation of products and services to customers, in clear, transparent terms enabling informed consent to be acquired when customers are onboarded.

On Returns, we aspire to maximise returns for our shareholders by ensuring optimised financial strengths by ensuring that we create value for our investors. As a result of the collective focus on strategy execution, our share price was the best performing bank stock and large cap stock at the NSE with 39% gain since we launched our new strategy in January 2018 to December 2019. We rewarded shareholders with a dividend pay-out totaling approximately Shs 6bn. Our ROE increased by 1.1% from 2018 to 18.4% with our dividend yield being one of the highest in the industry.

Bringing our purpose to life and doing business responsibly

As a leading financial services institution, which is integral to the Kenyan economy, we appreciate the trust that our customers, stakeholders and society have placed on us. With that in mind, we are passionate about Kenya's development and sustainability and about bringing possibilities to life as committed in our purpose and corporate strategy. Ultimately we believe human performance precedes financial performance, and that there is clear alignment between living our purpose, improving customer experience, our financial performance and our stock price.

Bringing our purpose to life

As an organisation, we recognise that our social impact is far broader than the provision of financial services or investment in community programmes through CSR. Our idea of Shared Value is therefore pegged on using our core assets and expertise to develop commercially scalable solutions to societal problems while deriving shareholder value. This means investing our human and financial capital to drive solutions that have mutual benefit for businesses, society, economy and the entire ecosystem.

In 2019, we accelerated our strategic Force for Good agenda. Over the years, we have sustained significant investments in education, as we believe there is a positive correlation between the quality of education and economic prosperity. Our ReadytoWork programme, whose objective is to help trainees make a smooth transition into job market, has gained decent reputation. Through ReadytoWork, more than 160 000 youth have benefitted from online-based skill trainings. To unlock the next potential level of impact from ReadytoWork, we introduced the ReadytoWork internship programme, on-boarding approximately 54 interns in various Absa Bank Kenya departments across the country.

This is in addition to the more than 2 500 youth whom we have secured placements for. We offered 574 scholarships for students from 60 universities. We are issuing 70 000 smart cards to allow students better manage their personal finances and support their studies.

With strong expertise in, and solid understanding of, the role of micro, small and medium sized enterprises (MSMEs) in the Kenyan economy, we launched various initiatives to support this segment.

- Firstly, propositions such as Timiza Virtual Banking give financial access to small business owners who were previously excluded from formal financial services.

- Secondly, initiatives such as SheTradesKE in partnership with the International Trade Centre (ITC) aim to support over 10,000 women entrepreneurs. In this regard, we have provided credit facilities and supported over 4,000 women entrepreneurs with skills to upscale their businesses and access international business opportunities.
- Lastly, programmes such as Enterprise Supply Chain Development, not only develop the capabilities of our corporate clients but also create business opportunities for small business owners, who are a part of the value chain.

We are particularly proud of the work we are doing to empower women, as gender equality is a defining part of our DNA. Through our internal Women Network Forum, we have run mentorship programme that have equipped more than 300 women the skills they need to excel. As a bank, we have been championing the gender agenda on several fronts; for example, we became the first listed company to achieve a 50:50 gender balance at the Board level.

Over the past eight years, we have worked hand in hand with Kenya Open Golf Limited to grow the stature of the Kenya Open golf tournament into a great asset, not just for the golfing fraternity but for the country as a whole. The tournament is one of the biggest sport events in Sub-Saharan Africa and has played a big role in promoting Kenya as a tourism destination.

Doing business responsibly

To track our overall impact on society, we have also set ourselves objectives to meet under the United Nations Sustainable Development Goals (SDGs). The key focus is on SDG 4 (Quality Education), SDG 8 (Decent Work and Economic Growth), SDG 10 (Reduced Inequalities) and SDG 12 (Responsible Consumption and Production) respectively.

This will be tracked through our contribution made to providing credit facilities to retail, business and corporate clients, with specific alignment on reporting to the National Development objectives, namely the promotion of affordable housing, the support to growing the manufacturing sector, universal health coverage for all and the promotion of food security.

From 2021, suppliers will be required to sign up to the UN Global Compact. Our aim is to increase the supply chains awareness of corporate sustainability and responsible business practices. Through this initiative the supply chain will be exposed to best practice principles with respect to human rights, labour relations, environmental management and anti-corruption.

Conclusion and appreciation

In conclusion, our strategy allows us to set a fresh course, building on our Shared Growth agenda in order to deliver shared value. As such, playing a shaping role in society is one of the key guiding principles for our new purpose and strategy, at the heart of which is growth. The future is firmly in our hands; as we seek to work with all our stakeholders and our fellow Kenyan brothers and sisters to bring their possibilities to life and to build our great nation.



Jeremy Awori
Executive Director and Chief Executive Officer

Reflections from our Chief Financial Officer



We responded to the external headwinds by further strengthening our balance sheet, introduction of new business lines, revamping our controls and investments in technology to create operational efficiencies and business growth.

Our operating environment

In 2019, Kenya's operating environment continued to experience a myriad of challenges. While various macro-economic variables looked positive, there was disconnect as little effect was felt on the ground as witnessed by a lower than expected private sector growth rates, and declining social welfare.

GDP growth was recorded at 5.4% compared to 6% earlier estimated by various economic agencies. The main drivers being government expenditure with trickledown impacted by delay in government payments. The currency remained relatively stable in the year with inflation levels increasing to 5.2% from 4.7% in 2018. Interest rate on the other hand was impacted by the reduction of CBR rates by an average of 50bps, as bank consolidation activities continued in the year.

The year also witnessed increasing complexity in the legislative and regulatory environment with immediate compliance required for the Kenya Banking Sector Charter as the country went through a demonetisation exercise in the second half of the year.

We responded to the external headwinds by further strengthening our balance sheet, introduction of new business lines, revamping our controls and investments in technology to create operational efficiencies and business growth.

On the growth agenda, we launched new businesses including Wealth Management, China desk, Foreign Currency Savings Account and Insurance Premium Financing (IPF) while our transformation journey saw us review our organisational structure across the businesses with strategic hires made on key roles. The total numbers of our full time employees increased to 2,152; reflecting an increase of 24 employees from the previous year.

Financial reporting changes: Normalisation

The separation from Barclays PLC is expected to continue having an impact on our financial results for the next few years. This includes a substantial change spend, as we invest in the systems required to be separated from Barclays PLC, the Transitional Service Agreement costs we pay to Barclays PLC for provision of various services during the separation, and depreciation and amortisation of any intangibles. Our Holding company- Absa Group Limited (AGL) will provide capital support to help mitigate the capital and cash flow impact of the separation costs over time.

We will provide normalised financials results to adjust for the consequences of Separation and to better reflect our underlying performance, and to inform our capital and dividend decisions. We will continue to present financial statements that comply with the International Financials Reporting Standards (IFRS) and the Companies Act 2015 requirements.

Accounting changes

We adopted IFRS 16 in 2019; a standard that sets out principles for the recognition, measurement, presentation and disclosures of leases. One of the key features of IFRS 16 is the introduction of a single lease accounting model, which requires a lease to recognise asset and liabilities, for lease contracts with a term of more than 12 months, unless the underlying asset is of low value, eliminating the classification of leases as either operating or finance leases. As a result, a depreciation charge for the right of use of the asset and interest expense on lease liabilities is recognised instead of the straight line operating lease expense. The day one impact of the adoption of IFR16 was Shs 200mn on our retained earnings.

Performance highlights

The normalised profit after tax was Shs 8.5bn, published cost Shs 17.3bn including the seperation expenses; published profit after tax (PAT) was Shs 7.5bn.

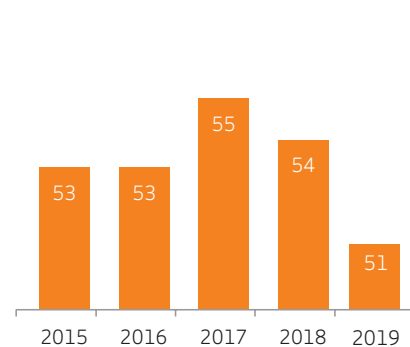
Our return on equity excluding one-off expenses to support separation costs was 18.4% while the headline return on equity stood at 16.5%. We continue to lay emphasis on all key financial lines to ensure we continue to grow and post better returns to our shareholders.

Reflections from our Chief Financial Officer continued

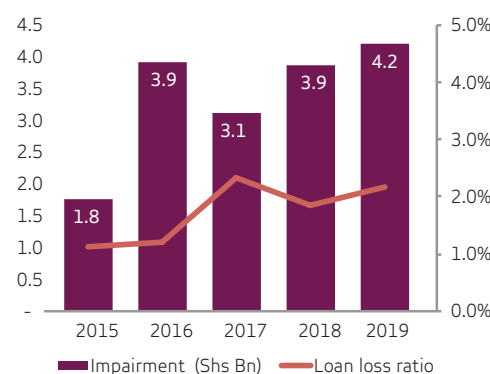
Income statement analysis

	2015 Shs' million	2016 Shs' million	2017 Shs' million	2018 Shs' million	2019 Shs' million	Change (%)
Net interest Income	20 411	22 334	21 801	21 992	23 179	5
Non Interest revenue	9 051	9 349	8 457	9 702	10 588	9
Total Revenue	29 462	31 683	30 258	31 694	33 768	7
Operating expenses	15 622	16 904	16 782	17 178	17 285	1
Pre provision profit	13 840	14 779	13 476	14 516	16 482	14
Impairment on loans and advances	1 766	3 927	3 115	3 871	4 201	9
Profit before Tax	12 074	10 852	10 361	10 646	12 281	15
Exceptional items		0	0	0	1 529	
Profit after exceptional items	12 074	10 852	10 361	10 646	10 752	1
Income tax expense	3 673	3 453	3 435	3 230	3 296	2
Profit after taxation	8 401	7 399	6 926	7 416	7 456	1
Normalised profit after taxation	8 401	7 399	6 926	7 416	8 516	

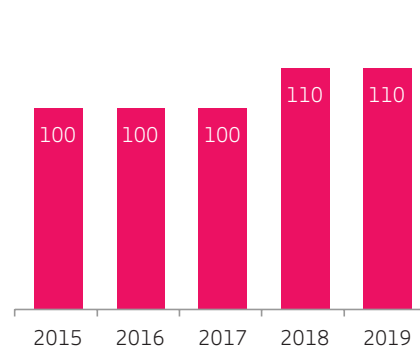
Cost-to-income ratio (%)



Impairment (Shs bn)



Dividend per share (Shs Cents)



Improving revenue growth in target areas

Our revenue sources remained well diversified with net interest income (NII) and non funded Income (NFI) accounting for 69% and 31% of total revenue respectively.

NII increased by 5% to Shs 23bn with growth negatively impacted by yield on loans drop by 50 basis points. The drop is largely because of CBR drop an average of 50 bps during the period.

NFI was up 9% largely driven by the improved performance of the fixed income trading book, FX income and new revenue streams such as Timiza.

Normalised cost-to-income to 51%

Normalised costs were Shs 17.3bn representing a 1% year on year growth; well below inflationary levels. This performance was as a result of our concerted efforts from cost saving initiatives as well as spend discipline. Top of these initiatives are the automation of our processing centres, investment in alternative channels, and branch rationalisation programmes.

The Group total costs stood at Shs 18.8bn representing a 10% year-on-year growth. This includes separation costs amounting to Shs 1.5bn.

The total cost to income ratio increased to 56% from 54% in 2018, while normalised cost to income ratio stood at 51% a 300 basis points improvement. Our goal is to record a sub 50's cost income ratio in the medium term.

Contained loan loss ratio

Our loan loss ratio has held steady at 2.2% illustrating better management of credit losses despite the 10% increase in customer loans.

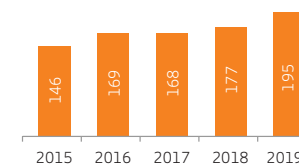
Impairment recorded an increase of 9% from Shs 3.9bn in 2018 to Shs 4.2bn, which is largely attributed to specific corporate names as well as growth in our balance sheet. We have, however, partially mitigated the adverse impact by enhancing our underwriting standards and creating internal efficiencies on the collections and recoveries fronts. The heavy investments made to improve our recovery agenda included the implementation of Auto-diallers to improve collection productivity as well as use of improved models and strategies based on customer vs product and leveraging off the branch network to manage pre-delinquency bucket to manage roll forwards.

Net Non-performing loans (NPL) was 1.6% better than the industry average, while the average loss rate remained at 2.2%, same as 2018 level. Our coverage ratio improved to 77% from 69% in 2018; a true reflection of prudence and adequacy in provisioning.

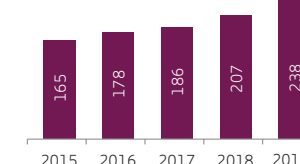
Balance sheet analysis

	2015 Shs' million	2016 Shs' million	2017 Shs' million	2018 Shs' million	2019 Shs' million	Change (%)
Total Assets	240 877	259 718	271 572	325 313	374 904	15
Net Loans and advances to customers	145 838	168 510	168 397	177 354	194 895	10
Liability	201 161	217 330	227 474	281 107	329 715	17
Deposits due to customers	165 083	178 180	185 977	207 408	237 739	15
Total Equity	39 716	42 388	44 098	44 207	45 189	2
Total equity and liabilities	240 877	259 718	271 572	325 313	374 904	15
Net advances to deposits (%)	88	95	91	86	82	

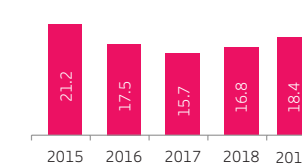
Net customer loans (Shs bn)



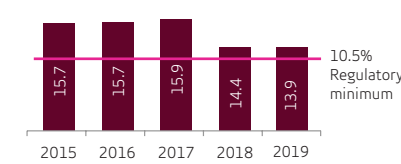
Deposits (Shs bn)



Normalised return on equity (%)



Common equity tier 1 (%)



Sustainable loan growth momentum

The Bank reported a 10% growth in customer assets to close at Shs 195bn with growth recorded across all segments of the business.

Our key focus products namely scheme loans, general lending, trade, asset finance, overdraft and mortgage recorded good traction with respectable year on year growth. We continue to revamp our asset products offering to ensure they meet the demands of the markets and our customers. Key activities for building the asset book included strategic partnerships and leveraging ecosystem banking to reach the wider customer population.

Solid customer deposit growth

Customer deposits grew by 15% to Shs 238bn boosted by growth in transactional accounts. Our new product propositions such as twin accounts and Zidisha reported marked improvement year on year.

Strategic investments done on transactional banking front include Strategic Host to Host system, Biller System and Remote Cheque Capture; from which we expect to reap full benefits within the medium to long term.

Retail banking was up 9% while Business banking and Corporate banking were up 7% and 44%, respectively. Cost of Funds (CoF) dropped to 2.8% (3.0% as at 2018). There is focus on transaction accounts to push the rate lower.

Capital and liquidity remain strong

Our capital and liquidity ratios remain very strong showing sufficient headroom above the regulatory requirements. Our total capital adequacy ratio is at 16.6% and liquidity reserve positions at 39.8% against the regulatory limits of 14.5% and 20%, respectively.

We do not foresee any adverse impact on our capital ratios by the separation and we are well positioned to support future growth in line with our strategy

Future performance outlook

Looking forward we remain optimistic in 2020 despite the effects of Covid 19 that has impacted key economic sectors like tourism, travels, building and construction, and agriculture. We will continue to make calculated and informed strategic choices as we navigate through the pandemic to ensure our customers, financial results and returns to our shareholders are not adversely impacted.

We successfully completed our separation journey in February 2020 having:

- Rebranded our business to Absa replacing Barclays after 104 years.
- Delivered 100% of separation projects.
- Embedded the new Absa values.
- Rebranded all our legal assets including changing of our ticker name at the NSE.

Our revenue growth agenda will be key in 2020. We plan to make investments in emerging industry revenue pools where we are sub-scale or not participating i.e. Digital Finance, Off Balance sheet, China Desk, Custody, Diaspora Remittance and Asset Management. We will continue to build on our existing balance sheet and key products as we diversify our revenue pools with focus on faster growth on non funded income streams such as bancassurance and stock brokerage.

We will continue to focus on automation and improvement in productivity by deploying cutting edge innovations strategies. Our objective is to increase the usage of alternate channels from 70% to more than 75% by year-end while targeting normalised cost to income ratio of less than 50%.

The Management expects to continue posting a high return on equity and a sustainable dividend pay-out ratio.

Yusuf Omari
Chief Financial Officer

Segment Reports

Retail and Business Banking

Retail and business banking covers retail (individual mass markets) and Small and Medium Enterprises (SMEs) under business banking.

Retail and Business Banking performance

	2019 Shs' million	2018 Shs' million	Growth (%)
Net interest income	17 634	16 728	5
Non-interest income	6 485	5 902	10
Impairment	3 260	3 371	(3)
Customer loans	119 737	109 148	10
Customer deposits	186 239	171 911	8

Retail and Business Banking Strategy

Our key business objectives are:

- To become the most customer-centric retail bank in Kenya
- To become the transactional business bank of choice

Strategic priority

Strongly grow, diversify and transform the retail and business bank

Six focus areas:

- Customer obsession:** Ensure our customers get a better and more exciting experience with us by revising service standards, improving processes and resourcing for customer impacting roles.
- Product relevance:** Drive market share through our revamped and simplified product suite, scale up cards business and revamp the bancassurance product offering.
- Transform virtual banking:** Increase our focus on transforming the Timiza platform into the next generation virtual banking proposition.
- SME:** Drive increased market share in the SME segment through increased lending and new business acquisition supported by the Wezesha marketing initiatives.
- Ecosystem banking:** Leverage ecosystem banking by driving strategic initiatives such as the Kenya Mortgage Refinance Company (KMRC) to acquire more business opportunities.

Retail Banking

Our business objective in retail banking is to be the most customer-centric retail bank in Kenya which is fit for the future, enabled through:

- Simplified and enhanced propositions:** Deliver a simplified product suite that aligns to the market and enhances customer experience through rewards.
- Transforming customer experience:** We have increased investment in queue management solutions, embarked on enhancement and refurbishment of branches as well as initiated quarterly service improvement plans to drive growth in service experience.
- Sales effectiveness:** Scale up digitised self-fulfillment for customers through improved digital offerings as well as enhancing staff productivity.

- Transaction migration:** Rationalise the physical branch network by investing in Bulk Deposits Machines; improving our deposit taking and recycling capability and optimising revenue from enhanced ATM services.
- People:** Drive cultural transformation in our people through training, service recognition awards and increased support to unlock capabilities and drive productivity.

Timiza Virtual Banking

The Timiza platform was launched in March 2018 as an integrated virtual banking proposition for the retail mass market, offering services such as loans, insurance and bank account services. Some distinguishing features of Timiza include:

- A fully digital on-boarding process via Unstructured Supplementary Service Data (USSD) *848# and mobile application.
- A 30-day micro loan offering for qualified customers which can be extended for another 30 days with a facility fee of interest.
- A deposit proposition linked to Zidisha savings account, allowing customers to save and earn significant rewards for maintaining account balances.

As at the close of 2019, Timiza had registered over 3mn customers and was issuing over 5000 loans daily. We offered Shs 12bn worth of loans in the course of the year. Timiza continues to grow and has experienced month-on-month increase in profitability. Our strategy is to grow Timiza into a Full Digital and Omni channel proposition serving youth and SMEs across the business.

Mortgage



We have been playing in the mortgage field for many years, offering some of the longest-tenured mortgages in the market of up to 25 years. We offer a number of solutions including new home purchase plans, Buy to Let, construction mortgage, plot and construction, LaRiba mortgage as well as foreign currency mortgages.

In Quarter 4, 2019, we registered a 100% growth in new mortgage applications as compared to a similar period in the prior year. Overall, our mortgage balance sheet registered a 30% year on year growth. This a clear indication of the great confidence the market has in Absa as a leading mortgage provider of choice.

Our strategy in 2020 is focused on continued growth while leveraging strategic partnerships, product enhancements and increased marketing. Partnerships are a key facet of our strategy. In this regard, we are partnering with Centum Real Estate, the real estate arm of Centum Investment Company Plc, to finance buyers of their houses which are under development.



Evangeline Mbaatha, a trader at Kangemi Market receives business counsel from a Wezesha ambassador.

SME banking

Our SME banking offers business solutions to Small and Medium Enterprises (SMEs). In 2019, we reviewed our lending policies towards the sector to include unsecured bid bonds of up to Shs 10mn, unsecured loans of up to Shs 10mn, invoice discounting of up to Shs 50mn and LPO financing of up to Shs 12mn. The new proposition is anchored on Wezesha Biashara, an initiative aimed at supporting SMEs in the country.

To increase awareness and grow the SME business, we held several activities in key towns in the second half of the year. Additionally, we ran a campaign focused on Asset Based Financing (ABF) offering up to 95% financing, leading to significant growth in our asset book. Overall, the SME asset book grew by 40% year-on-year. The value of new monthly bookings grew three-fold while application numbers doubled compared to 2018.



Governor of the County Government of Laikipia, Nderitu Muriithi launches a Shs 200 million asset finance partnership with the bank.

The Enterprise and Supply Chain Development (ESD) proposition disbursed Shs 571mn in loans in 2019. ESD enables SME clients to leverage their business relationships with our corporate clients to access financing with reduced documentation and flexibility. We have also leveraged partnerships with the Kenya Association of Manufacturers (KAM), the Kenya National Chamber of Commerce and Industry (KNCCI) and the International Trade Center (ITC) to drive growth in our SME business.

We have pledged to train 10,000 women by 2021 under the SheTradesKE programme. The partnership was launched in 2016 and since then we have trained over 4,000 women and offered Shs 1.25bn in loans for women in SME business. As part of our effort to support Women in Business, we held a forum in Nakuru for 350 and another for 650 women in Nairobi in February, 2020 to empower them with skills and information on business opportunities locally and internationally.

Absa Kenya has also partnered with the United States International University (USIU) to launch an SME Academy. This academy targets SME entrepreneurs who have been running their businesses for 3-5 years with aspirations to strengthen their businesses and position them for growth. The programme offers classroom training by successful entrepreneurs, as well as mentorship and coaching for participants. The first cohort graduated in January 2020.

Our strategy in 2020 focuses on continued growth through six key aspects, namely:

- Improving our digital channels to provide more convenience to our clients as well as drive efficiency;
- Agency banking;
- Relationship deepening;
- Enhancing our existing partnerships and creating more strategic partnerships;
- Product and proposition enhancements; and
- Increased marketing.

Our key goal remains to be the transactional banker of choice to our clients.

Segment reports continued

Corporate, Investment Banking and Global Markets (CIB)

Corporate and Investment Banking

Corporate and investment banking provides products and services to large corporates, development organisations and public sector companies, in addition to engaging with markets business. Our key strategy in this segment is to be the powerhouse corporate and investment bank franchise and the undisputed leader in markets business as perceived by key stakeholders.

Corporate and Investment Banking performance

	2019 Shs' million	2018 Shs' million	Growth (%)
Net interest income	5 545	5 264	5
Non-interest income	4 104	3 800	8
Impairment	941	500	88
Customer loans	75 158	68 206	10
Customer deposits	51 500	35 497	45

Corporate and Investment Banking Strategy

Key business objectives

- Growing a sustainable CIB business.
- Transforming CIB business through investment in digital platforms and customer experience.
- Maximise shareholder returns while positively impacting the communities and the environment we operate in.

Strategy ambition

We aspire to build a corporate and investment banking (CIB) powerhouse underpinned by strong relationships and customer experience within a robust control environment.

Focus areas

- Key focus sectors:** Manufacturing, agriculture, wholesale and retail, energy, oil and gas, telecoms and transport, services; education, tourism and health, property and real estate.
- Focus customer segments:** Global Corporates, Global Development Organisations, Financial and Non Bank Financial Institutions, Large Regional/Local Corporates and Public Sector.
- Product expansion:** Structured Trade Commodity Finance (STCF), Fuel Open Tender System, Commercial Property Financing (CPF), Risk Management Products (RMPs), Ecosystems and Value Chains (ESD).
- Digital platforms:** Integrated, end-to-end digital and technology enablement to support client experience, new products and efficiencies.
- Data and analytics:** Transforming data into client value, proactively engage clients via predictive analytics.
- Thriving CIB organisation and people:** Innovation culture, inclusivity, diversity, high performance and productivity as well as colleagues value proposition and experience.

- Shaping role in society:** Strategic partnerships with clients, thought leadership, education delivery and reform, and embedding sustainable development goals in core business operations.

Summary of year's performance

We onboarded 42 new clients in 2019 and supported more than 600 existing clients. Our clients continue to benefit from our solid and longstanding relationships, spanning our four segments. Our diversified client portfolio is in line with our diversification strategy for growth and business objective of creating a wider positive impact for our stakeholders including the broader society.

2019 was marked with an increase by financing to our clients enabling us to support 122 corporate clients in key economic sectors spanning Agriculture, Manufacturing, Wholesale and Retail, Services (Education, Health and Tourism), Energy, Oil and Infrastructure, Real Estate, Transport and Telecoms. We issued Shs 20.7bn in new loans and advances across the varied sectors including additional individual client disbursement of Shs 2.3bn.

We remain one of the country's top corporate lenders in the market, and will continue to extend financing to our clients and spur economic growth and drive the country's Big 4 Agenda on Manufacturing, Universal Healthcare, Affordable Housing, and Food Security.

Other highlights in the year, include our focus on Structured Trade and Commodity Finance where we actively participated in the Fuel Open Tender System. Additionally, we were involved in originating public sector syndicated loans for both local and offshore financing. Leveraging on our strategic partnerships, we provided origination advisory services for Government based projects worth US\$ 1bn. Moreover, the year also saw us open our China desk as part of our China corridor banking proposition aimed at facilitating business and trade between Kenya and China.

We continued to deliver a wide range of solutions for our clients through innovative technology and end-to-end digital enablement leading to seamless, consistent and superior client experience. This in turn has continued to drive uptake of our transaction banking platforms and cash management services. Further, we have seen growth in uptake of our remote cheque capture offer, enabling customers with large numbers of cheques to conveniently transact without having to visit the Bank.

In a nutshell, we remain one of the leading corporate and investment banks in Kenya. The continued diversification strategy of our portfolios, and investments in digital platforms and customer experience continued to drive our financial performance in 2019 with deposits and assets growing at 45% and 10% year-on-year respectively. CIB's contribution to the Bank's revenue and profit before tax was Shs 10bn and Shs 7bn respectively, representing a 13% growth in revenue. This is despite several constraints including the impact of the interest rate cap whose repeal towards the end of the year was not material in 2019.

Looking forward, we will continue growing a sustainable CIB business, driving transformation through investment in digital platforms and customer experience, and maximising shareholder returns while positively impacting the communities and the environment we operate in. This is in line with our Growth, Transformation and Returns (GTR) strategy and living our purpose of bringing possibilities to life. We intend to expand our ecosystem approach from its current focus on suppliers within client value chains to a broader group of value chain players. We are working to enhance our internet banking offer and also gain traction for our China desk.

Global Markets

	2019 Shs' million	2018 Shs' million	Growth (%)
Net foreign exchange income	2 563	2 276	13
Fixed income	496	531	(7)
Brokerage	56	44	27

Markets Strategy

Our mission is to build the greatest markets business in Kenya

Key business objectives

- To be the home of FX:** Achieve 20% turnover growth YoY, doubling revenue by 2023;
- Transactions that transform markets:** To be the preferred execution partner in risk management products and solutions;
- People:** Train the best, hire the best;
- Full service securities offering:** Growing with our clients and becoming the fixed income powerhouse in Kenya; and
- Continuous market development:** Deepening our markets, creating economic value by developing a strong market-making capability.

Focus areas

Key Focus Sectors:	Focus Customer Segments:
- Retail - Business Banking - Corporate - Financial Institutional Sales - Foreign Exchange Trading - Fixed Income Trading - Risk Management Products - Brokerage: Equities and Bonds	- Multinational Corporates - GDO - Public Sector - Large Local Corporates - Non-Banking Financial Institutions - SA outbound - Large Commercial Businesses - SME - Mass Market

- Product expansion:** Partnering with other financial institutions in the continent to expand our footprint into francophone West Africa. Collaborating with the Absa Global Limited Countries to maximise customers' service delivery.
- Digital platforms:** Broader transition to new Absa Group Limited banking platforms already took place in 2018. This has maximised solution provision in the market, with well-trained staff who have an established way of working with each other across the Absa Group.
- Data and analytics:** Leveraging the capabilities of the recently established Data Office, we look to build on data and scientific insights to expand CVP.
- Thriving markets business and people:** Developing a competitive EVP and attract the best human capital to meet the evolving market needs.
- Shaping role in society:** Providing thought leadership and driving policy development through tools such as the Africa Financial Market Index (AFMI); a barometer of how Africa financial markets have performed, participating in key market associations including Bond Market Stakeholders Forum (BMSF) and Treasurers' Forum.

Summary for year's performance

2019 was a good year; we registered a 11% YoY growth compared to 2018. We noted growth in risk management products particularly financial risk management products covering currency risk, interest rate risk and forex risk. There was also marked interest in options and interest rate hedging instruments. Despite this performance, we continued to experience pressure on our margins which remained relatively strong especially in the retail space.

Our derivatives offer has shown steady growth with good progress in options, interest-linked options and embedded options. The retail Foreign Exchange space faced severe disruptions from alternate channels while local currency interest rates experienced multi-year interest rate lows. We built our equities and brokerage business by investing in human resources, alignment towards regional business and and tapping into the broader capabilities that exist in the Absa Group.

In 2019, there were major investments in personnel and technology to enable the Markets team to pursue strategy and performance objectives. This included ramping up BARX penetration and building up NOVO FX to solution cross border payment needs. In addition, synergies across the other Absa Group countries were enhanced enabling greater cross border business.

We are on track to achievieng our target of doubling our revenue by 2023 (compared to 2017)

Over the last three years, the Group has produced the Absa Africa Financial Markets Index. The index is a premier indicator of the attractiveness of Africa's capital markets, for use by policy makers, investors and asset managers around the world. The index covers six key pillars;

- market depth;
- access to foreign exchange;
- market transparency and regulatory environment;
- capacity of local investors;
- macroeconomic opportunity and legality; and
- enforceability of standard financial markets master agreements

Our focus in 2020 will be on business banking, particularly for commercial and SME clients. We expect financial markets to remain dynamic and the repeal of the interest rate cap will offer improved credit to MSMEs with momentum expected towards the end of 2020.



Absa Group Head of Research Jeff Gable makes his presentation during the release of the 3rd Absa Africa Financial Markets Index (AFMI) in Nairobi.



Embedded value

Our history at a glance

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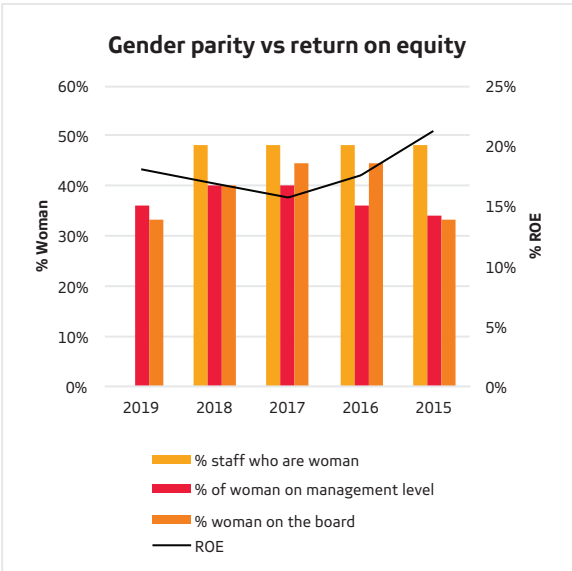
Torch of Possibilities leading ambassadors: David Rudisha, Janeth Jepskosgei, Eliud Kipchoge, Catherine Ndereba and Paul Kipsiele Koech. In addition to raising funds for education, this campaign will be used to impart in the youth the value of hard work and will be a call to aspire for excellence, as espoused by our globally acclaimed athletes.

Our history at a glance

Absa Bank Kenya PLC has been in Kenya for over 104 years under the Barclays Bank of Kenya brand. In that period, we have developed a highly reputable brand perception as being a secure, reliable and stable Bank. Over that period, we have developed local knowledge and insight that enables us to provide relevant financial solutions for personal and corporate customers.

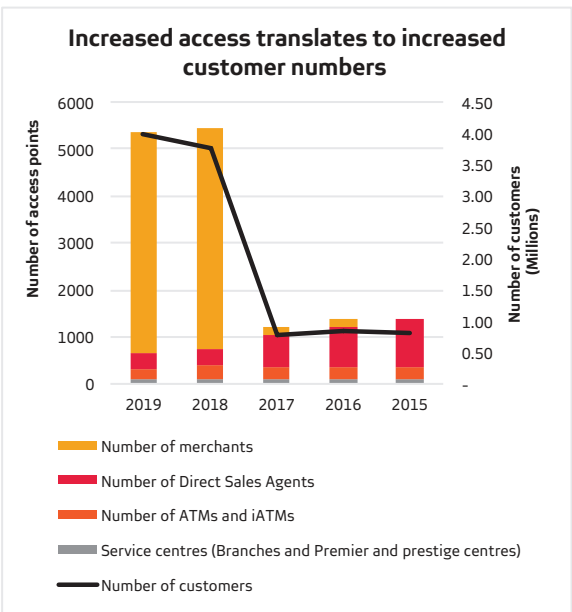
Our history in Kenya is marked by introducing trailblazing innovation in product and service offerings and people practices. Whilst the transition process from Barclays to Absa is now complete, the Bank will continue to draw on the experience of Barclays PLC, which remains the largest single shareholder in Absa Group Limited, to grow access channels and customer numbers.

Some of Barclays Bank's most noteworthy achievements include being the first bank in Kenya to promote Africans and especially women to managerial positions and to achieve a 50/50 gender parity on the board. Barclays was also the first Kenyan bank to digitise its operations, open a Sharia compliant banking window and offer banking shares on the Nairobi Securities Exchange (NSE).



Absa Bank Kenya PLC, intends to build on the past achievements of Barclays Bank of Kenya while spearheading further innovations and creating greater value for stakeholders.

The Bank will tap into the Group's resources to drive innovative product development, with a continued focus on the development of customer-centric solutions. Working together and learning from each other allows us to reduce the time it takes to launch new products to market, and to reduce the cost of developing and implementing these products.

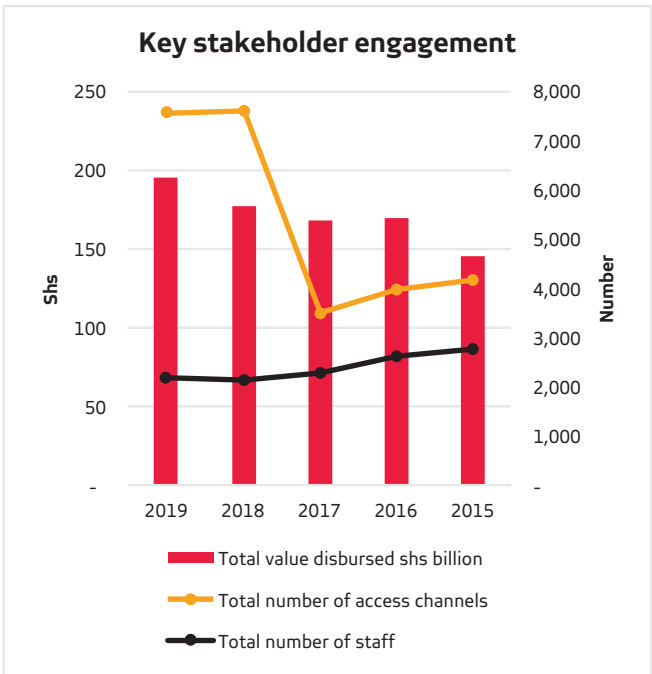
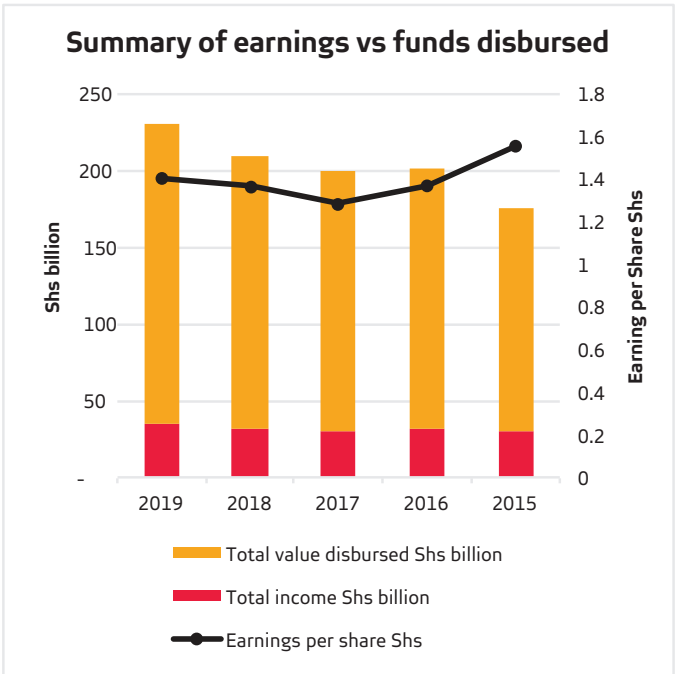


Through it all, we remain a truly local bank, offering financial solutions to our customers that are fit for purpose, enabling them to achieve their aspirations. We are firmly rooted in Africa and committed to bringing possibilities to life across the continent.

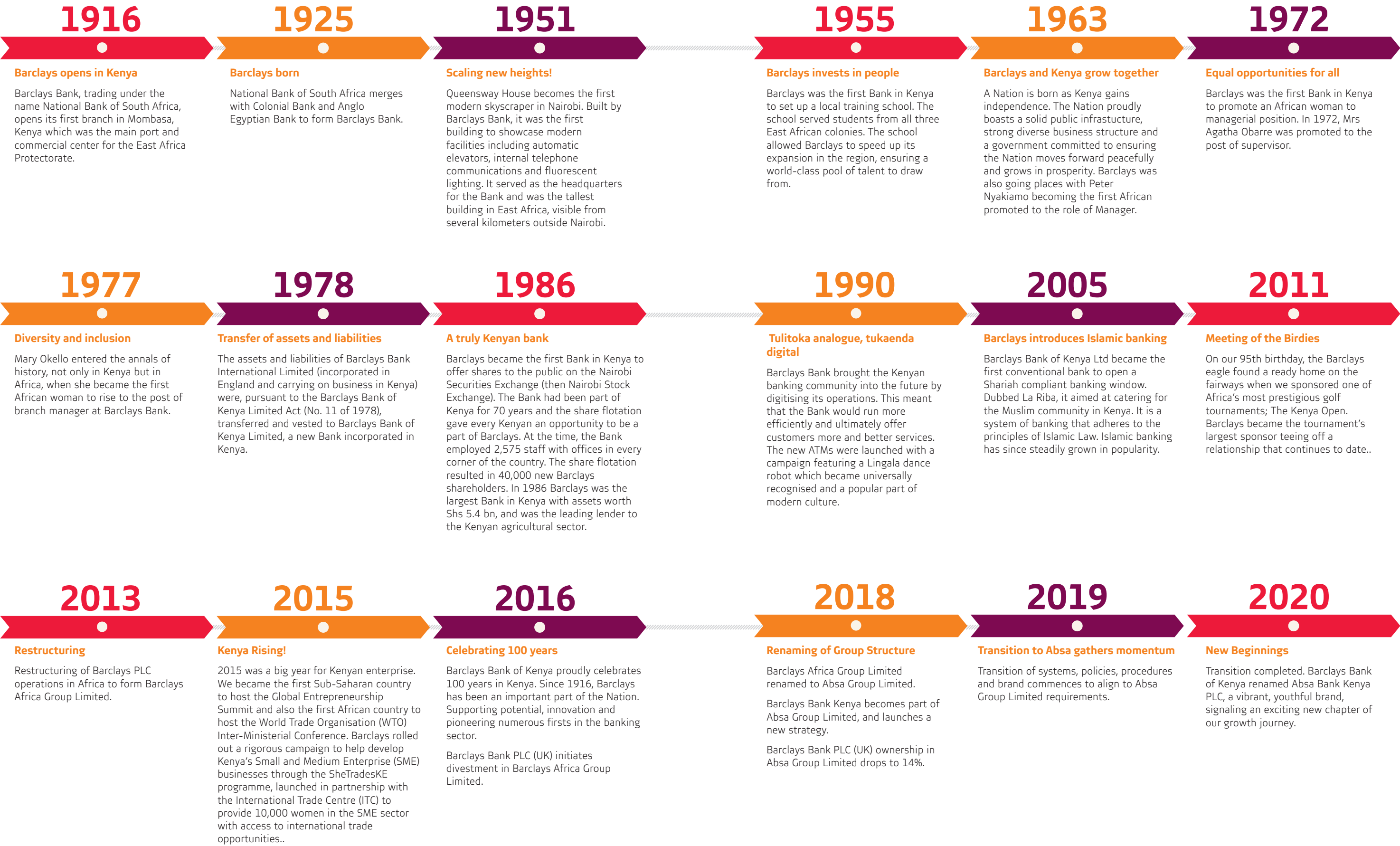


Transformation from Barclays Bank of Kenya to Absa Bank Kenya PLC has been a highly disciplined and consistent process characterised by a system of inquiry, reflection, strategic action and learning. This has allowed the company to maintain high levels of professionalism while providing uninterrupted services to our customers. We have also capitalised on our extensive history and knowledge of the Kenyan market to ensure that the transition is managed soundly.

We are upbeat about the prospects of the new brand and the opportunities it creates for us to continue creating value for our stakeholders. In line with this, we are making strategic investments in technology and tech-driven processes so as to stay up-to-date with the latest technological trends. We have revamped our people practices to encourage and reward innovation while developing our ability to provide value in international transactions through the wider Absa Group.



Our history at a glance continued





Enhanced value

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A fireworks spectacle atop UAP building to mark the launch of Absa in Kenya

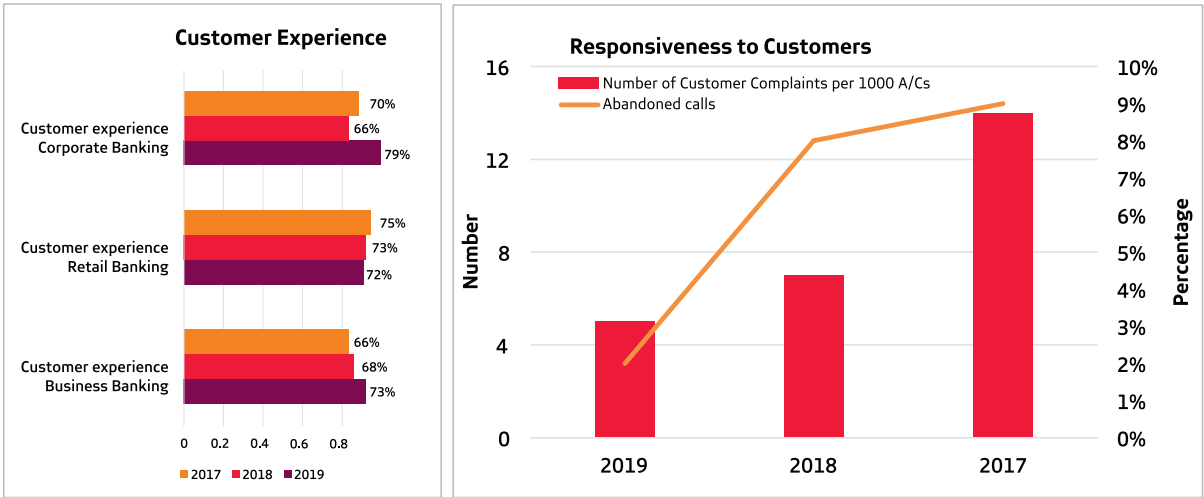
Customer engagement

Customer engagement is a critical component of our strategic agenda to becoming a customer-centric bank. In this respect, we have focused on the use of technology and digital tools to enhance our reach and provide convenient touch points for our customers.

Approximately 40,000 customers contact us each week, predominantly through our call centre. In addition, we engage with customers through our social media platforms; Twitter, Instagram and Facebook, receiving over 500 queries on these platforms on a daily basis. This level of engagement has significantly improved our understanding of our customers’ needs.

We have made specific provisions for our Timiza product , which has its own exclusive call centre and social media touch points. Since launching Timiza, client engagement has increased seven-fold. In response to this upsurge in engagement, we have challenged ourselves to showcase exceptional responsiveness. The Bank is proud to state that the average response time of dealing with social media queries is approximately three minutes. This is one of the fastest response times in our industry and we are now focusing on having the fastest resolution time. We continue to innovate our processes to enable us to achieve this goal.

A customer grievance mechanism is in place which can be accessed through the bank’s customer relationship management portal. These grievances allow us to understand the issues that impact overall customer experience and develop new innovative products, better tailored to address customer queries and overall experience. Grievances raised are also used to develop training programmes for staff to improve levels of customer engagement, as well as the improvement of platforms and products already on offer.



Website	http://www.absabank.co.ke/	Write us via BIR registration menu	Log complaint via Self-Service Registered Internet Banking	
Call Centre	24 hour contact centre	Tel: +254 (20) 3900000	Tel: +254 732 130120	Tel: +254 722 130120
Social Media Platforms	General Enquiries - absa.kenya@absa.africa		For Card Related Cases - Card.Services@absa.africa	
Timiza	Call Centre Lead No: +254 709 213000	Alternate No: +254 (20) 4265000	E-mail: Timiza.KE@absa.africa	

Our customer engagement goes beyond focusing on customers, engaging broader stakeholders including key segments of society. We provide upskilling, capacity building and educational assistance to the communities in which we conduct our business. We do this to enhance financial literacy, knowledge and capacity among constituencies such as the youth, women, entrepreneurs, government employees and governance bodies. Going forward, we are looking at new ways to enhance our capacity building support to Micro, Small and Medium Enterprises (MSMEs), as well as the rollout of new financial literacy initiatives that are targeted, strengthened and coordinated to have greater impact in terms of effectiveness and efficiency.

Overall, we will continue to increase and enhance our customer engagement focus so that we are more responsive to customer needs and innovative in the design of products and services. In addition, as we increase our presence, we intend to increase access to financial services for the unbanked and under-served markets.



Left to Right: Carole Karuga, CEO, Kenya Private Sector Alliance, Dr. Moses Ikiara, Managing Director, KENINVEST and Nemaisha Kiereini, Head of Special Programmes, Kenya National Chamber of Commerce and Industry, during a SheTradesKE forum in Nairobi attended by 650 women in the SME sector.

Product performance and new developments



As another first for the organisation, Absa Bank Kenya unveiled the first ever vertical cards in Kenya. The cards are enabled with the tap-and-go payment technology and offer customers a wide range of benefits including cashback rewards and discounts.

We have focused on improving the efficacy of our products and processes to provide an improved customer experience. Among these improvements, the Bank reconfigured its insurance business and launched an information technology-supported bancassurance system which means that services are now automated. These were rolled out in March 2019. The rollout also included the launch of a mobile application which has improved efficiency, customer service and the management of insurance renewals.

For corporate banking customers, we have made strides to improve our technology platform so as to provide all solutions in one place. We are in collaboration with Absa Group to launch an end-to-end solution for this customer base, which will be simpler and easier to use than the current platform. Current intermediary solutions that have been rolled out include batch payments solutions, which enable payers to make large numbers of small payments to several recipients with ease and convenience.

Staff have also been significantly empowered through the use of bespoke training programmes, enabling them to better articulate products on offer as well as their specific complexities. This has also enabled customers to better understand our processes and some of their key concerns, such as time lags in processes. This training has resulted in improvements in response times. This has further been facilitated by the rollout of a distributive leadership approach.

Empowering branch employees to make decisions which previously needed to be escalated has led to an ability to fast track loan approvals, with customer feedback indicating that there has been an overall improvement in turnaround time and process efficiencies. This change in approach is in line with our strategy focusing on customer experience.

A specific focus on training and development to enhance product and process efficacy covered our insurance business. This was specifically necessitated by the restructuring of the insurance business during the year. On the process front, we created clear guidelines to support underwriters through improved document collation while also enabling the sales teams to provide appropriate information and terminology when selling products. The module-based training offered varied levels of proficiency for the employees who participated. In addition, we are working on enhancing congruence in processes and adopting our new culture in line with Absa Group. Initiatives in this respect include a people rotation programme between the Absa Group countries and continuous training and development of employees based on their assessed needs using the Absa Group online training programmes. These are aimed at ensuring that we deliver the best customer experience through our banking products and operate efficiently while adhering to the Group culture.

Product performance and new developments continued

New customer products launched

Remote cheque capture



Remote Cheque Capture enables our customers to engage in cheque transactions remotely without having to physically deliver the cheque to the Bank. This involves scanning a digital image of the cheque and then transmitting it to the Bank.

Foreign currency savings accounts

To enhance our customer value proposition, we launched the USD and GBP foreign currency savings accounts in April 2019. The account has attracted significant interest from customers, growing to Shs 2.8bn since launch.

Some of the product features are as highlighted below:

- Interest paid monthly.
- Available in USD and GBP Currency.
- Full digital view capability.
- Has no minimum opening and operating balance.
- No charges on the account.



Timiza

With Timiza you can do your banking on your phone whether you want to get an instant loan, transfer funds or purchase insurance. But that's not all. If you are already registered for Timiza, you can also save and earn high returns and great rewards with our Zidisha account.



Insurance Premium Financing

We launched Insurance Premium Financing (IPF) in July 2019. The product targets retail, SME and Corporate customers and provides financing to pay for the cost of an insurance premium, making insurance more accessible and affordable to customers. IPF supports our strategy to maintain our competitive advantage while offering protection and financial flexibility to our customers.

Digitisation of personal loan top ups

As part of our strategic pillars to be innovation-led, we launched digital top up capability for top up loans in the personal segment. This is aimed at enhancing customers' user experience through speed while creating operational efficiency across the business and reducing costs. Customers are now able to initiate and get top ups of up to Shs 6mn for a maximum of 84 months digitally, without having to visit a branch or see a bank official.

Banking the ecosystem

We aspire to not only support our corporate clients but also drive growth in small businesses, ultimately, developing the whole value chain. We want to bank entire business ecosystems comprising businesses, suppliers, employees, partners among others by providing holistic solutions that work efficiently across the diverse players. Ultimately, banking is moving from banking individual businesses to banking entire value chains, where the bank is both a catalyst and an enabler, for the entire ecosystem.

Small and Medium Enterprises (SMEs)



Absa employees join the Wezesha Biashara caravan in Mombasa.

Developing the SME customer base

The introduction of the interest rate cap in September 2016 significantly hindered the Bank's ability to provide services to the SME sector. Despite the rate cap, the Bank continued to create value for this sector and generate returns to investors as we evolved our SME offer to accommodate these inherent constraints. However, for certain segments in the SME space, the rate cap created an unassailable hindrance, preventing our engagement altogether. With the recent repeal of the rate cap, this opens an important opportunity for us to support this vital sector while growing customer numbers.

In addition, Absa Bank Kenya PLC has taken up the challenge posed by the Kenya Banking Sector Charter (2019) which requires bank business models to be innovative, responsive and dynamic to address the specific needs of this customer base. Among our initiatives aimed at this sector include the extension of financial literacy skills seeking to improve the sector's risk profile. We also adhere to internationally recognised customer protection principles including provision of products that are appropriately designed, prevention of over-indebtedness and transparency and responsible pricing, clearly demonstrating the Bank's intention to extend credit to this sector.

Upskilling and enabling our supply chain

Our flagship initiative in supporting SMEs is the Enterprise Supply Chain and Development (ESD) programme. This is in partnership with the Bank's corporate clients, enabling them to extend their relationship with the Bank to SMEs within their ecosystems. The corporate clients participating in the programme are able to support their suppliers through the provision of unsecured Absa loans.

Absa Bank Kenya has a long-standing relationship with the University of Nairobi and Kenya Open Sponsorship. In 2019 there was a concentrated effort made to use local Absa SME suppliers at these events.

This facilitated the Bank's ability to build brand awareness and consolidate its existing customer base. Key input provided by the SME supplier base included branding and marketing support and event management. The intervention is tailor made for each participating corporate client allowing them to design their requirements according to their social development goals. Similarly, we have enlisted our suppliers to this programme, providing them with access to much needed working capital. The ultimate objective of this programme is to enable the growth of these suppliers by ensuring they are procurement ready and able to fund their own contracts in the future.

Similarly, we signed a memorandum with the government to support the Access to Government Procurement Opportunities (AGPO) programme. This affirmative action programme seeks to enable under-represented groups to access government procurement opportunities. Under this agreement, we aim to provide a specified percentage of supplier contracts to predetermined segments of society, namely women, youth, and the specially enabled.

We aim at encouraging sustainable and responsible business practices among our suppliers. In this respect, suppliers will be required to sign up to the UN Global Compact. This will expose them to best practice principles with respect to human rights, labour relations, environmental management and anti-corruption.

Supporting SMEs in our supply chain

In 2019, we made a concerted effort to identify and empower SMEs to provide services for the Bank. The biggest challenge facing this segment is access to working capital to execute contracts and difficulties faced when being onboarded at the Bank, as the SMEs found the onboarding process quite onerous. Our engagement has aimed at addressing these issues. Our next frontier is to review and enhance our support for women and youth-led businesses, in line with our diversity and inclusion agenda.

Embedding sustainability

Shared Value is about the way that we do our business. It covers all the aspects of our business practices; we seek to be responsible and ethical in our business conduct and operations. This business-led approach permeates our Bank and inspires the way we think about stakeholders and the creation of shared value. It is a key motivator of our intention to offer our financial products and services in a responsible manner which has led us to be signatories on the Principles of Responsible Banking. We also consider our operations and the way they impact society and the natural environment, in order to address said impact and mitigate accordingly, where appropriate. Finally, we seek to be responsive to our social context, aiming at addressing and influencing the root causes of social challenges and being a “force for good”. In essence, our shared value approach is contextualised in three facets; Business-led, Operations-led and Society-led as portrayed in the image below:

Outcome: Alignment of the SDGs to the corporate strategy and our choices



Adopting the Sustainable Development Goals (SDGs)

We have developed our theory of change through an interactive engagement based on the human centered design methodology and defined:

- What change we want to see in society as a result of our operations;
- What needs to be invested to realise this change;
- The defined roles and responsibilities of each enabler unit to ensure alignment;
- Clear linkages were provided to the corporate strategy to generate the growth, transformation and returns targeted;
- Linkages were defined for each of the 6 capitals enabling the setting of clear KPIs.

The key outcome of this process was the adoption of 10 SDGs namely SDG 4, 7, 8, 9, 10, 11, 12, 15, 16, 17. These SDGs were selected based on shared value (business), internal operations and social impact. As an institution we support all seventeen global goals with varied focus and impact on each. Our priority goals were further disaggregated based on high, medium and moderate impact. High impact SDGs show close alignment to existing initiatives being undertaken and should realise early gains in the creation of targeted value for the bank and society as a whole.

While we focus on the full implementation of these high impact goals, we will create the required systems and protocols and invest in the training of staff required to inculcate the medium impact initiatives into the standard way of doing business.



Pastor Simon Mbevi, author and motivational speaker, Geneva Musau, Absa Bank People's Function Director, Caroline Wambugu, Chairperson of the Women's Network Forum, Dr. Patricia Murugami, Group Chief Executive Officer, Breakthrough Leadership Transformation and Jeremy Awori during an event to mark the 2020 International Women's Day. This year's theme was each, for equal.

Embedding sustainability continued

Business Led



Response to the Government’s Big Four agenda

Finance is a key enabler for social and economic development. Financial inclusion is central to poverty reduction by providing effective access to affordable, convenient, quality and sustainable financial services. Financial intermediaries are therefore important players in the economy as they provide a critical intermediation role for diverse players in the economy. This contributes to the overarching national development goals as stipulated in Vision 2030 and the government’s big four agenda.

Housing, manufacturing, health care, food security national stats and summary of Absa Kenya portfolio performance

Loan Value Shs million	Housing	Manufacturing	Health Care	Food Security
2019	3 711	30 220	849	2 841
2018	2 729	24 548	400	7 429
2017	2 520	21 756	483	6 620

Turnover/income Shs million	Housing	Manufacturing	Health Care	Food Security
2019	80	1 483	13	299
2018	143	1 318	10	325
2017	119	1 094	15	305

NPLs as % of loan book	Housing	Manufacturing	Health Care	Food Security
2019	0%	0.3%	0%	0%
2018	0%	1.9%	0%	0%
2017	0%	2.1%	0%	0%

Promotion of affordable housing

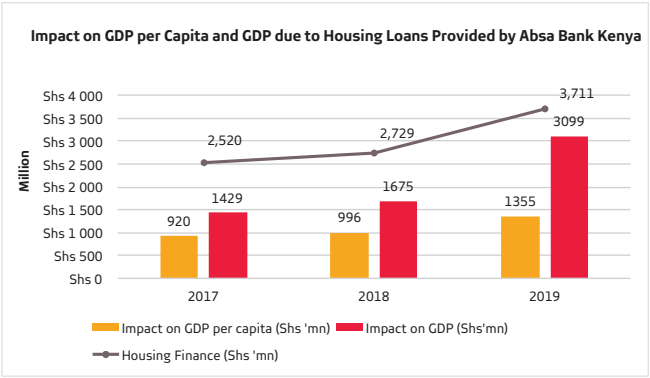
There is a huge housing deficit in Kenya with only 26,186 mortgage accounts in a population of 46mn people. To address this gap, the government through the Big Four agenda has focused on the provision of affordable housing. Part of the strategy for increasing access to housing involves financiers partnering with contractors to deliver 500,000 units of affordable housing on fully serviced Government/County land with guaranteed off-take from the National Housing Development Fund. We estimate the value of this opportunity to be US\$7bn (Shs700bn). Absa Bank Kenya has been shortlisted as a strategic financier to National Housing Corporation and we are looking forward to playing an active role in making the home ownership dreams of many Kenyans a reality.

The Kenya Mortgage Refinance Company (“KMRC”) was incorporated in April 2018 as a limited liability company under the Companies Act 2015. Its sole purpose is to provide secure long-term funding to primary mortgage lenders (Banks and Saccos) in order to increase the availability and affordability of housing loans to Kenyans. The company will be regulated by the Central Bank of Kenya as a non-deposit taking financial institution, with the Capital Markets Authority (CMA) providing oversight over its bond issuance operations. KMRC was purposely established as a public private partnership arrangement with majority private sector ownership to enable financing by private sector entities. Absa Kenya is one of the shareholders of KMRC.

Absa Bank Kenya PLC envisages a project pipeline in the region of US\$100mn (Shs 10bn) over the next four years from this initiative, which we believe will go a long in way in addressing the housing supply problem in Kenya.

In addition, working with the National Housing Corporation (NHC), Absa Bank Kenya is one of six banks involved in the capital raise required to finance the second round of the Boma Yangu programme. This is a long-term debt facility to enable registered individuals to finance their dreams of purchasing a house under the affordable housing initiative.

Research has shown that for every US\$ 100 spent on housing finance activities in Africa, US\$ 36.5 are added to per capita GDP while US\$ 225 dollars are added to GDP %.



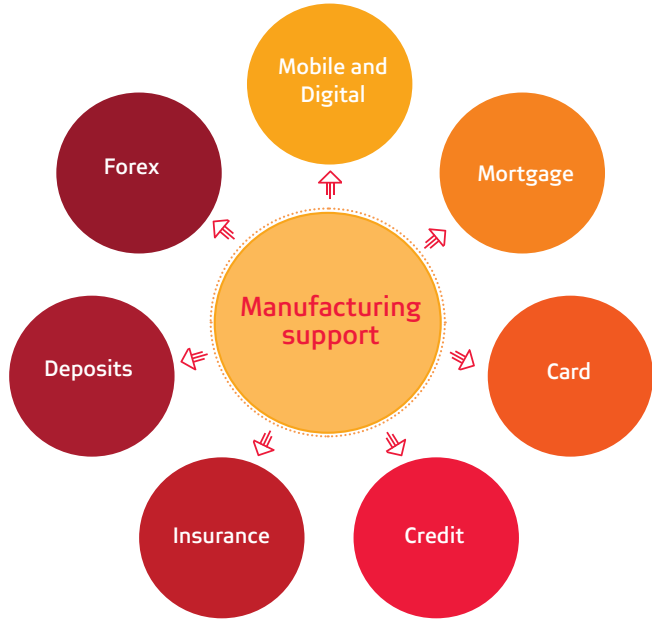
Supporting Growth of the Manufacturing Sector

A survey conducted by the Strathmore Business School in 2019 established that most manufacturing businesses in Kenya operate sub-optimally due to diverse challenges such as; high energy costs, lack of access to funds, lack of automation, high cost of technology, shortage of skilled workforce and lack of market for goods. Yet, the national government’s goal is to increase the manufacturing sector’s contribution to GDP from 8.4% in 2017 to 20% by 2022.

Absa Bank facilitates this growth through the provision of finance to big entities, and through ongoing support provided to the SME sector. Manufacturing represents the largest proportion of our business portfolio and in 2019, we provided credit to the tune of Shs 30.2bn to this sector.

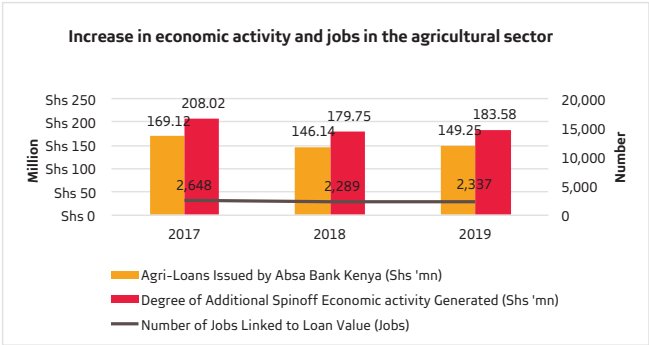
Represented Sectors

Building Mining and Construction	Food and Beverages	Leather and Footware	Chemicals and Allied
Energy, Electrical and Electronics	Automotive	Pharmaceutical and Medical Equipment	Paper and Board
Plastics and Rubber	Services and Consultancy	Timber, Wood and Furniture	Textiles and Apparel
Agriculture/ Fresh Produce			

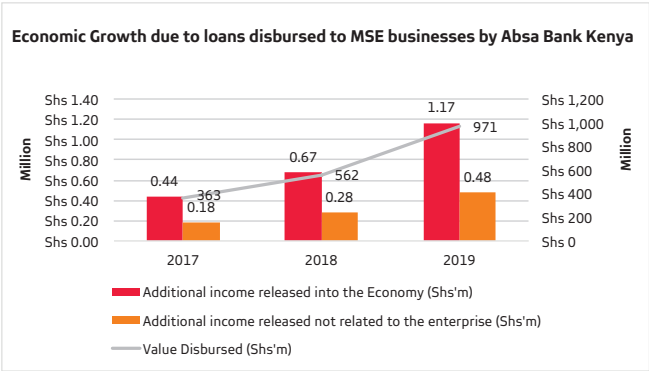


Embedding sustainability continued

Access to loans in farming households can increase production by around 8%¹, with evidence from Ethiopia showing that US\$ 1 of output generated in agriculture stimulated a further \$1.23 in economic activity in other parts of the economy². An IFC study has shown that the impact on employment of US\$ 1 mn invested in agriculture is 1,566 jobs³.



Every USD 1 invested in SMEs generates on average an additional USD 12 in the economy. Of the USD 12 more than 41% benefits those outside the enterprise⁴. Mobile money adoption can also increase income within an SME by at least 5%⁵.



Supporting universal health coverage

Absa Bank Kenya PLC has provided basic infrastructure and support to suppliers to hospitals and clinics, as well as providing loans to doctors, pharmacists and other medical practitioners.



Financing is also provided for healthcare equipment through an asset-based financing arm of the bank managed by corporate banking. This product offering is called MEDS.

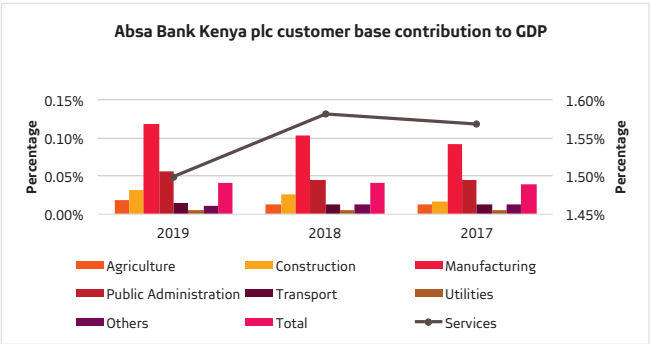
The bank also offers a health insurance plan managed by 'bancassurance'. This health insurance is distributed through the bank in association with medical underwriters.

The estimated ROI to society of preventative healthcare programmes is between \$0.26 and \$2.12⁷ A WHO 2018 Report cited that for every US\$ 1 invested in scaling up interventions to address NCDs in low- and lower-middle-income countries, there will be a return to society of at least US\$ 7 in increased employment, productivity and longer life⁸.

Overall customer contribution to GDP

Based on the customer base serviced by Absa Bank Kenya PLC and their reported turnover during the loan application process, a profile can be created of this customer base's overall direct contribution to the Kenyan GDP.

The sector with the largest contribution to GDP is the services sector, contributing above 1.5% during 2017 and 2018, dropping to just below 1.5% in 2019. This is coupled with a steady increase in the contribution the manufacturing sector customer base makes to overall manufacturing companies contribution to the Kenyan GDP, sitting at just below 0.12% in the current reporting period.



¹ "The Impact of Food and Cash Loans on Smallholder Farmers in Zambia." The Abdul Latif Jameel Poverty Action Lab. Accessed July 24, 2018. <https://www.povertyactionlab.org/evaluation/impact-food-and-cash-loans-smallholder-farmers-zambia>.

² The future of work in African agriculture: Trends and drivers of change, Jayne et Al., ILO, 2017

³ Socio-Economic Impact of IFC Financing in Ghana, IFC, 2012

⁴ From Poverty to Prosperity: Understanding the Impact of Investing in Small and Medium Enterprises, SEAF, 2014

⁵ Morawczynski O, Pickens M (2009) Poor people using mobile financial services: observations on customer usage and impact from M-PESA. CGAP: Washington, D.C

⁶ Housing Finance and Inclusive Growth in Africa: Benchmarking, Determinants, and Effects, Nguena, Tchana Zeufack, World Bank Group, December 2016

⁷ The return of investment for preventive healthcare programmes: A calculation framework for GSK's Partnership for Prevention, RAND Corporation, 2017

⁸ Saving lives, spending less: a strategic response to noncommunicable diseases. Geneva, Switzerland. World Health Organisation; 2018

Society Led



Citizenship

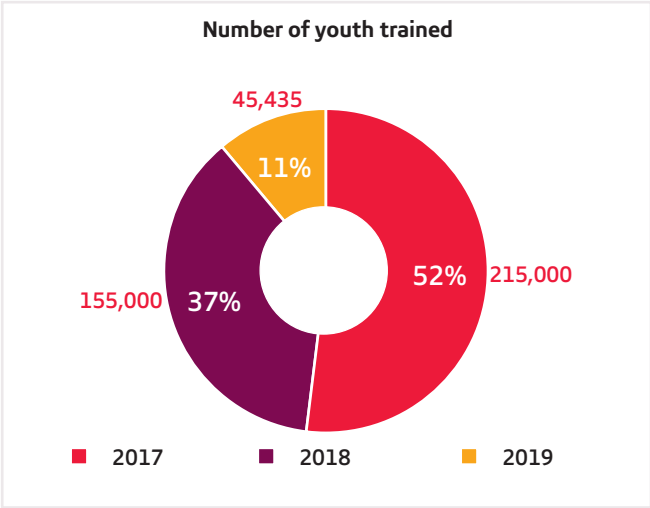
Our citizenship programme is a key pillar of our intention to be a Force for Good. It is underpinned by our efforts to influence key drivers for prosperity, particularly enterprise development, education and access to finance. Barclays Bank has always played a leading role in enhancing social wellbeing through our citizenship agenda. This commitment to society will remain unchanged under Absa.

ReadytoWork

ReadytoWork is a programme that provides the youth with key soft skills for business or employment. These include entrepreneurial, people, money and employability skills. The programme is particularly important for Kenya due to the dual needs of this demographic. For those in business, there is a dire need for business skills, while those seeking employment need to be work ready.

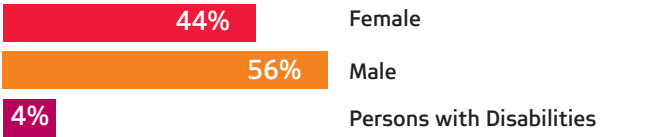
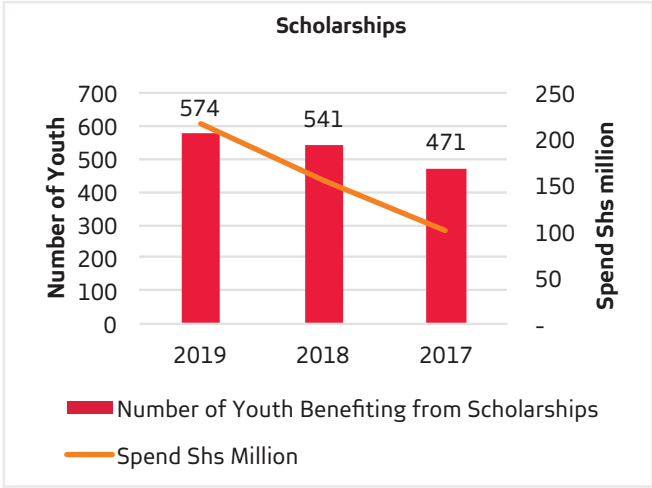
Started in 2016, the programme includes an online skills development course. It is run in partnership with the University of Nairobi, Government of Kenya, CARE International and Kenya Girl Guides Association. As of 2019, the programme had reached over 215,000 individuals.

We engaged in several activities in the course of the year, in an effort to expand the reach of the programme. These included hosting forums in nine universities, across the country, which reached over 11000 students. In addition, we are participating in the national government's internship programme and have currently reached 3,600 interns with the overall objective being to impact on at least 10,000 individuals.



Absa Scholarship

We have partnered with the Higher Education Loans Board (HELB) to provide scholarships to needy students in local universities. Apart from covering tuition fees, our scholarship covers upkeep costs and provides a laptop for studies. The programme is currently sponsoring 574 students from all the 47 counties in Kenya at a cost of Shs 215mn. Key inclusion metrics for the scholarship are as follows:



Embedding sustainability continued

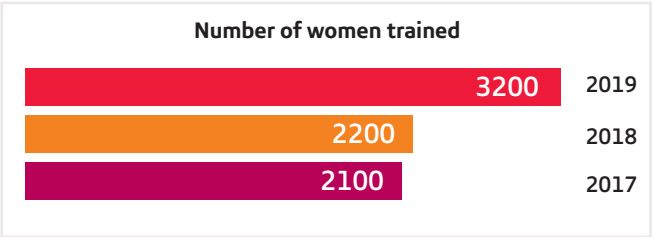
SheTradesKE



Back row-left to right: Elizabeth Wasunna, Director, Business Banking, Caroline Ndungu, Director, Marketing and Corporate Affairs, Winnie Ouko and Patricia Ithau, Board Members, Absa Bank Kenya PLC look over as Jeremy and the Cabinet Secretary for Gender, Youth and Public Service, Professor Margaret Kobia sign a memorandum committing Shs 10 billion to support the growth of women owned SMEs.

- SheTradesKE is a women empowerment initiative by the International Trade Council (ITC) that seeks to support women entrepreneurs to:
- Connect with diverse businesses and build a strong network;
 - Offer and source products and services;
 - Learn new skills through a wide range of free e-learning materials; and
 - Participate in workshops, trade fairs and other business events.

Absa Bank Kenya is a lead partner in this initiative and has committed to target 10,000 women in the SME sector with training and access to international trade opportunities. This commitment is backed by a Shs 10 billion loan kitty. To date a total of 4,000 women have been trained in financial management, with tailored capacity building provided related to the sectors in which they operate, with specific focus on the agricultural, textiles, services and apparel sectors. Other topics covered during training included meeting buyer requirements and how to prepare for an international trade fair.



Nairobi Innovation week



University of Nairobi students register for the ReadytoWork programme at the Absa Bank Kenya booth during the Nairobi Innovation Week.

The Nairobi Innovation Week (NIW) is an annual event that aims to support and accelerate the innovation and entrepreneurship ecosystem in the region. The theme for 2019, which was the 5th edition, was Innovation and Kenya's Big Four Agenda focusing on food security and nutrition, enhancing manufacturing, universal healthcare coverage and affordable housing. Absa Bank Kenya was the title sponsor for this event which was held from 10-14 June, 2019. Our support to the innovation week is anchored on our drive to bring possibilities to life and create shared value by offering a forum for innovative ideas with social Impact.



Absa Bank Kenya Digital Marketing Manager, Alex Muriu welcomes ICT, Innovations and Youth Affairs Cabinet Secretary, Joseph Mucheru to the Absa Bank Kenya booth during the Nairobi Innovation Week.

Case study: Sponsoring events



The Magical Kenya Open (MKO) was founded in 1967 and is one of the oldest and most prestigious sporting events in the country. In 2019, the golf tournament was elevated from the European challenge tour to the elite European Tour. As the lead sponsor, Absa committed Shs 100mn to this tournament.

The tournament attracted an elite group of competitors to the Karen Country Club from 13 to 17 March, 2019. 17,000 spectators graced the greens while over 550 million homes across world followed through live and recorded broadcasting.

We are proud to have hosted elite players like Thomas Bjorn of Denmark who is a former Ryder Cup European Team Captain.

Ho-Sung Choi of South Korea, famed for his legendary fisherman's swing and two previous winners of the Kenya Open, Sebastian Soderberg from Sweden and Haydn Porteous from South Africa were in attendance. The impressive Indian top golfer, Shubhankar Sharma spiced up the field and we were delighted to have brought back Lorenzo Gangli, the Italian player who won the 2018 Barclays Kenya Open.

We supported eight of the 14 Kenyan professionals and the leading Kenyan amateur player at the tournament. We also hosted some of our customers to experience the activities that happen on the side-lines of the tournament. Additionally, we had a golf clinic for children at the Possibilities Fan Zone, a move to grow the sport into the future.

In the end, it was the impressive 22-year-old Italian, Guido Migliozzi who swung his way to the top in his first tournament in Africa. He was presented with the Absa-sponsored and now the official Kenya Open Winner's Jacket by H.E President Uhuru Kenyatta at the closing ceremony.

Embedding sustainabilitycontinued

Operations Led



Resource Efficiency

IFC Edge green building assessment

Commercial banks impact on resource use through their operations or the services/products they offer. We have recently embarked on a journey of introspection with a focus on reducing our operational resource use and impact. This has focused on the quantification of our existing environmental footprint, through pursuing Edge certification, and the implementation of measures to reduce our footprint were possible. We have focused on the reduction of water and energy usage, with additional focus on the reuse and recycling of waste streams.



Green building refers to the structure and the application of processes that are environmentally responsible and resource-efficient throughout a building's life-cycle from planning, design, construction, operation, maintenance, renovation and demolition. Common objectives of green buildings are to reduce the overall impact of the built environment on human health and the natural environment mainly through:

- Efficient use energy, water, and other resources
- Protecting occupant health and improving employee productivity
- Reducing waste, pollution and environmental degradation

In partnership with Kenya Green Building Society (KGBS), all our buildings – comprising 90 structures - will be assessed for efficiency in terms of energy, water and building materials used. Once these assessments are completed, we shall create a road map on how to become a net zero organisation by 2050.

Eco-friendly water dispenser

We have installed 55 units of water purification systems that are eco-friendly replacing 92 units of plastic bottle dispensers. The new systems have enabled us to reduce our carbon footprint by 56% and cost savings of 20%. Other benefits of the bottle-less solution to the environment include – no transportation, no packaging, no shipping, no delivery or storage and no disposal of the plastic bottles. Cost of implementation of the new system is free.



Jonathan Munyakazi, Absa Kenya employee enjoying a glass of water from the newly installed eco-friendly water dispenser. The dispenser will be installed across all our branches in phase two in partnership with Aquavita Limited.

Furniture and Computer repurposing (Circular Economy)

As part of the transition from Barclays to Absa, we ceased using about 1,950 computers and replaced 7,000 pieces of furniture. This would be considered waste and would ideally be disposed of securely. However, as part of our sustainability agenda we have opted to pursue repurposing and recycling of these items in line with the circular economy concept. This will enable us to move away from the traditional linear economy and intentionally reuse, remake and recycle our waste.

The recycled computers and furniture will be used to set up computer labs in approximately 70 institutions (schools, community centers, juvenile correctional facilities and prisons) countrywide. We have requested our branches to identify needy facilities in their localities as we re-enforce our commitment to supporting education and technology.

Reuse and recycling are part of our commitment to efficient use of resources, responsible e-waste management and pollution reduction while avoiding environmental degradation. Improper disposal of e-waste poses danger to human health and environmental pollution.

Benefits summary of recycling project

- a) **Youth Empowerment through capacity building**- The computer donation to the institutions will contribute positively towards empowering the Kenyan youth for life in a world dominated by technology.
- b) **Social and Environmental Sustainability** - Informal processing of e-waste in developing countries can lead to adverse human health effects and environmental pollution. Properly disposing of or reusing electronics and other wastes helps prevent health problems, reduce greenhouse-gas emissions, and creates jobs.
- c) **Carbon Foot printing and Carbon Credits** - The donation for reuse is a better opportunity for managing and reducing our greenhouse gas emissions which will be quantified, and certificate issued via our partner Computers for Schools Kenya (CFSK) post completion of the project.



A pilot lab in Kikuyu Township Primary school using upcycled computers and furniture from Absa Bank which will benefit 1000+ students . The project will be implemented in partnership with Computer for schools Kenya and Funkidz Limited across 66 institutions.

I have an African heartbeat

#IamAbsa

Nancy Mugwe
Lead Generator - River Road

Enhanced value

Risk management statement

Absa Bank Kenya creates value by engaging in activities that entail risk-taking every day, throughout the business. The sources of risks are internal activities undertaken within the bank and external activities. This requires risk management to be an integral input in the Bank's decision-making process and in balancing between risk and reward.

Enterprise Risk Management Framework

The Absa Bank Kenya risk management process is governed by the Enterprise Risk Management Framework (ERMF) that provides a structured and holistic methodology to manage risks across all risk types. The risk types include credit losses in lending, gains and losses from market risk traded positions and treasury risk (including liquidity, leverage and capital loss) in its financial management. Also in day-to-day delivery of services to clients, the bank is exposed to operational risks caused by failure in the bank's systems, processes, human factors and external environment disruptions.

On an annual basis, The Board approves the Bank's Enterprise Risk Management Framework (ERMF) while setting risk appetite limits for the principal risks. The framework is the foundation for our risk management awareness, capabilities and responsibilities. The framework aims to set clear standards to protect our customers by embedding a strong risk culture and establishing company-wide risk management practices and requirements in the execution of business strategy.

The framework is underpinned by the following foundations

Risk management function

Risk strategy and appetite

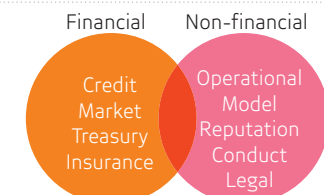
The Group's strategy is set within the parameters of an agreed risk appetite with our risk strategy being developed alongside the Group's strategy. Our risk appetite defines the nature and extent of risk the Group is willing to take to achieve strategic objectives.

Risk Governance

The bank has a governance structure that provides oversight on day-to-day risk management to drive responsibility and accountability across the business.

The Board of Directors | Board Risk and Audit Committee | Country Management Committee | Executive Risk Committee | Assets and Liability Committee | The Chief Risk Officer (CRO)

Nine principal risks



Risk operating model

We apply a three lines of defense model to govern risk across all businesses and functions.



Evaluate, respond, monitor

This is a structured and practical risk management approach to identify and assess the risk, determine the appropriate response and then monitor the effectiveness of the response and the changes to the risk profile.



Risk management framework

Our approach to managing risk is outlined in the Enterprise Risk Management Framework which is underpinned by the following foundations:

- 1 A robust and consistent governance structure at Group, country and business level.
- 2 Well defined material risk categories known as principal risks.
- 3 A three lines of defence model with clear accountability for managing and overseeing.
- 4 A comprehensive process to evaluate, respond and monitor risks.
- 5 A robust risk operating model which provides clear roles and responsibilities.

Risk management statement continued

Material existing and emerging risks and how these are managed in Absa Bank Kenya

Material risks are those to which senior management pay particular attention and which could cause the delivery of the Bank's strategy, operating results, financial condition and/or prospects to differ materially from expectations.

Emerging risks are those which have largely unknown components, the impact of which could crystallise over a longer time horizon. These could currently be considered immaterial but over time may individually or cumulatively affect the Bank's strategy and cause the same outcomes as material risks.

Material existing and emerging risks potentially impacting more than one principal risk

- 1. Regulatory changes including: Repeal of interest rate controls, secondary effects of demonetisation and implementation of the banking charter;
- 2. Negative macro-economic outlook with heightened country risk;
- 3. Cyber threats, data management and information protection;
- 4. Sophistication of financial crimes, where we have developed controls to auto-detect these through data analysis and continuous roll-out of our risk culture;
- 5. New technologies and emerging non-traditional competitors;
- 6. Model risk - The Bank relies on models to support a broad range of business and risk management activities, including: informing business decisions and strategies, measuring and limiting risk, valuing exposures and supporting new business acceptance. These models pose risks when wrongly developed or used.

Outlook and opportunities

The Bank acknowledges that risk management is core in delivering its strategy: Growth, Transformation and Returns, in line with overall bank's purpose 'To bring possibility to life'. Effective risk management will be central in driving achievement of both banks strategic and operating objectives.

It is in this perspective that the bank is rationalising all the processes based on customer obsession priority through Critical Process Assessment (CPA). Critical Processes are those that the bank has identified as most important to run the business and deliver on its strategy. The Critical Process Assessment approach will help the bank to identify, assess and manage material risks that could prevent the bank from achieving its strategic and operating objectives and fulfilling its commitments to stakeholders, including customers, shareholders and regulators. This is expected to transform service and product delivery and amplify customer experience. In addition, the bank is running a project on automation of manual processes to increase the speed and quality and reduce the cost of service delivery.

Aligned to our planned Brand change, the bank has elevated Change and Separation Risk Management governance through a dedicated senior management committee and programme director. A robust risk monitoring framework ensures seamless and continuous delivery of services to our customers. Significant investments in people skills, policy frameworks and systems continue to be made to enhance our resilience capability in particular around Technology and Cyber Risk Management.

Cyber risk is an area of focus in 2020 due to the trends that have recently been noted. As at end of 2019, cyber activism was low-level in Kenya; however, it is becoming increasingly regionalised and more sophisticated in East Africa and the continent more broadly. Regional targets can be involved in high-profile campaigns, almost exclusively directed at the financial and government sectors. Organisations in Kenya face the highest threat from malicious insiders, enabling high-impact cybercriminal operations. Absa Kenya has put in place mitigating actions against cybercrime, for instance, a well-defined testing strategy, test cases, regular monitoring and feedback of progress to all stakeholders. Moreover, the country has enhanced its cybersecurity resource capabilities to enable proactive identification and remediation of vulnerabilities. The overall cyber risk exposure for Absa Kenya is stable and in alignment with the overall Management Control Issues (MCI) report covering ARO.

The Bank set up a Chief Data Office in November 2018 to develop data and analytics capabilities and use data to drive decision making. The office is now fully staffed into four specialty departments encompassing Business Intelligence, Data Governance, Artificial Intelligence and Model Analytics. Key initiatives rolled out by the team include establishment of Data Ownership and Governance structures, use of data science to identify growth opportunities, automation of manual reports and insight tools, capacity building on data exploitation, product rationalisation and development of automation portals for KPI measurement. The office has also put in place measures to tighten the control environment and ensure compliance to General Data Protection Regulations, International policies on data management and local data regulations.

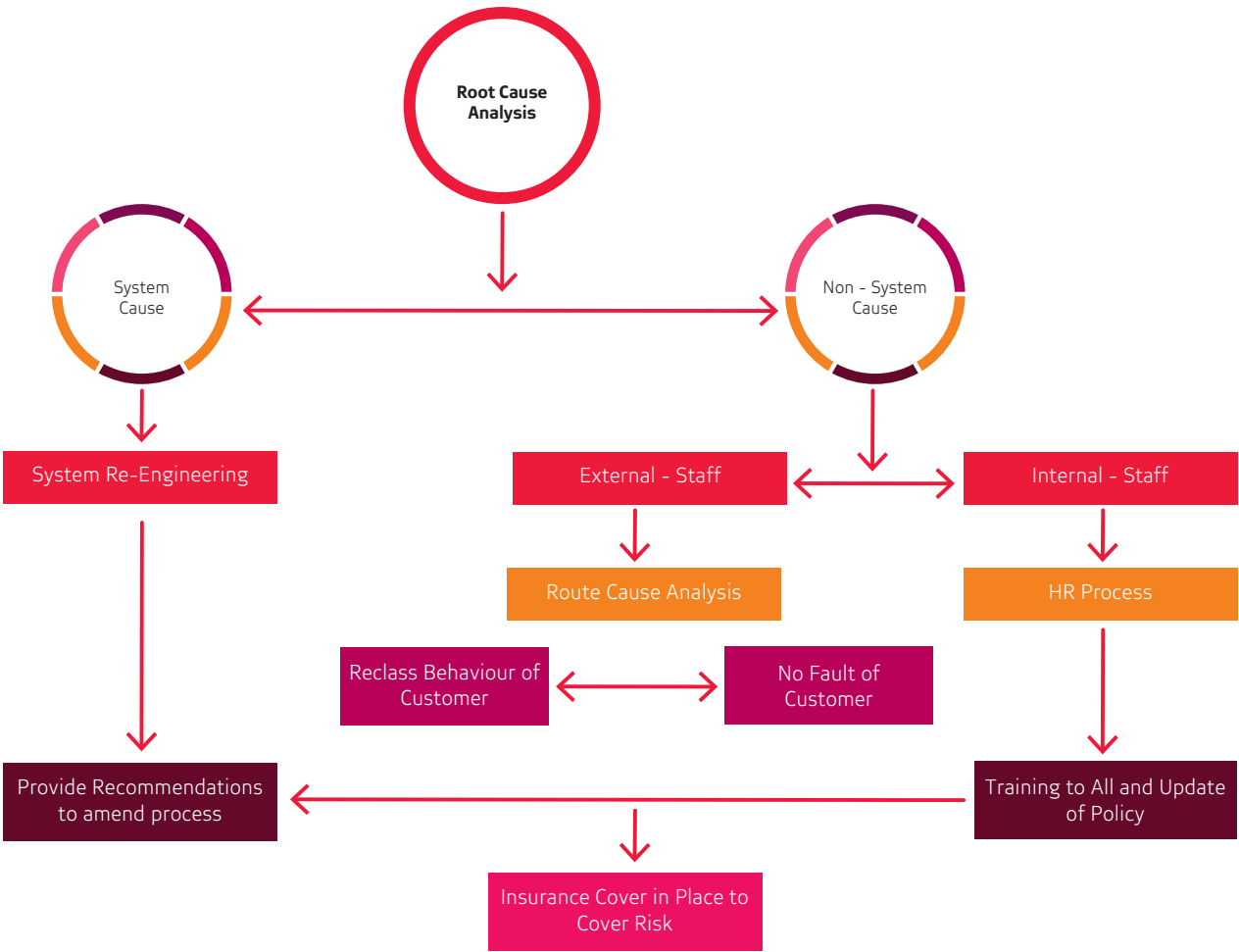
In 2019 Q1, the team delivered multilevel training to sensitise staff on the data strategy and raise the enterprise Data IQ. Data management was rolled out in Quarter 2 where specific roles on Data Ownership and Data Stewardship were taken up by leaders across the bank. This ensured that managers could take ownership of domain specific data assets and drive the use of data to deliver customer value. Specialised data experts were then hired into the office and commenced plans to operationalise the long term data strategy. By Q3-2019 the data science staff had developed new scientific models to drive asset growth and improve customer retention while business intelligence developers completed report automation projects across the enterprise. By end of the year, the team had improved efficiencies in retrieval of data, developed new business opportunities and transformed the way data is used in the organisation. Going forward, the office will roll out new tools and methodologies to transform our ways of serving customers, converting opportunities and managing risk. The focus will be on proper data governance, self-service access, model risk management, effective reporting and visualisation.

Managing fraud



Management of fraud Incidents

"The internal management of fraud incidents not only protects the bank's financial crime management but also improves the economy and society at large".



"We take the stance that if one branch is affected by fraud, all the branches could be vulnerable. As such when there is a fraud incident, training to mitigate against it is incorporated into current training sessions. Our internal target, which we are achieving, is to have 75% of branches and staff trained on anti-fraud behaviours."

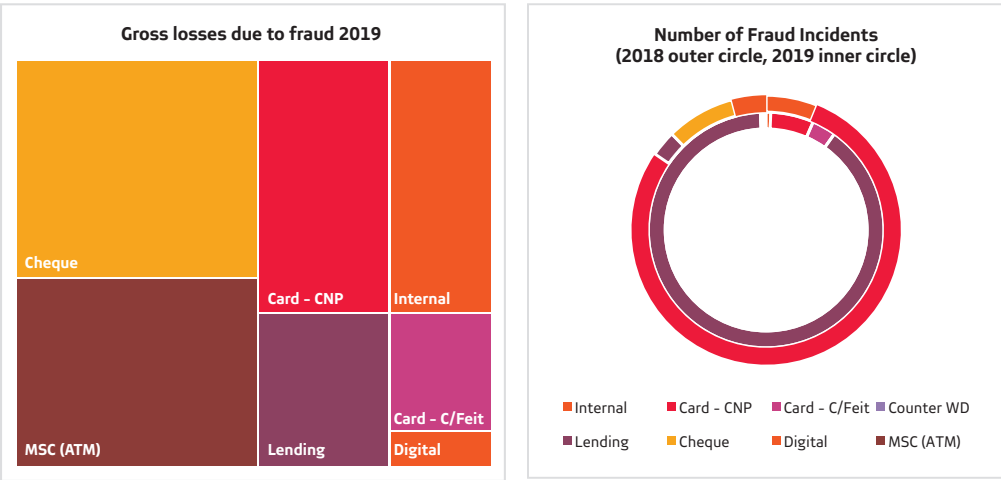
Managing fraud continued

Fraud management update for 2019

Governance and the protection of our shareholders' value are top priorities at Absa Bank Kenya PLC. As such, we regularly review and update our risk management protocols. This accompanies regular and rigorous training of our colleagues in identifying fraud and making use of the whistle blower systems in place.

Recent upgrades have been made to the fraud identification and whistle blower system, simplifying internal people processes following concerns of it being too complex and labour-intensive. Reporting of issues to and from HR has been systematised, making it easier for colleagues to communicate their queries and grievances.

Other measures that have been implemented during the strengthening of risk management protocols have been investment in a new system (Netreveal) to identify, modify and address financial crime. Fin-crimes have become especially prevalent at a branch level. Netreveal is an anti-money laundering technology that is more robust, provides better information and has more capabilities than the systems preceding it. It provides a better risk rating for customers and uses Artificial Intelligence (AI) to enable the bank to quickly notice behavioural issues with regards to customers.



There are various controls in place to measure both internal and external risks ensuring the safety of our customers funds. We additionally have a representative risk committee which provides advice to media, monitors transactional risks and oversees the retail and banking division. The committee also ensures that mandatory reviews of all new products are completed and that particular products are reviewed when they do not meet the desired outcomes. The risk committee is made up of key strategic staff members spanning divisions such as legal, operations and IT. The composition of the committee is such that it ensures all internal policies and procedures are assessed regularly to ensure processes work efficiently and effectively.

Product safety assessments

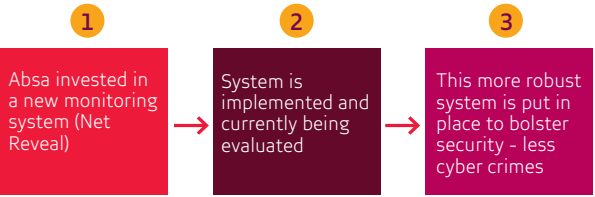
Fund penetration test	Identify new risks	Are the products fraud safe?	Additional stakeholder engagement	Quarterly tracking of performance
- All new products must undergo a fraud penetration test - This ensures that the product is safe - A sign off of the product is required prior to launch of the product	- Most risks are based on social engineering i.e. phishing - Fraudulent calls made to customers pretending to be Absa	- This is difficult to measure however, Absa has implemented a new system after the launch of Timiza, due to a spike in social engineering incidents - This issue has been raised with the Central Bank - After onboarding Safaricom, Telkom Kenya and Airtel, the rate of incidents has dropped	- Directorate of Criminal Investigations - Central Bank of Kenya - Safaricom - Airtel - Telkom Kenya	- These quarterly discussions take the form of internal meetings - The performance is tracked against key performance indicators

Following the creation of the risk committee, a data governance structure has been set up in each department, headed by a data governance owner. As this structure is new, we make time for bi-weekly meetings with data stewards to trouble shoot. On a monthly basis, training sessions are set up and on a quarterly basis, meetings are conducted to track the progress of data security at the company. We plan to continue to embed these processes into the culture of Absa after the transition. We predict that the storage of data will become more important with an internal focus on data privacy IQ. We are required by the financial regulator to store our customers' information for up to seven years. However, this may come into conflict with our Data Protection Act.

Cyber Security and Data Protection

Investment into new systems

The regulator's main focus has been to assess the implementation of the new system for monitoring and evaluating cyber issues, the system is called Net Reveal. 2019 was a very challenging year due to the system change which makes Absa's security more robust. The new system went live in June 2019 and can identify better risk ratings for customers and provide insights on customers by using social media trackers. The system is currently undergoing an implementation test with a working group. Most of the regulatory security that was received was from the public, thus the regulator is now screening what banks are doing with public funds.



The majority of cyber attacks in Kenya are directed against private individuals, Cybercriminal operations are however likely to focus on financial sector customers across ARO through the growing use of SIM-swap fraud. The arrest of members of the SilentCards group (linked to the Forkbombo group) is likely to continue to reduce the cybercriminal threat in-country in the short term.

In light of these recent trends, Absa Bank Kenya PLC has made major investments into ICT response time, governance and alignment. The main emerging risk that the bank may face in the future is third party risks associated with culture and cyber maturity. In short, there is a risk that a breach may occur at a critical 3rd party supplier offering financial services which may result in reputational damage, regulatory censure or fines and potential financial loss to the Bank and its customers. Third parties are bound by contract and supplier control obligations including cyber security, technology risk, information risk, physical security and other requirements. That notwithstanding, culture and maturity related issues are still identified during supplier assessments prior to onboarding. These known risks are identified and tracked for ongoing remediation.

This was informed by an initial gap analysis which resulted in the development of an action plan. This has involved the appointment of a Chief Data Officer, and development of a Steering Committee.

They are responsible for the reporting of incidents to the regulator on a quarterly basis. Monthly reports are produced internally for review by the committee detailing red flag incidents. To track these incidents, a new partner has also been onboarded, allowing for ease and accuracy of reporting.

To ensure that Absa mitigates against all possible cyber security and data protection concerns, continuous and rigorous training has been implemented at all levels of work and across departments. This training includes modules dealing with cyber security awareness, preventing financial crime, data privacy and fraud awareness. The cost of the training is covered by Absa Group Limited as the material concern had already been developed with access to this online training platform provided to all staff due to the transition. As much of this cyber security training is completed online the cost involved is measured in the time spent by colleagues working through the training material. Absa Bank Kenya PLC also circulates ongoing refresher training via email. Absa Bank Kenya PLC measured the success of this training through exams undertaken by staff, the efficacy of which is being tracked through the internal reduction of cyber security crimes in the Bank.

Educate Customers about cyber crimes

Kenyan Banking Association

Distribute Media

Absa's customers need to be educated about fraudulent activity to ensure that their assets are kept safe. This information about cybercrimes is most effectively distributed via the Kenyan Banking Association (KBA) and media outlets. The development of Industry Leaflets and the placement of adverts across various media outlets by KBA are supported by Absa Bank Kenya PLC.

Cyber security crimes are also mitigated against by Absa through sending mass texts to customers on how to spot illicit activity. These emails and texts show customers which cell phone numbers can be trusted and which belong to Absa Bank. Customers now know not to divulge their personal ID numbers and pins to untrustworthy sources.

The overall improvement initiatives and identified risks are reported to the Board monthly. Each specific incident needs to be reported within 24 hours of occurrence. All of the incidents thus far have been once-off occurrences. In these instances, the cyber security team has taken the lead and worked closely with the risk department to resolve any breaches that have occurred.

- Initiatives and key highlights 2019
- Fraud awareness training:** 99% of staff undertook Online Fraud Training module. 1,112 taken through face-to-face fraud refresher course; several e-mails on fraud cascaded to staff through internal communications.
 - Robust consequence management:** 13 Staff investigated where four resigned during investigations and two terminated.
 - Strengthened Assessment:** Enhanced Fraud Risk Assessments and Fraud Governance to ensure existing and emerging fraud risks are kept in check; e.g. bi-weekly Timiza fraud review committee, quarterly fraud risk committee, fraud team represented in Portfolio Quality Review Committee.
 - Fraud Vigilance:** Monitoring scope and rules enhanced to cover more products and processes.

Data privacy and protection

With the newly-passed Data Protection Act, Absa Bank Kenya PLC has instituted measures in preparation for its implementation. Absa Bank Kenya released guidelines on data protection that were designed for the Group, informed by local Kenyan legislation, the South African POPIA Act, and The EU General Data Protection Regulation (GDPR).

Absa Bank Kenya has tried to pre-empt incidents due to proposed regulatory changes, predicting the increase in pressure from stakeholders. There has thus been a decline in data privacy breaches since the implementation of these more rigorous protection protocols. The main data privacy concerns of the customers are; the protection of customer data, the amount of information needed from customers, the duration of time that the data is kept on file and what is done with the data once if it is no longer required.

A working committee has been put in place to manage data protection aspects. This committee includes strategic employees from within the business, including representatives from legal, operations and ICT management. Data protection starts with our people, thus the most important focus area when assessing risks is ensuring the adequate implementation of internal policies and procedures. In preparation of the Bill becoming enacted, a review of existing policies and procedures was undertaken, modifications were made as required and operationalised, with a focus on setting up ways of governing data in the system. With the Act in place, Absa Bank Kenya has a data governing structure in place, with a data governance owner in each of the bank's divisions. Bi-weekly meetings with these data stewards currently take place to facilitate trouble shoot, as these changes to the data protection policies and procedure as still relatively new to employees. Monthly meetings are also held to identify additional gaps in policies and procedures. Where these are identified, additional training is provided to staff. Quarterly meetings are also held to track progress in implementation. The plan is to keep imbedding these processes, ensuring ongoing alignment to the Data Protection Act.

Aspects which affect customers directly are the need to change on-boarding forms to ensure the Bank gets consent to use the customer data provided. This will include requesting consent to store their data, detailing the method a customer needs to follow when asking to access their own data. Investment to ensure these processes can be implemented seamlessly has required upgrade of existing banking systems and additional training for staff to improve their internal data privacy intelligence quotient. It is acknowledged that this is a long-term commitment by the Bank as the financial regulator further requires Absa Bank Kenya PLC to store this data for seven years, a period longer than that prescribed under the Data Protection Act.

Data office set up status

Key concerns and expectations

- Develop the foundational and structural strategy for Data and Analytics to ensure positioning of Absa as being a data-driven Bank in Kenya.
- Embed thought leadership and conversation-driven data transformation by ensuring that front line staff understand the value of data in driving business growth.
- Centralisation of MI skills across the Bank and developing capacity for data and analytics skills across the Bank.
- Deliver insights to business to ensure that decisions made are informed and new opportunities for growth can be identified.

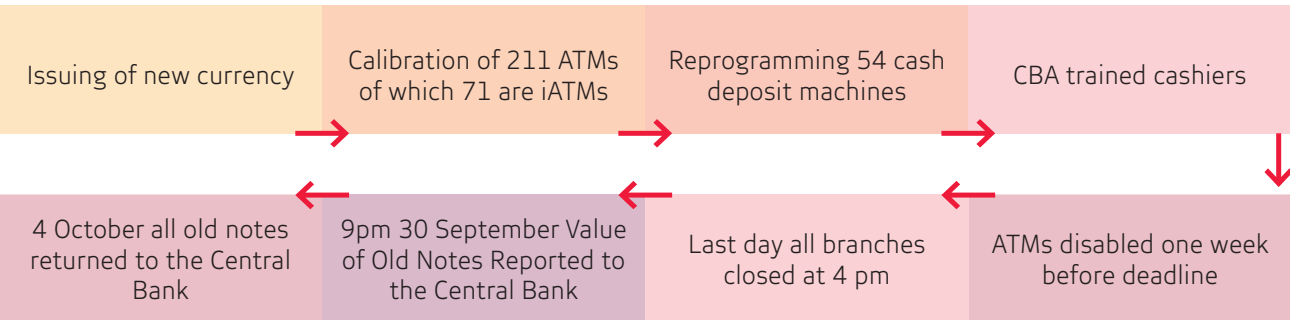
Achievements

- Successful development of a country Data and Analytics Strategy which is currently guiding the maturity approach for the bank.
- Centralised ~ 40 key MI skills across the bank and created one central Data office.
- Built capacity in data by training senior leadership on baseline principles and CDO staff on technical development approaches.
- Rolled out an enterprise Data Ownership Structure which identified key data owners and data stewards across the enterprise to ensure that there was proper data ownership in the bank.
- Successfully improved Risk Data Aggregation and Risk Reporting (RDARR) and data management compliance from 14% to 71%.
- Consolidates all data issues noted across the enterprise into an enterprise issues log with more than 400 issues.
- Identified opportunities for growth and transformation within Risk (Data Governance) and Business (Lead Generation) and Operations (Efficiency insights).
- Set up a Data Governance and Management Rhythm.
- Successfully launched and delivered the report automation pilot within the first year of capacity building.



Absa Bank Kenya PLC Chairman Charles Muchene, Absa Group Limited CEO, Daniel Mminele and the Central Bank Governor, Dr. Patrick Njoroge during the launch of the Absa brand in Kenya, in February 2020.

Special project of the year - Demonetisation



The issuing of a new currency highlighted the government's focus on the management of financial crime with the aim of mopping up dirty cash. The process of demonetisation required close collaboration between Absa Bank Kenya PLC and the regulator.

We began by calibrating all our 211 ATM machines and 54 cash deposit machines to ensure they would be able to accept the new notes to be issued from October 2019. This calibration was carried out by NCR, who obtained the features of the new bank notes from the Central Bank of Kenya. Of the 211 ATMs, 71 are 'intelligent ATMs' which can both receive and distribute money.

Following the calibration of the machines, cashiers were trained to familiarise them with the features of the new notes. By 9pm on 30 September Absa Bank Kenya PLC had to notify the Central Bank exactly how much of the old money was going to be returned. To facilitate this process and to avoid inconveniencing our customers all ATMs were disabled from being able to accept the old notes, which forced customers to the branches, with all branches closed at 4pm on 30 September.

SWIFT notification was submitted as required, with all notes returned to the Central Bank by 4 October, 10 Days before the deadline stipulated.



Regulatory focus and business conduct

In the 104 years that we have operated in Kenya, our biggest differentiator has been our focus on responsible business conduct which has established the bank as a trusted financial services provider that puts customers at the core of our business.

As we transitioned from Barclays to Absa we continued to build on our rich heritage of creating long-term sustainable value for all our stakeholders. Our material focus areas for 2019 were:

- 1. Compliance with laws and regulations
- 2. Fighting financial crime
- 3. Driving an ethical culture

1. Compliance with laws and regulations

The repeal of the interest capping law was one of the main regulatory changes in 2019. On 7 November, 2019, the President assented to the Finance Act, 2019 effectively repealing the interest rate cap introduced by the Banking (Amendment) Act of 2016. In addition to repealing the rate cap, the Finance Act 2019 protected customers who had existing loans as at the date of the repeal. Commercial banks were required to retain the loans on the same terms and in the event of any variation, then the interest can only be revised downwards. Interest on new loans will be as agreed between the banks and customers.

In order to ensure that banks do not revert to the previous regime of high interest rates, poor customer service and perceived insensitivity, the Central Bank of Kenya issued Banking Circular No. 15 of 2019 directing banks to adhere to the provisions of the Banking Sector Charter on ethical banking.

As a bank we have fully complied with the letter and spirit of the Finance Act 2019 and Banking Circular No. 15 of 2019 and are in the process of developing a risk-based pricing formula for loans in order to ensure that we do not cause customer detriment.

The Data Protection Act was another significant piece of legislation in 2019. The Data Protection Act came into force soon after the enactment of the EU General Data Protection Regulation (GDPR) which has extra territorial data privacy application. The Data Protection Act gives effect to the right to privacy as provided for in Article 31(c) and (d) of the Constitution of Kenya by setting out the requirement for the protection of personal data processed by both public and private entities. As a result of our heritage of having been part of the Barclays Group, we already have in place a Data Privacy Policy that governs how we collect, handle, store, share, use and dispose of personal data. To ensure that we are fully compliant with the Data Protection Act, we have set up a team to implement a data governance and privacy framework for the bank.

2. Fighting financial crime

We continue to work closely with the Central Bank of Kenya and Financial Reporting Centre to ensure that as a financial institution, we are not used as a conduit for illicit financial flows. We have a zero-tolerance approach in combating money laundering, corruption and terrorist financing, and constantly enhance our control environment to reduce the risk of our employees or customers breaching legislation when dealing with Absa Group. All employees are required to complete financial crime training which includes units in anti-money laundering, sanctions, anti-bribery and corruption.

As part of our commitment to strong financial crime controls, the bank made significant investment in new systems. The bank implemented a new system, NetReveal in order to maintain a robust control environment that effectively manages the risks of Money Laundering, Terrorist Financing, Sanctions, Bribery and Corruption. It provides an end-to-end solution which encompasses all aspects of Financial Crime monitoring. NetReveal has also facilitated the move from a traditional rule-based approach to an analytics based approach.

At an industry level, in an effort to curb illicit financial flows and the emerging risk of counterfeit currency, the Central Bank Governor announced on 1 June, 2019 the roll out of a demonetisation exercise in relation to the withdrawal of the old Shs 1,000 notes and replacement with new notes. During this period we enhanced our already robust AML/CFT bank wide controls to ensure we fulfilled our mandate as a responsible player in the financial services industry.

We are cognisant that Kenya is both a source and transit point of illicit wildlife trophies and that sometimes, criminals may take advantage of the Kenyan infrastructure to fulfil their objective. To this end, our bank has become a member of the United Wildlife – Africa (through the Absa Group) which plays a pivotal role in providing sustainable solutions to the society and ensuring that financial institutions are not used for criminal proceeds emanating from illicit wildlife trafficking (IWT) vide the following initiatives:

- a) The Bank hosted an East African Learning Academy Conference at our Headquarters on 22 October 2019. The purpose of this conference was to bring together experts and stakeholders from the financial industry, law enforcement, financial intelligence units, NGOs and the government to share knowledge and perspectives on the financial crime of IWT, its impact on East Africa, and what financial institutions can do from a practical perspective to tackle IWT.
- b) To ensure that the transmission of illicit wildlife proceeds does not go through the bank’s systems, the Bank has established a financial crime intelligence unit (FCIU) whose mandate is using data science to create typologies for identification of individuals or funds that have illicit wildlife trafficking indicators and subsequent reporting to the regulators.
- c) Sharing information with members covering; financial intelligence, investigations, suspicious activity reporting, red flags, the financial flows linked to IWT.

3. Driving an ethical culture.

In an effort to embed a customer-centric and ethical culture in the banking industry, the Central Bank of Kenya published the Banking Sector Charter (the “Charter”) on 28 February 2019. The Charter came into effect on 1 March 2019. It is hinged on four pillars:

- a) Adoption of customer-centric business models by banks;
- b) Risk-based credit pricing;
- c) Enhanced transparency and information disclosure and
- d) Entrenching an ethical culture in banks – doing the right thing.

The Central Bank of Kenya required all banks to submit an implementation plan for the embedment of the four key pillars: transparency, responsible pricing, customer-centric models and ethical culture. As a Bank, we have submitted our implementation plan and have presented our progress report to the regulator.

Following our presentation, the regulator requested us to make some adjustments to our implementation plan and directed us to ensure full implementation of the Charter by end of Q1 2020, a deadline we are working to achieve.

As a bank and financial services group, the Charter is in line with our Conduct Risk framework which seeks to ensure that our conduct does not result in anything that is in detriment to our customers, business associations, employees and other stakeholders. Conduct risk is a Principal Risk within our Enterprise Risk Management Framework and is under the oversight of the Compliance department.

We have in place a robust conduct risk framework which comprises of policies and procedures, trainings and systems. In addition, we have a whistle-blowing portal that provides a safe platform for anonymously reporting of unethical conduct. Our Conduct Risk Framework measures ten conduct risk outcomes and throughout 2019, we have operated within our conduct risk framework.

Mapping of conduct risk framework against banking charter

Pillar	Conduct risk outcome	Corresponding banking sector charter pillar
1. Culture	Our culture places customer interests at the heart of our strategy, planning, decision-making and judgments.	• Ethical culture
2. Customer Strategy	Our strategy is to develop long-term banking relationships with our customers by providing products that meet their needs and do not cause them detriment.	• Customer-centric business model
3. Market Integrity	We do not disadvantage or exploit customers, customer segments or markets. We do not distort market competition.	• Ethical culture
4. Proactive management	We proactively identify conduct risks and intervene before they crystallise by managing, escalating and mitigating them promptly.	• Enhanced transparency and information disclosure
5. Product Design	Our products and distribution channels are designed, monitored and managed to provide value, accessibility and to meet the needs of our customers.	• Customer-centric business model • Risk-based credit pricing
6. Sales Practices	We provide products that meet our customers’ expectations and perform as represented. Our representations are accurate and comprehensible so our customers understand the products they are purchasing.	• Customer-centric business model
7. Customer Treatment	We address any customer detriment and dissatisfaction in a timely and fair manner.	• Customer-centric business model • Ethical culture
8. Data Privacy	We safeguard the privacy of Personal Data	• Enhanced transparency and information disclosure
9. Market Abuse	We promote and facilitate market integrity.	• Ethical culture
10. Reputation	We uphold the reputation of Absa	• Ethical culture

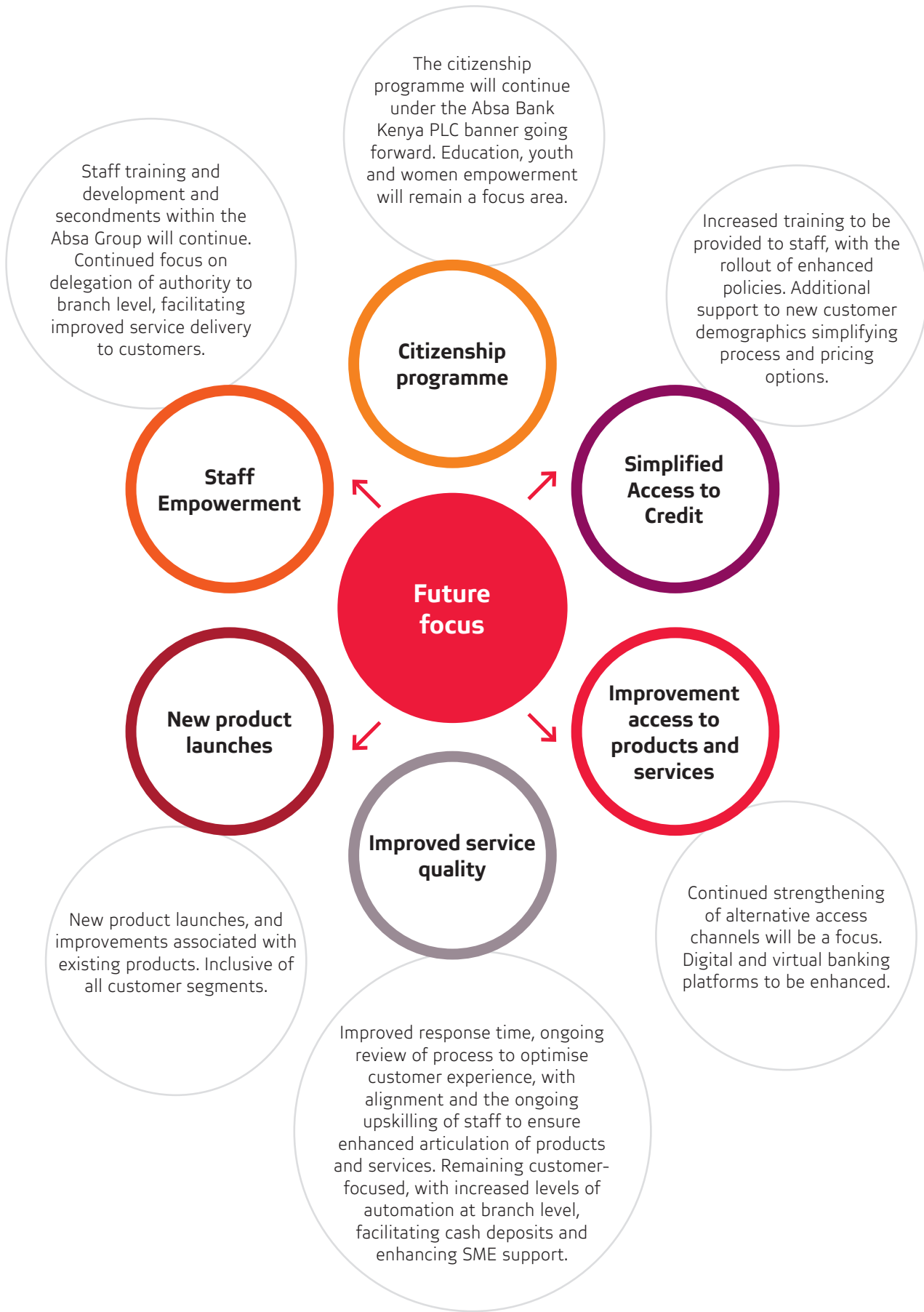


Transformational value creation

New products and services, enhanced way of working	76
Our people	77

Absa Bank Kenya PLC CEO Jeremy Awori
and the staff on the new Absa branch in
Sarit Centre

New products and services, enhanced way of working



Our people

One of our strategic priorities that is at the heart of our business is to transform into an aspirational, fun and vibrant place to work which is critical to delivering exceptional customer experiences and superior performance.

In 2019, we intensified our culture transformation journey as we got closer to our transition to the Absa brand. In delivering these initiatives, we are driven by our key people strategy being to provide an exceptional employee experience. In line with this approach, we focused on four key facets:

Create a new culture	Differentiate by becoming people-centric
Re-orientate around the customer	Empower ownership

Create a new culture

Our holistic culture transformation framework includes new ways of working, redefined processes, new skills requirements and new leadership behaviours in order to deliver the desired culture shift. At Absa we want to create an inclusive and diverse culture that is entrepreneurial, innovative, with a deep sense of ownership and a shared purpose and identity. Inclusion and diversity enable us to benefit from a variety of different perspectives, skills, talents and abilities. It creates an environment where employees can create greater complementarity and synergy. Our culture aims at faster decision making accompanied by great team work and a sense of belonging. We encourage our employees to be innovative and create solutions to issues raised by our stakeholders including clients and employees.

Absa values are defined as follows:

We drive high performance to achieve sustainable results - We play to win and are accountable for results. - We innovate, we are decisive and we act quickly. - We learn from our failures; we are bold enough to change course.	We are obsessed with the customer - We are curious, we anticipate the customer's needs. - We take ownership of delivering the One Absa customer experience. - We outperform by going beyond customer expectations.
Our people are our strength - We integrate diverse perspectives to invent the future. - We collaborate with courage, honesty and powerful energy. - We trust, value and grow our people to achieve their full potential.	We have an African heartbeat - We deliver a uniquely Absa experience across Africa. - We co-create across Africa to deliver better solutions. - We actively engage our communities to bring people's possibilities to life.

A key facet of our culture shift is based on embedding trust. For us trust is critical in all our stakeholder engagements and an important aspect of client experience during a period of transition. Trust also forms a key building block in actualising our desire to implement distributed leadership and devolving decisions. To achieve this, in 2019, based on a book titled "Leading at the Speed of Trust" by Stephen M. R Covey, we introduced the subject of trust to our extended leadership team before we rolled it out to the entire workforce countrywide. With the help of an external partner, we trained 40 champions who supported the cascade of trust conversations through weekly team huddles.

We anchored our training on the five waves of trust that focus on:

- 1 Self-Trust;
- 2 Relationship Trust;
- 3 Organisational Trust;
- 4 Market Trust; and
- 5 Societal Trust

One of our flagship initiatives as we embed a fun place to work is our monthly Freday (red Fridays). This is a themed day with the agenda of keeping employees updated on the transition journey while infusing fun activities. During the year, we held diverse themes aligned to our change journey such as golf, down memory lane, Madaraka day and Absa day to celebrate the first anniversary of Absa Group Limited.



Our people continued

Differentiate by becoming people centric

Year	Number of staff	% women in staff compliment	% women in management	% women in senior management	Target %	% staff in front office	% staff in back office	% staff unionised
2019	2152	48%	46%	35%	32-34%	69%	31%	37%
2018	2128	48%	48%	40%	32-34%	68%	32%	39%
2017	2268	48%	48%	40%	32-34%	65%	35%	41%

We seek to create the best environment and opportunities for top talent to thrive so as to attract and retain quality employees. In July 2019, as part of our separation journey, we successfully rolled out Workday which is a digital people management system.

Workday is a world-class cloud-based HR operating platform that provides an enhanced employee experience. The system delivered new simplified people processes with clear accountabilities, improved visibility of HR data for all employees and a clear control framework enabling accountability. Workday also provides new functionalities to ease like a modern people portal that offers search driven HR services and a chat functionality that enables our employees interact real-time with the People Experience team for ease of incident resolution. Through Workday, we have enabled new ways of working as follows:

- Colleagues are empowered to take ownership of their own careers and development, continuous improvement, control all personal information and trusted to ensure self-service transaction accuracy; and
- People Managers have continuous real time visibility of employee data to enable informed data-led decisions and conduct quality conversations, thus empowering them to manage their people and take accountability for team performance.

To complement Workday, a revised performance management process was introduced that links key issues around strategy implementation and how it is measured through the performance review process. Each staff member's performance is linked to a scorecard, which in turn is linked to a reward model. By March 2020, this new process would have gone through its first cycle. All staff are rated using this scorecard. Individual dashboards developed using this tool show the progression towards meeting individual scores.

Four key shifts due to workday

- 1 Accountability to colleague and people manager
- 2 Less approvals
- 3 People managers make data-led decisions
- 4 Simplified processes

Re-orientate around the customer

Our aim is to be outward-focused, customer-obsessed and digital. Throughout 2019, we spent time embedding the Absa Brand purpose, attitudes and values. This effort was complimented by a cascade of our service principles that was delivered through our colleague brand immersion sessions known as Game On which ran in December 2019. In these sessions which were attended by all employees, we explored the actions required to make our internal service principles a reality and all colleagues made a pledge to live up to the Absa Bank Kenya Service Charter.



Empowered ownership

We not only want employees to have a sense of belonging but also make decisions through distributed leadership at all levels of the organisation. At Absa leadership is defined by behaviour and action not by age, organisational tenure, qualification or job title. Absa leaderships is at all levels of the organisation and this underpins our entrepreneurial drive. Any of our employees can make a contribution to the issues and challenges we face as we seek a less hierarchical business.

We are working on distributed leadership through devolved authority and mandates empowering our Branch Managers and other frontline colleagues like Relationship Managers to make key decisions that are closer to our customers.

Our People Promise

- 1 Create a sense of belonging by building a shared identity
- 2 All colleagues are empowered leaders
- 3 We have a common purpose
- 4 We will provide meaningful experiences
- 5 Developing leaders that inspire the whole organisation

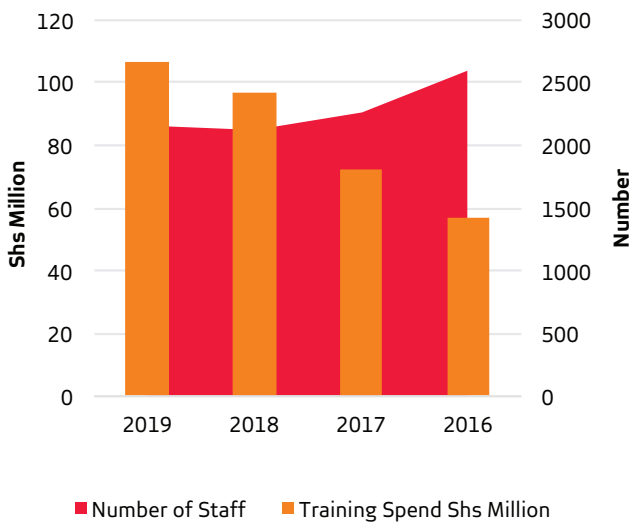
Supporting our People

Many of our stakeholders have expressed concern about our transition readiness and whether staff will be adequately prepared. We are aware of the limited time we had for the separation and have thus rolled out new policies and staff have been trained to prepare them thoroughly for the transition.

Initial concerns were also raised by staff around job security and whether the current training will continue after the transition. With the transition completed, these concerns have been laid to rest as rather than lose staff we have increased our staff compliment by 1.5% during this period, with new programmes in place such as staff secondments to other Absa Africa Group entities, and the continued roll out of training modules to ensure out staff remain informed around new risks and opportunities facing the business.

Our assessment shows that employees are well-prepared for the transition with more than 90% being aware and clear about Absa and 80% indicating an affinity to the new brand.

Staff numbers and training spend



Christine Nzau, Corporate and Investment Banking, receives an award for achieving an outstanding performance in 2019 from Temi Ofong, Co-Chief Executive, Corporate and Investment Banking, Absa Group Limited

Our people continued

In the course of the year, we conducted several training and staff development activities. These included:

- **XY Programme:** this is targeted at men to enable them deal with emotional-related challenges such as stress, depression and mental health issues. XY provides a safe space where men can get together and freely discuss emotional issues.
- **Mind the gap:** a programme whose aim is to prepare our middle management for senior leadership through skills development and coaching.
- **Personal Mastery:** training aimed at personal development through the improvement of self-awareness, mindfulness and emotional intelligence.
- **HR Advisory:** training aimed at HR employees to enable them to provide advisory support to fellow employees who now have to undertake certain HR related functions due to Workday.
- **Workday:** there was extensive training on workday to enable employees use the cloud-based portal proficiently. All employees were socialised on Workday.

Future training modules to be introduced across the bank will focus on the continued skills development of staff, and reduction of risks associated with ever changing market dynamics. This will be constantly under review especially with the launch of new products and services being released to market.



Employee Engagement

Engaged employees are committed to the organization, and put discretionary effort into their work. They are also loyal and psychologically committed to the company. They are more productive and have a higher level of retention. Our results from the November 2019 Culture Dipstick confirms that 70% of our employees are more engaged compared to the last time they completed the employee engagement survey.

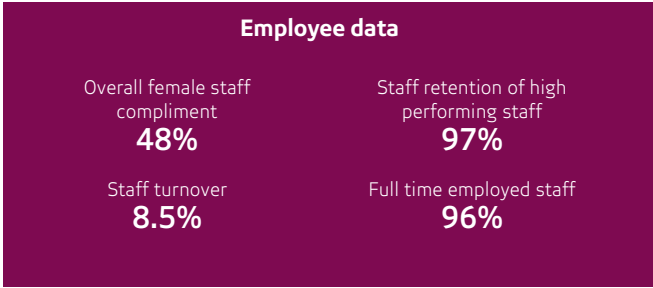
Recognition

Be the Reason (BTR) is a recognition and reward programme that aims at celebrating employees who have made a significant contribution to the business. The award is run on a quarterly and annual basis covering functional, country and Group levels.

SHUJAA is a recognition award based on performance and also on nominations by employees focusing on people who have come up with significant ideas.



Killer idea seeks to identify brilliant ideas from employees that can be implemented and taken to scale. The ideas are assessed by a panel of judges and the best idea receives both a cash award for the winning team and funding to implement the idea.





Corporate Governance

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Colleagues, perform the Absa anthem during the launch of the Absa brand. The song was composed by Kennedy Wangui, Samuel Muigai and Patrick Rono.

Chairman’s report on Corporate Governance



The protection of investors’ interests through a sound management system is one of the strategies that have given us an edge since we launched in Kenya over 100 years ago. Our business is led by a strong Board of Directors and Country Management Committee who are both committed to the long-term success of the Bank by safeguarding the interests of various stakeholders through effective leadership, strategic direction and oversight.

In 2019, the Board and Management teams variously aspired to meet the highest standards of corporate governance while delivering superior value to our shareholders and other stakeholders. It is through their dedicated input that we remained the go-to Bank even as we move into the next phase of our business under the Absa brand.

Statement of compliance

The Bank has strong governance structures and processes which support full compliance with applicable laws and regulations as well as prudent management and oversight of the business in the interests of customers, shareholders and other stakeholders.

The Board’s mandate complies with the provisions of the Companies Act, 2015, the CMA Code of Corporate Governance, Practices for Issuers of Securities to the Public, 2015, the Central Bank of Kenya Prudential Guidelines, the Bank’s Articles of Association and Schedule 5 of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002 relating to the Continuing Listing Obligations of Issuers as well as the Board’s stringent standards of corporate governance as set out in its Board Charter in line with the Absa Group standards.

As part of our on-going commitment to ensuring that the company operates on sound corporate governance principles as well as transparency with our stakeholders, the company in 2018 and 2019 subjected itself to a corporate governance audit conducted by an independent and certified corporate governance auditor as per the requirements of the CMA Code of Corporate Governance. A disclosure of the key governance matters is summarised in Annexure 1 page 95.

Board membership and appointment process

The Board is composed of nine members, two of whom (Managing Director and Chief Financial Officer) are Executive Directors. None of the Directors holds material shareholding in the Bank.

There is a clear separation of roles between the Chairman and the Managing Director.


Charles Muchene
Chairman

The Board

Board Leadership

The Board is the key decision-making body for all matters of importance and significance to the company due to their strategic, financial or reputational implications or consequences.

Board roles and responsibilities

The Board has a duty to act in accordance with its powers and Directors must not use the position of Director, or any information obtained while acting in the capacity of a Director to gain an advantage for the Director, or for another person other than the Company, subsidiary or associate entity of the Company; or knowingly cause harm to the company, a subsidiary or associate entity.

The Company Secretary

The Company Secretary is the independent custodian of governance for the Board, and as such provides dedicated support to all the members of the Board, in particular the Non-executive Directors.

The Company Secretary is a member of the Institute of Certified Secretaries (ICS) in good standing. She serves as the Secretary to the Board and all the Board Committees. The Company Secretary advises the Board and individual Directors on their fiduciary duties, corporate governance requirements and practices. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance including formulating and delivering a comprehensive induction programme for new Directors and suitable on-going training for all directors.

Board skills and experience

 See table on Page 25-26.

Legal & Compliance Audit

In 2017, we engaged CMA certified external auditors to conduct a legal & compliance audit on the Bank as required by the CMA Code of Governance. The scope for the audit covered: general corporate matters, licensing, operations, anti-bribery/anti-money laundering practices, material contracts, borrowing, property, intellectual property, insurance and litigation. There were a total of 27 findings: 14 were rated low risk (green), 9 were rated medium risk (amber) and only 4 rated high risk (red).

Among those rated medium and high risk were findings in relation to lease documents requiring complete execution, stamping or registration; licenses which had expired or not properly executed; misplaced Titles & Lease documents and outstanding land rent payments. The Management has been remediating the findings from the closure of the audit and most of the outstanding issues have been closed.

The Governance Code requires that the legal and compliance audit is conducted once every two years. Accordingly, the Bank has appointed external governance auditors to conduct a legal and compliance audit for the year 2019 which is ongoing.

How the Board operates

The Chairman is responsible for ensuring that the Board receives accurate, timely and high-quality supporting information about the company’s businesses and operations at appropriate intervals and in an appropriate manner to enable it to carry out its responsibilities and fully discharge its obligations. The Chairman, MD, CFO and the Company Secretary work together to ensure the Directors receive all such information.

The Board usually holds six (6) scheduled Board meetings per year, plus appropriate strategy, training and/or planning sessions. All Directors are expected to attend, unless there are exceptional circumstances that prevent them from doing so.

A quorum for Board meetings will consist of a majority of the members. A quorum may be reached provided the members attend, either in person, by tele or video conference.

The Board is collectively responsible for setting its own agenda. In practice, an annual calendar of Board business is developed (by the Company Secretary) with the Chairman and all Directors having the opportunity to propose further items. This provides a forward-looking indication of the items to be covered at each meeting including presentations on the company’s business and operations.

Members of the Board are entitled to vote and each member shall have one vote. The majority of votes shall decide a matter and in the event of a deadlock the Chairman shall not have a casting vote. The Chairman shall hold further engagements with the Board on the matter, should the matter still remain unresolved then external advice or other appropriate means will be used to reach agreement.

The Board continued

	Director	Status - INED/NED/ EXD	Number of Committees of Membership	Main Board	Committee 1	Committee 2
1.	Charles Muchene (C)	INED	1	✓	Corporate Governance and Nominations	
2.	Ashok Shah	INED	2	✓	Credit	Audit and Risk
3.	Japheth Olende	INED	1	✓	Credit	
4.	Patricia Ithau	INED	1	✓	Corporate Governance and Nominations	
5.	Winnie Ouko	INED	2	✓	Credit	Audit and Risk
6.	Laila Macharia	INED	2	✓	Credit	Audit and Risk
7.	Louis O. Otieno	INED	2	✓	Corporate Governance and Nomination	Audit and Risk
8.	Norah Odwesso*	INED	2	✓	Corporate Governance and Nomination	Audit and Risk
9.	Jeremy Awori	EXD/MD	1	✓	Credit	
10.	Yusuf Omari	EXD		✓		
	Summary of composition	INED	7			
		EXD	2			

C - Chairman
CFO - Chief Finance Officer
EXD - Executive Director
INED - Independent Non-Executive Director
MD - Managing Director

*Norah Odwesso resigned from the Board on July 31, 2019

	Director	Independence	Age	Tenure as at 31 December 2019 (years and months)	Nationality	Gender
1.	Charles Muchene	Independent	62	3 yrs 4 mths	Kenyan	Male
2.	Ashok Shah	Independent	71	8 yrs 6 mths	Kenyan	Male
3.	Winnie Ouko	Independent	49	5 yrs 4 mths	Kenyan	Female
4.	Patricia Ithau	Independent	54	3 yrs 10 mths	Kenyan	Female
5.	Laila Macharia	Independent	49	5 yrs 4 mths	Kenyan	Female
6.	Japheth Olende	Independent	66	2 yrs 10 mths	Kenyan	Male
7.	Louis Otieno	Independent	55	2 yrs 10 mths	Kenyan	Male
8.	Jeremy Awori	Non-Independent	49	6 yrs 11 mths	Kenyan	Male
9.	Yusuf Omari	Non-Independent	46	10 yrs 7 mths	Kenyan	Male

Board processes and outcomes

Appointments to the Board

The process for appointing new Directors to the Board is determined by the Board Corporate Governance and Nominations Committee. Newly appointed Directors will receive a letter of appointment, setting out the terms of their appointment to the Board.

New members appointed by the Board to fill a casual vacancy hold office only until the end of the first AGM to be held after the appointment of such person as a Director, unless such appointment is confirmed by shareholders at that meeting.

Non-executive Directors retire every three years at the relevant AGM. As required by the Company's Articles of Association, the CMA Code of Corporate Governance, the Company's Act, the Banking Act, the CBK Prudential Guidelines and best practice, the tenure of non-executive directors is limited to three terms.

Where a director's performance is assessed to be unsatisfactory, the Board may take appropriate remedial actions including requesting a resignation from the Board, depending on the gravity the matter.

Executive Directors are engaged on employment contracts (as with all other employees), subject to short-term notice periods. Only in exceptional circumstances will the Board consider employing any Executive Director on a fixed-term contract, but in such instance the contract may not exceed three years in duration for any one term.

Should the service/employment contract of an Executive Director terminate for whatsoever reason, his/her tenure as a Director on the Board will cease forthwith and he/she will be deemed to have resigned from the Board. Such Director may continue to act in a non-executive capacity in exceptional circumstances, subject to regulatory requirements and approval by the Board.

Board effectiveness and evaluation

The Board conducts annual effectiveness reviews in order to evaluate the performance of the Board, Board committees and individual Directors.

The performance evaluation process may differ in methodology from time to time but will normally take the form of a detailed questionnaire, supplemented by individual interviews with each of the Directors. The initial results are reported to and are discussed by the Board with the assistance of the Company Secretary or an external facilitator. A detailed action plan will then be discussed and agreed by the Board.

The Chairman will hold private meetings with each Director to discuss the results and to agree developmental areas, including training, relating to their own individual performance.

The Board appoints one of the independent Non-executive Directors to lead the process to assess the performance of the Chairman. Feedback on the Chairman's performance will be provided to such designated independent Non-executive Director, who will discuss the results privately with the other Non-executive Directors and the MD before meeting with the Chairman.

A summary of the main features of the effectiveness review including a statement of its outcome, any material matters raised and how they will be addressed may form part of the corporate governance report of the annual financial statements.

Succession Planning

The Board through the Corporate Governance and Nominations committee is responsible for considering strategic human resource, remuneration and other succession planning in respect of executive management. The Board will conduct an annual review of the succession planning in regard to key and senior management roles in the Company's business.

Conflicts of Interest

No Director is to put him/herself in a position where his/her interests conflict or may be perceived to conflict with those of the company. Directors must not accept a benefit from a third party conferred by reason of being a Director, or doing (or not doing) anything as a Director.

A Director who has a related party relationship to the client/ group/matter under discussion shall declare his/her interest in writing when such information becomes known to him/her, and thereafter from time-to-time. Such member/Director will consequently be precluded from participating in the deliberations pertaining to this matter.

There is a duty for the Directors to notify the Company Secretary in advance of any actual or potential conflicts in connection with their other directorships, shareholdings or transactions. Conflicts will be recorded in the minutes to manage as far as possible the Directors' duty to avoid conflicts. Directors are also required to complete and regularly update the conflicts register managed by the Company Secretary.

Board members are expected to observe the requirements of the Companies Act 2015 (CMA Governance Code), the Capital Markets Act Chapter 485, the Central Bank of Kenya Prudential Guidelines, the Capital Markets Authority Code of Corporate Governance Practices for Issuers of Securities to the Public 2015, the Common Law and the bank's Articles of Association as well as the requirements of their letters of appointment in dealing with disclosures of real or perceived interests, and when attending Board and Board committee meetings.

Directors are required to view the declaration of interests register circulated by the Secretary prior to each board meeting.

Continuous professional development

The Board through the Chairman and the Company Secretary seeks to ensure that its members undertake continuous professional development and training, especially in corporate governance matters, in compliance with the requirements of the CMA Governance Code. In 2019, the Board attended a three-day Board Chairmen, Audit & Remuneration Conference in Johannesburg, South Africa where emerging practices in corporate governance and other areas as well as key learnings were shared with the Board members from Absa Group.

In addition, the Board undertook training on the recent legislation in Data Protection and Privacy as well as changes in legislation in the banking sector and the impact that would have on the business. This came after the training in GDPR conducted in 2018, which forms the greater part of the Data Protection Act passed in 2019. The Board also undertook training in cyber resilience and cyber readiness in the age of cyber threat

Board processes and outcomes continued

Communication of critical concerns

The Chairman is responsible for ensuring that the Board receives accurate, timely and high-quality supporting information about the company’s businesses and operations at appropriate intervals and in an appropriate manner to enable it to carry out its responsibilities and fully discharge its obligations. The Chairman, Managing Director, Chief Finance Officer and the Company Secretary work together to ensure the Directors receive all such information.

The Chairman may meet privately with all non-executive Directors before each Board meeting to brief them on the business of the meeting and to address any concerns that they may wish to raise.

Board members are expected to participate fully, frankly and constructively in Board discussions and other activities and to bring to the Board’s table the benefit of their particular knowledge, skills and abilities. Board members who are unable to attend Board meetings shall advise the Company Secretary in writing as early as possible.

Governance objectives for 2019

- The Separation – Oversee the execution of the separation programme.
- Monitor and assess the people agenda and the culture of our organisation.
- Risk and capital management
- Technology – Automation and Digitisation
- Review the Terms of Reference for the Board Committees – Comprehensively review the Terms of Reference of the Committees to ensure alignment with the revised Board Charter.

Board activities in 2019

- Strategic plan development and review
- Assessment of management’s implementation of strategies, policies and plan
- Risk assessment and management
- Budgeting and financial management
- Quality assurance processes
- Board evaluation

Report from the Chairperson of the Corporate Governance and Nominations Committee



Charles Muchene
Chairperson

Responsibilities of the Committee Chairperson

As the Chairperson, it is my responsibility to ensure that the board exercises effective governance in compliance with the Company’s Articles of Association, the CMA Corporate Governance Code, the Companies Act and best practice. In doing so, the Committee deliberates on matters relating to the composition of the Board paying due regard to the skills required to competently discharge the Board’s duties and having regard to the strategic direction of the Bank. This includes the maintenance of a pipeline of directors and recommendation to the Board based on its priority needs and reviewing succession plans to maintain an appropriate balance of skills on the Board. The Committee’s responsibilities also include corporate governance matters such as overseeing the annual Board effectiveness reviews, receiving reports from Governance Audits, reviewing the Board’s remuneration, reviewing the Committee Terms of Reference and Board Charter, Conflicts of Interest Register and ensuring appropriate ongoing training for the Board.

As a Committee, we also have oversight of critical human resource matters within the Bank and periodically receive reports from Management on various human resource matters such as staff turnover, diversity and inclusion, productivity, union matters, reputational issues, key vacancies in senior management and staff engagement.

Summary of Committee activities

Board committee	Purpose	Composition	Quorum	Frequency of meetings
Corporate Governance and Nominations	The Committee is responsible for considering matters relating to the composition of the Board, including the recommendation of potential Directors. It also makes appropriate recommendations to the Board and reviewing succession plans to maintain an appropriate balance of skills on the Board. The Committee’s responsibilities also include corporate governance issues such as overseeing the annual Board effectiveness reviews, reviewing the Board’s remuneration, the Board Charter, Conflicts of Interest Register and ensuring appropriate on-going training for the Board. The Committee is further responsible for monitoring effective strategic implementation of key aspects of Human Resource management in the Bank.	Comprised of upto four (4) Non-executive Directors	Any two (2) Non-executive Directors	Quarterly

KPIs / targets for 2019
• Annually assess the skills required to competently discharge the Board’s duties, having regard to the agreed strategic direction of the Bank.
• Assess whether changes made to Board composition have achieved the desired outcome.
• Evaluate the balance of skills, knowledge and experience on the Board.
• Review and make recommendations to the Board, at regular intervals, and at least once a year, on proposals for Board planning over the longer term in order to maintain an appropriate balance of skills and experience and to ensure progressive refreshing of the Board. Particular attention being paid to planning in respect of the Chief Executive Officer, Chairman and other key Board positions.
• Conduct an annual performance evaluation of the effectiveness of the Board, and each committee of the Board, and the contribution of each Director.
• Maintaining a pipeline of potential directors for the Bank and its Subsidiaries.
• Ensuring compliance with key corporate governance requirements in the Company’s Articles of Association, the CMA Corporate Governance Code, the Company’s Act, the Banking Act, the CBK Prudential Guidelines and best practice.
• Review of strategic Human resource matters such as diversity and inclusion, staff turnover especially for key positions, key vacancies at CMC level, talent management, union matters among others.
• Succession planning for both Board positions in the Bank, the Subsidiary Boards and the Country Management Committee (CMC)

Report from the Chairperson of the Corporate Governance and Nominations Committee continued

Achievements in the year
Reviewed HR matters including among others, succession planning for Board and senior management, talent planning, staff engagement and Union matters.
Organised corporate governance training and continuing development for the directors of the Bank and its subsidiaries and associated companies.
Reviewed and recommended for Board's approval the Group Governance Framework in line with the King IV Code of Corporate Governance Practices.
Reviewed the format for Directors assessment of Independence to align with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 as well as enhancement of the Conflicts of Interest declaration.
Commenced the process for review of the effectiveness of the Board for the year 2019 as well as follow up on implementation of remedial actions from the previous board evaluation.
Reviewed the Board Skills Matrix as well as the composition of the Board, its Committees and the Boards of the Bank's subsidiaries and ensuring appropriate reporting by the subsidiaries to the Bank's board.
Revamped the Board Calendar of Events and Work Plan (including the Calendar of Events for the Main Board as well as each Board Committee), to ensure they were fit for purpose.
Reviewed the Committee Terms of Reference and Main Board Charter and made recommendations on areas to be enhanced.

Report from the Chairperson of the Audit and Risk Committee



Winnie Ouko
Chairperson

Chairperson's responsibilities

My key responsibilities as the Committee Chairperson are to set the committee's tone, work style and agenda to ensure that it operates effectively. This requires high quality Committee membership with an appropriate balance of skills and experience, which I manage in conjunction with the Board Chairman

We have a wide mandate covering Audit, Risk and Compliance, so I proactively manage the annual calendar of business to ensure that the Committee focuses its time on important issues, which include quality financial accounting and reporting, effective internal controls, compliance and forward risk identification and management. I seek to engage and support individual members to enhance Committee discussions to ensure that the Committee operates effectively as a team. I seek to empower all Committee members to challenge issues openly whilst preventing unnecessary acrimonious conflicts.

As part of my mandate, I periodically convene closed sessions of non-executive Committee members with external auditors to enable us to discuss any issues of concern. I am mandated to ensure the Committee's work is in accordance with best practice so that the Committee is able to discharge its duties and comply with statutory/regulatory requirements. I provide appropriate assurance to the Board on issues within its terms of reference and ensure high quality reporting to the Board on the work of the Committee, including identification of solutions to issues and concerns identified by the Committee.

In accordance with the Committee's forward-looking agenda for each meeting, the Committee received and deliberated on reports and presentations from Management on the Bank's financial statements, principal risks, regulatory compliance, whistle-blowing incidences from employees and external persons, tax issues, regulatory changes impacting the Bank and significant litigation. In addition, the Committee reviewed reports from the internal and external auditors on audit work carried out during the year.

Summary of Committee activities

Board committee	Purpose	Composition	Quorum	Frequency of meeting
Audit and Risk	The Audit and Risk Committee has direct access to the External Auditors, Internal Audit function, the Company Secretary as well as the authority to engage external professional advisors. The Board has delegated authority to undertake the following activities: - Review the contents of interim and final financial reports to ensure that the Board is satisfied with the integrity of the financial statements and particularly the key financial judgments within them. - Monitor the effectiveness of the internal control systems and regularly receive reports from the internal and external auditors as well as Management's Executive Risk Committee. - Determine the scope and adequacy of audit assignments carried out by the external and internal auditors. - Monitor the level and control of the Bank's risk profile and risk monitoring in relation to financial and business risks. The Committee pays particular attention to the risks identified in the Bank, challenges management on the appropriateness of mitigating actions and monitors their implementation. - Review reports from Management on changes in the regulatory environment and expected impact of the changes on the Bank's operations.	The Committee is composed of four Independent Non-Executive Directors.	Two Non-executive members.	It may vary from time to time, but the committee meets eight times annually.

Report from the Chairperson of the Audit and Risk Committee continued

Work of the committee during 2019

KPIs / targets for 2019	
	Approval of Full Year Results and Announcement
	Review of the Risk Management Framework
	Review the Principal Risk Policy
	Presentation of External Audit Plan
	Report on Provision of Services by the External Auditor
Achievements in the year	
	Reviewed the integrity of the Bank’s financial statements before recommending them to the Board for approval.
	Approved the external audit plan for the year-end audit.
	Approved the revised Audit Charter which guides the internal audit function of the Bank.
	Reviewed and approved the internal audit plan for the year.
	Reviewed and approved the Operational Risk Management Framework and Management Control Approach Standard.
	Received and reviewed reports on the Bank’s operational readiness with regard to IFRS 9.
	Reviewed and recommended the approval of various Compliance policies, including Research policy, Customers in Vulnerable Circumstances policy, and Market Conduct Policy.
	Initiated a deep dive into the Bank’s virtual banking product Timiza, so as to identify areas of risk and ensure effective management of the same.
	Reviewed the status of various compliance requirements and recommended appropriate actions to ensure continued full compliance in a dynamic environment.
	Reviewed reports on the management of various risks that the business faces on an ongoing basis, including: impairment, operational risk, capital, liquidity, market risk and conduct/reputational risk and approved various recommendations by Management intended to enhance the management of these risks.

Report from the Chairperson of the Credit Committee



Ashok Shah
Chairperson

Chairperson’s responsibilities

My key responsibilities as Committee Chairperson are to review and oversee the overall lending policy and credit strategy of the Bank. To delegate and review lending limits to the sanctioning arms of the Bank. To consider lending proposals beyond the discretionary limits of the Credit Risk teams and to provide guidance on non-credit risk issues which are taken into account in making sanctioning decisions. In addition, as a Committee we monitor and consider all issues that may materially impact the present and future quality of the Bank’s credit risk management. To ensure that there are effective governance and control mechanisms to manage risks associated with lending. To ensure that there are effective procedures and resources to identify and manage non-performing loans, minimise credit loss and maximise recoveries. To assist the Board to discharge its responsibility to review the quality of the Bank’s loan portfolio and ensure that adequate provisions are made for bad and doubtful debts

Summary of Committee activities

Board committee	Purpose	Composition	Quorum	Frequency of meeting
Credit	The Credit Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. The Committee has delegated authority to handle the following matters: - To form a continuing forum to discuss and review credit policy and strategy. - To ensure that the Bank remains competitive by monitoring, discussing and advising on the Bank’s credit risk appetite and tolerances in aggregate by sector and/ or product. - To ensure compliance with statutory and regulatory requirements on lending limits, capital adequacy and statutory ratios. - To provide input on political, environmental and socio-economic matters in order to ensure that all relevant non-credit risk issues are taken into account in making sanctioning decisions. - To monitor, advise on and review lending to persons and institutions that may impact on the Bank’s reputation and relationship with key stakeholders. - To monitor the overall health of the Bank’s lending book based on sector, currency, maturity and including impairments. - To monitor and give input on the strategic management of the Barclays Business Support Accounts generally and specifically as the business environment may require.	The committee has a membership of four Non-executive Directors.	Three people, two of whom must be Non-Executive Directors.	Quarterly

Report from the Chairperson of the Credit Committee

continued

Work of the committee during 2019

KPIs / targets for 2019
Discussing and reviewing credit policy and strategy.
Ensuring that the Bank remains competitive by monitoring, discussing and advising on the Bank’s credit risk appetite and tolerances in aggregate by sector and/or product.
Ensuring compliance with Statutory and Regulatory requirements on lending limits, capital adequacy and statutory ratios.
Providing input on political, environmental and socio-economic matters in order to ensure that all relevant non -credit risk issues, are taken into account in making sanctioning decisions.
Monitoring, advising on and reviewing lending to persons and institutions that may impact on the Bank’s reputation and relationship with key stakeholders.
Monitoring the overall health of the Bank’s lending book based on sector, currency, maturity and including impairments.
Monitoring and giving input on the strategic management of the Absa Business Support Accounts generally and specifically as the business environment may require.

Achievements in the year
Reviewed the Bank’s retail lending policies and policy initiatives aimed at ensuring continued growth in the retail lending book, taking into account any mitigating relevant risks.
Continued to monitor the status of the top 20 exposures on the Bank’s balance sheet.
Closely monitored the Bank’s impairment risk throughout the year and initiated a deep dive into the impairment arising from the Bank’s virtual banking product Timiza to ensure sufficient controls were in place.
Assessed the Bank’s risk appetite for significant new business deals.
Regularly reviewed the Bank’s concentration risk by industry and portfolio segments and ensured an appropriate balance was maintained.
Advised and supported Management in unlocking high value debts and reaching workable solutions with customers who found themselves in difficult financial circumstances.
Recommended approval of the Kenya Retail Credit Policy Enhancements 2019 by the Board.
Undertook a deep dive into lending to county governments and parastatals.
Reviewed and recommended the approval of various credit policies, including the Distressed Assets and Financial Distress Policies

Annexure 1

Summary of Governance Audit Findings 2019

- 1.1 The Governance Audit was based on the six (6) corporate governance pillars as set out below:

1.1.1 Board Operations;

1.1.2 Rights of Shareholders;

1.1.3 Stakeholder Relations;

1.1.4 Ethics and Social Responsibility;

1.1.5 Accountability, Risk Management and Internal Control; and

1.1.6 Transparency and Disclosure.
(together with the Pillars)
- 1.2 The Governance Audit reveals that the Bank in the year 2019 was to a significant extent compliant with the corporate governance requirements of the CMA Code. The Bank has demonstrated a high level of compliance in the following three (3) areas:

(a) Board Independence;

(b) Policies, Systems and Practices; and

(c) Ethical and Strategic Management.

1.2.2 Below is a chart illustrating the level of compliance:
- | Pillar | Very Poor | Poor | Fair | Good | Very Good |
|----------------------------------|-----------|------|------|------|-----------|
| Board Independence | 0 | 0 | 0 | 15 | 0 |
| Compliance with Laws | 0 | 0 | 0 | 0 | 0 |
| Stakeholder Value Enhancement | 0 | 0 | 0 | 0 | 0 |
| CSR | 0 | 0 | 0 | 0 | 0 |
| Ethical and Strategic Management | 0 | 0 | 0 | 0 | 0 |
| Policies Systems and Practices | 0 | 0 | 0 | 0 | 0 |
| Stakeholder Relations | 0 | 0 | 0 | 0 | 0 |
| Sustainability | 0 | 0 | 0 | 0 | 0 |
| Transparency and Disclosure | 0 | 0 | 0 | 0 | 0 |
- 1.2.3 The following were identified as the key risk areas for the Bank:

(a) **The change of control from Barclays PLC to Absa Group Limited:** The auditor was of the view that the risks posed by the change in shareholding at the Absa Group Limited level was likely to come to bear to a significant degree on the Bank’s systems, technology, independence and brand integrity. From our interviews with members of the Board and senior management, they understand that the Bank has a robust transition framework to manage these transitional risks and the general feeling among members of the Board and senior management is that the transition process and the attendant risks have been well-managed.

(b) **Cyber risk:** With increased sophistication in cyber-attacks targeting banks, the auditors consider cyber security to be a key risk area for the Bank. They noted from the interviews that the Board is paying more attention to this risk as evidenced by the on-boarding of a new director with experience in information communication technology so as to add to the Board’s capacity to consider this risk area in the Bank’s strategy formulation process.
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- Absa Bank Kenya PLC 2019 Integrated Report | 95

Annexure 1

Summary of Governance Audit Findings 2019 continued

Attendance at meetings

The attendance of Board members at various Board and committee meetings during the year under review was as follows:

Director	Main Board	Group Audit and Risk Committee	Corporate Governance and Nominations Committee	Credit Committee Meeting	Totals
Charles Muchene	8/8		4/4		12/12
Ashok Shah	8/8	7/7		4/4	19/19
Patricia Ithau	7/8		4/4		11/12
Laila Macharia	8/8	6/7		4/4	18/19
Norah Odwesso*	4/4	4/5	2/2		10/11
Winnie Ouko	7/8	7/7		4/4	18/19
Jeremy Awori	8/8			1/4	9/12
Yusuf Omari	8/8				8/8
Japheth Olende	6/8			2/2	8/10
Louis Otieno	8/8	7/7	2/2		17/17

*Norah Odwesso resigned from the Board on July 31, 2019

Directors’ remuneration report 2019

The Directors’ Remuneration Report sets out the policy that the company has applied to remunerate executive and non-executive Directors. The report has been prepared in accordance with the relevant provisions of the CMA Code of Corporate Governance and the requirements of the Kenyan Companies Act, 2015 and the Companies (General) (Amendment) (No.2) Regulations, 2017.

This report covers the remuneration governance arrangements and the 2019 outcomes for the Executive Directors and Non-Executive Directors.

Shareholder engagement

The Directors remuneration report and policy as at 31 December 2018 was subjected to approval by shareholders during the 40th Annual General Meeting held on 29 May 2019. The shareholders unanimously approved the Directors remuneration report.

The 2019 Directors Report will be subjected to the shareholders for approval in the 2020 Annual General Meeting.

Fair and responsible remuneration

Our remuneration principles and practices are designed to deliver remuneration that is competitive and fair, incentivises performance, assists in retaining talent, reflects regulatory requirements and is aligned with risks as well as the conduct expectations of the Group. The Board is acutely aware of the need to deliver value to shareholders and to pay for performance and takes this into account when considering management’s remuneration.

Fair remuneration is:

- Impartial, free from discrimination, prejudice, favouritism or self-interest;
- Rational (not subject to emotion); and
- Purposeful in addressing unfair remuneration differentials.

The Board considers executive remuneration alongside the broader colleague population remuneration to ensure fairness and consistency across the entity. Where practical, the Board monitors the remuneration paid by our third-party service providers to ensure that it is fair.

Responsible remuneration is:

- Approved within appropriate levels of authority;
- Subject to independent oversight;
- Linked to positive outcomes and value creation; and
- Sustainable.

The organisation seeks to ensure appropriate and reasonable alignment between reward, risk and conduct, and that remuneration is in line with the Bank’s values and does not encourage inappropriate risk.

In support of fair and responsible remuneration:

- Our Remuneration Review Panel, a sub-committee of the Executive Committee at Absa Group makes recommendations for approval to the Remuneration Committee on adjustments to incentive pools, individual awards as well as malus adjustments and clawback in the event of conduct or ethical issues arising that impact or are impacted by remuneration; and
- We analyse pay differentials across the colleague population and establish the reasons for these. Where disparities exist that are not based on objective criteria (such as seniority, role content, experience, performance), we take steps to address these.

Achievements in the year

Our reward philosophy underpins our growth strategy, entrepreneurial culture and risk management approach. Its objective is to direct the efforts of our colleagues in delivering our strategy of creating sustainable value for all our stakeholders in a fair and responsible way.

Our reward principles

1. **Attract, retain and engage high calibre individuals** who have the skills, ambition and talent to deliver our strategy
2. **Support the realisation of our Stakeholder promises**, with specific focus on rewarding our people for the achievement of our strategy within our risk appetite relative to performance and investor returns
3. **Align the long-term interests of our Executives and Investors**, by ensuring remuneration outcomes are aligned to the value we create in the short and long term and are transparent. Specific emphasis on increasing longer term incentives for senior and executive staff aligned to market practice
4. **Pay for performance**, by aligning incentive outcomes to performance and value created. Within this, we apply deferrals, and malus and clawback provisions to ensure effective alignment of risk and reward within the context of Group performance outcomes and to discourage inappropriate behaviour.
5. **Drive our culture** of being entrepreneurial, while taking ownership and accountability for responsible, sustainable business growth and success: We aim to do this by:
 - Ensuring that all colleagues share in the company’s success, differentiated on the basis of their contribution, in both the short and long term
 - Ensuring our people’s ethical behaviours, values and adherence to our Risk Management principles are recognised in their performance ratings
6. **Continuously build confidence and trust** in our reward outcomes through high quality reward governance, disclosure and engagement with our Investors as well as internal transparency and effective communication
7. **Deliver fair and responsible remuneration**, through annual reviews and disclosure of pay gap metrics, and decisions that influence our most junior employees to ensure dignified

Directors’ remuneration report 2019 continued

Performance Management

Performance management must be fair and have a strong developmental focus. Each colleague agrees to a set of objectives and measures of success against which they are assessed, taking into account both what is delivered and how it is delivered.

This ensures a balance between the achievement of performance objectives and conduct, culture and values. Rating outcomes are subject to a consistency review process to ensure fairness and alignment with overall business performance.

Performance ratings for our Executive directors are subject to oversight by the Group Remuneration Committee. Individual performance ratings are used as a key input to fixed remuneration, short term and Long–terms incentives.

Where in a full-year individual performance falls below expectations, colleagues are ineligible to receive short-term incentive awards. We aim to continuously improve our colleagues’ performance management experience and to build on the success of performance coaching initiatives to assist with colleague development.

2019 elements of remuneration

We deliver on our growth strategy and create shareholder value by ensuring retention and high performance of top quality colleagues. We aim to apply a common remuneration framework and structure across the Bank. While targeting a market median position on total remuneration, we aim to pay above the market median for our top performers and critical skills. Market positioning is reviewed relative to appropriate market benchmarks, to ensure that outliers, either above or below the overall target market positioning receive attention. This is in line with our commitment to competitive, fair and responsible remuneration and to improve overall consistency in our remuneration practice. Remuneration that is not aligned to market levels can be addressed over time by, among other actions, above-average increases in fixed remuneration or slowing or stopping fixed pay progression for above market positioning. Our remuneration mix post regulatory deconsolidation and the removal of role-based pay comprises fixed remuneration (total guaranteed package), short-term incentives (cash and deferred, where deferral applies) and long-term incentives (where applicable) in the form of performance shares.

Long-term incentives

Long-term incentive awards, in the form of performance shares, may be awarded to eligible senior colleagues based on criteria set by the Remuneration Committee and in accordance with the Policy from time to time. These awards are subject to Group performance conditions which apply over a minimum performance period of three financial years, and a continued employment condition.

2019 long-term incentives

The performance conditions for the 2019 long-term incentive award granted in March 2019 were based on the Group’s medium term financial targets:

- 1. Grow our revenue faster, on average, than the Kenyan banking sector from 2019 to 2021, with an improving trend over time and within appropriate risk appetite parameters;
- 2. Given this growth and continued cost management, we aim to consistently reduce our normalised cost-to-income ratio to reach the low 50s by 2021; and
- 3. We aim to achieve a normalised Group return on equity of 18% to 20% by 2021, while maintaining an unchanged dividend policy.

In developing the performance conditions the following were considered:

- Creating a strong link between long-term incentives and our medium-term market commitments, and in turn to long-term investor returns;
- Linking incentives to overall organisational health covering people, customer and control;
- Applying long-term remuneration principles comparable to our peers; and
- Promoting a balance between colleagues and shareholder value.

Awards made in 2019 vested subject to fulfilment of the performance conditions and continued employment:

- (i) in equal proportions on the 3rd, 4th and 5th anniversaries from the date of grant for Executive Committee members, and
- (ii) on the 3rd anniversary from the date of grant for other participants.

Dividend equivalents on unvested long-term incentive awards (to the extent that these are included in the awards) were not be paid until, and to the extent that, awards vest. These were included into the original award at time of vesting. Through the application of these principles and by setting appropriately stretching targets, we have aligned to our pay for performance philosophy, ensuring the promotion of shareholder value creation. Awards will only vest at stretch levels in cases of significant outperformance relative to the financial targets.

Implementation of Remuneration Policy for Financial Year 2019

Executive Directors’ Remuneration

Executive Directors are remunerated in accordance with the company’s staff remuneration policy. They receive remuneration appropriate to their scope of responsibility and contribution to operating and financial performance, taking into account industry norms, external market and country benchmarks.

The determination of the pay is based on the established salary scale. The remuneration of Executive Directors consists of fixed and variable components that are designed to ensure a substantial portion of the remuneration package is linked to the achievement of the company’s strategic objectives thereby aligning incentives awarded to the creation of sustainable shareholder value.

Executive Directors’ contracts and termination arrangements

The appointment dates for current Executive Directors are as follows:

Name	Date of appointment	Type of Contract	Notice Period
Jeremy Awori	1 February 2013	Permanent	Six (6) months
Yusuf Omari	1 June 2009	Permanent	Three (3) months

Remuneration

The total Executive Directors’ remuneration adjustments in 2019 were, majorly, informed by the overall performance and external market competitiveness.

In the year under review, the executive remuneration for the executive directors was as follows compared to 2018:

Jeremy Awori, Chief Executive Officer	2019	2018
Base Salary	35 120 217	34 263 621
Retirement Benefits (Pension Contribution by Employer)	3 512 022	3 449 847
Other Colleague Benefits	31 296 019	26 396 639
Total Fixed Remuneration	69 928 258	64 110 107
Cash Bonus Award (Non-deferred)	35 371 116	24 557 733
Deferred Cash Value Plan (CVP) Award	5 878 591	6 200 000
Deferred Share Value Plan (SVP) Award	4 347 004	6 200 969
Total Variable Remuneration	45 596 711	36 958 702
Total Remuneration (Cost to Company)	115 524 969	101 068 809

Yusuf Omari, Chief Financial Officer	2019	2018
Base Salary	25 589 343	22 884 129
Retirement Benefits (Pension Contribution by Employer)	2 558 934	2 304 098
Other Colleague Benefits	7 475 759	7 407 185
Total Fixed Remuneration	35 624 036	32 595 412
Cash Bonus Award (Non-deferred)	16 500 000	14 750 966
Deferred Cash Value Plan (CVP) Award	1 387 531	-
Deferred Share Value Plan (SVP) Award	1 116 716	3 388 458
Total Variable Remuneration	19 004 247	18 139 424
Total Remuneration (Cost to Company)	54 628 283	50 734 836

Directors’ remuneration report 2019 continued

Long-term Incentive Plan and Restricted Share Awards

The following table details the long-term Incentive Plan and restricted share awards made to executive directors in previous year and the Special Incentive Award in 2019:

	Special Incentive		Restricted Share Awards		Long Term Incentive Plan	
	2019	2018	2019	2018	2019	2018
Jeremy Awori	-	9 302 218	-	-	36 948 945	-
Yusuf Omari	-	-	-	-	13 715 630	-

Non-Executive Directors’ Remuneration

We consider the following when setting the fees for our non-executive directors:

- Benchmark against the fees paid by our large banking competitors.
- General level of inflationary increase applied to our employee.
- Time commitment expected from our Directors.

Non-executive directors do not have employment contracts with the Company and therefore do not participate in any of the Company’s incentive plans. The Directors’ remuneration is however reviewed every two years based on Group policy by taking into account the factors listed above. The last review was done in 2018

The annual fees payable to non-executive directors were not revised during the year. The fees remained the same as 2018 and are set out as follows:

	2019		2018	
	Chairman	Member	Chairman	Member
Board of Directors	7,392,000	2,464,000	7,392,000	2,464,000
Audit Committee	985,600	492,800	985,600	492,800
Credit Committee	739,200	369,600	739,200	369,600
Corporate Governance and Nominations Committee	N/A*	369,600	N/A*	369,600

**The Corporate Governance and Nominations Committee is chaired by the Chairman of the Board and there are no additional fees paid for this responsibility. The table below provides a summary of total emoluments paid to non-executive directors in the year 2019 compared to 2018.*

Non-Executive Directors

Non-Executive Directors	Date of Appointment	Total Emoluments 2019	Total Emoluments 2018
		Shs	Shs
Charles Muchene	22 August 2016	7 392 000	7 392 000
Ashok Shah	July 2011	4 065 600	4 065 600
Winnie Ouko	August 2014	3 819 200	3 819 200
Laila Macharia	August 2014	3 326 400	3 326 400
Patricia Ithau	23 February 2016	4 483 600	4 346 100
Japheth Olende	7 March 2018	4 114 000	3 514 500
Louis Otieno	7 March 2018	2 956 800	2 310 000
Norah Odwesso *	August 2014	1 940 400	3 326 400
TOTAL		32 098 000	32 100 200

*(Resigned 31 July 2019)

Statement regarding compliance with remuneration policy

The Board’s responsibility under this policy is oversight and through its Corporate Governance and Nominations Committee, has satisfied itself that the remuneration policy as detailed in the 2019 remuneration report was complied with, and there were no substantial deviations from the policy during the year.

Approval of Remuneration Report by the Board of directors

This remuneration report was approved by the Board of Directors on 23 March 2020.



Charles Muchene
Chairman



Financial review

Consolidated and separate financial statements

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Report of the Directors

The Directors submit their report together with the audited financial statements for the year ended 31 December 2019 in accordance with Section 22 of the Banking Act and Section 650(1) of the Kenyan Companies Act 2015 which discloses the state of affairs of Absa Bank Kenya PLC (the “Company”/“Bank”) and its subsidiaries (together the “Group”).

Company registration number	C.18208	
Country of incorporation and domicile	Kenya	
Nature of business and principal activities	The Company is registered as a bank under the Banking Act. The Group is engaged in the business of banking and the provision of related services.	
Directors	The Directors who served during the year and to date of this report are	
	C K Muchene	Chairman
	JH Awori*	Managing Director
	YK Omari*	Chief Financial Officer
	AKM Shah	
	WA Ouko	
	LN Macharia	
	PE Ithau	
	JO Olende	
	LO Otieno	
	NC Odwesso	(Resigned 31 July 2019)
	*Executive Directors	
Registered office	Absa Headquarters Waiyaki Way PO Box 30120 - 00100 Nairobi	
Parent company	Absa Group Limited	
Auditors	Ernst and Young LLP 1st Floor, Kenya Re Towers Upper Hill P.O. Box 44286 – 00100 Nairobi	
Company secretary	Loise Gakumo	
Dividend	An interim dividend of Shs 0.20 (2018: Shs 0.20) was paid during the year amounting to Shs. 1 086 million (2018 Shs 1 086 million). The directors recommend the approval of a final dividend for the year ended 31 December 2019 of Shs 0.90 (2018: Shs 0.90) for every ordinary share amounting to Shs 4 888 million (2018: Shs 4 888 million) to be paid in the year 2020.	

Report of the Directors

Results/Business review	Group		Bank	
	2019	2018	2019	2018
Summary results	Shs'million	Shs'million	Shs'million	Shs'million
Profit for the year	7 456	7 416	7 161	7 144
Total comprehensive income	7 139	7 711	6 839	7 437
Taxation	(3 296)	(3 230)	(3 167)	(3 106)
Dividends declared and paid				
-Interim declared and paid	(1 086)	(1 086)	(1 086)	(1 086)
-Final proposed	(4 888)	(4 888)	(4 888)	(4 888)
Net assets	45 189	44 206	44 079	43 393

The financial results of the Group and the Bank are as set out within this document. A summary has been included above. The principle risks and uncertainties facing the Group and Bank as well as the risk management framework are outlined in Note 41 of the Consolidated and Bank financial statements.

Authorised and issued share capital There were no changes to the authorised or issued share capital for the year under review. The share capital is disclosed in Note 34.

Events after the reporting date The estimates and judgements applied to determine the financial position at 31 December 2019, most specifically as they relate to the calculation of impairment of loans and advances, were based on a range of forecast economic conditions as at that date. The outbreak of coronavirus has resulted in disruption to business activity globally and recent market volatility, since mid-January 2020. The impact of coronavirus will be closely monitored and assessed for its impact on the business.

The Bank rebranded to Absa Bank Kenya PLC post year end in line with overall Group's separation programme from Barclays Bank Plc.

The directors are not aware of any other events (as defined per IAS 10 Events after the Reporting Period) after the reporting date of 31 December 2019 and the date of authorization of these consolidated annual financial statements.

Auditors The Company's auditors, Ernst and Young LLP were appointed in 2019 and have indicated their willingness to continue in office in accordance with Section 721 (2) of the Kenyan Companies Act, 2015 and Section 24 (1) of the Banking Act.

Going concern The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern.

Relevant audit information The Directors in office at the date of this report confirm that:

(i) There is no relevant audit information of which the Company's auditor is unaware; and

(ii) Each Director has taken all the steps that they ought to have taken as a Director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Approval of financial statements The financial statements were approved and authorised for issue by the Board of Directors on 23 March 2020.


Company Secretary
Loise Gakumo

Statement of Directors’ responsibilities

The directors are responsible for overseeing the preparation, integrity and objectivity of the annual financial statements that fairly present the state of the affairs of Absa Bank Kenya PLC (“the Bank”/ “the company”) and its subsidiaries (together the “Group”) at the end of the financial year and the net income and cash flows for the reporting period, and other information contained in this report.

To enable the directors to meet these responsibilities:

- › All directors and employees endeavour to maintain the highest ethical standards in ensuring the company’s business is conducted in a manner that in all reasonable circumstances is above reproach;
- › The board sets standards and management implements systems of internal control and accounting and information systems aimed at providing reasonable assurance that both on and off statement of financial position assets are safeguarded and the risk of error, fraud or loss is reduced in a cost-effective manner. These controls, contained in established policies and procedures, include the proper delegation of responsibilities and authorities within a clearly defined framework, effective accounting procedures and adequate segregation of duties;
- › The board and management identify all key areas of risk across the company and endeavour to mitigate or minimise these risks by ensuring that appropriate infrastructure, controls, systems and discipline are applied and managed within predetermined procedures and constraints;
- › The internal audit function, which operates unimpeded and independently from operational management, appraises, evaluates and, when necessary, recommends improvements to the systems of internal control and accounting practices, based on audit plans that take cognisance of the relative degrees of risk of each function or aspect of the business; and
- › The internal auditors play an integral role in matters relating to financial and internal control, accounting policies, reporting and disclosure.

To the best of their knowledge and belief, based on the above, the directors are satisfied that no material breakdown in the operation of the systems of internal control and procedures has occurred during the year under review.

The Kenyan Companies Act, 2015 requires the directors to prepare the financial statement for each financial year which give a true and fair view of the financial position of the Group at the end of the financial year and its profit or loss for the year then ended. The directors are responsible for ensuring that the Group keeps proper accounting records that are sufficient to show and explain the transactions of the Group; disclose with reasonable accuracy at any time the financial position of the Group; and that enables them to prepare financial statements of the Group and Company that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act, 2015. They are also responsible for safeguarding the assets of the Group and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Bank consistently adopts appropriate and recognised accounting policies and these are supported by reasonable and prudent judgements and estimates on a consistent basis. The financial statements of the company have been prepared in accordance with the provisions of the Kenyan Companies Act, 2015 and comply with International Financial Reporting Standards (IFRS) and all applicable legislation.

The directors accept responsibility for the preparation and presentation of these consolidated and separate financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015.

They also accept responsibility for:

- i. designing, implementing and maintaining internal controls as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- ii. selecting suitable accounting policies and then applying them consistently; and
- iii. making judgements and accounting estimates that are reasonable in the circumstances

The directors have no reason to believe that the company will not be a going concern in the reporting period ahead, based on forecasts and available cash resources. These financial statements have accordingly been prepared on this basis.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

The Group and Company financial statements as indicated above were approved and authorised for issue by the board of directors. The directors’ report on pages 104 to 105 and the financial statements of the company which appear on pages 111 to 213 were approved and authorised for issue by the board of directors on 23 March 2020.



Charles Muchene
Chairman



Jeremy Awori
Managing Director

Independent Auditors’ report



To the Shareholders of Absa Bank Kenya PLC (Formerly Barclays Bank of Kenya Limited)

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of Absa Bank Kenya PLC (formerly, Barclays Bank of Kenya Limited) (‘the Bank’) and its Subsidiaries (together ‘the Group’) set out on pages 111 to 213, which comprise the consolidated and separate statements of financial position as at 31 December 2019, and the consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the Group and the Bank as at 31 December 2019, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor’s Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of our report. We are independent of the Group and the Bank in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other matter

The financial statements of the Group for the year ended 31 December 2018, were audited by another auditor who expressed an unmodified opinion on those statements on 08 March 2019.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current year. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our descriptions of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor’s Responsibilities for the Audit of the Consolidated and Separate Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated and separate financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated and separate financial statements.

Independent Auditors’ report

Key audit matters (continued)	
Key audit matter	How our audit addressed the key audit matter
<u>Expected credit losses on financial assets, including off balance sheet amounts</u> The expected credit loss (ECL) allowances for loans and advances are significant in the context of the financial statements due to their magnitude and the significant level of judgement required in determining the value of the allowances. We have identified the audit of the ECL allowances as a key audit matter. We focussed on the following areas of significant judgement and estimation: • Modelled ECL provisions A significant portion of ECL is calculated on a modelled basis. The development and execution of these models requires significant management judgement, including estimation of the probability of default (PD); exposure at default (EAD) and loss given default (LGD) model parameters. We also considered the completeness and accuracy of data inputs into the models. • Estimation and application of multiple forward-looking macro-economic scenarios These scenarios are incorporated into the modelled ECL estimation based on modelled correlations to the ECL model parameters. The scenario forecasts are provided by Absa’s group economics unit. • Post model adjustments Adjustments are applied to ECL model outputs where the models are unable to fully incorporate factors which impact on the ECL. • Evaluation of significant increases in credit risk (SICR) Absa assesses SICR based on the current risk of default of an account relative to its risk of default at origination. This is assessed utilising these key measures: - Relative PD movements - Qualitative indicators of heightened customer default risk - Individual exposure early watch list classifications (wholesale portfolios) • Stage 3 ECL provisions assessed on an individual basis A significant portion of loans and advances are assessed for recoverability on an individual basis, primarily in the Corporate, Investment Bank and Business Bank portfolios. Significant judgements, estimates and assumptions are applied by management to: - Determine if the financial asset is impaired; - Evaluate the valuation and recoverability of collateral; - Determine the expected future cash flows to be collected; and - Estimate the timing of the future cash flows. The disclosure associated with Credit Risk is set out in the financial statements in Note 3.1 on critical accounting judgements and key sources of estimation uncertainty, Note 41.2 on credit risk, and Notes 16, 19, 20, 21, 22 and 30 on impairment disclosures.	Our audit testing included the following procedures in addressing the key audit matter. We evaluated the IFRS 9 accounting policies, and the appropriateness of the disclosures for credit risk and ECL methodologies applied, and compared these to the requirements of IFRS 9: Financial Instruments. We obtained an understanding of management’s process over credit origination, credit monitoring and credit remediation and tested the relevant controls identified within these processes. • Modelled ECL provisions With the assistance of our credit risk quantitative specialists, we assessed the design and implementation of the ECL models, including assessing the significant assumptions applied with reference to the requirements of IFRS 9. We assessed the appropriateness of the models through reperformance and testing of management’s monitoring and validation controls. We also traced a sample of data inputs back to source. • Estimation and application of multiple forward-looking macro-economic scenarios With assistance from our economics specialists, we assessed the appropriateness of the macro-economic forecasts by benchmarking these against external evidence and economic data. Through our model reperformance, we tested the incorporation of the forecasts into the models. We performed sensitivity analyses on the forecasts to assess the reasonability impact of the scenarios on the modelled ECL. • Post model adjustments We assessed the data, assumptions and judgements applied by management when estimating the post model adjustments. We recalculated a sample of post-model adjustments. • Evaluation of significant increases in credit risk (SICR) We assessed the appropriateness of Absa’s SICR methodologies and calibrations and, with the assistance of our credit risk quantitative specialists, reperformed stage allocations for a sample of portfolios and individual exposures. • Stage 3 ECL provisions assessed on an individual basis We tested management’s processes and judgements used to determine whether specific exposures are credit impaired, including the completeness and reasonability of these assessments. Our procedures focused on assessing the reasonability of the estimate of the amount and timing of expected future cash flows used in measuring ECL. We performed the following for a sample of stage 3 exposures: - Where exposures are collateralised, we tested Absa’s legal right to the collateral, as well as the reasonability of the valuation of the collateral. Where management has utilised specialists, we assessed controls related to their competence and objectivity. - Where future cash flows are estimated based on a valuation of the loan counterparty’s underlying business, we tested these valuations with reference to available market information and counterparty specific information. We utilised our valuation specialists for a sample of more complex assessments.

Independent Auditors’ report

Key audit matters (continued)

Separation from Barclays Plc Barclays PLC reduced its shareholding in Absa Group Limited, the parent company of Absa Bank Kenya PLC, from 62.3% to 14.9% in 2016/2017. Following this announcement, a program was instituted to facilitate the replacement of systems and capabilities to successfully separate from Barclays PLC. This program involved investment and implementation of projects which will eliminate service dependency on Barclays PLC. This program also involved migration of the core banking application from the United Kingdom to South Africa and rebranding from Barclays to Absa. There was the migration of systems hosted by Barclays PLC to Absa Group Limited and resultant changes in the control environment and activities. The separation is disclosed in Note 48 to the financial statements. We considered this to be a key audit matter because of the significance of changes to information technology systems and financial reporting processes that impact on financial statement balances.	Our audit procedures included the following: • We gained an understanding of the impact of the separation on the control environment and activities of the Group and tested the design and operation of key controls relating to this. • We involved our Information Technology (IT) audit specialists to understand and test the IT general controls, including managing access, managing change and IT operations in order to assess the changes to the IT environment resulting from the migration of hosting of systems. They also tested IT application controls as part of this assessment, with a focus on risk to the financial statements. • In addition, we assessed the adequacy of the disclosures in the financial statements.
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Other information

The directors are responsible for the other information. The other information comprises Corporate Information, the Report of the Directors as required by the Kenyan Companies Act, 2015 and the Directors’ Remuneration Report, which we obtained prior to the date of this report, and the Annual Report, which is expected to be made available to us after that date. Other information does not include the consolidated and separate financial statements and our auditor’s report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor’s report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the contents of the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matters to the directors.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and the Bank or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for overseeing the Group and the Bank’s financial reporting processes.

Auditors’ responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

Independent Auditors' report

Auditors' responsibilities for the audit of the consolidated and separate financial statements (continued)

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group and the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group and the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated and separate financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current year and are therefore key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that:

- in our opinion, the information given in the report of the directors on pages 104 to 105 is consistent with the consolidated financial statements; and,
- in our opinion, the auditable part of directors' remuneration report on page 97 and 101 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Allan Gichuhi practicing certificate number 1899.

Ernst & Young

Nairobi, Kenya

23 March 2020



Consolidated statement of comprehensive income

for the reporting period ended 31 December 2019

	Notes	2019 Shs'million	2018 Shs'million
Interest and similar income	5	31 024	29 061
Interest expense and similar charges	6	(7 845)	(7 069)
Net interest income		23 179	21 992
Fee and commission income	7	6 885	6 711
Fee and commission expense	7	(764)	(1 086)
Net fee and commission income		6 121	5 625
Net trading income	8	4 179	4 045
Other operating income	9	289	32
Total income		33 768	31 694
Impairment losses on financial instruments	10	(4 201)	(3 871)
Net operating income		29 567	27 823
Employee benefits	11	(10 679)	(9 921)
Infrastructure costs	12	(975)	(1 263)
Administration and general expenses	13	(5 698)	(4 794)
Depreciation of property and equipment	25	(1 070)	(792)
Amortisation of intangible assets	26	(393)	(407)
Operating expenses		(18 815)	(17 177)
Profit before tax		10 752	10 646
Income tax expense	14	(3 296)	(3 230)
Profit for the year		7 456	7 416
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Re-measurement of defined benefit	28	(99)	23
Deferred income tax	29	30	(7)
		(69)	16
Items that may be reclassified subsequently to profit or loss:			
Movement in fair value of debt instruments designated at FVOCI			
Fair value gains arising during the reporting period	19	(355)	398
Deferred income tax	29	107	(119)
		(248)	279
Total other comprehensive (loss)/profit for the year, net of tax		(317)	295
Total comprehensive income for the year, net of tax		7 139	7 711
Earnings per share			
Basic (Shillings per share)	15	1.37	1.37

Bank statement of comprehensive income

for the reporting period ended 31 December 2019

	Notes	2019 Shs'million	2018 Shs'million
Interest and similar income	5	30 987	29 052
Interest expense and similar charges	6	(7 861)	(7 092)
Net interest income		23 126	21 960
Fee and commission income	7	6 299	6 191
Fee and commission expense	7	(764)	(1 086)
Net fee and commission income		5 535	5 105
Net trading income	8	4 179	4 045
Other operating income	9	304	32
Total income		33 144	31 142
Impairment losses on financial instruments	10	(4 199)	(3 871)
Net operating income		28 945	27 271
Employee benefits	11	(10 512)	(9 794)
Infrastructure costs	12	(964)	(1 242)
Administration and general expenses	13	(5 678)	(4 786)
Depreciation of property and equipment	25	(1 070)	(792)
Amortisation of intangible assets	26	(393)	(407)
Operating expenses		(18 617)	(17 021)
Profit before tax		10 328	10 250
Income tax expense	14	(3 167)	(3 106)
Profit for the year		7 161	7 144
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Re-measurement of defined benefit	28	(99)	23
Deferred income tax	29	30	(7)
		(69)	16
Items that may be reclassified subsequently to profit or loss:			
Movement in fair value of debt Instruments designated at FVOCI			
Fair value gains arising during the reporting period	19	(361)	396
Deferred income tax	29	108	(119)
		(253)	277
Total other comprehensive (loss)/profit for the year, net of tax		(322)	293
Total comprehensive income for the year, net of tax		6 839	7 437
Earnings per share			
Basic (Shillings per share)	15	1.32	1.32

Consolidated statement of financial position

for the reporting period ended 31 December 2019

	Notes	2019 Shs'million	2018 Shs'million
Assets			
Cash and balances with Central Bank of Kenya	16	28 808	23 531
Loans and advances to banks	20	3 803	6 572
Financial assets at fair value through profit or loss	17	43 774	29 708
Derivative financial instruments	18	921	473
Financial assets at fair value through other comprehensive income	19	79 221	63 230
Due from group companies	46	8 704	9 126
Loans and advances to customers	21	194 895	177 354
Other assets and prepaid expenses	22	7 687	9 879
Current income tax	37	425	-
Non-current assets held for sale	24	47	65
Property and equipment	25	2 843	2 272
Other intangible assets	26	618	878
Prepaid operating lease rentals	27	35	45
Deferred income tax	29	3 123	2 180
Total assets		374 904	325 313
Equity and liabilities			
Liabilities			
Deposits from banks	31	4 083	5 308
Derivative financial instruments	18	1 535	1 019
Due to group companies	46	64 350	51 938
Deposits from customers	32	237 739	207 408
Current income tax	37	-	25
Borrowings	33	7 628	5 096
Other liabilities and accrued expenses	30	14 380	10 313
Total liabilities		329 715	281 107
Capital and reserves			
Share capital	34	2 716	2 716
Retained earnings	35	37 095	35 885
Fair value reserve	35	281	529
Share-based payment reserve	35	209	188
Proposed dividends	47	4 888	4 888
Total equity		45 189	44 206
Total equity and liabilities		374 904	325 313

The financial statements on pages 111 to 213 were approved and authorised for issue by the Board of Directors on 23 March 2020 and signed on its behalf by:


Chairman: **Charles Muchene**


Chief Financial Officer: **Yusuf Omari**


Managing Director: **Jeremy Awori**


Company Secretary: **Loise Gakumo**

Bank statement of financial position

for the reporting period ended 31 December 2019

	Notes	2019 Shs'million	2018 Shs'million
Assets			
Cash and balances with Central Bank of Kenya	16	28 808	23 531
Loans and advances to banks	20	3 803	6 572
Financial assets at fair value through profit or loss	17	43 774	29 708
Derivative financial instruments	18	921	473
Financial assets at fair value through other comprehensive income	19	78 785	63 120
Due from group companies	46	9 204	9 541
Loans and advances to customers	21	194 895	177 354
Other assets and prepaid expenses	22	7 614	9 806
Investment in subsidiaries	23	373	363
Current income tax	37	292	-
Non-current assets held for sale	24	47	65
Property and equipment	25	2 843	2 272
Other intangible assets	26	539	831
Prepaid operating lease rentals	27	35	45
Deferred income tax	29	3 097	2 155
Total assets		375 030	325 836
Equity and liabilities			
Liabilities			
Deposits from banks	31	4 083	5 308
Derivative financial instruments	18	1 535	1 019
Due to group companies	46	65 061	52 891
Deposits from customers	32	238 291	207 726
Current income tax	37	-	96
Borrowings	33	7 628	5 096
Other liabilities and accrued expenses	30	14 353	10 307
Total liabilities		330 951	282 443
Capital and reserves			
Share capital	34	2 716	2 716
Retained earnings	35	35 990	35 072
Fair value reserve	35	276	529
Share-based payment reserve	35	209	188
Proposed dividends	47	4 888	4 888
Total equity		44 079	43 393
Total equity and liabilities		375 030	325 836

The financial statements on pages 111 to 213 were approved and authorised for issue by the Board of Directors on 23 March 2020 and signed on its behalf by:


Chairman: **Charles Muchene**


Managing Director: **Jeremy Awori**


Chief Financial Officer: **Yusuf Omari**


Company Secretary: **Loise Gakumo**

Consolidated statement of changes in equity

for the reporting period ended 31 December 2019

	Share Capital Shs'million	Fair value reserve Shs'million	Share-based payment reserve Shs'million	Retained profit Shs'million	Proposed Dividends Shs'million	Total equity Shs'million
Balance at 1 January 2018	2 716	250	195	36 592	4 345	44 098
Impact of adopting IFRS 9, net of tax	-	-	-	(2 142)	-	(2 142)
Restated opening balance under IFRS 9	2 716	250	195	34 450	4 345	41 956
Profit for the year	-	-	-	7 416	-	7 416
Other comprehensive income for the year	-	279	-	16	-	295
Total comprehensive income for the year	-	279	-	7 432	-	7 711
Recognition of share-based payments	-	-	(7)	-	-	(7)
Final dividend for 2017 paid	-	-	-	-	(4 345)	(4 345)
Interim dividend 2018 paid	-	-	-	(1 086)	-	(1 086)
Proposed final dividend for 2018	-	-	-	(4 888)	4 888	-
Prior year adjustment (Note 29)	-	-	-	(23)	-	(23)
Balance at 31 December 2018	2 716	529	188	35 885	4 888	44 206
Balance at 1 January 2019	2 716	529	188	35 885	4 888	44 206
Impact of adopting IFRS 16, net of tax (Note 4)	-	-	-	(200)	-	(200)
Restated opening balance under IFRS 16	2 716	529	188	35 685	4 888	44 006
Profit for the year	-	-	-	7 456	-	7 456
Other comprehensive loss for the year	-	(248)	-	(69)	-	(317)
Total comprehensive income for the year	-	(248)	-	7 387	-	7 139
Recognition of share-based payments	-	-	21	-	-	21
Final dividend for 2018 paid	-	-	-	-	(4 888)	(4 888)
Interim dividend 2019 paid	-	-	-	(1 086)	-	(1 086)
Proposed final dividend for 2019	-	-	-	(4 888)	4 888	-
Prior year adjustment	-	-	-	(3)	-	(3)
Balance at 31 December 2019	2 716	281	209	37 095	4 888	45 189

Bank statement of changes in equity

for the reporting period ended 31 December 2019

	Share Capital Shs'million	Fair value reserve Shs'million	Share-based payment reserve Shs'million	Retained profit Shs'million	Proposed Dividends Shs'million	Total equity Shs'million
Balance at 1 January 2018	2 716	250	195	36 052	4 345	43 558
Impact of adopting IFRS 9, net of tax	-	-	-	(2 142)	-	(2 142)
Restated opening balance under IFRS 9	2 716	250	195	33 910	4 345	41 416
Profit for the year	-	-	-	7 144	-	7 144
Other comprehensive income for the year	-	277	-	16	-	293
Total comprehensive income for the year	-	277	-	7 160	-	7 437
Recognition of share-based payments	-	-	(7)	-	-	(7)
Final dividend for 2017 paid	-	-	-	-	(4 345)	(4 345)
Interim dividend 2018 paid	-	-	-	(1 086)	-	(1 086)
Proposed final dividend for 2018	-	-	-	(4 888)	4 888	-
Prior year adjustment (Note 29)	-	2	-	(24)	-	(22)
Balance at 31 December 2018	2 716	529	188	35 072	4 888	43 393
Balance at 1 January 2019	2 716	529	188	35 072	4 888	43 393
Impact of adopting IFRS 16, net of tax (Note 4)	-	-	-	(200)	-	(200)
Restated opening balance under IFRS 16	2 716	529	188	34 872	4 888	43 193
Profit for the year	-	-	-	7 161	-	7 161
Other comprehensive loss for the year	-	(253)	-	(69)	-	(322)
Total comprehensive income for the year	-	(253)	-	7 092	-	6 839
Recognition of share-based payments	-	-	21	-	-	21
Final dividend for 2018 paid	-	-	-	-	(4 888)	(4 888)
Interim dividend 2019 paid	-	-	-	(1 086)	-	(1 086)
Proposed final dividend for 2019	-	-	-	(4 888)	4 888	-
Balance at 31 December 2019	2 716	276	209	35 990	4 888	44 079

Consolidated statement of cash flows

for the reporting period ended 31 December 2019

	Notes	2019 Shs'million	Restated 2018 Shs'million
Cash flows from operating activities			
Cash used in operations	36	(11 520)	(1 316)
Interest received		28 466	27 222
Interest paid		(6 400)	(5 615)
Income taxes paid	37	(4 471)	(3 504)
Net cash generated from operating activities		6 075	16 787
Cash flows from investing activities			
Payments for property and equipment	25	(1 711)	(428)
Proceeds from disposal of property and equipment		130	4
Payments for intangible assets	26	(136)	(126)
Net cash used in investing activities		(1 717)	(550)
Cash flows from financing activities			
Proceeds from borrowings		2 532	-
Dividends paid to owners of the company	38	(5 974)	(5 431)
Net cash used in financing activities		(3 442)	(5 431)
Net increase in cash and cash equivalents		916	10 806
Cash and cash equivalents at the beginning of the year		19 215	8 409
Cash and cash equivalents at the end of the year¹	39	20 131	19 215

¹ Prior year numbers have been restated, refer to note 39 for further details

Bank statement of cash flows

for the reporting period ended 31 December 2019

	Notes	2019 Shs'million	Restated 2018 Shs'million
Cash flows from operating activities			
Cash used in operations	36	(11 726)	(1 458)
Interest received		28 430	27 212
Interest paid		(6 400)	(5 615)
Income taxes paid	37	(4 273)	(3 378)
Net cash generated from operating activities		6 031	16 761
Cash flows from investing activities			
Payments for property and equipment	25	(1 711)	(428)
Proceeds from disposal of property and equipment		130	4
Payments for intangible assets	26	(104)	(103)
Net cash used in investing activities		(1 685)	(527)
Cash flows from financing activities			
Proceeds from borrowings		2 532	-
Dividends paid to owners of the company	38	(5 974)	(5 431)
Net cash used in financing activities		(3 442)	(5 431)
Net increase in cash and cash equivalents		904	10 803
Cash and cash equivalents at the beginning of the year		19 198	8 395
Cash and cash equivalents at the end of the year¹	39	20 102	19 198

¹ Prior year numbers have been restated, refer to note 39 for further details

Summary of accounting policies

for the reporting period ended 31 December

1. General information and statement of compliance

Absa Bank Kenya PLC (the “Bank”/“the Group”) is a public limited company, incorporated and domiciled in Kenya. Its shares are listed on the Nairobi Securities Exchange. The address of its registered office is:

Absa Headquarters
Waiyaki Way
PO Box 30120 00100
Nairobi

The annual financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB) and the interpretations issued by the International Financial Reporting Interpretations Committee of the IASB (IFRIC) and the requirements of the Kenyan Companies Act, 2015, as amended.

For the Kenyan Companies Act, 2015 reporting purposes, the balance sheet is represented by the statement of financial position and profit or loss account by the statement of comprehensive income in these financial statements.

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the Group operates) which is the Kenya Shilling.

The consolidated and separate financial statements are presented in millions of Kenya Shilling (Shs'million), the presentation currency of the Group.

2. Significant accounting policies

The significant accounting policies applied in the preparation of these annual consolidated and separate financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Adoption of new and revised accounting standards

During the current year, the Group has adopted all of the new and revised standards and interpretations issued by the IASB and the IFRIC that are relevant to its operations and effective for annual reporting periods beginning on 1 January 2019. This is the first set of the Group’s annual financial statements in which IFRS 16 Leases has been applied. For details of the new and revised accounting policies refer to Note 50.

2.2 Basis of preparation

The consolidated and separate financial statements have been prepared under the historical cost convention modified to include the fair valuation of particular financial instruments to the extent required or permitted under IFRS as set out in the relevant accounting policies.

The annual financial statements have been prepared on the basis of accounting policies applicable to a going concern.

The Group presents its statement of financial position in order of liquidity based on the Group’s intention and perceived ability to recover/settle the majority of assets/liabilities of the corresponding financial statement line item. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 42.

Financial assets and financial liabilities are generally reported gross in the consolidated statement of financial position except when IFRS netting criteria are met.

2.3 Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Bank and its subsidiaries (together the “Group”). Control is achieved when the Bank is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

When assessing whether it has power over an investee and therefore controls the variability of its returns, the Bank considers all relevant facts and circumstances, including:

- The purpose and design of the investee
- The relevant activities and how decisions about those activities are made and whether the Bank can direct those activities
- Contractual arrangements such as call rights, put rights and liquation rights
- Whether the Bank is exposed or has rights, to variable returns from its involvement with the investee and has power to affect the variability of such returns

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.3 Basis of consolidation (continued)

The Bank will only consider potential voting rights that are substantive when assessing whether it controls another entity. In order for the right to be substantive, the holder must have the practical ability to exercise that right.

Subsidiaries (including controlled structured entities) are fully consolidated from the date on which control is transferred to the Bank. A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction. If the Bank loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, NCI and other components of equity, while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value at the date of loss of control.

Income and expenses of subsidiaries acquired or disposed during the year are included in the statement of profit or loss from the effective date of acquisition and up to the effective date of loss of control, as appropriate. Total comprehensive income of subsidiaries is attributed to the owners of the Bank and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other members of the Group.

All intra-group transactions, balances, income and expenses are eliminated in full on consolidation. A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction.

2.4 Non-current assets held for sale

Non-current assets (or disposal group's comprising assets and liabilities) that are expected to be recovered primarily through sale rather than through continuing use, are classified as held for sale. This condition is regarded as met only when the sale is highly probable and the non-current asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale and an active programme to locate a buyer and complete the plan must have been initiated. The sale should be expected to qualify for recognition as a completed sale within one year from the date of classification. Immediately before classification as held for sale, the assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount or fair value, less cost to sell. Any impairment loss on a disposal group is first allocated to reduce goodwill and then to remaining assets and liabilities on a pro rata basis, except that no loss is allocated to financial assets, deferred tax assets, investment properties, insurance assets and employee benefit assets, which continue to be measured in accordance with the Group's accounting policies.

Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss until finally sold.

Property, equipment and intangible assets, once classified as held for sale, are not depreciated or amortised.

When the Group is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the Group will retain a non-controlling interest in its former subsidiary after the sale.

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of their previous carrying amount and fair value less costs to sell.

2.5 Revenue recognition

Net interest income

Interest revenue and interest charges which are calculated using the effective interest method are separately presented in the statement of comprehensive income. Effective interest on loans and advances at amortised cost and debt instruments at fair value through other comprehensive income, as well as the interest expense on financial liabilities held at amortised cost, are calculated using the effective interest rate method. The EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset or liability or, when appropriate, a shorter period, to the gross carrying amount of the financial asset. The EIR (and therefore, the amortised cost of the financial asset) is calculated by taking into account transaction costs and any discount or premium on acquisition of the financial asset, as well as fees and costs that are an integral part of the EIR. This results in the allocation of interest, and direct and incremental fees and costs, over the expected lives of the assets and liabilities.

The effective interest rate method requires the Group to estimate future cash flows, in some cases based on its experience of customers' behaviour, considering all contractual terms of the financial instrument, as well as the expected lives of the assets and liabilities. Due to the large number of products and types (both assets and liabilities), there are no individual estimates that are material to the results or financial position.

The Group also presents as part of net interest income, albeit separate from effective interest income and effective interest expense, other interest income and other interest charges, which are not calculated on the effective interest method.

Interest income/expense on all trading financial assets/liabilities is recognised as part of the fair value change in net trading income.

The Bank calculates interest income on financial assets, other than those considered credit-impair, by applying the EIR to the gross carrying amount of the financial assets.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.5 Revenue recognition (continued)

When a financial asset becomes credit-impaired and is therefore regarded as 'Stage 3', the Bank calculates interest income by applying the EIR to the net amortised cost of the financial asset. If the financial asset cures and is no longer credit-impaired, the Bank reverts to calculating interest income on a gross basis.

For purchased or originated credit-impaired (POCI) financial assets, the Bank calculates interest income by calculating the credit-adjusted EIR and applying that rate to the amortised cost of the financial asset. The credit-adjusted EIR is the interest rate that, at initial recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost of the POCI financial asset.

Net trading income

Trading positions are held at fair value and the resulting gains and losses are included in profit or loss, together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

Income arises from both the sale and purchase of trading positions, margins which are achieved through market-making and customer business and from changes in fair value caused by movements in interest and exchange rates, equity prices and other market variables.

Gains or losses on assets or liabilities reported in the trading portfolio are included in profit or loss under net trading income together with interest and dividends arising from long and short positions and funding costs relating to trading activities.

Net fee and commission income

Net fee and commission income is calculated by subtracting fee and commission charges from fee and commission income. Fee and commission income relates to revenue earned for the rendering of services and is recognised net of any trade discounts, volume rebates and amounts received on behalf of third parties, such as value added taxes. When the Bank is acting as an agent, amounts collected on behalf of the principal are not income. Only the net commission retained by the Bank is, in this case, recognised as income.

Under IFRS 15 Revenue from Contracts with Customers, entities are required to recognise revenue in a manner which depicts the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Fees and commission income earned in respect of services rendered are recognised on an accrual basis when the service is rendered. Fees earned on the execution of a significant act are recognised when the significant act has been completed.

Fee and commission expenses are expenses which are connected to the generation of fee and commission income. Operating expenses that happen to take the form of a fee payment are recognised within 'Operating expenditure', or other appropriate line item based on the nature of the cost.

2.6 Foreign currencies

In preparing the consolidated annual financial statements, transactions in currencies other than the functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Differences arising on settlement or translation of monetary items are recognised in profit or loss with the exception of monetary items that are designated as part of the hedge of the Group's net investment in a foreign operation. These are recognised in OCI until the net investment is disposed of, at which time, the cumulative amount is reclassified to profit or loss. Tax charges and credits attributable to exchange differences on those monetary items are also recognised in OCI.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e. translation differences on items whose fair value gain or loss is recognised in OCI or profit or loss are also recognised in OCI or profit or loss, respectively).

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.7 Employee benefits

Staff costs

Short-term employee benefits, including salaries, accrued performance costs, salary deductions and taxes are recognised over the reporting period in which the employees provide the services to which the payments relate. Performance costs are recognised to the extent that the Group has a present obligation to its employees that can be measured reliably and are recognised on an undiscounted basis over the period of service that employees are required to work to qualify for the services.

Defined benefit scheme

The Group recognises its obligation (determined using the projected unit credit method) to members of the scheme at the reporting date, less the fair value of the scheme assets. Scheme assets are stated at fair value as at the reporting date. Costs arising from regular pension cost, interest on net defined benefit liability or asset, past service cost settlements or contributions to the plan are recognised in profit or loss.

All actuarial gains and losses are recognised immediately through OCI in order for the net defined benefit scheme asset or liability recognised in the statement of financial position to reflect the full value of the plan surplus or deficit, taking into account the asset ceiling.

Re-measurements comprise experience adjustments (differences between previous actuarial assumptions and what has actually occurred) and the effects of changes in actuarial assumptions.

Interest is calculated by applying the discount rate to the opening net defined liability or asset, taking into account any changes in the net defined liability or asset during the period as a result of contribution and benefit payments.

Gains and losses on curtailments are recognised when the curtailment occurs, which may be when a demonstrable commitment to a reduction in benefits, or reduction in eligible employees, occurs. The gain or loss comprises any change in the present value of the obligation and the fair value of the assets. Where a scheme's assets exceed its obligation, an asset is recognised to the extent that it does not exceed the present value of future contribution holidays or refunds of contributions.

Defined contribution scheme

The Group operates a defined contribution scheme for majority of its employees. The assets of the scheme are held in a separate trustee administered fund which is funded by contribution from both the Group and employees. The Group and its employees also contribute to the National Social Security Fund as determined by local statutes.

The Group recognises contributions due in respect of the reporting period in profit or loss. Any contributions unpaid at the reporting date are included as a liability.

2.8 Share-based payments

The Group operates equity-settled and cash-settled share-based payment plans.

Employee services settled in equity instruments

The cost of the employee services received in respect of the shares or share options granted is recognised in profit or loss, with a corresponding increase in equity, over the period that employees provide services, generally the period in which the award is granted or notified and the vesting date of the shares or options. The overall cost of the award is calculated using the number of shares and options expected to vest and the fair value of the shares or options at the date of grant.

The number of shares and options expected to vest takes into account the likelihood that performance and service conditions included in the terms of the awards will be met. Failure to meet non-vesting condition is treated as a cancellation, resulting in an acceleration of recognition of the cost of the employee services.

The fair value of shares is the market price ruling on the grant date, in some cases adjusted to reflect restrictions on transferability. The fair value of options granted is determined using option pricing models to estimate the numbers of shares likely to vest. These take into account the exercise price of the option, the current share price, the risk-free interest rate, the expected volatility of the share price over the life of the option and other relevant factors. Market conditions that must be met in order for the award to vest are also reflected in the fair value of the award, as are any other non-vesting conditions.

Employee services settled in cash

The fair value of the amount payable to employees in terms of a cash-settled share-based payment is recognised as an expense, with a corresponding increase in liabilities, over the vesting period. The liability is re-measured at each reporting date and at settlement date. Any changes in the fair value of the liability are recognised as staff costs in profit or loss. No amount is recognised for services received if the awards granted do not vest because of a failure to satisfy a vesting condition.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.9 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current taxation

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the consolidated statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible.

Income tax payable on taxable profits ("current taxation") is recognised as an expense in the reporting period in which the profits arise.

Income tax recoverable on tax allowable losses is recognised as a current tax asset only to the extent that it is regarded as recoverable by offset against taxable profits arising in the current or prior reporting period. Current tax is measured using tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Deferred taxation

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred income tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred income tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

Deferred income tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred income tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred income tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred tax

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

Value added tax (VAT)

Revenues, expenses and assets are recognised net of the amount of VAT, except:

- where the VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the VAT is recognised as part of the asset or expense; and
- receivables and payables that are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

Levies and similar charges

The Group recognises the liability arising from levies and similar charges when it becomes legally enforceable (i.e., when the obligating event arises) which is on 31 December each year.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.10 Property and equipment

Property, plant and equipment is stated at cost, which includes direct and incremental acquisition costs less accumulated depreciation and provisions for impairment, if required. Subsequent costs are capitalised if these result in an enhancement to the asset. All other repair and maintenance costs are recognised in profit or loss as incurred.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Land and buildings comprise mainly of branches and offices. Freehold land is not depreciated.

Useful lives of property and equipment	Useful lives Years
Property and equipment	
Buildings;	
Leases over 50 years	50
Leases under 50 years	Over the remaining life
Rented premises	6
Freehold buildings	50
Leasehold improvements	Over the remaining lease period
Fixtures, fittings and equipment	5
Motor vehicles	5

2.11 Intangible assets

Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Intangible assets

Flexcube (Core banking application)	10
Other	5

De-recognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from de-recognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

2.12 Impairment of tangible and intangible assets (excluding goodwill)

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

An asset’s recoverable amount is the higher of an asset’s or CGU’s fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.13 Provisions, contingent liabilities and undrawn commitments

Provisions

Provisions for legal claims or restructuring are recognised when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

Contingent liabilities

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events, and present obligations where the transfer of economic resources is uncertain or cannot be reliably measured. Contingent liabilities are not recognised on the statement of financial position but are disclosed unless the outflow of economic resources is remote.

Undrawn commitments

Under IFRS 9, the ECL calculated on financial guarantees and letters of credit are presented as provisions on the statement of financial position. In the case of undrawn loan commitments, the inherent credit risk is managed and monitored by the Bank together with the drawn component as a single exposure. The EAD on the entire facility is therefore used to calculate the cumulative ECL. As a result, the total ECL is recognised in the ECL allowance in respect of the financial asset unless the total allowance exceeds the gross carrying amount of the financial asset. If this is the case, the excess ECL is recognised as a provision on the face of the statement of financial position.

2.14 Financial instruments

2.14.1 Initial recognition of financial assets and financial liabilities

The Group recognises financial assets and liabilities when it becomes party to the terms of the contract, which is the trade date or the settlement date. All financial instruments are measured initially at fair value plus/minus transaction costs, except in the case of financial assets and liabilities recorded at fair value through profit or loss, where transaction costs are expensed upfront.

2.14.2 Day one profits or losses

On initial recognition, it is presumed that the transaction price is the fair value unless there is observable information available in an active market to the contrary. The best evidence of an instrument’s fair value on initial recognition is typically the transaction price. However, if fair value can be evidenced by comparison with other observable current market transactions in the same instrument, or is based on a valuation technique whose inputs include only data from observable markets then the instrument should be recognised at the fair value derived from such observable market data. When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Group recognises the difference between the transaction price and fair value in net trading income.

For valuations that have made use of significant unobservable inputs, the difference between the model valuation and the initial transaction price (Day one profit) is recognised in profit or loss either on a straight-line basis over the term of the transaction, or over the reporting period until all model inputs will become observable where appropriate, or released in full when previously unobservable inputs become observable.

2.14.3 Classification and measurement of financial instruments

On initial recognition, the Group classifies its financial assets into the following measurement categories:

- Amortised cost;
- Fair value through other comprehensive income; or
- Fair value through profit or loss;

The classification and subsequent measurement of financial assets depends on:

- The business model within which the financial assets are managed; and
- The contractual cash flow characteristics of the asset (that is, whether the cash flows represent solely payments of principal and interest).

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.14 Financial instruments (continued)

2.14.3 Classification and measurement of financial instruments (continued)

Business model assessment:

The business model reflects how the Group manages the financial assets in order to generate cash flows and returns. The Group makes an assessment of the objective of a business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The factors considered in determining the business model include (i) how the financial assets’ performance is evaluated and reported to management, (ii) how the risks within the portfolio are assessed and managed and (iii) the frequency, volume, timing for past sales, sales expectations in future periods, and the reasons for such sales. The Group reclassifies debt instruments when, and only when, the business model for managing those assets changes. Such changes are highly unlikely and therefore expected to be very infrequent.

Assessment of whether contractual cash flows are solely payments of principal and interest (SPPI):

In making the assessment of whether the contractual cash flows have SPPI characteristics, the Group considers whether the cash flows are consistent with a basic lending arrangement. That is, the contractual cash flows recovered must represent solely the payment of principal and interest. Principal is the fair value of the financial asset on initial recognition. Interest typically includes only consideration for the time value of money and credit risk but may also include consideration for other basic lending risks and costs, such as liquidity risk and administrative costs, together with a profit margin. Where the contractual terms include exposure to risk or volatility that is inconsistent with a basic lending arrangement, the cash flows would not be considered to be SPPI and the assets would be mandatorily measured at fair value through profit or loss, as described below. In making the assessment, the Group considers, inter alia, contingent events that would change the amount and timing of cash flows, prepayment and extension terms, leverage features, terms that limit the Group’s claim to cash flows from specified assets (e.g. non-recourse asset arrangements), and features that modify consideration of the time value of money (e.g. tenor mismatch). Contractual cash flows are assessed against the SPPI test in the currency in which the financial asset is denominated.

2.14.3.1 Debt Instruments:

Debt instruments are those instruments that meet the definition of a financial liability from the issuer’s perspective, such as loans and government and corporate bonds. The Group classifies its debt instruments as follows:

- Amortised cost - Financial assets are classified within this measurement category if they are held within a portfolio whose primary objective is the collection of contractual cash flows, where the contractual cash flows on the instrument are SPPI, and that are not designated at fair value through profit or loss. These financial assets are subsequently measured at amortised cost where interest is recognised as effective interest within interest and similar income using the effective interest rate method. The carrying amount is adjusted by the cumulative expected credit losses recognised.
- Fair value through other comprehensive income - This classification applies to financial assets which meet the SPPI test, and are held within a portfolio whose objectives include both the collection of contractual cash flows and the selling of financial assets.

These financial assets are subsequently measured at fair value with movements in the fair value recognised in other comprehensive income, with the exception of interest income, expected credit losses and foreign exchange gains and losses that are recognised within profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to Net trading income in profit or loss. Interest income from these financial assets is included as effective interest within Interest and similar income using the effective interest rate method.

- Fair value through profit or loss - Financial assets that do not meet the criteria for amortised cost or fair value through other comprehensive income are mandatorily measured at fair value through profit or loss. Gains and losses on these instruments are recognised in gains and losses from banking and trading activities in profit or loss. The Group may also irrevocably designate financial assets that would otherwise meet the requirements to be measured at amortised cost or at fair value through other comprehensive income, as at fair value through profit or loss, if doing so would eliminate or significantly reduce an accounting mismatch that would otherwise arise. These will be subsequently measured at fair value through profit or loss with gains and losses recognised as gains and losses from banking and trading activities or gains and losses from investment activities in profit or loss.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.14 Financial instruments (continued)

2.14.3 Classification and measurement of financial instruments (continued)

2.14.3.2 Financial liabilities

Most financial liabilities are held at amortised cost. That is, the initial fair value (which is normally the amount borrowed) is adjusted for premiums, discounts, repayments and the amortisation of coupon, fees and expenses to represent the effective interest rate of the liability. Most financial liabilities are held at amortised cost, in accordance with the effective interest rate method.

Financial liabilities classified as held for trading are subsequently measured at fair value through profit or loss, with changes in fair value being recognised in profit or loss.

A financial liability may be designated at fair value through profit or loss if (i) measuring the instrument at fair value eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from measuring assets or liabilities or recognising the gains and losses on them on different bases; or (ii) if the instrument belongs to a group of financial assets or financial liabilities that are managed on a fair value basis, in accordance with a documented risk management or investment strategy. Own credit gains or losses arising from the valuation of financial liabilities designated at fair value through profit or loss are recognised in other comprehensive income and are not subsequently recognised in profit or loss.

2.14.3.3 Derivatives

Derivative instruments are contracts whose value is derived from one or more underlying financial instruments or indices defined in the contract. They include swaps, forward rate agreements, futures, options and combinations of these instruments and primarily affect the Bank’s net interest income, net trading income, and derivative assets and liabilities.

The Group enters into a variety of derivative financial instruments to manage its exposure to interest rate and foreign exchange rate risks, including foreign exchange forward contracts, interest rate swaps and cross currency swaps.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship.

Derivatives embedded in non-derivative host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts and the host contracts are not measured at FVTPL.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.14 Financial instruments (continued)

2.14.3 Classification and measurement of financial instruments (continued)

2.14.3.3 Derivatives

The Group classifies the financial instruments into classes that reflect the nature of information and take into account the characteristics of those financial instruments. The classification made can be seen in the table below:

Category (as defined by IFRS 9)		Class (as determined by the Group)		Subclasses
Financial assets	Fair value through profit or loss (FVPL)	Financial assets held for trading	Investment in debt securities	
			Derivative assets	
	Amortised cost	Loans and advances to banks		
		Due from group companies		
		Loans and advances to customers	Loans to individuals	Overdrafts
				Credit cards
				Term loans
				Mortgages
			Loans to corporate entities	Large corporate customers
				SMEs
	Others			
	Items in course of collection			
	Cash and balances with Central Bank of Kenya			
	Fair value through other comprehensive income (FVOCI)	Investment in debt securities		
Financial liabilities	Financial liabilities at amortised cost	Deposits from banks		
		Deposits from customers	Retail customers	-
			Large corporate customers	-
			SMEs	-
		Items in course of collection		
		Borrowings		
		Due to group companies		
		Other liabilities		
Off-balance sheet financial instruments	Loan commitments			
	Guarantees, acceptances and other financial liabilities			

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.14 Financial instruments (continued)

2.14.4 Expected credit losses on financial assets

The Group recognises ECL based on unbiased forward-looking information. ECL is recognised on all financial assets measured at amortised cost, lease receivables, debt instruments measured at fair value through other comprehensive income, loan commitments not measured at fair value and financial guarantee contracts not measured at fair value.

The Group uses a mixed approach to impairment where parameters are modelled at an individual financial instrument level or on a portfolio basis when they are only evident at this higher level. A collective approach will only be carried out when financial instruments share similar risk characteristics, which could include factors such as instrument type, collateral type, industry, geography and credit risk ratings. Credit losses are the present value of the difference between:

- all contractual cash flows that are due to an entity in accordance with the contract; and
- all the cash flows that the entity expects to receive.

Three-stage approach to ECL

IFRS 9 requires entities to recognise ECL based on a stage allocation methodology, with such categorisation informing the level of provisioning required. The ECL allowance calculated on stage 1 assets reflects the lifetime losses associated with events of default that are expected to occur within 12 months of the reporting date (hereafter referred to as 12-month ECL). Assets classified within stage 2 and stage 3 carry an ECL allowance calculated based on the lifetime losses associated with defaults that are expected to occur over the lifetime of the exposure (hereafter referred to as lifetime ECL). In determining the forecast credit losses over the duration of an exposure, recoveries expected to be received post the designated point of write-off are excluded.

Interest is calculated on stage 1 and stage 2 assets based on the gross carrying amount of the asset, whilst interest income on stage 3 assets is calculated based on the net carrying value (that is, net of the credit allowance).

The stage allocation is required to be performed as follows:

- Stage 1:

This stage comprises exposures which are performing in line with the Group’s credit expectations as at the date of origination. That is to say, the credit exposures which are assigned to stage 1 have not experienced a significant increase in credit risk since the date of initial recognition. Financial assets that are not purchased or originated with a credit impaired status are required to be classified on initial recognition within stage 1. Exposures which were previously classified within stage 2 or stage 3, may also cure back to stage 1 in line with the Group’s credit risk management cure criteria. Whilst the standard does permit an accounting policy election to classify low credit risk assets within stage 1, such election has not been made by the Group.
- Stage 2:

Exposures are required to be classified within stage 2 when a significant increase in credit risk is observed, although the exposure is not yet credit impaired. The assessment of whether an exposure should be transferred from stage 1 to stage 2, is a relative measure, where the credit risk at the reporting date is compared to the risk that existed at initial recognition. The factors which trigger a reclassification from stage 1 to stage 2 have been defined so as to meet the specific requirements of IFRS 9, and in order to align with the Group’s credit risk management practices. These factors have been set out in note 41.2. Stage 2 assets are considered to be cured (i.e. reclassified back into stage 1), when there is no longer evidence of a significant increase in credit risk, and in accordance with the Group’s credit risk management cure criteria. The definition of high risk is, from a credit management perspective, central to controlling the flow of exposures back to stage 1 and gives effect to any cure periods deemed necessary.

For these exposures lifetime expected credit losses should be recognised (i.e. credit losses from default events that are possible over the life of the instrument). The Group will assess whether a significant increase in credit risk has occurred based on (i) qualitative drivers including being marked as high risk or reflected on management’s watch list; and (ii) quantitative drivers such as the change in the asset’s cumulative weighted average lifetime probability of default (PD). Any exposure that is more than 30 days past due will also be included in this stage.
- Stage 3:

Credit exposures are classified within stage 3 when they are credit impaired, which is defined in alignment to the regulatory definition of default which includes unlikelihood to pay indicators as well as any assets that are more than 90 days past due. An instrument is credit impaired when there is objective evidence of impairment at the reporting date. Purchased or originated credit impaired lending facilities are classified on origination within stage 3. Defaulted assets are considered to be cured once the original event triggering default no longer applies, and the defined probation period (that is, the required consecutive months of performance) has been met.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.14 Financial instruments (continued)

2.14.4 Expected credit losses on financial assets (continued)

Expected credit loss calculation

The measurement of expected credit losses must reflect:

- › an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- › the time value of money (represented by the effective interest rate); and
- › reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions

Expected credit losses comprise the unbiased probability weighted credit losses determined by evaluating a range of possible outcomes and considering future economic conditions. Expected credit losses are calculated (for both 12 month-ECL and lifetime losses) as a function of the exposure at default (EAD); PD and loss given default (LGD). These terms are interpreted as follows per the requirements of IFRS 9:

- › EAD is the estimated amount at risk in the event of a default (before any recoveries) including behavioural expectation of limit usage by customers in the various stages of credit risk.
- › PD is the probability of default at a particular point in time, which may be calculated, based on the defaults that are possible to occur within the next 12 months; or over the remaining life; depending on the stage allocation of the exposure.
- › LGD is the difference between the contractual cash flows due and the cash flows expected to be received, discounted to the reporting date at the effective interest rate. The expectation of cash flows take into account cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms. The estimate reflects the amount and timing of cash flows expected from the enforcement of collateral less the costs of obtaining and selling the collateral. The collection of any cash flows expected beyond the contractual maturity of the contract is also included.

Lifetime of financial instruments

For exposures in stage 2 and stage 3, the maximum lifetime over which expected credit losses should be measured, is the maximum contractual period over which the Group is exposed to credit risk. The Group estimates cash flows by considering all contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) through the expected life of that financial instrument. In rare cases when it is not possible to reliably estimate the expected life of a financial instrument, the Group use the remaining contractual term of the financial instrument.

Certain credit exposures include both a drawn and an undrawn component and the Group’s contractual ability to demand repayment and cancel the undrawn commitment does not limit the exposure to credit losses to the contractual notice period. In this case, expected credit losses are measured over the period that the Group is exposed to credit risk, even if that period extends beyond the maximum contractual period. Within the Group, this applies to overdrafts, credit cards and other revolving products. These contracts are cancellable at very short notice and they have no fixed term but credit may continue to be extended for a longer period and may only be withdrawn after the credit risk of the borrower increases, which could be too late to prevent losses. For these types of products the expected life is based on the behavioural life, i.e. the period over which there is exposure to credit risk which is not expected to be mitigated by credit actions (e.g. limit decreases) even though the contract permits immediate limit decrease.

Forward looking information

Forward-looking information is factored into the measurement of expected losses through the use of multiple expected macro-economic scenarios that are either reflected in estimates of PD and LGD for material portfolios; or adjusted through expert credit judgement where the effects could not be statistically modelled.

Write -off

The gross carrying amount of a financial asset shall be directly reduced (that is, written off)) when the entity has no reasonable expectations of recovering it in its entirety, or a portion thereof. A write-off constitutes a derecognition event for accounting purposes. Depending on the nature of the account, balances are written off when:

- › There has been less than one qualifying payment received within the last 12 months; or
- › It is no longer economically viable to keep the debt on the statement of financial position.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.14 Financial instruments (continued)

2.14.4 Expected credit losses on financial assets (continued)

Write -off (continued)

A qualifying payment, for use in the write-off assessment, is defined as the minimum monthly contractual payment due.

Indicators which suggest that an account is not economically viable to retain on the statement of financial position are as follows (but do not represent an exhaustive list):

- › The exposure is unsecured, i.e. there is no tangible security the Group can claim against (excluding suretyships);
- › The debt has prescribed;
- › The exposure would attract reputational risk should the Group pursue further legal action due to the valuation/exposure ratio, for example where the exposure is low and the valuation is very high in relation to the low exposure; and
- › Where the cost to recover is high in relation to the valuation of the asset, for example legal, realisation and safe-guarding cost and rates and taxes.

Under IFRS 9, the Group applies the write-off assumptions consistently at both an individual account level and on a collective modelling basis. This means that the Group’s LGD model includes only the present value of forecast recoveries on a pool of loans up until the designated point of write-off. Recoveries of amounts previously written off are recognised as an ECL gain in the statement of comprehensive income as and when the cash is received.

2.14.5 De-recognition of financial instruments

De-recognition of financial assets

In the course of its normal banking activities, the Group makes transfers of financial assets, either legally (where legal rights to the cash flows from the asset are passed to the counterparty) or beneficially (where the Group retains the rights to the cash flows but assumes a responsibility to transfer them to the counterparty). Depending on the nature of the transaction, this may result in derecognition of the assets in their entirety, partial derecognition or no derecognition of the assets subject to the transfer.

Full derecognition only occurs when the rights to receive cash flows from the asset have been discharged, cancelled or have expired, or the Group transfers both its contractual right to receive cash flows from the financial assets (or retains the contractual rights to receive the cash flows, but assumes a contractual obligation to pay the cash flows to another party without material delay or reinvestment) and substantially all the risks and rewards of ownership, including credit risk, prepayment risk and interest rate risk. When an asset is transferred, in some circumstances, the Group may retain an interest in it (continuing involvement) requiring the Group to repurchase it in certain circumstances for other than its fair value on that date.

De-recognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified (taking into account both quantitative and qualitative factors), such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss. Where the terms of an existing liability are not substantially modified, the liability is not derecognised. Costs incurred on such transactions are treated as an adjustment to the carrying amount of the liability and are amortised over the remaining term of the modified liability.

On derecognition of a financial instrument, any difference between the carrying amount thereof and the consideration received is recognised in profit or loss.

2.14.6 Modification of financial assets and financial liabilities

Modification of financial assets

With the implementation of IFRS 9 there are new disclosure requirements for modifications. The assessment of whether a modification to a financial asset results in derecognition or not, is relevant as it impacts the assessment of the initial credit risk of a financial asset against which any subsequent significant deterioration in credit risk would be assessed. The Group assesses modifications to financial assets in the following manner:

A loan modification is a permanent change to one or more of the terms of the loan. Enforcing or adopting terms that were present in the original terms of the facility is not a modification. The treatment of a renegotiation or modification of the contractual cash flows of a financial asset depend on whether the modification is done for commercial reasons or because of financial difficulty of the borrower.

- › Contractual modifications on commercial terms are treated as a new transaction resulting in derecognition of the original financial asset and the recognition of a ‘new’ financial asset. Any difference between the carrying amount of the derecog-nised asset and the fair value of the new asset is recognised in profit or loss.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.14 Financial instruments (continued)

2.14.6 Modification of financial assets and financial liabilities)

Modification of financial assets (continued)

- When the Group modifies the contractual conditions due to financial difficulties of the borrower, the asset is not derecognised unless the terms of the contract are substantively changed (such as the inclusion of an equity participation or a substantial change in counterparty). If the asset is not substantially modified, then the gross carrying amount of the financial asset is recalculated to be the present value of the modified cash flows discounted at the original EIR and any gain or loss is recognised in profit or loss as part of the total impairment loss.

Modification of financial liabilities

Where an existing financial liability is replaced by another from the same party on substantially different terms, or the terms of an existing liability are substantially modified (taking into account both quantitative and qualitative factors), such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognised in profit or loss.

Where the terms of an existing liability are not substantially modified, the liability is not derecognised. Costs incurred on such transactions are treated as an adjustment to the carrying amount of the liability and are amortised over the remaining term of the modified liability.

2.14.7 Financial guarantee contracts

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument. Financial guarantee contracts are initially recognised in the financial statements at fair value at the date that the guarantee was given.

Other than where the fair value option is applied subsequent to initial recognition, the entity’s liabilities under such contracts are measured at the higher of the initial measurement, less amortisation calculated to recognise in profit or loss any fee income earned over the reporting period, and the amount of the loss allowance expected from the guarantee at the reporting date. Any increase in the liability relating to guarantees is recognised in profit or loss. For financial guarantee contracts the cash shortfalls are future payments to reimburse the holder for a credit loss that it incurs less any amounts that the entity would expect to receive from the holder, the debtor or any other party.

2.14.8 Loan commitments

The Group enters into commitments to lend to its customers subject to certain conditions. Such loan commitments are made either for a fixed period, or are cancellable by the Group subject to notice conditions.

Loan commitments are measured with reference to the quantum of ECL required to be recognised. In the case of undrawn loan commitments, the inherent credit risk is managed and monitored by the Bank together with the drawn component as a single exposure. The EAD on the entire facility is therefore used to calculate the cumulative ECL. As a result, the total ECL is recognised in the ECL allowance in respect of the financial asset unless the total allowance exceeds the gross carrying amount of the financial asset. If this is the case, the excess ECL is recognised as a provision on the face of the statement of financial position.

2.14.9 Credit enhancement: Collateral valuation

To mitigate its credit risks on financial assets, the Bank seeks to use collateral, where possible. The collateral comes in various forms, such as cash, securities, letters of credit/guarantees, receivables, other non-financial assets and credit enhancements such as netting agreements.

Cash flows expected from credit enhancements which are not required to be recognised separately by IFRS standards and which are considered integral to the contractual terms of a debt instrument which is subject to ECL, are included in the measurement of those ECL. On this basis, the fair value of collateral affects the calculation of ECL. Collateral is generally assessed, at a minimum, at inception and re-assessed on a regular basis.

To the extent possible, the Bank uses active market data for valuing both financial and non-financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral are valued based on data provided by third parties and other independent sources.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.15 Letters of credit acceptances

Letters of credit arise in two ways:

- (i) Issuing bank

At initial recognition where the Group is the issuing bank it recognises a contingent liability for the amount that it may be required to pay out to the confirming bank or beneficiary should the terms and conditions of the underlying contract be met.

On the date that all terms and conditions underlying the contract are met, the Group recognises a financial asset (at fair value) on the statement of financial position as part of loans and advances for the contractual right to receive cash from the applicant. Concurrently, the Group recognises a financial liability (at fair value) on the statement of financial position as part of liabilities for the contractual obligation to pay the beneficiary or the confirming bank, depending on the structure of the arrangement.

- (ii) Confirming bank

On the date that all terms and conditions underlying the contract are met the Group recognises a financial asset (at fair value) on the statement of financial position as part of loans and advances for the contractual right to receive cash from the issuing bank and concurrently recognises a financial liability (at fair value) on the statement of financial position as part of liabilities for the contractual obligation to pay the beneficiary.

2.16 Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market between market participants at the measurement date under current market conditions.

When a price for an identical asset or liability is not observable, fair value is measured using another valuation technique that maximises the use of relevant observable inputs and minimises the use of unobservable inputs.

In estimating the fair value of an asset or a liability, the Group takes into account the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at measurement date.

For financial instruments, where the fair value of the financial instrument differs from the transaction price, the difference is commonly referred to as day one profit or loss. Day one profit or loss is recognised in profit or loss immediately where the fair value of the financial instrument is either evidenced by comparison with other observable current market transactions in the same instrument, or is determined using valuation models with only observable market data as inputs.

Day one profit or loss is deferred where the fair value of the financial instrument is not able to be evidenced by comparison with other observable current market transactions in the same instrument, or determined using valuation models that utilise non-observable market data as inputs. The timing of the recognition of deferred day one profit or loss is determined individually depending on the nature of the instrument and availability of market observable inputs. It is either amortised over the life of the transaction, deferred until the instrument’s fair value can be determined using market observable inputs, or realised through settlement.

Subsequent to initial recognition, fair value is measured based on quoted market prices or dealer price quotations for the assets and liabilities that are traded in active markets and where those quoted prices represent fair value at the measurement date.

If the market for an asset or liability is not active or the instrument is unlisted, the fair value is determined using other applicable valuation techniques. These include the use of recent arm’s length transactions, discounted cash flow analyses, pricing models and other valuation techniques commonly used by market participants.

Where discounted cash flow analyses are used, estimated future cash flows are based on management’s best estimates and a market related discount rate at the reporting date for an asset or liability with similar terms and conditions.

If an asset or a liability measured at fair value has both a bid and an ask price, the price within the bid-ask spread that is most representative of fair value is used to measure fair value.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.16 Fair value (continued)

The Group has elected the portfolio exception to measure the fair value of certain groups of financial assets and financial liabilities. This exception permits a group of financial assets and financial liabilities to be measured at fair value on a net basis. This election is applied where the Group:

- › manages the group of financial assets and financial liabilities on the basis of the Group’s net exposure to a particular market risk (or risks) or to the credit risk of a particular counterparty in accordance with the Group’s documented risk management or investment strategy;
- › provides information on that basis about the group of financial assets and financial liabilities to the Group’s key management personnel; and
- › is required to or has elected to measure those financial assets and financial liabilities at fair value at the end of each reporting period

Fair value measurements are categorised into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement.

2.17 Repossessed properties

Repossessed properties acquired in exchange for loans as part of an orderly realisation are reported in ‘other assets’ as inventory as it is held for sale in the ordinary course of business. The repossessed properties are recognised when the risks and rewards of the properties have been transferred to the Bank. The corresponding loans are derecognised when the Bank becomes the holder of the title deed.

The properties acquired are initially recorded at cost, which is the lower of their fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange. They are subsequently measured at the lower of the carrying amount or net realisable value. No depreciation is charged in respect of these properties. Any subsequent write-down of the acquired properties to net realisable value is recognised in the statement of comprehensive income, in ‘Other impairments’. Any subsequent increase in net realisable value, to the extent that it does not exceed the cumulative write-down, is also recognised in ‘Other impairments’.

Gains or losses on disposal of repossessed properties are reported in ‘Other operating income’ or ‘Operating expenses’, as the case may be.

2.18 Ordinary share capital

Proceeds are included in equity, net of transaction costs. Dividends and other returns to equity holders are recognised when declared by the board.

2.19 Offsetting

In accordance with IAS 32 Financial Instruments: Presentation, the Group reports financial assets and financial liabilities on a net basis on the statement of financial position only if there is a current legally enforceable right to set off the recognised amounts and there is intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

2.20 Cash and cash equivalents

For the purposes of the statement of cash flows, cash comprises balances with maturities of less than 90 days and include cash on hand, balances with Central Bank of Kenya (excluding restricted balances – cash reserve ratio), items in the course of collection and deposits and deposits and balances due from from and due to banking institutions. Cash equivalents comprise highly liquid investments that are convertible into cash with an insignificant risk of changes in value with original maturities of three months or less. Cash and cash equivalents are measured at amortised cost.

2.21 Earnings per share

The calculation of basic earnings per share is based on the profit attributable to ordinary equity holders of the Group and the number of basic weighted average number of ordinary shares excluding treasury shares held in employee benefit trusts or held for trading. When calculating the diluted earnings per share, the weighted average number of shares in issue is adjusted for the effects of all dilutive potential ordinary shares held.

2.22 Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country Management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm’s length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance. In accordance with IFRS 8, the Group has the following business segments: Consumer banking and Corporate banking.

Summary of accounting policies

for the reporting period ended 31 December

2. Significant accounting policies (continued)

2.23 Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared, in accordance with the Kenyan Companies Act, 2015.

2.24 Leases (Applicable before 2019)

Leases are divided into finance leases and operating leases.

(a) The Group is the lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to profit or loss on a straight-line basis over the period of the lease.

The total payments made under operating leases are charged to infrastructure costs on a straight-line basis over the period of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

(ii) Finance lease

Lease of assets where the Group has substantially all the risks and rewards of ownership are classified as finance leases. These are capitalised at lease’s commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding.

The corresponding rental obligations, net of finance charges, are included in deposits from banks or deposits from customers depending on the counter party. The interest element of the finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The leases entered into by the Group are primarily operating leases.

(b) The Group is the lessor

When assets are held subject to a finance lease, the present value of the lease payments is recognised as a receivable. The difference between the gross receivable and the present value of the receivable is recognised as unearned finance income. Lease income is recognised over the term of the lease using the net investment method (before tax), which reflects a constant periodic rate of return.

(c) Fees paid in connection with arranging leases

The Group makes payments to agents for services in connection with negotiating lease contracts with the Group’s lessees. For operating leases, the letting fees are capitalised within the carrying amount of the related asset and depreciated over the life of the lease.

2.25 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. The Group did not have any qualifying assets during the year.

Notes to the annual financial statements

for the reporting period ended 31 December

3. Judgements and estimates

In the preparation of the annual financial statements, management is required to make judgements, estimates and assumptions that affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and the application of judgement is inherent in the formation of estimates. Actual results in the future could differ from these estimates, which may be material to the financial statements within the next financial period.

Judgements made by management that could have a significant effect on the amounts recognised in the financial statements include:

3.1 Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in profit or loss, the Group makes judgements as to whether there is any observable data indicating an impairment trigger followed by measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. The directors use estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

Refer to:

- Note 2.14, and Note 40: classification of financial assets: assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are SPPI on the principal amount outstanding.
- Note 41: establishing the criteria for determining whether credit risk on the financial asset has increased significantly since initial recognition, determining methodology for incorporating forward-looking information into measurement of ECL and selection and approval of models used to measure ECL.

3.2 Fair value of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data; however, areas such as credit risk (both own credit risk and counterparty risk), volatilities and correlations require management to make estimates. Changes in assumptions about these factors could affect the reported fair value of financial instruments. The fair value hierarchy for these financial instruments is shown in Note 43.

The IVC independently verifies the results of trading and investment operations and all significant fair value measurements. They source independent data from independent external parties, as well as internal risk areas when performing independent price verification for all financial instruments held at fair value. They also assess and document the inputs obtained from independent external sources to measure the fair value which supports conclusions that valuations are performed in accordance with IFRS and internal valuation policies.

Judgemental inputs on valuation of principal instruments

The following summary sets out the principal instruments whose valuation may involve judgemental inputs:

a) Debt securities and treasury and other eligible bills

These instruments are valued based on quoted market prices from an exchange, dealer, broker, industry group or pricing service, where available. Where unavailable, fair value is determined with reference to quoted market prices for similar instruments or, in the case of certain instruments, valuation techniques using inputs derived from observable market data, and, where relevant, assumptions in respect of unobservable inputs.

b) Derivatives

Derivative contracts can be exchange-traded or traded Over The Counter (OTC). OTC derivative contracts include forward, swap and option contracts related to interest rates and foreign currencies. Fair values of derivatives are obtained from quoted market prices, dealer price quotations, discounted cash flow and pricing models.

c) Loans and advances

The fair value of loans and advances to banks and customers is determined by discounting contractual cash flows. Discount factors are determined using the relevant forward base rates (as at valuation date) plus the originally priced spread. Where a significant change in credit risk has occurred, an updated spread is used to reflect valuation date pricing. Behavioural cash flow profiles, instead of contractual cash flow profiles, are used to determine expected cash flows where contractual cash flow profiles would provide an inaccurate fair value.

Notes to the annual financial statements

for the reporting period ended 31 December

3. Judgements and estimates (continued)

3.2 Fair value of financial instruments (continued)

d) Deposits, debt securities in issue and borrowed funds

Deposits, debt securities in issue and borrowed funds are valued using discounted cash flow models, applying rates currently offered for issuances with similar characteristics.

The fair value of amortised cost deposits repayable on demand is considered to be equal to their carrying value. For other financial liabilities at amortised cost, the disclosed fair value approximates the carrying value because the instruments are short-term in nature or have interest rates that reprice frequently.

3.3 Going concern

The Group's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt on the Group's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

3.4 Effective interest rate

The Bank's EIR method recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected behavioural life of loans and deposits and recognises the effect of potentially different interest rates charged at various stages and other characteristics of the product life cycle (including prepayments and penalty interest and charges). This estimation, by nature, requires an element of judgement regarding the expected behaviour and life-cycle of the instruments, as well expected changes to the base rate and other fee income/expense that are integral parts of the instrument.

3.5 Provisions

In terms of IAS 37 Provisions, Contingent Liabilities and Contingent Assets, a provision is recognised when the Group has a present obligation as a result of a past event and it is probable that a transfer of economic benefits will be required to settle the obligation. Further, a reliable estimate of the amount of the obligation is required to be made. Various assumptions are therefore required in order to determine if a provision is required to be recognised, and further, the carrying amount thereof. With regards to the assessment of matters of a significant nature, including potential litigation and claims, management relies on the advice of the Group's legal counsel.

3.6 Share-based payments

The initial fair value of awards is determined at grant date, and is measured after taking into account all terms and conditions of the share incentive scheme, excluding non-market vesting conditions. In the case of certain schemes, options are granted to employees with a zero strike price. In this case the Group may consider the share price on the grant date to be the best indication of the grant date fair value. Where management determines this valuation approach to be less appropriate, based on the specific terms and conditions, then a Black Scholes option pricing model is applied. Significant inputs into this pricing model include the risk-free discount rate, share price volatility, as well as an expectation of future dividends.

The cumulative expense recognised at each reporting date will reflect the extent to which the vesting period has expired as well as the Group's best estimate of the number of equity instruments that will ultimately vest. A key assumption applied is staff turnover and expected forfeitures. Management calibrates this assumption based on historical data.

In the case of cash-settled share-based payment schemes, where fair value is required to be determined at each reporting date, a consistent fair value methodology is applied. The fair value of the awards at each reporting date will impact the expense recognised over each reporting period.

3.7 Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the current income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in Note 46.

Significant judgement has also been exercised in determining the likelihood of liability crystallising in respect of disputes with the tax authority.

Notes to the annual financial statements

for the reporting period ended 31 December

3. Judgements and estimates (continued)

3.8 Retirement benefits

The valuations of and contributions towards defined benefit pension plans are determined using actuarial valuations. The actuarial valuations involve making assumptions about discount rates, expected rates of return on assets, future salary increases, mortality rates and future pension increases. The year-end balances of subsidiaries’ post-retirement benefit obligations are also affected by the closing foreign currency exchange rates.

Due to the long-term nature of these plans, such estimates are subject to significant uncertainty.

Exposure to actuarial risks

The defined benefit funds expose the Bank to the risk that the benefits promised in the various funds cost more than the accumulated assets set aside to meet such benefits, and ultimately will require additional funding from the Bank (or its subsidiaries).

This risk can be categorised into a number of actuarial risks such as investment risk, interest rate risk, longevity risk and salary risk.

Investment risk

The actuarial funding valuations make assumptions about the returns that may be available on invested assets. If the return on pension plan assets is below this rate, it may lead to a strain on the fund, which over time, may result in a pension plan deficit. Typically the funds have a relatively balanced investment in equity securities, debt securities, cash and real estate to mitigate any concentration risk. Due to the long-term nature of the pension plan liabilities, the boards of the pension funds consider it appropriate that a reasonable portion of the plan assets should be invested in equity securities and in real estate to improve the return generated by the fund. This may in turn result in improved discretionary benefits to members or reduced costs for the sponsoring entity.

Inflation/pension increase risk

Benefits in these plans are to some extent tied to inflation, so increased inflation levels represent a risk that could increase the costs of paying the funds’ promised benefits. However, the risk is mitigated by ceilings on mandatory benefit increases in most cases and subject to affordability in cases where the mandatory ceiling does not apply.

Longevity risk

If pensioners live longer than expected then that will, all else equal, increase the funds’ liabilities as benefits are paid for a longer term.

Salary risk

An increase in the salary of the plan participants will increase the plan’s liability. This risk has been limited with the closure of a number of the defined benefit plans and the introduction of defined contribution plans. There are now a limited number of active defined benefit members.

Although the Absa Pension Fund has in its entirety been disclosed as a defined benefit plan, the defined contribution portion thereof does not retain salary risk.

Measurement risk

The IAS 19 Employee Benefits (IAS 19) liabilities are determined using various assumptions about future experience.

One of the most important assumptions is the discount rate derived from prevailing bond yields where these are available (where these are not available, the inflation rate plus a reasonable risk-free real return is used as a proxy). A decrease in the discount rate will, with all else equal, increase the plan liability; this may be partially offset by an increase in the value of assets, to the extent that the funds’ investments are matched against its liabilities.

Other important assumptions are the inflation assumption, pension increase assumption and the longevity assumption and changes in those could affect the measured value of liabilities significantly. Changes in other assumptions used could also affect the measured liabilities.

Regulatory risk

The funds’ benefits are governed by the rules of those funds, operating within the regulatory framework in Kenya. To the extent that governments can change that regulatory framework, the Group is exposed to a risk. In particular, regulations introducing issues like minimum benefits or minimum pension increases may result in higher benefits to members and a higher associated cost.

Refer to Note 28 for the specific assumptions used and carrying amounts of retirement benefits.

Notes to the annual financial statements

for the reporting period ended 31 December

3. Judgements and estimates (continued)

3.9 Impairment of non-financial assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired.

If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset’s recoverable amount. An asset’s recoverable amount is the higher of an asset’s or CGU’s fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

If the recoverable amount of an asset is less than its carrying amount, the carrying amount is reduced to its recoverable amount. This reduction is the impairment loss. An impairment loss is recognised immediately in profit or loss, unless the asset is carried at a revalued amount, in which case the impairment loss is recognised in OCI up to the amount of any previous revaluation.

4 Implementation of IFRS 16 Leases

IFRS 16 sets out principles for the recognition, measurement, presentation and disclosure of leases, and it replaces IAS 17 Leases (IAS 17), IFRIC 4 Determining whether an arrangement contains a lease (IFRIC 4), SIC-15 Operating Leases – Incentives (SIC-15) and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease (SIC-27).

One of the key change of IFRS 16 is the introduction of a single lessee accounting model which requires a lessee to recognise assets and liabilities, for lease contracts with a term of more than 12 months, unless the underlying asset is of low value, eliminating the classification of leases as either operating leases or finance leases. As a result, a depreciation charge for the right-of-use assets and interest expense on lease liabilities is recognised instead of the straight-line operating lease expense. Lessor accounting remains similar to the previous standard (IAS 17) in which lessors continue to classify leases as finance or operating leases.

The Group has applied IFRS 16 using the modified retrospective approach, under which the cumulative effect of initial application is recognised in retained earnings at 1 January 2019 with no restatement of comparatives.

The Bank elected the practical expedient to apply IFRS 16 only to contracts that were previously identified as leases, and to apply a single discount rate to a portfolio of leases with similar characteristics. For leases that were classified as finance leases under IAS 17, the carrying amount of the right-of-use asset and the lease liability at initial application was determined as the carrying amount of the leased asset and lease liability under IAS 17 at 31 December 2018.

In the application of this model the Group has recognised the following at the date of initial application (unless the lease term is shorter than 12 months or the underlying asset is of low value):

- (a) A lease liability for all leases previously classified as operating leases, measured at the present value of the remaining lease payments, discounted using the entity’s incremental borrowing rate at the date of initial application; and
- (b) A right of use asset, measured retrospectively, using the applicable entity’s incremental borrowing rate at the date of initial application.

4.1 Impact of IFRS 16 on the statement of financial position and statement of changes in equity

	31 December 2018	Group and Bank Impact of adoption of IFRS 16	1 January 2019
	Shs’million	Shs’million	Shs’million
Assets			
Property and equipment	2 272	1 075	3 347
Deferred tax assets	2 180	86	2 266
	4 452	1 161	5 613
Liabilities			
Other liabilities	10 313	1 361	11 674
	10 313	1 361	11 674
Equity			
Retained earnings	35 885	(200)	35 685
	35 885	(200)	35 685

Notes to the annual financial statements

for the reporting period ended 31 December

4 Implementation of IFRS 16 Leases (continued)

4.2 Reconciliation of disclosed operating lease commitments to lease liabilities recognised

The table below reconciles the previously disclosed operating lease commitments to the lease liabilities recognised on 1 January 2019.

	Shs million	USD 'million	Shs' million (Equivalent)	Total Shs million
Operating lease commitments as at 31 December 2018	2 681	1	63	2 744
Weighted average incremental borrowing rate as at 1 January 2019	11.70%	4.22%		
Discounted operating lease commitments as at 1 January 2019	1 313	5	48	1 361

	Group		Bank	
	2019 Shs million	2018 Shs million	2019 Shs million	2018 Shs million
5. Interest and similar income				
Financial assets held at fair value through OCI	8 101	7 382	8 064	7 373
Loans and advances to banks and group companies	378	151	378	151
Loans and advances to customers	22 545	21 528	22 545	21 528
Total interest and similar income	31 024	29 061	30 987	29 052

6. Interest expense and similar charges

Deposits from banks and group companies	(963)	(691)	(966)	(714)
Customer accounts	(6 454)	(6 127)	(6 467)	(6 127)
Subordinated debt	(289)	(251)	(289)	(251)
Interest expense on lease liabilities	(139)	-	(139)	-
Total interest and similar expense	(7 845)	(7 069)	(7 861)	(7 092)

7. Net fee and commission income

Group	2019			Corporate Banking Shs'million	2018 Consumer Banking Shs'million	Total Shs'million
	Corporate Banking Shs'million	Consumer Banking Shs'million	Total Shs'million			
Fee and commission income						
Service fees	599	4 307	4 906	498	4 648	5 146
Credit related fee and commissions	546	865	1 411	427	628	1 055
Insurance agency commissions	-	568	568	-	510	510
Fee and commission income	1 145	5 740	6 885	925	5 786	6 711
Fee and commission expense						
Fee and commission expense	(185)	(579)	(764)	(166)	(920)	(1 086)
Net fee and commission income	960	5 161	6 121	759	4 866	5 625
Bank						
Fee and commission income						
Service fees	581	4 307	4 888	488	4 648	5 136
Credit related fee and commissions	546	865	1 411	427	628	1 055
Fee and commission income	1 127	5 172	6 299	915	5 276	6 191
Fee and commission expense						
Fee and commission expense	(185)	(579)	(764)	(166)	(920)	(1 086)
Net fee and commission income	942	4 593	5 535	749	4 356	5 105

The comparative revenue recognised from contracts with customers has been restated to show the breakdown of revenue per segment.

Notes to the annual financial statements

for the reporting period ended 31 December

	Group and Bank	
	2019 Shs'million	2018 Shs'million
8. Net trading income		
Debt securities	538	765
Foreign exchange	3 641	3 280
Net trading income	4 179	4 045

Debt securities income includes the results of buying and selling and changes in the fair value of debt securities and debt securities sold short as well as the related interest income and expense.

Foreign exchange income includes gains and losses from spot and forward contracts and other currency derivatives. Other foreign exchange differences arising on non-trading activities are taken to other operating income/expense in the income statement.

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
9. Other operating income				
Gain on disposal of property and equipment	107	4	107	4
Rental income	12	12	12	12
Sundry income	170	16	185	16
Total other operating income	289	32	304	32

The sundry income relates to income not earned in the normal course of business.

10. Impairment losses on financial instruments

Group	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
Total impairment loss	(414)	(459)	(3 328)	(4 201)
2019	Collectively assessed			
Loans and advances to customers	(295)	(207)	(2 827)	(3 329)
Trade receivables	(2)	-	-	(2)
	(297)	(207)	(2 827)	(3 331)
Recoveries of loans and advances	-	-	518	518
Total impairment loss	(297)	(207)	(2 309)	(2 813)
	Individually assessed			
Loans and advances to banks	(1)	-	-	(1)
Loans and advances to customers	(1)	(242)	(1 035)	(1 278)
Debt instruments measured at FVOCI	(3)	-	-	(3)
Financial guarantees & letters of credit	(1)	98	(10)	87
Other undrawn commitments	(111)	(108)	-	(219)
	(117)	(252)	(1 045)	(1 414)
Recoveries of loans and advances	-	-	26	26
Total impairment loss	(117)	(252)	(1 019)	(1 388)
2018				
Total impairment loss	(27)	316	(4 160)	(3 871)
	Collectively assessed			
Loans and advances to customers	(94)	286	(3 633)	(3 441)
Recoveries of loans and advances	-	-	235	235
Total impairment loss	(94)	286	(3 398)	(3 206)

Notes to the annual financial statements

for the reporting period ended 31 December

10. Impairment losses on financial instruments (continued)

Group 2018	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
Individually assessed				
Loans and advances to banks	(1)	-	-	(1)
Loans and advances to customers	(272)	(3)	(759)	(1 034)
Debt instruments measured at FVOCI	(18)	-	-	(18)
Financial guarantees & letters of credit	(58)	(178)	(3)	(239)
Other undrawn commitments	416	211	-	627
Total impairment loss	67	30	(762)	(665)
Bank				
2019				
Total impairment loss	(412)	(459)	(3 328)	(4 199)
Collectively assessed				
Loans and advances to customers	(295)	(207)	(2 827)	(3 329)
Recoveries of loans and advances	-	-	518	518
Total impairment loss	(295)	(207)	(2 309)	(2 811)
Individually assessed				
Loans and advances to banks	(1)	-	-	(1)
Loans and advances to customers	(1)	(242)	(1 035)	(1 278)
Debt instruments measured at FVOCI	(3)	-	-	(3)
Financial guarantees and letters of credit	(1)	98	(10)	87
Other undrawn commitments	(111)	(108)	-	(219)
	(117)	(252)	(1 045)	(1 414)
Recoveries of loans and advances	-	-	26	26
Total impairment loss	(117)	(252)	(1 019)	(1 388)
2018				
Total impairment loss	(27)	316	(4 160)	(3 871)
Collectively assessed				
Loans and advances to customers	(94)	286	(3 633)	(3 441)
Recoveries of loans and advances	-	-	235	235
Total impairment loss	(94)	286	(3 398)	(3 206)
Individually assessed				
Loans and advances to banks	(1)	-	-	(1)
Loans and advances to customers	(272)	(3)	(759)	(1 034)
Debt instruments measured at FVOCI	(18)	-	-	(18)
Financial guarantees and letters of credit	(58)	(178)	(3)	(239)
Other undrawn commitments	416	211	-	627
Total impairment loss	67	30	(762)	(665)

Additional disclosures have been provided to show the split between collectively assessed assets and individually assessed assets but have not impacted the overall position for Group and Bank.

Notes to the annual financial statements

for the reporting period ended 31 December

	Group 2019 Shs'million	2018 Shs'million	Bank 2019 Shs'million	2018 Shs'million
11. Employee benefits				
Salaries and allowances	(8 625)	(8 343)	(8 524)	(8 242)
Share-based payments (Note 11.1)	(56)	(81)	(56)	(81)
Training costs	(119)	(93)	(118)	(92)
Staff medical costs	(569)	(440)	(564)	(435)
Post-employment benefits:				
Defined contribution benefits scheme	(713)	(668)	(706)	(661)
Defined benefit plan (Note 28)	(24)	(27)	(24)	(27)
Social security cost	(7)	(7)	(7)	(7)
Other	(566)	(262)	(513)	(249)
Total employee benefits	(10 679)	(9 921)	(10 512)	(9 794)
Other includes temporary staff salaries and fringe benefit tax				
Average number of employees during the year	2 152	2 128	2 140	2 112
Average number of direct sales during the year	654	737	654	737

	Group and Bank	
	2019 Shs'million	2018 Shs'million
11.1 Deferred cash and share-based payments		
The statement of comprehensive income charge for share-based payments comprises the following:		
Equity-settled arrangements:	(40)	(55)
Cash-settled arrangements:		
Deferred cash		
Absa Group Limited Cash Value Plan ("CVP")	(16)	(26)
Total deferred cash and share-based payments	(56)	(81)

Cash-settled share-based payment schemes are measured with reference to the statement of financial position date and the Absa Group Limited share price.

Notes to the annual financial statements

for the reporting period ended 31 December

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
12. Infrastructure costs				
Property cost	(881)	(493)	(871)	(472)
Service charge and parking	(94)	(770)	(93)	(770)
	(975)	(1 263)	(964)	(1 242)

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
13. Administrative and general expenses				
Auditors' remuneration:				
Local statutory audit	(21)	(24)	(21)	(24)
Group audit	-	(8)	-	(8)
Information systems technology audit	(9)	-	(9)	-
	(30)	(32)	(30)	(32)
Consultancy, legal and professional fees	(289)	(182)	(289)	(182)
Subscription, publications, stationary and communications	(831)	(658)	(829)	(658)
Marketing, advertising and sponsorship	(731)	(487)	(730)	(487)
Travel and accommodation	(194)	(183)	(191)	(181)
	(2 045)	(1 510)	(2 039)	(1 508)
Other administrative and general expenses	(3 623)	(3 252)	(3 609)	(3 246)
Total administrative and general expenses	(5 698)	(4 794)	(5 678)	(4 786)

Other administrative and general expenses mainly consists of group recharges, security costs, cash in transit expenses, insurance costs, motor vehicle expenses and separation costs.

Notes to the annual financial statements

for the reporting period ended 31 December

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
14. Income taxes				
14.1 Income tax recognised in profit or loss				
Current income tax	(4 021)	(4 014)	(3 885)	(3 885)
Current income tax - prior year adjustments	-	70	-	75
	(4 021)	(3 944)	(3 885)	(3 810)
Deferred income tax (Note 29)				
Current year credit	725	631	718	621
Deferred income tax - prior year adjustments	-	83	-	83
	725	714	718	704
Total income tax expense for the year	(3 296)	(3 230)	(3 167)	(3 106)

The effective tax rate for the year ended 31 December 2019 is 30.7% (2018: 30.3%)

Profit for the year	10 752	10 646	10 328	10 250
Income tax expense calculated at 30% (2018: 30%)	3 226	3 194	3 098	3 075
Effect of income that is exempt from taxation	(204)	(103)	(204)	(103)
Effect of expenses that are not deductible in determining taxable profit	274	(14)	273	(24)
Adjustments recognised in the current year in relation to the current tax of prior years	-	70	-	75
Adjustments recognised in the current year in relation to the deferred tax of prior years	-	83	-	83
Income tax expense recognised in profit or loss	3 296	3 230	3 167	3 106

Deferred income tax on fair value gains or losses on fair value through other comprehensive income (FVOCI) financial assets has been recorded in other comprehensive income.

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
15. Earnings per share				
Net profit attributable to shareholders	7 456	7 416	7 161	7 144
Number of ordinary shares in issue	5 432	5 432	5 432	5 432
Basic earnings per share	1.37	1.37	1.32	1.32

There were no potentially dilutive shares outstanding as at 31 December 2019 or 2018. Diluted earnings per share are therefore the same as basic earnings per share.

Notes to the annual financial statements

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16. Cash and balances at central banks

	Group and Bank	
	2019 Shs'million	2018 Shs'million
Cash in hand	7 091	5 815
Balances with Central Bank of Kenya (CBK)	21 719	17 718
Impairment charge	(2)	(2)
	28 808	23 531

In accordance with Section 38 of the Central Bank of Kenya Act, the Bank is required to maintain minimum cash balances on deposit as reserves against its deposits and other liabilities.

In 2019, the Cash Reserve Ratio (CRR) was set at 5.25 percent of the total of the bank's domestic and foreign currency deposit liabilities. The CRR is maintained based on a daily average level from the fifteenth of the previous month to the fourteenth of the current month and not to fall below a CRR of 3 percent on any day.

Cash in hand and balances with Central Bank of Kenya are non-interest bearing.

17. Financial assets at fair value through profit or loss

	Group and Bank	
	2019 Shs'million	2018 Shs'million
Debt securities : Government treasury bills and bonds	43 774	29 708

All financial assets at fair value through profit or loss are current.

18. Derivative financial instruments

Derivative financial instruments are entered into in the normal course of business to manage various financial risks. The derivative instrument contract value is derived from one or more underlying financial instruments or indices defined in the contract. They include swaps and forward rate agreements.

At the reporting date, the Bank did not have any compound financial instruments with multiple embedded derivatives in issue. The Bank only trades the following derivative instrument:

Foreign exchange derivatives

The Bank's principal exchange rate-related contracts are forward foreign exchange contracts, options and currency swaps. Forward foreign exchange contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate. A currency swap generally involves the exchange, or notional exchange, of equivalent amounts of two currencies and a commitment to exchange interest periodically until the principal amounts are re-exchanged on a future date. As compensation for assuming the option risk, the option writer generally receives a premium at the start of the option period.

The Bank trades foreign exchange forwards and swaps (forward contracts). These are binding contracts locking in the exchange rate for the purchase or sale of a currency on a future date. The Bank's forward book is marked to market on a daily basis.

18.1 Notional amount

The gross notional amount is the sum of the absolute value of all contracts. The notional amount will not generally reflect the amount receivable or payable under a derivative contract. The notional amount should be viewed only as a means of assessing the Bank's participation in derivative contracts and not the market risk position nor the credit exposure arising on such contracts.

The absolute value of all contracts is also not indicative of the Bank's net exposure to, or position in any of the markets that the Bank trades in.

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18. Derivative financial instruments (continued)

18.1 Notional amount (continued)

The Bank's total derivative asset and liability position as reported on the statement of financial position is as follows:

	Group and Bank		
	Notional Contract Amount Shs'million	Carrying value assets Shs'million	Carrying value liabilities Shs'million
2019			
Foreign exchange derivatives			
Forward foreign exchange	(24 178)	87	(508)
Currency swap	(77 531)	790	(981)
Options	(1 937)	44	(46)
Total derivatives	(103 646)	921	(1 535)

2018

Foreign exchange derivatives

Forward foreign exchange	(23 811)	128	(686)
Currency swap	(45 966)	345	(333)
Total derivatives	(69 777)	473	(1 019)

19. Financial assets at fair value through other comprehensive income

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
Debt: Government treasury bills and bonds				
Maturing within 90 days	13 501	3 258	13 501	3 258
Maturing after 90 days	65 780	60 030	65 343	59 920
Expected credit loss	(60)	(58)	(59)	(58)
	79 221	63 230	78 785	63 120

Treasury bills are debt securities issued by the Government of Kenya and are classified as fair value through other comprehensive income. The weighted average effective interest rate on the Government securities at 31 December 2019 was 10.2% (2018 10.6%).

Included as part of FVOCI is Shs 1 250 million pledged as security for the Intra-Day Liquidity Facility (ILF). Refer to Note 47.2.

Group

In 2019, a fair value loss of Shs 248 million (Gross: Shs 355 million loss less deferred income tax of Shs 107 million) has been recognised in other comprehensive income.

In 2018, a fair value gain of Shs 279 million (Gross: Shs 398 million profit less deferred income tax of Shs 119 million) has been recognised in other comprehensive income.

Bank

In 2019, a fair value loss of Shs 253 million (Gross: Shs 361 million loss less deferred income tax of Shs 108 million) has been recognised in other comprehensive income.

In 2018, a fair value gain of Shs 277 million (Gross: Shs 396 million profit less deferred income tax of Shs 119 million) has been recognised in other comprehensive income.

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for the reporting period ended 31 December

Group and Bank		
	2019	2018
	Shs'million	Shs'million
20. Loans and advances to banks		
Loans and advances to banks	3 804	6 572
Allowance for ECL	(1)	-
	3 803	6 572

The weighted average effective interest rate on deposits and balances due from banking institutions at 31 December 2019 was 6.2% (2018: 7.3%).

Loans and advances to banks are current.

Group and Bank		
	2019	2018
	Shs'million	Shs'million
21. Loans and advances to customers		
Commercial loans	153 438	140 502
Bills discounted	21 477	21 584
Post acceptance letters of credit	3 646	-
Instalment credit agreements	11 555	11 088
Unearned finance charges	(403)	(448)
Gross instalment credit agreements	11 958	11 536
Overdrafts	15 799	14 406
Gross loans and advances to customers	205 915	187 580
Impairment losses raised during the reporting period		
Stage 1 expected credit losses	(2 413)	(3 024)
Stage 2 expected credit losses	(2 242)	(1 399)
Stage 3 expected credit losses	(9 750)	(9 668)
Amounts written off during the year as uncollectible	3 385	3 865
Impairment losses	(11 020)	(10 226)
Net loans and advances to customers	194 895	177 354

Group and Bank		
	2019	2018
	Shs'million	Shs'million
21.1 Instalment credit arrangements		
Less than one year	6 004	4 715
Between one and five years	5 003	6 313
More than five years	548	60
	11 555	11 088

The Group enters into instalment credit arrangements in respect of motor vehicles and equipment. Under the terms of the lease agreements, no contingent rentals are payable.

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22. Other assets and prepaid expenses

Group			Bank	
	2019	2018	2019	2018
	Shs'million	Shs'million	Shs'million	Shs'million
Prepaid expenses	459	350	459	350
Items in course of collection from banks	918	1 150	918	1 150
Staff loan marked to market	1 549	1 953	1 549	1 953
Electronic banking	2 237	4 702	2 237	4 702
Other	2 526	1 724	2 453	1 651
Gross other assets and prepaid expenses	7 689	9 879	7 616	9 806
Impairment losses	(2)	-	(2)	-
Net other assets and prepaid expenses	7 687	9 879	7 614	9 806

Other assets mainly consist of suspense accounts. All other assets are current.

23. Investment in subsidiaries

Name of subsidiary	Proportion of ownership interest and voting power held		Carrying amount	
	2019	2018	2019	2018
Absa Securities Limited	100%	100%	363	363
Absa (Kenya) Nominees Limited	100%	100%	-	-
Absa Asset Management Limited	100%	100%	10	-
Absa Bank Insurance Agency Limited	100%	100%	-	-
Absa Pension Services Limited	100%	100%	-	-
			373	363

Absa (Kenya) Nominees Limited (formerly Barclays (Kenya) Nominees Limited), Absa Pension Services Limited (formerly Barclays Pension Services Limited) and Absa Asset Management Limited (formerly Barclays Credit Limited) are dormant companies. Absa Securities Limited (formerly Barclays Financial Services Limited) and Absa Bank Insurance Agency Limited (formerly Barclays Bank Insurance Agency Limited) operate in the business of brokerage services and insurance agency respectively.

The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the Bank.

24. Non-current assets held for sale

As at 31 December 2019, the Group continued to recognise in its financial statements items of property and equipment from its closed branches (Maragua and Mombasa Road). A sale of the items had not been completed for all the items at the balance sheet date but the Bank expects a sale to be completed in the following year, 2020.

Group and Bank		
	2019	2018
	Shs'million	Shs'million
Property and equipment	65	65
Disposal	(18)	-
	47	65

The carrying value is based on the net book value of the assets at the point of recognition as held for sale. There is no impairment or reversal recorded against the non-current assets held for sale.

As at 31 December 2019, the properties had a fair value of Shs 178 million (2018: Shs 273 million).

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25.	Group and Bank	Freehold buildings	Right of use assets		Leasehold improvements	Fixtures fittings and equipment	Motor vehicles	Total
		Shs'million	Shs'million		Shs'million	Shs'million	Shs'million	Shs'million
	Property and equipment							
	Cost or valuation – 2019							
	Balance at beginning of the year	134	-		3 616	8 569	34	12 353
	Additions	-	1 493		49	169	-	1 711
	Disposals	-	-		(80)	(321)	(13)	(414)
	Reclassification from prepaid lease	-	-		9	-	-	9
	Balance at end of the year	134	1 493		3 594	8 417	21	13 659
	Accumulated depreciation – 2019							
	Balance at beginning of the year	(82)	-		(2 628)	(7 346)	(25)	(10 081)
	Depreciation	(1)	(408)		(163)	(494)	(4)	(1 070)
	Disposals	-	-		80	246	9	335
	Balance at end of the year	(83)	(408)		(2 711)	(7 594)	(20)	(10 816)
	Net book value at end of year	51	1 085		883	823	1	2 843
	Cost or valuation – 2018							
	Balance at beginning of the year	178	-		3 818	8 191	47	12 234
	Additions	-	-		50	378	-	428
	Transfer to assets held for sale	(44)	-		(83)	-	-	(127)
	Disposals	-	-		(169)	-	(13)	(182)
	Balance at end of the year	134	-		3 616	8 569	34	12 353
	Accumulated depreciation – 2018							
	Balance at beginning of the year	(94)	-		(2 580)	(6 787)	(32)	(9 493)
	Depreciation	(1)	-		(226)	(559)	(6)	(792)
	Transfer to assets held for sale	13	-		49	-	-	62
	Disposals	-	-		129	-	13	142
	Balance at end of the year	(82)	-		(2 628)	(7 346)	(25)	(10 081)
	Net book value at end of year	52	-		988	1 223	9	2 272

Included in property and equipment at 31 December 2019 are assets with a gross value of Shs 8,159 million (2018: Shs 7,211 million) which are fully depreciated but still in use. The notional depreciation charge on these assets for the year would have been Shs 1,632 million (2018: Shs 1,444 million).

The Group has not pledged any item of property and equipment as security as at December 2019 (December 2018: Nil)

Notes to the annual financial statements

for the reporting period ended 31 December

	Computer software Shs'million	WIP Shs'million	Total Shs'million
26. Intangible assets			
Group			
Cost - 2019			
At start of year	5 659	87	5 746
Acquisitions	39	97	136
Transfer from WIP	74	(74)	-
Write off	(15)	-	(15)
Balance at end of the year	5 757	110	5 867
Amortisation and impairment losses - 2019			
At start of year	(4 868)	-	(4 868)
Amortisation	(393)	-	(393)
Write off	12	-	12
Balance at end of the year	(5 249)	-	(5 249)
Net book value at end of year	508	110	618
Cost - 2018			
At start of year	5 616	4	5 620
Acquisitions	40	86	126
Transfer from WIP	3	(3)	-
Balance at end of the year	5 659	87	5 746
Amortisation and impairment losses - 2018			
At start of year	(4 461)	-	(4 461)
Amortisation	(407)	-	(407)
Balance at end of the year	(4 868)	-	(4 868)
Net book value at end of year	791	87	878

Included in intangible assets at 31 December 2019 are assets with a gross value of Shs 2 099 million (2018: Shs 2,020 million) which are fully depreciated but still in use. The notional depreciation charge on these assets for the year would have been Shs 420 million (2018: Shs 404 million).

The Group has not pledged any item of property and equipment as security as at December 2019 (December 2018: Nil)

Notes to the annual financial statements

for the reporting period ended 31 December

	Computer software Shs'million	WIP Shs'million	Total Shs'million
26. Intangible assets (continued)			
Bank			
Cost - 2019			
At start of year	5 634	64	5 698
Acquisitions	7	97	104
Transfer from WIP	51	(51)	-
Write off	(15)	-	(15)
Balance at end of the year	5 677	110	5 787
Amortisation and impairment losses - 2019			
At start of year	(4 867)	-	(4 867)
Amortisation	(393)	-	(393)
Write off	12	-	12
Balance at end of the year	(5 248)	-	(5 248)
Net book value at end of year	429	110	539
Cost - 2018			
At start of year	5 591	4	5 595
Acquisitions	40	63	103
Transfer from WIP	3	(3)	-
Balance at end of the year	5 634	64	5 698
Amortisation and impairment losses - 2018			
At start of year	(4 460)	-	(4 460)
Amortisation	(407)	-	(407)
Balance at end of the year	(4 867)	-	(4 867)
Net book value at end of year	767	64	831

Included in intangible assets at 31 December 2019 are assets with a gross value of Shs 2 099 million (2018: Shs 2,020 million) which are fully depreciated but still in use. The notional depreciation charge on these assets for the year would have been Shs 420 million (2018: Shs 404 million).

The Bank has not pledged any item of property and equipment as security as at December 2019 (December 2018: Nil).

27. Prepaid operating lease rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

	Group and Bank	
	2019 Shs'million	2018 Shs'million
At start of year	45	46
Amortisation charge for the year	(1)	(1)
Reclassification to leasehold improvements	(9)	-
At end of year	35	45

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28. Retirement benefit (liability)/asset

The Barclays Bank of Kenya Limited Staff Pension Fund (“the Fund”) is a defined benefit pension fund. Prior to 1 January 2010 the Fund consisted of both a Defined Benefit (“DB”) and a Defined Contribution (“DC”) component. On 1 January 2010, the Fund was split into two separate legal entities, with the liabilities of the DB section remaining in the Fund, and the DC liabilities being transferred to the Barclays Bank of Kenya Limited Staff Retirement Benefits (Defined Contribution) Scheme 2009 (“the DC Fund”).

The operation of the Fund is regulated by the Retirement Benefits Authority (“RBA”) and subject to the provisions of the Retirement Benefits Act, 1997. The Fund is governed by the Trust Deed and Rules set out in the Fourteenth Deed of Amendment dated 12 February 2010 (“Rules”).

Membership data

The membership data used for the valuation is summarised in the table below:

Category	2019	2019	2018	2018
	Number	Annual Salary / Pension Shs’million	Number	Annual Salary / Pension Shs’million
Defined benefit				
Active members	3	15	3	15
Deferred pensioners	832	72	861	75
Pensioners	1 481	525	1 494	522

Summary of benefit and contribution structure

Eligibility	Existing Members who opt to remain Members of the Fund on the terms applying to DB Members.
Final Pensionable Salary	(i) If the Member has been in service for 20 years or more as, the annual pensionable salary at the date of leaving. (ii) If the Member has been in service for less than 20 years, the average annual salary paid to the member during the last five years of service.
Normal Retirement Age	Males 60 Females 55 (60 for some females)
Service	Continuous service with Bank or with Barclays Bank or Barclays Bank International Limited, immediately prior to the establishment of Barclay’s Bank of Kenya Limited. For those employees who joined the Fund aged 17 or less, service will count from the member’s 17th birthday.
Normal Retirement and Late Retirement Pension	If service is 20 years or more then 1/720 of Final Pensionable Salary for each month of service to 31 December 2009. Thereafter, benefits accrue at a rate of 1/960 per month. If service is lower than 20 years 1/960 of Final Pensionable Salary for each month of service. This pension is reduced by an amount in respect of the social security pensions as described below and cannot exceed 2/3 of his or her pensionable salary at the date of retirement.
Ill-health retirement*	Pension based on potential service to Normal Retirement Age and Final Pensionable Salary at the date of ill-health retirement. This pension will be paid only if service is 5 years or more.

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28. Retirement benefit plans (continued)

Retirement due to unsatisfactory service	Deferred pension payable from the later of the date the Member attains age 50 or retires from Service.	
Commutation	Up to ¼ of pension (calculated on the advice of the Actuary).	
Death in service	Lump sum equal to three year’s annual pensionable salary, if the member has been in service for more than five years, otherwise ¼ of the member’s rate of Pensionable Salary at the date of death.	
Death in deferment	Lump sum equal to five times deferred pension amount.	
Death after retirement	Lump sum equal to the remaining pension payable within 5 years of retirement age.	
Withdrawal	Deferred Pension payable at Normal Retirement Age calculated as follows:	
	Service	Fraction of Pensionable Salary for each month of service to 31 December 2009
	Less than 20 years	1/960
	20 to 30 years	1/840
	30 years and over	1/720
	Benefits accrue at a rate of 1/960 per month for service post 1 January 2010.	
	In no case shall a deferred pension exceed the amount which could have been paid to the Member if he or she had stayed in service until Normal Retirement Age.	
	This pension is reduced by an amount in respect of the social security pensions as described below and cannot exceed 2/3 of his or her pensionable salary at the date of retirement.	
	A cash lump sum** equal to 1/3 of the deferred pension may be taken prior to normal retirement age, with a reduced pension being payable from normal retirement age.	
Pension Increases	The Scheme Trustees may, with the consent of the Principal Employer, review pensions in payment and subject to there being sufficient funds for the purpose or the Employers paying a special additional contribution as determined by the Actuary, may increase such pensions.	
Contributions	Members are not required to contribute to the Fund, although they can elect to pay voluntary contributions.	
	The Bank contributes to the Fund, the balance of the cost of providing the benefits.	
Government Pensions	If a member has completed 40 years’ service a deduction is made equal to ½ of any government pension payable to a single person (for members with less than 40 years’ service a percentage of this pension is deducted). In addition, a deduction equal to the pension equivalent of any sum paid by the Bank to a DB member under any statutory enactment, order, directive, or under any agreement with a trade union or similar body.	

28.1 Defined benefit plan

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	Valuation at	
	2019	2018
Discount rate	12.80%	12.50%
Expected rate of salary increase	9.00%	9.00%
Inflation	7.00%	7.00%
Mortality rate	PA (90)	PA (90)
Change in pensions	4.00%	4.00%

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28. Retirement benefit plans (continued)

28.1 Defined benefit plan

	2019 Shs'million	2018 Shs'million
Amounts recognised in profit or loss in respect of these defined benefit plans are as follows:		
Current service cost	24	27
Interest on obligation	(2)	(2)
	22	25

	2019 Shs'million	2018 Shs'million
Amounts recognised in other comprehensive income in respect of these defined benefit plans are as follows:		
Actuarial gain - financial assumptions	79	22
Actuarial gain - experience adjustment	123	36
Return on plan assets	(254)	(273)
Adjustments for restrictions on the defined benefit asset	(47)	238
	(99)	23

The expected return on plan assets is determined by considering the expected returns available on the assets underlying the current investment policy. Expected yields on fixed interest investments are based on gross redemption yields as at the end of the reporting period. Expected returns on equity and property investments reflect long-term real rates of return experienced in the respective markets.

The amount included in the statement of financial position arising from the Bank's obligation in respect of its defined benefit plans is as follows:

	2019 Shs'million	2018 Shs'million
Present value of funded defined benefit obligation	(4 412)	(4 633)
Fair value of plan assets	4 753	4 894
Surplus	341	261
Restrictions on asset recognised	(341)	(261)
Net asset arising from defined benefit obligation	-	-

Movements in the present value of the defined benefit obligation in the current year were as follows:

	2019 Shs'million	2018 Shs'million
Opening defined benefit obligation	(4 633)	(4 678)
Current service cost	(24)	(27)
Interest expense	(540)	(567)
Actuarial losses - experience	123	35
Actuarial losses - financial assumption	79	22
Benefits paid	583	582
Closing defined benefit obligation	(4 412)	(4 633)

Notes to the annual financial statements

for the reporting period ended 31 December

	Group and Bank	
	2019 Shs'million	2018 Shs'million
28. Retirement benefit plans (continued)		
28.1 Defined benefit plan (continued)		
Movements in the present value of the plan assets in the current year were as follows:		
Opening fair value of plan assets	4 894	5 119
Benefits paid	(583)	(582)
Contributions from the employer	121	2
Interest income	575	628
Actuarial gain/(loss) OCI	(254)	(273)
Closing fair value of plan assets	4 753	4 894
Movements in asset restriction in the current year were as follows:		
Opening value	(261)	(442)
Net interest cost	(33)	(57)
(Increase)/decrease in asset restriction	(47)	238
Closing value	(341)	(261)

Cash-flows

The cash-flows in the current and expected in the next valuation period are shown below:

	2020 Shs'million	2019 Shs'million
	Next valuation (expected)	Current Valuation (estimated)
Company contributions - normal	2	2
Company contributions - expenses	31	31
Pension payments	589	594
Other benefit payments	11	11
Expense payments	18	19

Nature of the pension fund assets

	Fair value of plan assets			
	Debt instruments Shs' million	Equity instruments Shs' million	Other instruments Shs' million	Total Shs'million
Quoted fair value	1 118	705	-	1 823
Unquoted fair value	-	-	364	364
Cash and cash equivalents	-	-	311	311
Investments in real estate	-	-	2 255	2 255
	1 118	705	2 930	4 753

2018				
Quoted fair value	1 100	793	-	1 893
Unquoted fair value	-	-	524	524
Cash and cash equivalents	-	-	105	105
Investments in real estate	-	-	2 372	2 372
	1 100	793	3 001	4 894

Notes to the annual financial statements

for the reporting period ended 31 December

28. Retirement benefit asset (continued)

28.1 Defined benefit plan (continued)

Sensitivity analysis

The effect of certain changes to the financial and demographic assumptions is analysed below:

2019	Base Shs'million	Discount rate -1.00% Shs'million	Discount rate +0.50% Shs'million	Inflation +0.50% Shs'million	PA(90) - 1 year Shs'million
Active members	67	75	63	71	68
Deferred members	517	560	497	541	526
Pensions in payment	3 828	4 050	3 727	3 955	3 933
Total liability	4 412	4 685	4 287	4 567	4 527
Gross service cost (excluding interest)	24	24	24	24	24
2018	Base Shs'million	Discount rate -1.00% Shs'million	Discount rate +0.50% Shs'million	Inflation 0.50% Shs'million	PA(90) - 1 year Shs'million
Active members	63	72	59	68	65
Deferred members	538	586	516	564	548
Pensions in payment	4 032	4 275	3 920	4 169	4 140
Total liability	4 633	4 933	4 495	4 801	4 753
Gross service cost (excluding interest)	21	21	21	21	21

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the retirement benefit obligation to significant actuarial assumptions the same method (present value of the obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

The weighted average duration of the defined benefit obligation is 50 years. The figure is not very sensitive to the precise time horizon given the high net discount rate.

29. Deferred income tax

Deferred tax balances

The analysis of the deferred tax assets and deferred tax liabilities is as follows:

	2019 Shs million	2018 Shs million	2019 Shs million	2018 Shs million
Deferred tax assets	3 214	2 415	3 187	2 390
Deferred tax liabilities	(91)	(235)	(90)	(235)
Net deferred tax asset at the end of the year	3 123	2 180	3 097	2 155

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income tax levied by the same taxation authority on either the same entity or different taxable entities where there is an intention to settle the balances on a net basis.

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29. Deferred income tax (continued)

Deferred tax balances (continued)

Consolidated deferred income tax assets and liabilities are attributable to the following:

Group	Balance at 1 January Shs'million	Recognised in profit or loss Shs'million	Recognised in other comprehensive income Shs'million	Recognised in retained earnings Shs'million	Balance at 31 December Shs'million
2019					
Property and equipment	(37)	157	-	-	120
Financial assets at FVOCI	(198)	-	107	-	(91)
Unrealised gains and losses	43	(3)	-	-	40
Impairment losses on financial instruments	779	329	-	-	1 108
Tax losses	21	10	-	-	31
Derivatives	164	70	-	-	234
Share based payment transactions	73	17	-	-	90
Provisions	253	145	-	-	398
Re-measurement of defined benefit liability/(asset)	96	-	30	-	126
Prior year adjustment	68	-	-	(5)	63
IFRS 9 day one impact	918	-	-	-	918
IFRS 16 day one impact	-	-	-	86	86
	2 180	725	137	81	3 123
2018					
Property and equipment	(103)	66	-	-	(37)
Financial assets at FVOCI	(79)	-	(119)	-	(198)
Unrealised gains and losses	26	17	-	-	43
Impairment losses on financial instruments	655	124	-	-	779
Tax losses	13	8	-	-	21
Derivatives	5	159	-	-	164
Share based payment transactions	25	48	-	-	73
Provisions	44	209	-	-	253
Re-measurement of defined benefit liability/(asset)	103	-	(7)	-	96
Prior year adjustment	8	83	-	(23)	68
IFRS 9 day one impact	-	-	-	918	918
	697	714	(126)	895	2 180

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29. Deferred tax (continued)

Deferred tax balances (continued)

Bank					
	Balance at 1 January Shs'million	Recognised in profit or loss Shs'million	Recognised in other comprehensive income Shs'million	Recognised in retained earnings Shs'million	Balance at 31 December Shs'million
2019					
Property and equipment	(37)	160	-	-	123
Financial assets at FVOCI	(198)	-	108	-	(90)
Unrealised gains and losses	43	(3)	-	-	40
Impairment losses on financial instruments	779	329	-	-	1 108
Derivatives	164	70	-	-	234
Share based payment transactions	73	17	-	-	90
Provisions	250	145	-	-	395
Re-measurement of defined benefit liability/(asset)	96	-	30	-	126
Prior year adjustment	67	-	-	-	67
IFRS 9 day one impact	918	-	-	-	918
IFRS 16 day one impact	-	-	-	86	86
	2 155	718	138	86	3 097
2018					
Property and equipment	(103)	66	-	-	(37)
Financial assets at FVOCI	(79)	-	(119)	-	(198)
Unrealised gains and losses	26	17	-	-	43
Impairment losses on financial instruments	655	124	-	-	779
Derivatives	5	159	-	-	164
Share based payment transactions	25	48	-	-	73
Provisions	43	207	-	-	250
Re-measurement of defined benefit liability/(asset)	103	-	(7)	-	96
Prior year adjustment	8	83	-	(24)	67
IFRS 9 day one impact	-	-	-	918	918
	683	704	(126)	894	2 155

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	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
30. Other liabilities and accrued expenses				
Accrued expenses	628	533	628	533
Items in the course of collection due to other banks	2 012	2 194	2 012	2 194
Outstanding bankers cheques	168	246	168	246
Trade finance margins	408	445	408	445
Card settlements	242	1 122	242	1 122
Impairment losses on off-balance sheet financial instruments	152	239	152	239
Lease liability	1 334	-	1 334	-
Other payables	5 790	5 534	5 763	5 528
Post acceptance letters of credit	3 646	-	3 646	-
	14 380	10 313	14 353	10 307

Other payables include items relating to excise duties payable, interchange payable, uncleared payments and trade payables.

Other liabilities and accrued expenses are current.

30.1 Financial guarantees, letters of credit and other undrawn commitments

To meet the financial needs of customers, the Bank enters into various irrevocable commitments and contingent liabilities. These consist of financial guarantees, letters of credit and other commitments to lend. Even though these obligations may not be recognised on the statement of financial position, they contain credit risk and, therefore, form part of the overall risk of the Bank.

Letters of credit and guarantees (including standby letters of credit) commit the Bank to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans.

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30. Other liabilities and accrued expenses (continued)

30.1 Financial guarantees, letters of credit and other undrawn commitments (continued)

An analysis of changes in the outstanding exposures and the corresponding allowance for impairment losses in relation to guarantees and other commitments is set out below:

	Stage 1 Outstanding exposure Shs'million	Stage 2 Outstanding exposure Shs'million	Stage 3 Outstanding exposure Shs'million	Total Outstanding exposure Shs'million
Gross carrying amount at 1 January 2019	68 735	9 611	28	78 374
Transfer to Stage 1	(249)	249	-	-
Transfer to Stage 2	15	(15)	-	-
Transfer to Stage 3	-	(29)	29	-
Exposures that have been derecognised	(13 875)	(6 215)	-	(20 090)
New exposures	40 054	2 328	-	42 382
Gross carrying amount at 31 December 2019	94 680	5 929	57	100 666
Gross carrying amount at 1 January 2018	68 735	9 611	28	78 374
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Exposures that have been derecognised	-	-	-	-
New exposures	-	-	-	-
Gross carrying amount at 31 December 2018	68 735	9 611	28	78 374
Loss allowance at 1 January 2019	58	178	3	239
Transfer to Stage 1	1	(1)	-	-
Transfer to Stage 2	(3)	3	-	-
Transfer to Stage 3	-	(1)	1	-
Exposures that have been derecognised	(12)	(6)	-	(18)
New exposures	15	(94)	10	(69)
Loss allowance at 31 December 2019	59	79	14	152
Loss allowance at 1 January 2018	110	317	2	429
Transfer to Stage 1	(1)	1	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Exposures that have been derecognised	(65)	(174)	(2)	(241)
New exposures	14	34	3	51
Loss allowance at 31 December 2018	58	178	3	239

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31. Deposits from banks

	Group and Bank	
	2019 Shs'million	2018 Shs'million
Due to local banks	3 754	4 700
Due to foreign banks	329	608
	4 083	5 308

The weighted average effective interest rate on deposits and balances due to banking institutions at 31 December 2019 was 4.6% (2018: 4.5%).

Deposits and balances due to banking institutions are current.

32. Deposits from customers

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
Call deposits	5 999	5 385	5 999	5 385
Savings and transmission accounts	176 030	149 473	176 030	149 473
Fixed deposits	55 710	52 550	56 262	52 868
Customer accounts	237 739	207 408	238 291	207 726

The weighted average effective interest rate on customer deposits at 31 December 2019 was 2.8% (2018: 3%).

The carrying value of customer deposits approximates their fair value.

Deposits of Shs 512 million (2018: Shs 1 125 million) held as collateral for loans and advances were included in deposits from customers.

33. Borrowings

	Group and Bank	
	2019 Shs'million	2018 Shs'million
Subordinated debt	7 601	5 092
Interest accrued	27	4
	7 628	5 096

The US\$50 million subordinated loan from Absa Group Limited was obtained on 26 March 2015 and has a maturity date of 26 March 2025. Interest is paid quarterly in arrears at a rate of 270bps above USD Libor which re-sets every three months.

The US\$25million subordinated loan from Absa Group Limited was obtained on 16 October 2019 and has a maturity date of 16 October 2029. Interest is paid quarterly in arrears at a rate of 270bps above USD Libor which re-sets every three months.

No collateral is held against the borrowings.

The carrying value of borrowings approximates their fair value.

During the year, the effective interest on the bond recorded in interest expense was Shs 289 million (2018: Shs 237 million). The actual interest paid during the year was Shs 262 million (2018: Shs 214 million).

The Group did not have any defaults of principal or interest or other breaches with respect to its subordinated liabilities during the years ended 31 December 2019 and 2018.

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Group and Bank		
	2019	2018
34. Share capital		
The authorised share capital of Absa Bank Kenya PLC is Shs 2,716 million comprising 5,432 million ordinary shares with a par value of Shs 0.50 per share. The issued share capital comprises 5,432 million ordinary shares fully paid with a par value of Shs 0.50 each.		
5 432 (2018 : 5 432) shares of stated capital.	2 716	2 716
	2 716	2 716

35. Reserves

35.1 Fair value reserve

The fair value reserve comprises the cumulative net change in the fair value of financial assets classified at fair value through other comprehensive income until the instrument is derecognised or impaired; in which case the cumulative amount recognised in other comprehensive income is released to profit or loss.

35.2 Retained earnings

This reserve includes accumulated profits over the years. The retained earnings are distributable to shareholders.

35.3 Share-based payment reserve

The Bank’s senior management participate in the following Absa Group share based payment arrangement:

(a) Absa Group Limited Long-Term Incentive Plan

The Long-Term Incentive Plan (LTIP) is an equity-settled share-based payment arrangement. Qualifying participants are entitled to Absa Group Limited ordinary shares either by way of a share award or a cash award that must be used to purchase Absa Group Limited ordinary shares. The award will be issued by the employing entity or subsidiary in the Group. In order for the participant to be entitled to these awards, the participant needs to render three years of service and meet requisite performance conditions.

(b) Absa Group Limited Joiners Share Value Plan

The Joiners Share Value Plan (JSVP) enables the Group to attract and motivate new employees by buying out the “in the money” portion of a participant’s shares or options under their previous employers’ share scheme by offering the employees Absa Group Limited awards. There is no consideration payable for the grant of an award and the vesting of the award is not subject to performance conditions. Dividends accumulate and are reinvested over the vesting period, which can be over one to five years.

(c) Absa Group Limited Share Value Plan

The Share Value Plan (SVP) awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest in equal tranches after one, two and three years, with each tranche subject to its own independent non-market-related performance condition on vesting. The amount that is paid to the cash-settled participants is equal to the market value of a number of Absa Group Limited ordinary shares, as determined on the vesting date, to the extent that the non-market-related conditions attached to the awards are met. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the period.

(d) Absa Group Limited Retention Share Value Plan

The Share Value Retention Plan (SVP Cliff) awards (and any associated notional dividends) are awarded at no cost to the participants. The awards vest after three years, subject to their own independent non-market related performance condition on vesting. The amount that is paid to the cash-settled participants is equal to the market value of a number of Absa Group Limited’s ordinary shares, as determined on the vesting date, to the extent that the non-market related conditions attached to the awards are met. On vesting, equity-settled participants are awarded Absa Group Limited ordinary shares in settlement of their awards. If the Group fails to meet the minimum performance criteria, the awards made in that tranche are forfeited in total. Dividends accumulate and are reinvested over the vesting period.

(e) Deferred cash

Absa Group Limited Cash Value Plan

The Cash Value Plan (“CVP”) is a deferred cash settled payment arrangement. The award will vest in three equal tranches over a period of three years, subject to the rules which includes a ten percent service credit for the third anniversary of the CVP award date. The service credit for awards granted in 2019 is 10% (2018: 10%) of the initial value of the award that vests.

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35. Reserves (continued)

35.3 Share-based payment reserve (continued)

Options series	Number	Exercise price	Total fair value at grant date
LTIP	133 176	-	1 365 107
JSVP	4 801	82	28 422
SVP	28 968		
SVP Cliff	23 655	89	297 290

Share appreciation rights series	Number	Exercise price	Total fair value at grant date
JSVP	9 410	82	99 732

Movements during the period

The following reconciles the share options outstanding at the beginning and end of the period:

	2019					2018				
	Opening balance	Granted/ transferred	Forfeited	Exercised	Closing balance	Opening balance	Granted/ transferred	Forfeited	Exercised	Closing balance
Equity settled:										
LTIP	123 846	222 775	-	-	346 621	133 176	(9 330)	-	-	123 846
JSVP	1 987	-	-	(1 987)	-	4 801	-	-	(2 814)	1 987
SVP	34 380	11 715	(761)	(16 748)	28 586	28 968	19 396	538	(14 522)	34 380
SIA	-	-	-	-	-	-	6 089	-	(6 089)	-
SVP Cliff	-	-	-	-	-	23 655	(3 566)	-	(20 089)	-
Cash settled										
JSVP	7 291	-	-	(1 798)	5 493	5 715	3 695	-	(2 119)	7 291
SVP	541	(176)	176	(453)	88	-	541	-	-	541

	Weighted average share price at exercise date during the reporting period (Shs)		Weighted average contractual life of awards outstanding (years)		Weighted average fair value of options granted during the period (Shs)	
	2019	2018	2019	2018	2019	2018
Equity settled:						
LTIP	-	-	2	2	1 113	1 025
JSVP	1 222	1 190	1	2	-	1 074
SVP	1 165	1 146	1	2	1 207	1 260
SVP Cliff	-	1 296	-	-	-	-
SIA	-	1 405				
Cash settled						
JSVP	1 148	1 190	1	2	-	1 074
SVP	1 148	-	1	2	-	1 146

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for the reporting period ended 31 December

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
36. Cash used in operations				
Profit before tax for the year	10 752	10 646	10 328	10 250
Adjustments for:				
Interest paid	6 400	5 615	6 400	5 615
Interest received	(28 466)	(27 222)	(28 430)	(27 212)
Gain on disposal of property and equipment	(107)	(4)	(107)	(4)
Impairment loss recognised (Note 10)	4 201	3 871	4 199	3 871
Depreciation (Note 25)	1 070	792	1 070	792
Net foreign exchange differences	55	53	55	59
Amortisation – intangible assets (Note 26)	393	407	393	407
Amortisation – prepaid operating lease rentals (Note 27)	1	1	1	1
Share based payments (Note 11)	56	81	56	81
Pension asset (Note 28)	21	25	21	25
Cash used in operations before working capital changes	(5 624)	(5 735)	(6 014)	(6 115)
Changes in working capital				
Increase in derivative assets	(448)	(78)	(448)	(78)
(Increase)/decrease in other assets	2 192	(1 878)	2 192	(1 450)
Increase in derivative liabilities	516	565	516	565
Increase in other liabilities	4 067	1 163	4 046	384
Increase in loans and advances to customers	(21 178)	(15 567)	(21 178)	(15 567)
Increase in FVOCI securities	(17 327)	(4 859)	(17 016)	(4 859)
Increase in CBK cash reserve requirement	(1 592)	(1 125)	(1 605)	(1 125)
Decrease/(increase) in amounts due from group companies	422	(5 661)	337	(6 076)
Increase in amounts due to group companies	12 412	28 279	12 170	29 233
Increase in financial assets at FVTPL	(14 066)	(20 100)	(14 066)	(20 100)
(Decrease)/increase in deposits from banks	(1 225)	2 249	(1 225)	2 249
Increase in customer deposits	30 331	21 431	30 565	21 481
Total changes in working capital	(5 896)	4 419	(5 712)	4 657
Cash used in operations	(11 520)	(1 316)	(11 726)	(1 458)

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
37. Taxation paid				
Tax (payable)/receivable at start of year	(25)	415	(96)	336
Current income tax expense (Note 14.1)	(4 021)	(4 014)	(3 885)	(3 885)
Prior year adjustment	-	70	-	75
Tax (receivable)/payable at the end of the year	(425)	25	(292)	96
Total income taxes paid	(4 471)	(3 504)	(4 273)	(3 378)

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for the reporting period ended 31 December

	Group and Bank	
	2019 Shs'million	2018 Shs'million
38. Dividends paid		
Dividends payable at start of the year (2018 final proposed)	4 888	4 345
Interim dividend paid	1 086	1 086
Total dividends paid	5 974	5 431

39. Cash and cash equivalents
For the purposes of the statement of cash flow, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition as follows:

	Group		Bank	
	2019 Shs'million	2018 Shs'million	2019 Shs'million	2018 Shs'million
Cash in hand (Note 16)	7 091	5 815	7 091	5 815
Non-cash reserve ratio balances with CBK	9 237	6 828	9 208	6 811
Loans and advances to banks (Note 20)	3 803	6 572	3 803	6 572
	20 131	19 215	20 102	19 198

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the Bank's day-to-day activities.

The amount is determined as percentage of the average outstanding customer deposits over a cash reserve cycle period of one month. At the end of year, the cash reserve ratio was 5.25% (2018: 5.25%). The Bank held Shs 12 481million as the cash reserve (2018: Shs 10,889 million).

The comparative components of cash and cash equivalents have been restated to show balances that qualify as short term highly liquid investments that are readily convertible to known amounts of cash and that are subject to an insignificant risk of changes in value.

In the prior years, the Group had included the following balances as part of cash and cash equivalents:

- Amounts due to group companies which amounted to 2018: Shs 51 938 million (2017: Shs 23 659 million) and Shs 2018: 52 891 million (2017: Shs 23 659 million) for Group and Bank respectively
- Amounts due from group companies which amounted to 2018: Shs 9 126 million (2017: Shs 3 465 million) and 2018: Shs 9 541 million (2017: Shs 3 465 million) for Group and Bank respectively
- FVOCI securities amounting to 2018: Shs 3 258 million (2017: Shs 5 640 million) for Group and Bank
- Items in the course of collection from banks and to banks amounting to 2018: Shs 1 150 million (2017: Shs 787 million) and 2018: Shs 2 194 million(2017: Shs 1 913 million) respectively for Group and Bank
- Deposits due to banks amounting to 2018: Shs 5 308 million (2017: Shs 3 059 million) for Group and Bank respectively

The balances were excluded from the cash and cash equivalents as they may not be readily convertible to cash as per IAS 7.7.

This has resulted in a corresponding restatement to "Cash generated from operations" (refer to note 36) and the relevant working capital movements for 2018:

	Group Shs'million	Bank Shs'million
Change in FVOCI securities	2 382	2 382
Change in amounts due from group companies	(5 661)	(6 076)
Change in amounts due to group companies	28 279	29 232
Change in deposits from banks	2 249	2 249
Cash generated from operations	27 249	27 787

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for the reporting period ended 31 December

	Fair Value through Profit/ Loss Shs'million	Fair Value through OCI - Debt instruments Shs'million	Amortised Cost - Debt instruments Shs'million	Amortised cost financial liabilities Shs'million	Total Assets and Liabilities Shs'million
40. Financial instruments					
40.1. Categories of financial instruments					
Group					
Assets as per Statement of Financial Position - 2019					
Cash and balances with Central Bank of Kenya	-	-	21 717	-	21 717
Derivative financial assets	921	-	-	-	921
Loans and advances to customers	-	-	194 895	-	194 895
Debt instruments	43 774	79 221	-	-	122 995
Loans and advances to banks	-	-	3 803	-	3 803
Due from group companies	-	-	8 704	-	8 704
Other assets	-	-	4 585	-	4 585
	44 695	79 221	233 704	-	357 620
Liabilities as per Statement of Financial Position - 2019					
Derivative financial liabilities	1 535	-	-	-	1 535
Borrowings	-	-	-	7 628	7 628
Deposits from banks	-	-	-	4 083	4 083
Deposits from customers	-	-	-	237 739	237 739
Due to group companies	-	-	-	64 350	64 350
Other liabilities	-	-	-	6 257	6 257
	1 535	-	-	320 057	321 592
Interest income	538	8 101	22 923	-	31 562
Interest expense	-	-	-	(7 845)	(7 845)
	538	8 101	22 923	(7 845)	23 717

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40. Financial instruments (continued)**40.1. Categories of financial instruments (continued)**

Group	Fair Value through Profit/ Loss - Held for trading Shs'million	Fair Value through OC - Debt instruments Shs'million	Amortised Cost - Debt instruments Shs'million	Amortised cost financial liabilities Shs'million	Total Assets and Liabilities Shs'million
Group					
Assets as per Statement of Financial Position - 2018					
Cash and balances with Central Bank of Kenya	-	-	17 716	-	17 716
Derivative financial instruments	473	-	-	-	473
Loans and advances to customers	-	-	177 354	-	177 354
Debt instruments	29 708	63 230	-	-	92 938
Loans and advances to banks	-	-	6 572	-	6 572
Due from group companies	-	-	9 126	-	9 126
Other assets	-	-	9 529	-	9 529
	30 181	63 230	220 297	-	313 708
Liabilities as per Statement of Financial Position - 2018					
Derivative financial instruments	1 019	-	-	-	1 019
Borrowings	-	-	-	5 096	5 096
Deposits from banks	-	-	-	5 308	5 308
Deposits from customers	-	-	-	207 408	207 408
Due to group companies	-	-	-	51 938	51 938
Other liabilities	-	-	-	10 313	10 313
	1 019	-	-	280 063	281 082
Interest income	765	7 382	21 679	-	29 826
Interest expense	-	-	-	(7 069)	(7 069)
	765	7 382	21 679	(7 069)	22 757

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for the reporting period ended 31 December

	Fair Value through Profit/ Loss Shs'million	Fair Value through OCI - Debt instruments Shs'million	Amortised Cost - Debt instruments Shs'million	Amortised cost financial liabilities Shs'million	Total Assets and Liabilities Shs'million
40. Financial instruments (continued)					
40.1. Categories of financial instruments (continued)					
Bank					
Assets as per Statement of Financial Position - 2019					
Cash and balances with Central Bank of Kenya	-	-	21 717	-	21 717
Derivative financial assets	921	-	-	-	921
Loans and advances to customers	-	-	194 895	-	194 895
Debt instruments	43 774	78 785	-	-	122 559
Loans and advances to banks	-	-	3 803	-	3 803
Due from group companies	-	-	9 204	-	9 204
Other assets	-	-	4 585	-	4 585
	44 695	78 785	234 204	-	357 684
Liabilities as per Statement of Financial Position - 2019					
Derivative financial liabilities	1 535	-	-	-	1 535
Borrowings	-	-	-	7 628	7 628
Deposits from banks	-	-	-	4 083	4 083
Deposits from customers	-	-	-	238 291	238 291
Due to group companies	-	-	-	65 061	65 061
Other liabilities	-	-	-	6 257	6 257
	1 535	-	-	321 320	322 855
Interest income	538	8 064	22 923	-	31 525
Interest expense	-	-	-	(7 861)	(7 861)
	538	8 064	22 923	(7 861)	23 664

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40. Financial instruments (continued)**40.1. Categories of financial instruments (continued)**

	Fair Value through Profit/ Loss - Held for trading Shs'million	Fair Value through OCI - Debt instruments Shs'million	Amortised Cost - Debt instruments Shs'million	Amortised cost financial liabilities Shs'million	Total Assets and Liabilities Shs'million
Bank					
Assets as per Statement of Financial Position - 2018					
Cash and balances with Central Bank of Kenya	-	-	17 716	-	17 716
Derivative financial instruments	473	-	-	-	473
Loans and advances to customers	-	-	177 354	-	177 354
Debt instruments	29 708	63 120	-	-	92 828
Loans and advances to banks	-	-	6 572	-	6 572
Due from group companies	-	-	9 541	-	9 541
Other assets	-	-	9 456	-	9 456
	30 181	63 120	220 639	-	313 940
Liabilities as per Statement of Financial Position - 2018					
Derivative financial instruments	1 019	-	-	-	1 019
Borrowings	-	-	-	5 096	5 096
Deposits from banks	-	-	-	5 308	5 308
Deposits from customers	-	-	-	207 726	207 726
Due to group companies	-	-	-	52 891	52 891
Other liabilities	-	-	-	10 307	10 307
	1 019	-	-	281 328	282 347
Interest income	765	7 373	21 679	-	29 817
Interest expense	-	-	-	(7 092)	(7 092)
	765	7 373	21 679	(7 092)	22 725

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41. Risk management

41.1 Financial risk management objectives

Effective risk management and control are essential for sustainable and profitable growth

The role of risk management is to evaluate, respond to and monitor risks (the ERM process) that arise in the execution of the strategy ‘to bring possibility to life’. It is essential that business growth plans are properly supported by an effective risk management infrastructure. Risk culture is closely aligned to that of the business, whilst retaining independence in analysis and objective decision-making. The Group’s business involves taking on risks in a targeted manner and managing them professionally.

The core functions of the Group’s risk management are to identify all key risks for the Group, measure these risks, manage the risk positions and determine capital allocations. The Group regularly reviews its risk management policies and systems to reflect changes in markets, products and best market practice.

The main sources of financial risk that the Group faces arise from financial instruments, which are fundamental to the Group’s business, and constitute the core of its operations.

Financial instruments create, modify or reduce the liquidity, credit, market and operational risks of the Group’s statement of financial position and constitute the most significant sources of risk. Consequently, the Group devotes considerable resources to maintain effective controls to manage, measure and mitigate each of these risks and regularly reviews its risk management procedures and systems to ensure that they continue to meet the needs of business. This note presents information about the Group’s exposure to each of the above risks, and the Group’s objectives, policies and processes for measuring and managing risk.

The Group has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes. At a strategic level, the Group’s risk management objectives are to:

- Identify the Group’s significant risks;
- Formulate the Group’s risk appetite and ensure that business profile and plans are consistent with it;
- Optimise risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review and challenge structures;
- Ensure that business growth plans are properly supported by effective risk infrastructure;
- Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions; and
- Help executives improve the control and co-ordination of risk taking across the business.

The Group’s approach is to provide direction on:

- understanding the principal risks to achieving Group strategy;
- establishing risk appetite; and
- establishing and communicating the risk management framework.

The process is then broken down into five steps: identify, assess, control, report and manage/challenge. Each of these steps is broken down further, to establish end-to-end activities within the risk management process and the infrastructure needed to support it (see panel below). The Bank’s aim is to achieve an appropriate balance between risk and return and minimise potential adverse effects on the Bank’s financial performance. The Bank defines risk as the possibility of losses or profits foregone, which may be caused by internal or external factors.

Steps	Activity
Identify	➤ Establish the process for identifying and understanding business-level risks
Assess	➤ Agree and implement measurement and reporting standards and methodologies.
Control	➤ Establish key control processes and practices, including limit structures, impairment allowance. ➤ Criteria and reporting requirements ➤ Monitor the operation of the controls and adherence to risk direction and limits ➤ Provide early warning of control or appetite breaches ➤ Ensure that risk management practices and conditions are appropriate ➤ for the business environment
Report	➤ Interpret and report on risk exposures, concentrations and risk-taking ➤ outcomes ➤ Interpret and report on sensitivities and key risk indicators ➤ Communicate with external parties
Manage and challenge	➤ Review and challenge all aspects of the Bank’s risk profile ➤ Assess new risk-return opportunities ➤ Advise on optimising the Bank’s risk profile ➤ Review and challenge risk management practices

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41. Risk management

41.1 Financial risk management objectives (continued)

Risk responsibilities

The Group achieves its risk management objectives by keeping risk management at the centre of the executive agenda and building a culture that combines risk management with everyday business decision-making. The risks arising from financial instruments to which the Bank is exposed are:

Financial risks

- (a) Credit risk;
- (b) Liquidity risk;
- (c) Market risk

On a day-to-day basis risks are managed through a number of management committees. Through this process the Bank monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date.

The Board approves risk appetite and the Board Audit and Risk Committee (BARC) monitors the Bank’s risk profile against this appetite. In more detail:

- The BARC has responsibility for ensuring effective risk management and control.
- Business Heads are responsible for the identification and management of risk in their businesses.
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.
- The Asset and Liability Committee (ALCO) is tasked with managing financial risk, specifically liquidity, interest rates, market risk, capital management and balance sheet structure.

The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank’s assets within a framework of financial risks and controls. ALCO is chaired by the Managing Director and its membership comprises the Chief Financial Officer, Country Treasurer, Head of Corporate Banking, Head of Consumer Banking, the Chief Operating Officer and the Chief Risk Officer.

41.2 Credit risk

Credit risk management objectives are to:

- establish a framework of controls to ensure credit risk-taking is based on sound credit risk management principles;
- identify, assess and measure credit risk clearly and accurately across the Group and within each separate business, from the level of individual facilities up to the total portfolio;
- control and plan credit risk-taking in line with external stakeholder expectations and avoiding undesirable concentrations;
- monitor credit risk and adherence to agreed controls; and
- ensure that risk-reward objectives are met.

The Group manages credit risk by:

- Defining clear risk appetite thresholds and triggers, using applicable stress test measures.
- Ensuring maximum exposure guidelines are in place relating to the exposures to any individual customer or counterparty.
- Controlling concentrations of credit risk wherever they are identified in particular, to individual counterparties and groups of borrowers, countries, and to industry segments.
- Clearly understanding the target market.
- Establishing risk acceptance criteria.
- Undertaking sound credit origination, monitoring and account management.
- Ensuring appropriate risk infrastructure and controls.

The Group has an established framework, and related processes, which govern its approach to credit risk management and any resultant impairment of loans and advances. The governance process includes the existence of the Credit Risk Technical Forum, Executive Risk Committee (ERC), Retail Impairment Review Committee, Scheme Loans Review Committee, , Corporate and Investment Bank Models Forum, and AVAF portfolio quality Review Committee whose remit includes:

- the development, implementation and evaluation of risk and impairment models;
- periodic assessment (at least annually) of the accuracy of the models against actual results; and
- approval of new models or changes to models, in line with the model validation framework.

The aforementioned committees also approve post model adjustments applied to models. Retail impairment allowances are subject to quarterly impairment adequacy reviews and approval by the Retail Impairment Adequacy Forum. Wholesale impairment allowances are subject to monthly impairment adequacy reviews and approval by the Wholesale Impairment Governance Forum.

The consideration of credit risk is a fundamental process for the Group as it ultimately determines the impairment losses recognised from an accounting perspective. This section describes the processes and assumptions applied in estimating impairment .

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41. Risk management
41.2 Credit risk (continued)

Approach to credit modelling/internal ratings

The principal objective of credit measurement is to produce the most accurate possible quantitative assessment of credit risk to which the Group is exposed from the level of individual facilities up to the total portfolio level. Integral to this is the calculation of internal credit parameters which are used for credit risk management purposes and in the calculation of regulatory capital, economic capital and impairment requirements.

The key credit parameters used in this process are:

- › probability of default (PD): the likelihood of a customer defaulting on its obligations within the appropriate outcome period;
- › exposure at default (EAD): an estimate of the level of credit exposure should the customer default during the appropriate outcome period; and
- › loss given default (LGD): an estimate of the percentage of EAD that will not be recovered on a particular credit facility should the customer default during the outcome period. LGD recognises credit risk mitigation, such as collateral or credit derivatives.

Internal and vendor-supplied credit models are used to estimate the key credit parameters of PD, LGD and EAD. The Group uses different modelling methodologies, ranging from pure statistical models and cash flow models to expert-based models, taking into account quantitative and qualitative risk drivers. PD, LGD and EAD estimates can be calculated to represent different views of the credit cycle, which are used in different applications. For example, PD estimates can be calculated on a through-the-cycle (TTC) basis, reflecting the predicted default frequency in an average 12-month period across the credit cycle, or on a point-in-time (PIT) basis, reflecting the predicted default frequency in the next 12 months for a particular period in the credit cycle. EAD and LGD estimates can be calculated as downturn measures, reflecting behaviour observed under stressed economic conditions, or as business-as-usual measures, reflecting behaviour under normal conditions.

These parameters are used for the following credit risk management purposes:

- › Credit approval: PD models are used in the approval process in both retail and wholesale portfolios. In high-volume retail portfolios, application and behaviour scorecards are frequently used as decision-making tools. In wholesale and certain retail portfolios, PD models are used to direct applications to an appropriate credit sanctioning level.
- › Risk-reward and pricing: PD, EAD and LGD metrics are used to assess the profitability of deals and portfolios and to allow for risk-adjusted pricing and strategy decisions.
- › Risk appetite: Regulatory capital, economic capital and earnings volatility measures are used in the Group's risk appetite framework.
- › Economic Capital calculations: Credit economic capital calculations use PD, LGD and EAD inputs.
- › Risk profile reporting: Credit risk reports for senior management make use of model outputs to describe the Group's credit risk profile.

Validation of models

Models undergo independent validation when new models have been developed (initial validation) and on an annual basis (on-going validation). Models are approved by the respective Chief Risk Officers supported by either the Relationship Banking Models Forum or the Corporate and Institutional Banking (CIB) Credit Models Forum. The most material models require approval by the AGL Models Committee (MC). The forum outputs are subject to oversight and ratification /approval by the Board Audit and Risk and Board credit committees with technical support and expertise from AGL

Default grades

The Group uses two types of PDs, namely:

- › The through-the-cycle (TTC) PD, which reflects the Group's assessment of the borrower's long-run average propensity to default in the next year; and
- › The point-in-time (PIT) PD, which calculated factoring the current economic, industry and borrower circumstances.

Both types of PDs are used extensively in the Group's decision-making processes. For communication and comparison purposes, the Group's 21 default grades (DGs), were mapped to external agency rating equivalents. DG grading represents a TTC view of the distribution of the book at a specific point in time. The indicative mapping of the DG buckets to the equivalent international rating agency and regulatory PD bands are described below:

- › DG 1 – 9: assets falling within these DG buckets are regarded as 'investment grade' and, when converted to a rating agency equivalent, correspond to a BBB- rating or better.
- › DG 10 – 19: financial assets in these grades typically require more detailed management attention where clear evidence of financial deterioration or weakness exists. Assets in this category, although currently protected, are potentially weaker credits. These assets contain some credit deficiencies. When converted to a rating agency equivalent, these ratings correspond to a BB+ to B- rating.
- › DG 20 – 21: the PD of financial assets in these grades have deteriorated to such an extent that they are included for regular review. Assets so classified must have well defined weaknesses that exacerbate the PD. These assets are characterised by the distinct possibility that the borrower will default, and should the collateral pledged be insufficient to cover the asset, the Group will sustain some loss when default occurs.

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for the reporting period ended 31 December

41. Risk management
41.2 Credit risk (continued)
Default grades (continued)

- › Default: assets classified as in default are characterised by the distinct possibility that the borrower will default, and should the collateral pledged be insufficient to cover the asset, the Bank will sustain some loss when default occurs.

Approach to impairment of credit exposures

The measurement of ECL involves a significant level of complexity and judgement, including estimation of probabilities of default, loss given default, a range of unbiased future economic scenarios, estimation of expected lives, and estimation of exposures at default and assessing significant increases in credit risk.

The calculation of ECL incorporates the probability that a credit loss will occur, as well as the probability that no credit loss occurs, even if the most likely outcome is no credit loss. The estimate reflects an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes. In some cases, relatively simple modelling is considered to be sufficient, without the need to consider the outcome under different scenarios. For example, the average credit losses of a large group of financial instruments with shared risk characteristics may be a reasonable estimate of the probability-weighted amount. In other situations, the identification of scenarios that specify the amount and timing of the cash flows for particular outcomes and the estimated probability of those outcomes will be needed.

Under IFRS 9, the Group recognises ECL based on a stage allocation methodology, with such categorisation informing the level of provisioning required. The ECL allowance calculated on stage 1 assets reflects the lifetime losses associated with events of default that are expected to occur within 12 months of the reporting date (12 month ECL). Assets classified within stage 2 and stage 3 carry an ECL allowance calculated based on the lifetime losses associated with defaults that are expected to occur over the lifetime of the exposure (lifetime ECL). The assessment of whether an exposure should be transferred from stage 1 to stage 2, is based on whether there has been a significant deterioration in credit risk. This is a relative measure, where the credit risk at the reporting date is compared to the risk that existed upon initial recognition of the instrument. Exposures are classified within stage 3 if they are credit impaired.

For the purposes of credit modelling under IFRS 9, the PD is calculated on a Point-in-time (PIT) basis and reflects the likelihood of default assessed on the prevailing economic conditions at the reporting date, adjusted to take into account estimates of future economic conditions that are likely to impact the risk of default. PIT PDs do not equate to a long run average. This is a key distinction between the IFRS 9 ECL models and the Group's Basel III models. Under Basel III, the PD is the average of default within the next 12 months, calculated based on the long-run historical average over the full economic cycle (that is, TTC). For IFRS 9 purposes, two distinct PD estimates are required:

- › Lifetime PD: the likelihood of accounts entering default during the remaining life of the asset.
- › 12 month PD: the likelihood of accounts entering default within 12 months of the reporting date.

The general approach to the IFRS 9 LGD models has been to leverage the Basel LGD models with bespoke IFRS 9 adjustments to ensure unbiased estimates. In calculating LGD, losses are discounted to the reporting date using the effective interest rate (EIR) determined at initial recognition or an approximation thereof. For debt instruments, such as loans and advances, the discount rate applied is the EIR calculated on origination or acquisition date. For financial guarantee contracts or loan commitments for which the EIR cannot be determined, losses are discounted using a rate that reflects the current market assessment of the time value of money and the risks that are specific to the cash flows (to the extent that such risks have not already been taken into account by adjusting the cash shortfalls).

The EAD model estimates the exposure that an account is likely to have at any point of default in future. This incorporates both the amortising profile of a term loan, as well as behavioural patterns such as the propensity of the client to draw down on unutilised facilities in the lead up to a default event.

Expert credit judgement may, in certain instances be applied to account for situations where known or expected risk factors have not been considered in the ECL assessment or modelling process, or where uncertain future events have not been incorporated into the modelled approach. Adjustments are intended to be short term measures and will not be used to incorporate any continuous risk factors. The Group has a robust policy framework which is applied in the estimation and approval of management adjustments.

Retail portfolio

Ratings assigned across each retail portfolio are based on automated application and behavioural scoring systems. The underlying rating is calculated at point of application and updated monthly thereafter. The rating is used in decisions concerning underwriting and account management, and is used to calculate RC, EC and IFRS 9 ECL.

The methodology and data employed in the risk estimation and the rating processes can be summarised as follows:

- (i) Internal risk estimates of PD, EAD and LGD are grounded in historical experience and are reliant on historical data.
- (ii) PDs are assigned at account level, and consist of three elements namely:
 - › a term structure, capturing typical default behaviour by the months since observation;
 - › a behavioural model which incorporates client level risk characteristics; and
 - › a macro-economic model that incorporates forward looking macro-economic scenarios.

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41. Risk management (continued)

41.2 Credit risk (continued)

Approach to impairment of credit exposures (continued)

Retail portfolio (continued)

- (iii) EADs are assigned at an account level and are based on the EAD pool to which the account has been assigned. EAD estimates incorporate all relevant data and information including account balances as well as utilised and unutilised limits, if present.
- (iv) LGDs are assigned at account level and are based on the LGD pool to which the account has been assigned. Relevant historical data used in LGD estimates include observed exposure at the point of default, recovery strategies, re-defaults, cure and write-off rates. The models make use of risk drivers such as loan-to-value (LTV) and attributes that describe the underlying asset.

Wholesale portfolio

The wholesale rating process relies both on internally developed PD, EAD and LGD rating models and vendor provided solutions. The wholesale rating process relies on quantitative and qualitative assessments that could be manual or automated. Wholesale PDs and LGDs are modelled using the parameters from regulatory models as starting point. Parameters are adjusted for differences between requirements under Basel III and IFRS 9.

PD ratings are assigned on a customer level. Information used in the calculation of customer PD ratings includes financial statements, projected cash flows, equity price information, behavioural information; and qualitative assessments on strength of support, management, operating environment, industry, etc. In converting Basel III compliant PDs to PDs appropriate for the purposes of IFRS 9, the main adjustments effected comprise:

- a macroeconomic adjustment that changes the paradigm from a long-run average default rate to a PD that reflects the prevailing macroeconomic conditions, thereby adjusting the PD from a seven year historical average to a PD reflective of the macroeconomic environment at the reporting date; and
- an adjustment to the regulatory PD to convert it from a PD over 12 months, to a PD over the lifetime of an exposure, to be able to assess significant increases in credit risk and estimate lifetime provisions for stage 2.

LGD estimates depend on the key drivers of recovery such as collateral value, seniority and costs involved as part of the recovery process. LGD models are based on internal and external loss data and the judgement of credit experts. EAD models aim to replicate the expected utilisation of a customer's facility should a default occur. EADs are assigned for each facility using models incorporating internal and external default data as well as the experience of credit experts in relation to particular products or customer groups.

The main adjustments to LGD comprise a macroeconomic adjustment that changes the long-run LGD to reflect a given macroeconomic scenario. Lifetime projections of LGD take into account the expected balance outstanding on a loan at the time of default, as well as the value of associated collateral at that point in time.

Critical areas of judgement with regards to IFRS 9

Definition of a significant increase in credit risk:

The Group uses various quantitative, qualitative and back stop measures as indicators of a significant increase in credit risk. The thresholds applied for each portfolio will be reviewed on a regular basis to ensure they remain appropriate. Where evidence of a significant increase in credit risk is not yet available at an individual instrument level, instruments that share similar risk characteristics are assessed on a collective basis.

Key drivers of a significant increase in credit risk include:

- Where the weighted average probability of default (PD) for an individual exposure or group of exposures as at the reporting date evidences a material deterioration in credit quality, relative to that determined on initial recognition;
- Adverse changes in payment status and where accounts are more than 30 days in arrears at reporting date. In certain portfolios a more conservative arrears rule is applied where this is found to be indicative of increased credit risk (e.g. 1 day in arrears);
- Accounts in the Retail portfolio which meet the portfolio's impairment high risk criteria; and
- The Group's watch list framework applied to the Wholesale portfolio, which is used to identify customers facing financial difficulties or where there are grounds for concern regarding their financial health.

Definition of credit impaired

Assets classified within stage 3 are considered to be credit impaired and applies when an exposure is in default. Important to the Group's definition of default, is the treatment of exposures which are classified as within forbearance. Forbearance is a concession granted to counterparty for reasons of financial difficulty that would not otherwise be considered by the Group. The definition of forbearance is not limited to measures that give rise to an economic loss (that is, a reduction in the counterparty's financial obligation).

Notes to the annual financial statements

for the reporting period ended 31 December

41. Risk management (continued)

41.2 Credit risk (continued)

Definition of credit impaired (continued)

Default within Wholesale and Retail is aligned with the regulatory definition, and therefore assets are classified as defaulted when either:

- The Group considers that the obligor is unlikely to pay its credit obligations without recourse by the Group to actions such as realising security. Elements to be taken as indications of unlikelihood to pay include the following:
- The Group consents to a distressed restructuring / forbearance of the credit obligation where this is likely to result in a diminished financial obligation caused by the material forgiveness of principal, interest or fees;
- The customer is under debt review, business rescue or similar protection; or,
- Advice is received of customer insolvency or death.
- The obligor is past due 90 days or more on any credit obligation to the Group.

In addition, within the Retail portfolios:

- All forms of forbearance are treated as in default, regardless of whether the restructure has led to a diminished financial obligation or not; and

The Group requires an exposure to reflect at least 12 consecutive months of performance, in order to be considered to have been cured from stage 3. This probation period applies to all exposures, including those that may have been classified as defaulted for reasons other than forbearance and debt review (e.g. owing to the fact that they become more than 90 days past due).

Determination of the lifetime of a credit exposure:

The determination of initial recognition and asset duration (lifetime) are critical judgements in determining quantum of life-time losses that apply. The date of initial recognition reflects the date that a transaction (or account) was first recognised on the statement of financial position. The PD recorded at this time provides the baseline used for subsequent determination of a significant increase in credit risk.

When determining the period over which the entity is expected to be exposed to credit risk, but for which the ECL would not be mitigated by the entity's normal credit risk management actions, the Group considers factors such as historical information and experience about:

- the period over which the entity was exposed to credit risk on similar financial instruments;
- the length of time for related defaults to occur on similar financial instruments following a significant increase in credit risk; and
- the credit risk management actions that an entity expects to take once the credit risk on the financial instrument has increased, such as the reduction or removal of undrawn limits.

For asset duration, the approaches which are applied (in line with IFRS 9 requirements) are:

- Term lending: the contractual maturity date, reduced for behavioural trends where appropriate (such as, expected settlement and amortisation); and
- Revolving facilities: for Retail portfolios, asset duration is based on behavioural life and this is normally greater than contractual life. For Wholesale portfolios, a sufficiently long period to cover expected life modelled and an attrition rate is applied to cater for early settlement.

Incorporation of forward-looking information into the IFRS 9 modelling:

The Group's IFRS 9 impairment models consume macroeconomic information to enable the models to provide an output that is based on forward looking information. The macro-economic variables and forecast scenarios are sourced from one of the world's largest research companies, and are reviewed and approved in accordance with the Group's macroeconomic governance framework. This review includes the testing of forecast estimates, the appropriateness of variables and probability weightings, as well as the incorporation of these forecasts into the ECL allowance.

The Group has adopted the use of three economic scenarios: a base scenario, a mild upside scenario, and a mild downside scenario.

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for the reporting period ended 31 December

41. Risk management (continued)

41.2 Credit risk (continued)

Determination of the lifetime of a credit exposure: (continued)

Base scenario

- **Global:** Global growth is forecast to continue on the steady path but less synchronised and balanced among advanced economies than in previous years.
- **Kenya:** Kenya's economy is forecasted to continue growing steadily due to its diversified nature across various sectors albeit with some downside risks such as erratic weather patterns, Global factors such as trade wars and geopolitical risks and possible cuts of Government expenditure on development to manage public debt.

Mild upside scenario: Stronger near term growth

- **Global:** The global economy grows faster than expected, as global trade and political tensions subside. This boosts global business confidence, trade and investment.
- **Kenya:** The economy grew faster than expected underpinned by strong agricultural output due to well distributed rainfall, continued investments by the government in mega infrastructure projects aligned to the Big 4 agenda, focuses on Food Security, Affordable Housing, Manufacturing and Affordable Healthcare, and strong private sector credit growth following the removal of the interest rate cap.

Mild downside scenario: Moderate recession

- **Global:** Global output contracts over the first year of the forecast as economies experience a synchronised contraction in economic activity.
- **Kenya:** Kenya's GDP takes a hit from Global recession exacerbated by Geo-political risks ,Trade wars causing investor's flight to safe havens from Emerging and Frontier Markets coupled by impact on Agricultural output due to probable erratic weather patterns.

Risk limit control and mitigation policies

The Group manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and banks, and to industries and countries.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or banks of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary.

Limits on the level of credit risk by product, industry sector and country are approved quarterly by the Board of Directors.

The exposure to any one borrower including banks and brokers is further restricted by sub-limits covering on- and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default. Some other specific control and mitigation measures are outlined below:

Collateral

The Group routinely obtains collateral and security to mitigate credit risk. The Group ensures that any collateral held is sufficiently liquid, legally effective, enforceable and regularly reassessed.

Before attaching value to collateral, business holding approved collateral must ensure that they are legally perfected devoid of any encumbrances. Security structures and legal covenants are subject to regular review, at least annually, to ensure that they remain fit for purpose and remain consistent with accepted local market practice.

The principal collateral types held by the Group for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

Valuation of collateral taken will be within agreed parameters and will be conservative in value. The valuation is performed only on origination or in the course of enforcement actions. Within the corporate sectors, collateral for impaired loans including guarantees and insurance is reviewed regularly and at least annually to ensure that it is still enforceable and that the impairment allowance remains appropriate given the current valuation.

The Group will consider all relevant factors, including local market conditions and practices, before any collateral is realised.

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41. Risk management (continued)

41.2 Credit risk (continued)

41.2.1 Maximum credit risk exposure

	12 months expected credit losses – stage 1				Lifetime expected credit losses – stage 2			Credit impaired – stage 3
	Gross Maximum Exposure	DG1-9	DG 10-19	DG 20-21	DG1-9	DG 10-19	DG 20-21	DG 20 – 22
	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million
2019								
Balances with Central Bank of Kenya	21 719	11 950	9 769	-	-	-	-	-
Financial assets at FVTPL	43 774	-	-	-	-	-	-	-
Investment securities designated at FVOCI	79 281	79 281	-	-	-	-	-	-
Loans and advances to banks	3 803	1 217	2 586	-	-	-	-	-
Balances due from group companies	8 704	8 704	-	-	-	-	-	-
Other assets	4 585	4 585	-	-	-	-	-	-
Loans and advances to customers	205 915	1 959	170 851	1 543	3 000	9 153	8 620	10 789
Total gross maximum exposure to credit risk	367 781	107 696	183 206	1 543	3 000	9 153	8 620	10 789
Expected credit losses	(11 084)	(66)	(2 227)	(182)	(20)	(458)	(1 656)	(6 475)
Total financial assets per the statement of financial position	356 697	107 630	180 979	1 361	2 980	8 695	6 964	4 314
Off balance sheet exposure	100 666	7 465	73 880	1	8 880	8 577	1 803	60
2018								
Balances with Central Bank of Kenya	17 718	16 951	767	-	-	-	-	-
Financial assets at FVTPL	29 708	-	-	-	-	-	-	-
Investment securities designated at FVOCI	63 289	64 138	(849)	-	-	-	-	-
Loans and advances to banks	6 572	1 938	4 634	-	-	-	-	-
Balances due from group companies	9 126	9 126	-	-	-	-	-	-
Other assets	9 529	9 529	-	-	-	-	-	-
Loans and advances to customers	187 580	5 013	158 056	1 467	-	8 685	3 516	10 843
Total gross maximum exposure to credit risk	323 522	106 695	162 608	1 467	-	8 685	3 516	10 843
Expected credit losses	(10 286)	(152)	(2 905)	(27)	-	(996)	(403)	(5 803)
Total financial assets per the statement of financial position	313 236	106 543	159 703	1 440	-	7 689	3 113	5 040
Off balance sheet exposure	93 009	12 369	63 243	119	-	2 251	14 226	801

Notes to the annual financial statements

for the reporting period ended 31 December

41. Risk management (continued)

41.2 Credit risk (continued)

41.2.2 Analysis of credit risk mitigation and collateral

	Collateral- credit impaired financial assets						Collateral - All other financial assets						
	Exposure relating to on SOFP	Guarantees credit insurance and credit derivatives	Physical collateral	Cash collateral	Other		Unsecured	Guarantees credit insurance and credit derivatives	Physical collateral	Cash collateral	Other	Unsecured	Total
	Shs' million	Shs' million	Shs' million	Shs' million	Shs' million		Shs' million	Shs' million	Shs' million	Shs' million	Shs' million	Shs' million	Shs' million
2019													
Balances with Central Bank of Kenya	21 719	-	-	-	-		-	-	-	-	-	-	21 719
Financial assets at FVOCI	79 281	-	-	-	-		-	-	-	-	-	-	79 281
Derivative financial assets	921	-	-	921	-		-	-	-	-	-	-	-
Financial assets at FVTPL	43 774	-	-	-	-		-	-	-	-	-	-	43 774
Loans and advances to banks	3 803	-	-	-	-		-	-	-	-	-	-	3 803
Other assets	4 585	-	-	-	-		-	-	-	-	-	-	4 585
Loans and advances to customers	194 895	48	491	264	141		840	1 320	12 502	132	940	18 346	159 871
Credit exposures relating to off-balance sheet items	100 666	-	2	-	2		4	266	2 445	193	206	9 135	88 413
Balances due from group companies	8 704	-	-	-	-		-	-	-	-	-	-	8 704
	458 348	48	493	1 185	143		844	1 586	14 947	325	1 146	27 481	410 150
2018													
Balances with Central Bank of Kenya	17 719	-	-	-	-		-	-	-	-	-	-	17 719
Financial assets at FVOCI	63 289	-	-	-	-		-	-	-	-	-	-	63 289
Derivative financial assets													
Financial assets at FVTPL													
Loans and advances to banks	6 572	-	-	-	-		-	-	-	-	-	-	6 572
Other assets	9 879	-	-	-	-		-	-	-	-	-	-	9 879
Loans and advances to customers	177 354	7	519	3	365		10 726	435	12 871	135	2 917	17 900	131 476
Credit exposures relating to off-balance sheet items	93 009	-	14	-	10		4	278	4 598	205	108	23 155	64 637
Balances due from group companies	9 126	-	-	-	-		-	-	-	-	-	-	9 126
	376 948	7	533	3	375		10 730	713	17 469	340	3 025	41 055	302 698

Comparative numbers have been amended to correct an understatement in the exposure for balances due from group companies and off balance sheet exposures. The balances were inadvertently understated by Shs 5 544 million and Shs 64 637 million respectively.

Notes to the annual financial statements

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41. Risk management (continued)

41.2 Credit risk (continued)

41.2.3 Industry analysis

Group and Bank	Financial services	Government	Manufacturing	Wholesale and retail trade		Transportation and communication	Agricultural	Private individuals	Other	Total
2019	Shs' million	Shs' million	Shs' million	Shs' million		Shs' million	Shs' million	Shs' million	Shs' million	Shs' million
Financial assets										
Cash and balances with Central Bank of Kenya	-	28 808	-	-		-	-	-	-	28 808
Loans and advances to banks	3 803	-	-	-		-	-	-	-	3 803
Derivative financial instruments	550	-	204	-		-	161	-	6	921
Financial assets at FVTPL	-	43 774	-	-		-	-	-	-	43 774
Financial assets at FVOCI	-	79 221	-	-		-	-	-	-	79 221
Loans and advances to customers	-	-	36 537	33 052		5 168	8 436	89 217	22 485	194 895
	4 353	151 803	36 741	33 052		5 168	8 597	89 217	22 491	351 422
2018										
Cash and balances with Central Bank of Kenya	-	23 531	-	-		-	-	-	-	23 531
Loans and advances to banks	6 572	-	-	-		-	-	-	-	6 572
Derivative financial instruments	473	-	-	-		-	-	-	-	473
Financial assets at FVTPL	-	29 708	-	-		-	-	-	-	29 708
Financial assets at FVOCI	-	63 230	-	-		-	-	-	-	63 230
Loans and advances to customers	-	-	26 451	30 588		6 096	9 768	85 511	18 940	177 354
	7 045	116 469	26 451	30 588		6 096	9 768	85 511	18 940	300 868

Notes to the annual financial statements

for the reporting period ended 31 December

41. Risk management (continued)

41.2 Credit risk (continued)

41.2.3 Loans and advances to customers

The total impairment provision for loans and advances represents both individually impaired loans and loans assessed on a portfolio basis.

An analysis of changes in the gross carrying amount and the corresponding ECL allowances for the Group is, as follows:

	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
Gross carrying amount at 1 January 2019	167 969	9 314	10 297	187 580
Transfer to Stage 1	(3 395)	1 425	1 970	-
Transfer to Stage 2	(4 054)	2 457	1 597	-
Transfer to Stage 3	(498)	(557)	1 055	-
Financial assets that have been derecognised	(84 750)	(9 794)	(1 337)	(95 881)
Write-offs	-	-	(3 386)	(3 386)
New financial assets originated	108 830	8 202	570	117 602
Gross carrying amount at 31 December 2019	184 102	11 047	10 766	205 915
Gross carrying amount at 1 January 2018	158 289	9 256	8 315	175 860
Transfer to Stage 1	913	968	(1 881)	-
Transfer to Stage 2	(2 817)	4 508	(1 691)	-
Transfer to Stage 3	(787)	640	147	-
Financial assets that have been derecognised	(62 952)	(8 474)	-	(71 426)
Write-offs	-	-	(3 865)	(3 865)
New financial assets originated	75 323	2 416	9 272	87 011
Gross carrying amount at 31 December 2018	167 969	9 314	10 297	187 580

The weighted average effective interest rate on loans and advances at 31 December 2019 was 11.3% (2018: 11.8%).

Collectively assessed

	Stage 1 12 month ECL Shs'million	Stage 2 Lifetime ECL Shs'million	Stage 3 Lifetime ECL Shs'million	Total Shs'million
Loss allowance at 1 January 2019	1 330	1 547	4 552	7 429
Transfer to Stage 1	(373)	232	141	-
Transfer to Stage 2	18	(42)	24	-
Transfer to Stage 3	30	879	(909)	-
Financial assets that have been derecognised	(115)	(2 163)	(834)	(3 112)
Write-offs	-	-	(2 736)	(2 736)
New financial assets originated	558	997	4 252	5 807
Loss allowance at 31 December 2019	1 448	1 450	4 490	7 388
Loss allowance at 1 January 2018	891	2 266	4 399	7 556
Transfer to Stage 1	608	(406)	(202)	-
Transfer to Stage 2	(153)	164	(11)	-
Transfer to Stage 3	(51)	(695)	746	-
Financial assets that have been derecognised	(60)	(1 236)	325	(971)
Write-offs	-	-	(3 865)	(3 865)
New financial assets originated	95	1 454	3 160	4 709
Loss allowance at 31 December 2018	1 330	1 547	4 552	7 429

Notes to the annual financial statements

for the reporting period ended 31 December

41. Risk management (continued)

41.2 Credit risk (continued)

41.2.3 Loans and advances to customers

	Individually assessed			
	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
Loss allowance at 1 January 2019	676	137	1 984	2 797
Transfer to Stage 1	(21)	20	1	-
Transfer to Stage 2	56	(55)	(1)	-
Transfer to Stage 3	18	21	(39)	-
Financial assets that have been derecognised	(978)	(1 062)	(682)	(2 722)
Write-offs	-	-	(650)	(650)
New financial assets originated	1 212	1 623	1 372	4 207
Loss allowance at 31 December 2019	963	684	1 985	3 632

Loss allowance at 1 January 2018	965	392	1 326	2 683
Transfer to Stage 1	(64)	64	-	-
Transfer to Stage 2	26	(26)	-	-
Transfer to Stage 3	1	13	(14)	-
Financial assets that have been derecognised	(445)	(349)	(1 106)	(1 900)
Write-offs	-	-	-	-
New financial assets originated	193	43	1 778	2 014
Loss allowance at 31 December 2018	676	137	1 984	2 797

41.2.4 Cash and balances with Central Bank of Kenya

	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
Gross carrying amount at 1 January 2019	17 718	-	-	17 718
New financial assets originated	4 001	-	-	4 001
Gross carrying amount at 31 December 2019	21 719	-	-	21 719

Gross carrying amount at 1 January 2018	11 634	-	-	11 634
New financial assets originated	6 084	-	-	6 084
Gross carrying amount at 31 December 2018	17 718	-	-	17 718

Loss allowance at 1 January 2019	2	-	-	2
New financial assets originated	-	-	-	-
Loss allowance at 31 December 2019	2	-	-	2

Loss allowance at 1 January 2018	3	-	-	3
Financial assets that have been derecognised	(8)	-	-	(8)
New financial assets originated	7	-	-	7
Loss allowance at 31 December 2018	2	-	-	2

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for the reporting period ended 31 December

41. Risk management (continued)

41.2 Credit risk (continued)

	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
41.2.5 Loans and advances to banks				
Gross carrying amount at 1 January 2019	6 572	-	-	6 572
Financial assets that have been derecognised	(2 769)	-	-	(2 769)
Gross carrying amount at 31 December 2019	3 803	-	-	3 803
Gross carrying amount at 1 January 2018	1 818	-	-	1 818
New financial assets originated	4 754	-	-	4 754
Gross carrying amount at 31 December 2018	6 572	-	-	6 572
Loss allowance at 1 January 2019	1	-	-	1
New financial assets originated	-	-	-	-
Loss allowance at 31 December 2019	1	-	-	1
Loss allowance at 1 January 2018	1	-	-	1
Financial assets that have been derecognised	(1)	-	-	(1)
New financial assets originated	1	-	-	1
Loss allowance at 31 December 2018	1	-	-	1

	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
41.2.6 Financial assets at FVOCI				
Gross carrying amount at 1 January 2019	63 289	-	-	63 289
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial assets that have been derecognised	(8 305)	-	-	(8 305)
Write-offs	-	-	-	-
New financial assets originated	24 297	-	-	24 297
Gross carrying amount at 31 December 2019	79 281	-	-	79 281
Gross carrying amount at 1 January 2018	58 476	-	-	58 476
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial assets that have been derecognised	(5 565)	-	-	(5 565)
Write-offs	-	-	-	-
New financial assets originated	10 378	-	-	10 378
Gross carrying amount at 31 December 2018	63 289	-	-	63 289

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41. Risk management (continued)

41.2 Credit risk (continued)

	Stage 1 Shs'million	Stage 2 Shs'million	Stage 3 Shs'million	Total Shs'million
41.2.6 Financial assets at FVOCI (continued)				
Loss allowance at 1 January 2019	58	-	-	58
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial assets that have been derecognised	(2)	-	-	(2)
Write-offs	-	-	-	-
New financial assets originated	4	-	-	4
Loss allowance at 31 December 2019	60	-	-	60
Loss allowance at 1 January 2018	40	-	-	40
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial assets that have been derecognised	(22)	-	-	(22)
Write-offs	-	-	-	-
New financial assets originated	40	-	-	40
Loss allowance at 31 December 2018	58	-	-	58

41.2.7 Credit exposures relating to off-balance sheet position items

For financial guarantees, the maximum exposure to credit risk is the maximum amount the Group would have to pay if the guarantee was called upon. For loan commitments and other credit-related commitments that are irrevocable over the life of the respective facilities, the maximum exposure to credit risk is the full amount of the committed facilities.

	Group and Bank	
	2019	2018
	Shs'million	Shs'million
Financial guarantee contracts	18 365	14 680
Irrevocable debt facilities	77 458	50 003
Letters of credit	4 843	13 691
	100 666	78 374

41.3 Market risk

Market risk is the risk that the Group's earnings, capital or business objectives will be adversely impacted by changes in the level or volatility of market rates or prices such as interest rates, foreign exchange rates, equity prices, commodity prices and credit spreads and comprises: -

Traded market risk

The risk of the Group being impacted by changes in the level or volatility of positions in its trading books, primarily in the Investment Bank.

The risk arises primarily as a result of client facilitation in wholesale markets. This involves market making, risk management solutions and execution of syndications. Mismatches between client transactions and hedges result in market risk. Trading risk is measured for the trading book, as defined for regulatory purposes and certain banking books. Interest rate risk in the banking book is subjected to the same rigorous measurement and control standards as in the trading book, but the associated sensitivities are reported separately as "interest rate risk in the banking book".

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41. Risk management (continued)
41.3 Market risk (continued)

Non-traded market risk:

The risk of the Group being exposed to interest rate risk arising from loans, deposits and similar instruments held for longer term strategic purposes rather than for the purpose of profiting from changes in interest rates. Non-trading portfolios also consist of foreign exchange and equity risks arising from the Bank's FVTPL and FVOCI financial assets.

Market risk measurement techniques

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Bank Treasury is responsible for the development of detailed risk management policies and for day-to-day implementation of those policies.

Furthermore it includes the protection and enhancement of the statement of financial position and statement of comprehensive income and facilitating business growth within a controlled and transparent risk management framework.

(a) Value at risk

The Bank applies a 'value at risk' (VAR) methodology to its FX trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The Board sets limits on the value of risk that may be accepted for the Bank, which are monitored on a daily basis by Bank Treasury.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Bank's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by the Bank's trading desk. The daily VAR for the Bank closed the year at Shs 17.6 million (2018: Shs 10.8 million).

(b) Stress tests

The Bank applies a 'Stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board of Directors. The stress testing is tailored to the business and typically uses scenario analysis.

41.4 Foreign currency risk

The Group takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table below summarises the Bank's exposure to foreign exchange risk at 31 December. Included in the table are the Bank's financial instruments at carrying amounts, categorised by currency (all amounts expressed in millions of Kenyan Shillings). The carrying amounts of the Bank's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting period are as follows:

	Group and Bank	
	Assets Shs'million	Liabilities Shs'million
2019		
USD	123 939	(124 813)
GBP	8 285	(8 290)
Euro	45 284	(45 277)
JPY	3 343	(3 351)
CHF	211	(192)
ZAR	1 535	(1 524)
Other	378	(373)
	182 975	(183 820)
2018		
USD	114 692	(115 198)
GBP	5 752	(5 749)
Euro	31 823	(31 817)
JPY	2 904	(2 901)
CHF	128	(128)
ZAR	342	(340)
Other	575	(576)
	156 216	(156 709)

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41. Risk management (continued)
41.4 Foreign currency risk (continued)
Foreign currency sensitivity analysis

The following table details the Bank's sensitivity to a 10% increase and decrease in the Kenyan Shilling against the relevant foreign currencies. 10% is the sensitivity rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end of a 10% change in foreign currency rates. The sensitivity analysis includes external loans as well as loans to foreign operations within the Group where the denomination of the loan is in a currency other than the currency of the lender or the borrower. A positive number below indicates an increase in profit and other equity where the Shilling strengthens 10% against the relevant currency. For a 10% weakening of the Shilling against the relevant currency, there would be a comparable impact on the profit and other equity, and the balance below would be negative.

	2019 Profit or loss Shs'million	2018 Profit or loss Shs'million
Assets		
USD	12 394	11 469
GBP	829	575
Euro	4 528	3 182
JPY	334	290
CHF	21	13
ZAR	154	34
Other	38	57
Liabilities		
USD	(12 481)	(11 520)
GBP	(829)	(575)
Euro	(4 528)	(3 182)
JPY	(335)	(290)
CHF	(19)	(13)
ZAR	(152)	(34)
Other	(37)	(58)
	(83)	(52)
Income tax effect at 30%	25	16
After tax (loss)/profit effect	(58)	(36)

As at 31 December 2019 if the Shilling had weakened / strengthened by 10% against the major trading currencies listed above, with all other variables remaining constant, the after tax loss would have been Shs 58 million (2018: Shs 36 million) lower / higher net of tax.

41.5 Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the Country Management Committee (CMC) and the Board.

Interest rate risk arises due to re-pricing differences between assets, liabilities and equity, originating from the provision of retail and wholesale banking products and services (considered core banking activities), together with certain rate insensitive exposures within the balance sheet. This risk impacts both the earnings and economic value of the Bank.

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41. Risk management (continued)

41.5 Interest rate risk (continued)

Interest rate sensitivity analysis (continued)

Group	Up to 1 month	1 - 3 months	4 - 12 months	Over 1 year	Non-interest bearing	Total
2019	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million
Assets						
Cash and balances with Central Bank of Kenya	-	-	-	-	28 808	28 808
Financial assets at fair value through profit or loss	12 475	3 469	25 888	1 942	-	43 774
Financial assets at fair value through other comprehensive income	5 595	9 496	25 487	38 643	-	79 221
Deposits and balances due from banking institutions	2 000	-	-	1 803	-	3 803
Due from group companies	6 648	-	-	1 470	-	8 118
Loans and advances to customers	139 060	18 031	29 099	8 705	-	194 895
Total assets	165 778	30 996	80 474	52 563	28 808	358 619
Liabilities						
Deposits and balances due to banking institutions	4 083	-	-	-	-	4 083
Due to group companies	3 613	14 105	34 703	11 929	-	64 350
Customer deposits	72 392	17 014	20 373	5 534	122 426	237 739
Borrowings	-	7 601	-	-	-	7 601
Total liabilities and equity	80 088	38 720	55 076	17 463	122 426	313 773
Interest rate sensitivity gap	85 690	(7 724)	25 398	35 100	(93 618)	44 846

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	Up to 1 month	1 - 3 months	4 - 12 months	Over 1 year	Non-interest bearing	Total
	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million
2018						
41. Risk management (continued)						
41.5 Interest rate risk (continued)						
Interest rate sensitivity analysis (continued)						
Group						
Assets						
Cash and balances with Central Bank of Kenya	-	-	-	-	23 531	23 531
Financial assets at fair value through profit or loss	2 558	7 905	19 245	-	-	29 708
Financial assets at fair value through other comprehensive income	2 500	758	37 025	22 947	-	63 230
Deposits and balances due from banking institutions	6 572	-	-	-	-	6 572
Due from group companies	9 126	-	-	-	-	9 126
Loans and advances to customers	125 110	16 411	26 711	9 122	-	177 354
Total assets	145 866	25 074	82 981	32 069	23 531	309 521
Liabilities						
Deposits and balances due to banking institutions	5 308	-	-	-	-	5 308
Due to group companies	11 073	9 167	23 935	7 763	-	51 938
Customer deposits	55 697	15 289	19 503	4 293	112 626	207 408
Borrowings	-	5 092	-	-	-	5 092
Total liabilities and equity	72 078	29 548	43 438	12 056	112 626	269 750
Interest rate sensitivity gap	73 788	(4 474)	39 543	20 013	(89 095)	39 776

Interest rate sensitivity analysis

The sensitivity analyses below have been determined based on the exposure to interest rates for both derivative and non-derivative instruments at the end of the reporting period. For floating rate liabilities, the analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year. A 100 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

Group	1% Increase in interest rate 2019	1% Decrease in interest rates 2019	1% Increase in interest rate 2018	1% Decrease in interest rates 2018
	Shs'million	Shs'million	Shs'million	Shs'million
Changes in interest				
Increase/(decrease) in interest received	2,045	(1,828)	2,102	(1,782)
Increase/(decrease) in interest paid	(1,438)	662	(1,084)	565
Increase/(decrease) in profit before taxation	607	(1,166)	1,018	(1,217)
(Decrease)/increase in income tax	(182)	350	(305)	365
Increase/(decrease) in profit after tax	425	(816)	713	(852)

As at 31 December 2019 if interest rates were to increase / decrease by 1%, with all other variables remaining constant, the after tax profit would have been Shs 425 million (2018: Shs 713 million) higher / lower with other components of equity remaining the same.

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41.6 **Liquidity risk**

Confidence in an organisation, and hence liquidity, can be affected by a range of institution specific and market-wide events including, amongst others, market rumours, credit events, payment system disruptions, systemic shocks, and even natural disasters.

The definition of liquidity risk is the risk that the Bank is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows. Such outflows would deplete available cash resources for client lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs. This risk is inherent in all banking operations and can be affected by a range of Bank-specific and market-wide events which can result in: – an inability to support normal business activity; and – a failure to meet liquidity regulatory requirements.

During periods of market dislocation, the Group’s ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Bank. In illiquid markets, the Bank may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Bank’s ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Bank in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

- › To maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;
- › To maintain market confidence in the Bank’s name;
- › To set limits to control liquidity risk within and across lines of business;
- › To accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;
- › To set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;
- › To project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and
- › To maintain a contingency funding plan (“CFP”) that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

Liquidity risk management process

The Bank’s liquidity management process, as carried out within the Bank and monitored by a separate team in Bank Treasury, includes:

- › Liquidity stress testing;
- › Liquidity planning (funding plans, contingency funding plans, recovery and resolution planning);
- › Reporting and behavioural balance sheet analysis;
- › Funds transfer pricing; and – Defined management actions to mitigate risk.

Stress and scenario testing:

Under the Liquidity Risk Framework, the Group has established the Liquidity Risk Appetite (“LRA”), which is the level of liquidity risk the Group chooses to take in pursuit of its business objectives and in meeting its regulatory obligations.

It is measured with reference to anticipated stressed net contractual and contingent outflows for a variety of stress scenarios and is used to size the liquidity pool. Stress testing is undertaken to assess and plan for the impact of various scenarios which may put the Group’s liquidity at risk. Stress tests consider both institution-specific and market-wide scenarios separately and on a combined basis. Treasury develops and monitors stress tests on the Group’s projected cash flows.

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41.6 **Liquidity risk (continued)**

These stress scenarios include the Group’s specific scenarios such as unexpected operational problems and external sources such as country crises, payment system disruption and macroeconomic shocks. Stress testing also allows the Group to identify appropriate responses to crises, setting liquidity limits, sources of stress funding and liquidity buffers as well as formulating a funding strategy designed to minimise liquidity risk. The results of the stress tests are therefore used to develop the CFP (Contingency Funding Plan) and are taken into account when setting limits for the management of liquidity risk and the business planning process.

The Group maintains a range of early warning indicators (“EWIs”). These assist in informing management on deciding whether the CFP should be invoked. Each operation must adopt and conform to the Company CFP and establish local processes and procedures for managing local liquidity stresses that are consistent with the Group’s level plan. The CFPs set out the specific requirements to be undertaken locally in a crisis situation. This could include monetising the liquidity pool, slowing the extension of credit, increasing the tenor of funding and securitising or selling assets.

The Group CFP is regularly tested and updated so as to ensure that it is operationally robust. Diversification Sources of liquidity are regularly reviewed by a separate team within Treasury to maintain a wide diversification by provider, product and term. In addition, to avoid reliance on a particular group of customers or market sectors the distribution of sources and the maturity profile of deposits are also carefully managed. Important factors in assuring liquidity are strength of relationships and the maintenance of depositors’ confidence. Such confidence is based on the Group’s reputation and relationship with those clients, the strength of earnings and the Group’s financial position.

Assets held for managing liquidity risk

The Group maintains a portfolio of highly marketable assets, which includes a diverse portfolio of cash and high quality liquid securities to support payment obligations and contingent funding in a stressed market environment. The Group’s assets that may be held for managing liquidity risk may comprise cash deposits with the Central bank/monetary authority and/or holdings of high quality eligible liquid assets, such as, for example, government bonds or other securities that would be readily acceptable in repurchase agreements.

Funds transfer pricing:

Liquidity costs, benefits and risk should be clearly and transparently attributed to business lines and understood by business line management. The Group Treasury and ALCO are responsible for implementing a “funds transfer pricing” mechanism as a means of communicating and disseminating the cost of liquidity risk.

Group deploys liquidity risk funds transfer pricing processes as a means of controlling the behavioural profile of the Group’s balance sheet. Funds transfer pricing incentivises business units to manage assets and liabilities in accordance with the Group liquidity risk appetite.

Structural liquidity:

An important source of structural liquidity is provided by core deposits; mainly current accounts and savings accounts. Although current accounts are repayable on demand and savings accounts on short notice, the Group’s broad base of customers numerically and by depositor type helps to protect against unexpected fluctuations. Such accounts form a stable funding base for the Group’s operations and liquidity needs.

Sources of liquidity risk

Group has material liquidity risk exposure arising from the following sources:

- › Wholesale secured and unsecured funding risk
Wholesale funding providers are a key source of liquidity funding for the Group operations. A disruption to wholesale markets could impact the Group’s ability to effectively fund certain business activities.
- › Retail funding risk
Most retail loans and advances are funded by customer deposits. A material loss of retail deposit funding could arise through a lack of confidence in the Group name or credit worthiness; and could impact the Group’s ability to effectively fund retail banking operations.
- › Contingent liquidity risks
The Group could experience material cash outflows arising from contingent events such as rating downgrade triggers, off balance sheet transactions, drawdowns of unused credit facilities and the early termination of derivative transactions.
- › Concentration risk
Concentrations in the sources of funding utilised by the Group can give rise to liquidity risk if access to any of these sources is disrupted. Other funding source represent risk to the Group when these sources are subject to material counterparties, markets, currencies, tenors or instrument types. The table below represents the undiscounted cash flows payable by the Bank under non – derivative financial liabilities by remaining contractual liabilities at the balance sheet date.

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41. Risk management (continued)

41.6 Liquidity risk (continued)

Group and Bank	Undiscounted maturity				Discounted maturity	
	On demand Shs'million	Within 1 year Shs'million	1 – 5 years Shs'million	More than 5 years Shs'million	Total Shs'million	Total Shs'million
2019						
Non-derivative financial assets						
Cash and balances with Central Bank of Kenya	28 808	-	-	-	28 808	28 808
Financial assets at fair value through profit or loss	109	46 306	2 142	2 318	50 875	43 774
Financial assets at fair value through other comprehensive income	2 529	42 210	45 472	38 787	128 998	79 821
Deposits and balances due from banking institutions	3 803	-	-	-	3 803	3 803
Due from group companies	8 704	-	-	-	8 704	8 704
Loans and advances to customers	17 748	42 567	165 853	119 740	345 908	194 895
Total non-derivative financial assets	61 701	131 083	213 467	160 845	567 096	359 805
Non-derivative financial liabilities						
Amounts owing to related parties	235	53 108	8 994	51 058	113 395	64 350
Deposits from customers	171 165	67 300	8 530	-	246 995	237 739
Deposits and balances due to banking institutions	4 083	-	-	-	4 083	4 083
Borrowings	-	-	6 943	4 515	11 458	7 628
Other liabilities and accrued expenses	2 012	13 957	-	-	15 969	14 380
Total non-derivative financial liabilities	177 495	134 365	24 467	55 573	391 900	328 180

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41. Risk management (continued)

41.6 Liquidity risk (continued)

Group and Bank	Undiscounted maturity				Discounted maturity	
	On demand Shs'million	Within 1 year Shs'million	1 – 5 years Shs'million	More than 5 years Shs'million	Total Shs'million	Total Shs'million
2018						
Non-derivative financial assets						
Cash and balances with Central Bank of Kenya	23 531	-	-	-	23 531	23 531
Financial assets at fair value through profit or loss	-	32 974	-	-	32 974	29 708
Financial assets at fair value through other comprehensive income	-	44 711	32 956	-	77 667	63 230
Deposits and balances due from banking institutions	6 572	-	-	-	6 572	6 572
Due from group companies	9 126	-	-	-	9 126	9 126
Loans and advances to customers	17 905	30 269	105 104	33 425	186 703	177 354
Total non-derivative financial assets	57 134	107 954	138 060	33 425	336 573	309 521
Non-derivative financial liabilities						
Amounts owing to related parties	51 938	-	-	-	51 938	51 938
Deposits from customers	161 443	38 616	16 046	-	216 105	207 408
Deposits and balances due to banking institutions	5 308	-	-	-	5 308	5 308
Borrowings	-	-	-	5 656	5 656	5 096
Other liabilities and accrued expenses	4 007	6 999	-	-	11 006	10 313
Total non-derivative financial liabilities	222 696	45 615	16 046	5 656	290 013	280 063

Prior year numbers have been restated to include borrowings which form part of the Group's liquidity.

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41. Risk management (continued)

41.6 Liquidity risk (continued)

The Group's expected cash flows on some financial assets and financial liabilities vary significantly from the contractual cash flows. The principal differences are as follows:

- demand deposits from customers are expected to remain stable or increase;
- unrecognised loan commitments are not all expected to be drawn down immediately

As part of the management of liquidity risk arising from financial liabilities, the Group holds liquid assets comprising cash and cash equivalents, and other financial securities, which can be readily sold to meet liquidity requirements.

Group	On demand Shs'million	Within 1 year Shs'million	1 – 5 years Shs'million	Total Shs'million
2019				
Cash and balances with Central Bank of Kenya	28 808	-	-	28 808
Financial assets at fair value through other comprehensive income	-	44 001	35 220	79 221
Assets held for managing liquidity	28 808	44 001	35 220	108 029

2018

Cash and balances with Central Bank of Kenya	23 531	-	-	23 531
Financial assets at fair value through other comprehensive income	2 500	37 783	22 947	63 230
Assets held for managing liquidity	26 031	37 783	22 947	86 761

Derivative liabilities

The table below analyses the Bank's derivative financial instruments that are settled on a gross basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. Contractual maturities are assessed to be essential for an understanding of the timing of the cash flows on all derivatives. The amounts disclosed in the table are the contractual undiscounted cash flows.

31 December 2019	Notional amount	On demand	Within 1 year	More than 5 years
Derivative liabilities held for trading	(103 646)	-	-	-
Outflow	-	(103 646)	-	-
	(103 646)	(103 646)	-	-

31 December 2018

Derivative liabilities held for trading	(69 777)	-	-	-
Outflow	-	(69 777)	-	-
	(69 777)	(69 777)	-	-

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41. Risk management (continued)

41.7 Capital risk management

The risk weighted assets are measured using the Risk weights prescribed under the Central Bank prudential guidelines.

Capital risk is the risk that the Bank is unable to maintain adequate levels of capital which could lead to an inability to:

- (i) support business activity;
- (ii) a failure to meet regulatory requirements;
- (iii) changes to credit ratings, which could also result in increased costs or reduced capacity to raise funding.

Our objectives are achieved through well embedded capital management practices:

Primary objectives and core practices:

- Provide a viable and sustainable business offering by maintaining adequate capital to cover the Bank's current and forecast business needs and associated risks
- Monitor internal targets for capital demand and ratios
- Meet minimum regulatory requirements
- Ensure the Group maintains adequate capital to withstand the impact of the risks that may arise under the stressed conditions
- Perform internal and regulatory stress tests
- Maintain capital buffers over regulatory minimum
- Develop contingency plans for severe (stress management actions) Support the Bank's growth and strategic options
- Maintain a capital plan on a short-term and medium term basis aligned with strategic objectives

We adopt a forward-looking, risk based approach to Capital Risk Management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Absa operates.

Capital planning

Capital forecasts are managed through both Short Term (Year 1 monthly) and Medium Term (3 year) financial planning cycles. The capital plan is developed with the objective of maintaining capital that is adequate in quantity and quality to support our risk profile and business needs. Local management ensures compliance with an entity's minimum regulatory capital requirements by reporting to Asset and Liability Committee (ALCO).

Regulatory Capital

The Bank maintains a ratio of total regulatory capital to its risk-weighted above a minimum level prescribed by the Central Bank of Kenya. The Bank's regulatory capital is managed by its Treasury and comprises two tiers:

(i) Tier 1 capital:

- Share capital,
- Retained earnings, excluding unrealised gains arising on the fair valuation of fair value through other comprehensive income investments; and

(ii) Tier 2 capital:

- Statutory reserve;
- Medium term note; and
- Subordinated loan capital

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41.7 Capital risk management (continued)

Bank	Regulatory minimum	As at 31 Dec 2019 Shs'million	As at 31 Dec 2018 Shs'million
Tier 1	10.5%	13.9%	14.6%
Total capital	14.5%	16.6%	16.4%
Tier 1 Capital	1 000	38 706	37 788
Ordinary share capital		2 716	2 716
Retained earnings		35 990	35 072
Tier 2 Capital		7 628	5 096
Subordinated debt		7 628	5 096
Total regulatory capital	1 000	46 334	42 884
Total risk weighted assets		277 813	261 752
Total shareholders' equity/capital resources		44 079	43 393
Core capital/total deposit liabilities	8.0%	16.3%	18.2%
Liquidity ratio	20.0%	39.8%	35.7%

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42. Maturity analysis of assets and liabilities

The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled. Trading assets and liabilities including derivatives have been classified to mature and/or be repaid within 12 months, regardless of the actual contractual maturities of the products. With regard to loans and advances to customers, the Bank uses the same basis of expected repayment behaviour that was used for estimating the EIR. Issued debt reflects the contractual coupon amortisation.

As at 31 December 2019	Within 12 months Shs'million	After 12 months Shs'million	Total Shs'million
Assets			
Cash and balances with Central Bank of Kenya	28 808	-	28 808
Loans and advances to banks	3 803	-	3 803
Financial assets at fair value through profit or loss	41 844	1 930	43 774
Derivative financial instruments	921	-	921
Financial assets at fair value through other comprehensive income	44 001	35 220	79 221
Due from group companies	8 704	-	8 704
Loans and advances to customers	56 099	138 796	194 895
Other assets and prepaid expenses	7 687	-	7 687
Current income tax	425	-	425
Non-current assets held for sale	47	-	47
Property and equipment	-	2 843	2 843
Other intangible assets	-	618	618
Prepaid operating lease rentals	-	35	35
Deferred income tax	-	3 123	3 123
Total assets	192 339	182 565	374 904
Liabilities			
Deposits from banks	4 083	-	4 083
Derivative financial instruments	1 535	-	1 535
Due to group companies	64 350	-	64 350
Deposits from customers	184 398	53 341	237 739
Borrowings	-	7 628	7 628
Other liabilities and accrued expenses	14 380	-	14 380
Total liabilities	268 746	60 969	329 715
Net	(76 407)	121 596	45 189

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42. Maturity analysis of assets and liabilities (continued)

As at 31 December 2018	Within 12 months Shs'million	After 12 months Shs'million	Total Shs'million
Assets			
Cash and balances with Central Bank of Kenya	23 531	-	23 531
Loans and advances to banks	6 572	-	6 572
Financial assets at fair value through profit or loss	28 242	1 466	29 708
Derivative financial instruments	473	-	473
Financial assets at fair value through other comprehensive income	40 167	23 063	63 230
Due from group companies	9 126	-	9 126
Loans and advances to customers	48 187	129 167	177 354
Other assets and prepaid expenses	9 879	-	9 879
Non-current assets held for sale	65	-	65
Property and equipment	-	2 272	2 272
Other intangible assets	-	878	878
Prepaid operating lease rentals	-	45	45
Deferred income tax	-	2 180	2 180
Total assets	166 242	159 071	325 313
Liabilities			
Deposits from banks	5 308	-	5 308
Derivative financial instruments	1 019	-	1 019
Due to group companies	51 938	-	51 938
Deposits from customers	161 443	45 965	207 408
Borrowings	-	5 096	5 096
Current tax	25	-	25
Other liabilities and accrued expenses	10 313	-	10 313
Total liabilities	230 046	51 061	281 107
Net	(63 804)	108 010	44 206

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43. Fair value hierarchy of assets and liabilities held at fair value

43.1 Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Levels 1 to 3 based on the degree to which the fair value is observable.

Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfer between levels of fair value hierarchy is recognised by the Bank at the end of the reporting period during which the change occurred.

Process of determination and use of estimates, assumptions and judgements

Loans and advances

The fair value of loans and advances to banks and customers is determined by discounting contractual cash flows. Discount factors are determined using the relevant forward base rates (as at valuation date) plus the originally priced spread. Where a significant change in credit risk has occurred, an updated spread is used to reflect valuation date pricing. Behavioural cash flow profiles, instead of contractual cash flow profiles, are used to determine expected cash flows where contractual cash flow profiles would provide an inaccurate fair value.

Deposits, debt securities in issue and borrowed funds

Deposits, debt securities in issue and borrowed funds are valued using discounted cash flow models, applying rates currently offered for issuances with similar characteristics. Where these instruments include embedded derivatives, the embedded derivative component is valued using the methodology for derivatives.

The fair value adjustments on amortised cost financial liabilities held in a fair value hedging relationship are taken through profit and loss in the statement of comprehensive income.

The fair value of amortised cost deposits repayable on demand is considered to be equal to their carrying value. For other financial liabilities at amortised cost the disclosed fair value approximates the carrying value because the instruments are short-term in nature or have interest rates that re-price frequently.

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43. Fair value hierarchy of assets and liabilities held at fair value (continued)

43.1 Fair value hierarchy (continued)

Group				
2019	Level 1	Level 2	Level 3	Total
Recurring fair value measurements	Shs'million	Shs'million	Shs'million	Shs'million
Financial assets				
Fair value through profit or loss:				
Trading securities	-	43 774	-	43 774
Derivatives financial assets	-	921	-	921
Financial liabilities				
Fair value through profit or loss:				
Derivatives financial liabilities	-	(1 535)	-	(1 535)
	-	43 160	-	43 160
Financial assets				
Fair value through OCI:				
Government securities	-	79 221	-	79 221
	-	79 221	-	79 221
Group				
2018				
Financial assets				
Fair value through profit or loss:				
Trading securities	-	29 708	-	29 708
Derivatives financial assets	-	473	-	473
Financial liabilities				
Fair value through profit or loss:				
Derivatives financial liabilities	-	(1 019)	-	(1 019)
	-	29 162	-	29 162
Financial assets				
Fair value through OCI:				
Government securities	-	63 230	-	63 230
	-	63 230	-	63 230

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43.2 Assets and liabilities carried at amortised cost

The following table summarises the carrying amounts and fair value of those assets and liabilities not held at fair value.

The carrying amount of assets and liabilities held at amortised costs is considered to approximate the fair value of the assets and liabilities.

Group	Carrying amount	Fair value	Level 1	Level 2	Level 3
	Shs'million	Shs'million	Shs'million	Shs'million	Shs'million
Assets at amortised cost					
Cash and cash equivalents	28 808	28 808	-	28 808	-
Loans and advances to banks	3 803	3 803	-	-	3 803
Due from group companies	8 684	8 684	-	-	8 684
Loans and advances to customers	194 895	194 895	-	-	194 895
Total	236 190	236 190	-	28 808	207 382
Liabilities at amortised cost					
Deposits from banks	4 081	4 081	-	-	4 081
Due to group companies	64 086	64 086	-	-	64 086
Deposits from customers	237 739	237 739	-	-	237 739
Borrowings	7 628	7 628	-	-	7 628
Total	313 534	313 534	-	-	313 534
2018					
Assets at amortised cost					
Cash and cash equivalents	23 531	23 531	-	23 531	-
Loans and advances to banks	6 572	6 572	-	-	6 572
Due from group companies	9 126	9 126	-	-	9 126
Loans and advances to customers	177 354	177 354	-	-	177 354
Total	216 583	216 583	-	23 531	193 052
Liabilities at amortised cost					
Deposits from banks	5 308	5 308	-	-	5 308
Due to group companies	51 938	51 938	-	-	51 938
Customer deposits	207 408	207 408	-	-	207 408
Borrowings	5 096	5 096	-	-	5 096
Total	269 750	269 750	-	-	269 750

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43.3 Valuation techniques for the level 2 fair value measurement of assets and liabilities held at fair value

The table below sets out information about the valuation techniques applied at the end of the reporting period in measuring assets and liabilities whose fair value is categorised as Level 2 in the fair value hierarchy. A description of the nature of the techniques used to calculate valuations based on observable inputs and valuations is set out in the table below:

Category of asset/liability	Valuation technique applied	Significant observable inputs
Government debt instruments	Discounted cash flow valuation technique	Quoted yields and 15 bps bid offer adjustment that management has estimated as the reasonable basis for applying the adjustment
Foreign exchange derivatives	Discounted cash flow valuation technique	Spot price, interest rate and/ or volatility

43.4 Valuation techniques for the levels 1, 2 or 3 fair value measurement of assets and liabilities held at amortised cost

For assets or liabilities held at amortised cost and disclosed in levels1, 2 or 3 of the fair value hierarchy, the discounted cash flow valuation technique is used. Interest rates and money market curves are considered unobservable inputs for items which mature after five years. However, if the items mature in less than five years, these inputs are considered observable.

44. Segmental reporting

44.1. Statement of financial position

The Group has two main business segments:

- **Consumer banking** – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and
- **Corporate banking** –the business model centres on delivering specialist investment banking, financing, risk management and advisory solutions across asset classes to corporates, financial institutions and government clients.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis. There were no changes in the reportable segments during the year. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated statement of profit or loss. Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses. The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

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44. Segmental reporting (continued)

44.2. Statement of comprehensive income

	Corporate Banking Shs'million	Consumer Banking Shs'million	Total Shs'million
2019			
Net interest income	5 545	17 634	23 179
Non-interest income	4 104	6 485	10 589
Total income	9 649	24 119	33 768
Impairment losses on financial instruments	(941)	(3 260)	(4 201)
Net operating income	8 708	20 859	29 567
Operating expenses			
Depreciation and amortisation	(207)	(1 256)	(1 463)
Other operating expenses	(1 764)	(15 588)	(17 352)
Total operating expenses	(1 971)	(16 844)	(18 815)
Profit before tax	6 737	4 015	10 752
Taxation	(1 587)	(1 709)	(3 296)
Profit for the year	5 150	2 306	7 456
2018			
Net interest income	5 264	16 728	21 992
Non-interest income	3 800	5 902	9 702
Total income	9 064	22 630	31 694
Impairment losses on financial instruments	(500)	(3 371)	(3 871)
Net operating income	8 564	19 259	27 823
Operating expenses			
Depreciation and amortisation	(158)	(1 041)	(1 199)
Other operating expenses	(1 342)	(14 636)	(15 978)
Total operating expenses	(1 500)	(15 677)	(17 177)
Profit before tax	7 064	3 582	10 646
Taxation	(1 597)	(1 633)	(3 230)
Profit for the year	5 467	1 949	7 416

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44. Segmental reporting (continued)
44.3 Statement of financial position

2019	Corporate Banking	Consumer Banking	Total
Assets	Shs'million	Shs'million	Shs'million
Loans and advances to customers	75 158	119 737	194 895
Loans and advances to banks	3 803	-	3 803
Other assets	94 519	81 687	176 206
	173 480	201 424	374 904
Liabilities			
Deposits from customers	51 500	186 239	237 739
Trade and other payables	76 814	15 162	91 976
	128 314	201 401	329 715
2018			
Assets			
Loans and advances to customers	68 206	109 148	177 354
Loans and advances to banks	6 572	-	6 572
Other assets	71 077	70 310	141 387
	145 855	179 458	325 313
Liabilities			
Deposits from customers	35 497	171 911	207 408
Trade and other payables	63 742	9 957	73 699
	99 239	181 868	281 107

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45. Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset and the net amount reported in the statement of financial position (SOFP) where the Bank has a legally enforceable right to offset the recognised amounts, and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The Bank has also entered into arrangements that do not meet the criteria for offsetting but still allow for the related amounts to be set off in certain circumstances, such as bankruptcy or the termination of a contract.

The following table presents the recognised financial instruments that are offset, or subject to enforceable master netting arrangements and other similar agreements but not offset, as at 31 December 2019 and 31 December 2018. The column 'net amount' shows the impact on the Bank's statement of financial position if all set-off rights were exercised. There were no gross amounts set off in the statement of financial position at 31 December 2018 (2018: Nil).

Group and Bank	Effects of offsetting in the SOFP	Related amounts not offset		
	Amounts presented in the SOFP	Amounts subject to master netting agreement	Financial instrument collateral	Net amount
	Shs'million	Shs'million	Shs'million	Shs'million
2019				
Financial assets				
Loans and advances to customers	194 895	-	(512)	194 383
	194 895	-	(512)	194 383
Liabilities				
Deposits from customers	237 739	-	(512)	237 227
	237 739	-	(512)	237 227
2018				
Financial assets				
Loans and advances to customers	177 354	-	(136)	177 218
	177 354	-	(136)	177 218
Liabilities				
Deposits from customers	207 408	-	(136)	207 272
	207 408	-	(136)	207 272

Master netting arrangements

Under the terms of these arrangements, only where certain credit events occur (such as default), the net position owing/ receivable to a single counterparty in the same currency will be taken as owing and all the relevant arrangements terminated. As the Bank does not presently have a legally enforceable right of set-off, these amounts have not been offset in the statement of financial position, but have been presented separately in the table above.

The comparative balances have been restated to disclose only loans with cash collateral that can be offset in the event of default, whereas previously all assets and liabilities had been included in the table.

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46. Related parties

Absa Bank Kenya PLC is a subsidiary of Absa Group Limited, which is listed on the Johannesburg Stock Exchange. The ultimate parent of the Group is Absa Group Limited. There are other companies which are related to Absa Bank Kenya PLC through common shareholdings or common directorships.

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

A number of banking transactions are entered into with related parties' i.e. key management staff, Directors, their associates and companies associated with Directors in the normal course of business, under terms that are no more favourable than those arranged with other employees. These include loans, deposits and foreign currency transactions. The outstanding balances at the reporting date with related parties and related-party transactions conducted during the reporting period are as follows:

a) Key management personnel compensation

	2019 Shs' million	2018 Shs' million
Executive directors		
Deferred cash payments	17	23
Non-deferred cash payments	217	170
Post-employment benefit contributions	35	30
Salaries and other short-term benefits	447	378
Share-based payments	171	34
	887	635
The compensation paid to directors was in respect of:		
Services rendered as directors of the Bank	32	32
	32	32

b) Statement of comprehensive income

	Relationship	Interest received Shs'million	Interest paid Shs'million	Recharges Shs'million
2019				
Absa Group Limited	Parent	15	1 452	1 845
Absa Bank Mauritius	Sister	-	168	-
		15	1 620	1 845
2018				
Absa Group Limited	Parent	4	914	1 014
Absa Bank Mauritius	Sister	2	416	-
		6	1 330	1 014

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46. Related parties (continued)

b) Statement of comprehensive income (continued)

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market.

The weighted average effective interest rate at 31 December 2019 on amounts due from group companies was 0.2% (2018:0.1%) and on amounts due to group companies was 3.0% (2018: 3.5%).

Group companies provide support services from time to time for which they recharge the costs incurred at the country of origin.

The value of the services provided has been debited to the profit or loss and is included in total expenditure of the Group.

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the "Funds") are sponsored by Absa Bank Kenya PLC. The Funds' foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the Fund by virtue of shareholding.

c) Due from Group companies

	Relationship	Group 2019 Shs'million	2018 Shs'million	Bank 2019 Shs'million	2018 Shs'million
2019					
Absa Group Limited	Parent	8 364	8 864	8 364	8 864
Absa Bank of Ghana	Sister	2	4	2	4
Absa Bank of Uganda	Sister	33	14	33	14
Absa Bank of Tanzania	Sister	44	59	45	59
Absa Life Assurance Kenya	Sister	76	101	76	101
First Assurance Kenya	Sister	185	84	185	84
Absa Bank Insurance Agency	Subsidiary	-	-	313	293
Absa Securities Limited	Subsidiary	-	-	186	122
		8 704	9 126	9 204	9 541

d) Due to Group companies

Absa Group Limited	Parent	(64 274)	(38 938)	(64 274)	(38 938)
Absa Bank Mauritius	Sister	(2)	(12 963)	(2)	(12 963)
Absa Bank Ghana	Sister	(14)	(24)	(14)	(24)
Absa Bank Zambia	Sister	(6)	-	(6)	-
Absa Bank Uganda	Sister	(53)	(6)	(53)	(6)
Absa Bank Tanzania	Sister	(1)	(7)	(1)	(7)
Absa Bank Insurance Agency	Subsidiary	-	-	(711)	(953)
		(64 350)	(51 938)	(65 061)	(52 891)

At 31 December 2019 advances to directors or companies controlled by directors or their families amounted to Shs 39 million (2018: Shs 41 million). Interest income earned amounted to Shs 5 million (2018: 5 million). All loans to Directors, (a) were made in the ordinary course of business, (b) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons and (c) did not involve more than a normal risk of collectability or present other unfavourable features. No allowances for impairment were recognised in respect of loans to Directors. (2018: Nil).

During the year the directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2019 balances relating to directors deposits amounted to Shs 146 million (2018: Shs 115 million).

e) Guarantee

In the year ending 31 December 2019, there was no guarantee given or received to/from any related party (2018: NIL).

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47. Commitments and contingencies

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

47.1	Commitments	Group and Bank	
		2019	2018
		Shs'million	Shs'million
	Undrawn overdraft facilities	15 857	16 303
		15 857	16 303

47.2 Contingent liabilities

Letters of credit	4 843	13 691
Guarantee and performance bonds	18 365	14 680
Unutilised lines of credit	61 601	33 700
	84 809	62 071

Pledged assets in amounted to Shs 1 250 million (2018: Shs 1,250 million). The class of asset pledged in both years was a bond issue. The purpose of the pledge was to create an ILF(Intra-Day Liquidity Facility) with the Central Bank of Kenya. The ILF provides collateralised lending of funds to commercial bank to facilitate their daily intra-day payment obligations in the Kenya Electronic Payment and Settlement System (KEPSS). Under this facility, commercial banks identify and set aside pre-determined amounts of Government securities from their portfolio holdings for securing intra-day borrowings based on their anticipated average daily liquidity requirements.

In the event of failure to settle by the Bank, the ILF shall convert to an overnight facility. The underlying pledged securities shall therefore become encumbered.

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The group will only be required to meet these obligations in the event of the customers’ default. At year end, the bank has obtained undertakings from Absa Group Limited in respect of bonds, guarantees and indemnities facility and letters of credit of Shs 12 170 million (2018: Shs 8 960 million).

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The Bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

The Group had inadvertently included undrawn overdraft facilities as part of contingent liabilities in the prior year whereas they do not meet the definition as they are legally revocable. The disclosure has thereby been amended in current year. The gross exposure of the undrawn overdrafts however still remain as part of the credit risk disclosures.

47.3 Operating lease contingent liabilities

	Group and Bank	
		2018
		Shs'million
	Less than one year	735
	Between one and five years	1 412
	Total non-cancellable operating lease rentals	2 147

The Group leases a number of branch and office premises under operating lease rentals. Lease payments are escalated per individual contracts and are taken into consideration in the above analysis.

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47. Commitments and contingencies (continued)

47.4 Contingent tax liabilities

The bank has transactions and calculations for which the ultimate tax treatment involves a degree of estimation and judgement. The tax treatment adopted by the Kenya Revenue Authority may differ from the treatment applied by the Bank thus requiring determination by the courts. Management estimates are informed by a number of factors including inter alia, tax consultant’s advice, the advice of expert legal counsel and the precedents established by past judgements of the High Court of Kenya. The Directors are of the opinion that no significant impact will arise from such transactions and calculations.

47.5 Dividends per share

At the Annual General Meeting to be held in 2020, a final dividend in respect of the year ended 31 December 2019 of Shs 0.90 (2018: Shs 0.90) amounting to Shs 4, 888 million (2018: Shs 4,888 million) will be proposed for approval. An interim dividend of Shs 0.20 (2018: Shs 0.20) was paid during the year amounting to Shs 1,086 million (2018: Shs 1,086 million). This will bring the total dividend for the year to Shs 1.10 (2018: Shs 1.10) per share amounting to Shs 5,974 million (2018: Shs 5,432 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10% for non-residents.

48. Separation from Barclays PLC

Barclays PLC (UK), announced on 1 March 2016 that it would reduce its ownership of Absa Group Limited (SA) from 62.3% to a minority shareholding, over time. Barclays PLC now holds 14.9% of the shareholding in Absa Group Limited. The sell down resulted in the deconsolidation of Absa Group Limited, for accounting purposes, from Barclays Plc as of 1 June 2017. The UK’s Prudential Regulatory Authority and Financial Conduct Authority approved Barclays’ full regulatory deconsolidation of Absa Group, with effect from 30 June 2018.

This program involved immense investment and implementation of projects to eliminate service dependency on Barclays PLC. This program also involved migration to new platforms including migration of the core banking applications and digital channels from the United Kingdom to South Africa, as well as rebranding from Barclays to Absa. It also involved changes in outsourcing arrangements and agreements with third parties. In addition, the separation from Barclays PLC resulted in significant costs being incurred.

49. Subsequent events

The estimates and judgements applied to determine the financial position at 31 December 2019, most specifically as they relate to the calculation of impairment of loans and advances, were based on a range of forecast economic conditions as at that date. The outbreak of coronavirus has resulted in disruption to business activity globally and recent market volatility, since mid-January 2020. The impact of coronavirus will be closely monitored and assessed for its impact on the business.

The Bank rebranded to Absa Bank Kenya PLC post year end in line with overall Group’s separation programme from Barclays Bank Plc.

The directors are not aware of any other events (as defined per IAS 10 Events after the Reporting Period) after the reporting date of 31 December 2019 and the date of authorization of these consolidated annual financial statements.

50. New accounting pronouncements

Adoption of new and revised Standards

The Group applied for the first time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2019. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

The following new standards and amendments became effective as of 1 January 2019:

- › IFRS 16 Leases
- › IFRIC Interpretation 23 Uncertainty over Income Tax Treatment
- › Amendments to IFRS 9: Prepayment Features with Negative Compensation
- › Amendments to IAS 19: Plan Amendment, Curtailment or Settlement
- › Amendments to IAS 28: Long-term interests in associates and joint ventures
- › Interest Rate Benchmark Reform: Amendments to IFRS 9, IAS 39 and IFRS 7
- › AIP IAS 23 Borrowing Costs - Borrowing costs eligible for capitalization
- › AIP IFRS 3 Business Combinations - Previously held Interests in a joint operation
- › AIP IFRS 11 Joint Arrangements - Previously held Interests in a joint operation
- › AIP IAS 12 Income Taxes - Income tax consequences of payments on financial instruments classified as equity

However, in these financial statements, the Group has applied IFRS 16 and IFRIC Interpretation 23, effective for annual periods beginning on or after 1 January 2019, for the first time. The other standards, amendments and interpretations had no material impact on the financial statements. The nature and impact of new standard or amendments is described below:

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50. **New accounting pronouncements (continued)**

IFRS 16 Leases

IFRS 16 supersedes IAS 17 *Leases*, IFRIC 4 *Determining whether an Arrangement contains a Lease*, SIC-15 *Operating Leases-Incentives* and SIC-27 *Evaluating the Substance of Transactions Involving the Legal Form of a Lease*. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the balance sheet.

Lessor accounting under IFRS 16 is substantially unchanged from IAS 17. Lessors will continue to classify leases as either operating or finance leases using similar principles as in IAS 17. Therefore, IFRS 16 did not have an impact for leases where the Group is the lessor. The Group adopted IFRS 16 using the modified retrospective method of adoption with the date of initial application of 1 January 2019.

The Group has lease contracts for various branches. Before the adoption of IFRS 16, the Group classified each of its leases (as lessee) at the inception date as either a finance lease or an operating lease. Refer to Note 2.23 for the accounting policy applicable prior to 1 January 2019.

Leases previously accounted for as operating leases

The Group recognised right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets for most leases were recognised based on the carrying amount as if the standard had always been applied, apart from the use of incremental borrowing rate at the date of initial application. In some leases, the right-of-use assets were recognised based on the amount equal to the lease liabilities, adjusted for any related prepaid and accrued lease payments previously recognised. Lease liabilities were recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

IFRIC Interpretation 23 Uncertainty over Income Tax Treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of IAS 12 *Income Taxes*. It does not apply to taxes or levies outside the scope of IAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The Interpretation specifically addresses the following:

- › Whether an entity considers uncertain tax treatments separately
- › The assumptions an entity makes about the examination of tax treatments by taxation authorities
- › How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- › How an entity considers changes in facts and circumstances

The Group determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Group applies significant judgement in identifying uncertainties over income tax treatments. Since the Group operates in a complex multinational environment, it assessed whether the Interpretation had an impact on its consolidated financial statements.

Upon adoption of the Interpretation, the Group considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The tax filings of the Group and the subsidiaries in different jurisdictions include deductions related to transfer pricing and the taxation authorities may challenge those tax treatments. The Group determined, based on its tax compliance and transfer pricing study, that it is probable that its tax treatments (including those for the subsidiaries) will be accepted by the taxation authorities. The Interpretation did not have an impact on the consolidated financial statements of the Group.

Amendments to IFRS 9: Prepayment Features with Negative Compensation

Under IFRS 9, a debt instrument can be measured at amortised cost or at fair value through other comprehensive income, provided that the contractual cash flows are ‘solely payments of principal and interest on the principal amount outstanding’ (the SPPI criterion) and the instrument is held within the appropriate business model for that classification. The amendments to IFRS 9 clarify that a financial asset passes the SPPI criterion regardless of an event or circumstance that causes the early termination of the contract and irrespective of which party pays or receives reasonable compensation for the early termination of the contract. These amendments had no impact on the consolidated financial statements of the Group

Notes to the annual financial statements

for the reporting period ended 31 December

50. **New accounting pronouncements (continued)**

Interest Rate Benchmark Reform – Amendments to IFRS 9, IAS 39 and IFRS 7

The amendments to IFRS 9

The amendments include a number of reliefs, which apply to all hedging relationships that are directly affected by the interest rate benchmark reform. A hedging relationship is affected if the reform gives rise to uncertainties about the timing and/or amount of benchmark-based cash flows of the hedged item or the hedging instrument. Application of the reliefs is mandatory. The first three reliefs provide for:

- › The assessment of whether a forecast transaction (or component thereof) is highly probable
- › Assessing when to reclassify the amount in the cash flow hedge reserve to profit and loss
- › The assessment of the economic relationship between the hedged item and the hedging instrument

For each of these reliefs, it is assumed that the benchmark on which the hedged cash flows are based (whether or not contractually specified) and/or, for relief three, the benchmark on which the cash flows of the hedging instrument are based, are not altered as a result of IBOR reform.

A fourth relief provides that, for a benchmark component of interest rate risk that is affected by IBOR reform, the requirement that the risk component is separately identifiable need be met only at the inception of the hedging relationship. Where hedging instruments and hedged items may be added to or removed from an open portfolio in a continuous hedging strategy, the separately identifiable requirement need only be met when hedged items are initially designated within the hedging relationship.

To the extent that a hedging instrument is altered so that its cash flows are based on an RFR, but the hedged item is still based on IBOR (or vice versa), there is no relief from measuring and recording any ineffectiveness that arises due to differences in their changes in fair value.

The reliefs continue indefinitely in the absence of any of the events described in the amendments. When an entity designates a group of items as the hedged item, the requirements for when the reliefs cease are applied separately to each individual item within the designated group of items.

The amendments also introduce specific disclosure requirements for hedging relationships to which the reliefs are applied.

The amendments to IAS 39

The corresponding amendments are consistent with those for IFRS 9, but with the following differences:

- › For the prospective assessment of hedge effectiveness, it is assumed that the benchmark on which the hedged cash flows are based (whether or not it is contractually specified) and/or the benchmark on which the cash flows of the hedging instrument are based, are not altered as a result of IBOR reform.
- › For the retrospective assessment of hedge effectiveness, to allow the hedge to pass the assessment even if the actual results of the hedge are temporarily outside the 80%-125% range, during the period of uncertainty arising from IBOR reform.
- › For a hedge of a benchmark portion (rather than a risk component under IFRS 9) of interest rate risk that is affected by IBOR reform, the requirement that the portion is separately identifiable need be met only at the inception of the hedge.

The IBOR change won’t have an impact on consolidated financial statements of the Group as it doesn’t apply hedge accounting

The standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group’s financial statements are listed below. The bank intends to adopt these standards, if applicable, when they become effective:

Effective for annual periods beginning on or after 1 January 2020

- › Definition of Material – Amendments to IAS 1 and IAS 8
- › Definition of a Business – Amendments to IFRS 3
- › Interest Rate Benchmark Reform – Amendments to IFRS 9, IAS 39 and IFRS 7
- › Conceptual Framework for Financial Reporting to replace its 2010 conceptual framework. For the IASB, the revised conceptual framework has been in effect since its publication date. Early application is permitted.

Effective for annual periods beginning on or after 1 January 2021

- › IFRS 17 Insurance Contracts

Effective date postponed indefinitely

- › IFRS 10 and IAS 28- Sale or Contribution of Assets between an Investor and its Associate or Joint Venture



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Notice of the annual general meeting

ABSA BANK KENYA PLC
(formerly Barclays Bank of Kenya Limited)

Due to the ongoing Covid-19 pandemic and the Government of Kenya directives restricting public gatherings, shareholders will not be able to attend the Annual General Meeting in person but will be able to register for, access information pertaining to the Integrated Report and the Audited Financial Statements of Absa Bank Kenya Plc for the year ending December 31, 2019, vote electronically in person or by proxy and follow the meeting in the manner detailed below. Shareholders are requested to ask questions and vote on resolutions in advance of the meeting as detailed in the instructions below.

Notice of the 41st Annual General Meeting

Notice is hereby given that the **Forty – First (41st) Annual General Meeting** of the Shareholders of **Absa Bank Kenya Plc** will be held via electronic means on **Friday June 19, 2020** at **10:00 a.m.** to transact the following business:-

AGENDA:

1. Constitution of the Meeting

The Secretary to read the notice convening the meeting and determine if a quorum is present

2. Ordinary Business

i. Annual Report, Financial Statements, Directors’ and Auditors’ reports for the year ended December 31, 2019:

To receive, consider and if thought fit, adopt the Audited Annual Report and Financial Statements for the year ended December 31, 2019 together with the reports of the Directors, the Group Chairman, the Group Chief Executive Officer and Auditor thereon.

ii. Dividend

To confirm the interim dividend of Shs 0.20 per ordinary share paid on October 11, 2019 and to declare a final dividend of Shs 0.90 per ordinary share payable, net of withholding tax, on **June 19, 2020** to shareholders on the Register of Members as at the close of business on **June 03, 2020**. The dividend for the full year will be Shs 1.10 per share.

iii. Election of Directors

a) Directors retiring by rotation

In accordance with Articles 94, 95 and 96 of the Company’s Articles of Association, the following Directors retire by rotation and being eligible, offer themselves for re-election:

- i. Mr. Charles Muchene ii. Ms. Winnie Ouko
- iii. Ms. Laila Macharia

b) Board Audit Committee members

In accordance with the provisions of Section 769 of the Companies Act, 2015, the following Directors, being members of the Board Audit & Risk Committee be elected to continue to serve as members of the said Committee:

- i. Winnie Ouko (Chair)
- ii. Ashok Shah
- iii. Laila Macharia
- iv. Louis Onyango Otieno

iv. Remuneration of Directors

To receive, consider and if thought fit approve the Directors’ Remuneration Report and to authorize the Board to fix the remuneration of the Directors.

v. Appointment and Remuneration of Auditors

To approve the appointment of EY Kenya as the Auditors of the Company and to authorise the Board to fix the remuneration of the Auditors.

3. Special Business

To consider and if thought fit pass the following resolution as a Special Resolution, the rationale of which is to:

- Make changes in the Memorandum and Articles of Association to recognize the changes of the names of the Company and its parent Company;
- Update the Articles of Association to be in compliance with the Companies Act, 2015, the Capital Markets Authority Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 ; and
- Modernize the Articles of Association in line with best practice:

“That the Company adopts as the Articles of Association of the Company the amended Articles of Association of the Company presented to the meeting in place of and to the exclusion of the existing Articles of Association of the Company”.

4. Any Other Business

To transact any other business of the Company for which due notice has been received.

By order of the Board



Loise W. Gakumo

Company Secretary

May 28, 2020

Notes:

1. Absa will be holding a virtual AGM as permitted by Article 66A of its Articles of Association replicated below:

66A. The Members may, if they think fit, confer by radio, telephone, closed circuit television, video conferencing or other electronic means of audio or audio/visual communication ("Conference"). Notwithstanding that the Members are not present together in one place at the time of the Conference, a resolution passed by the Members constituting a quorum at such a Conference shall be deemed to have been passed at a General Meeting held on the day on which and at the time at which the Conference was held. The provisions of these relating to proceedings of Members apply insofar as they are capable of application mutatis mutandis to such Conference.
2. Absa has convened and is conducting this virtual AGM following receipt of a ‘No Objection’ from the Capital Markets Authority (CMA).
3. Shareholders wishing to participate in the meeting should register for the AGM by visiting the online portal <https://digital.candrgroup.co.ke> or dialling ***384*041#** and following the various prompts regarding the registration process. Shareholders will not incur any cost for such registration. In order to complete the registration process, shareholders will need to have their ID/Passport numbers which were used to purchase their shares and their Shares Account or CDSC Account Number at hand. For assistance shareholders should dial the following **helpline numbers (020) 760 8216 and (020) 869 0360** from 9:00am to 3:00pm from Monday to Friday. Any shareholder outside Kenya should dial the helpline numbers or email digital@candrgroup.co.ke to be assisted to register.
4. Registration for the AGM opens on **Wednesday June 3, 2020 at 10:00am** and will close on **Tuesday June 16, 2020 at 10:00am**. Shareholders will not be able to register after Tuesday June 16 2020.
5. In accordance with Section 283 (3) of the Companies Act, 2015, the following documents may be viewed on the Company's website www.absabank.co.ke i) a copy of this Notice and the proxy form; ii) the Company’s Integrated Report together with the audited financial statements for the year 2019, iii) a matrix of the proposed changes to the Memorandum and Articles of Association of the Company.
6. Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by:
 - (i) Accessing <https://digital.candrgroup.co.ke>; selecting “Attend Event”, “ABSA AGM”, “Q&A” tab and submitting their questions; or
 - (ii) sending their written questions by email to digital@candrgroup.co.ke; or
 - (iii) to the extent possible, physically delivering their written questions with a return postal address or email address to the registered office of the Company at Absa Headquarters, Waiyaki Way, Nairobi or to Custody and Registrars Services offices at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue; or

Notice of the annual general meeting

- (iv) sending their written questions with a return postal address or email address by registered post to the Company’s address at P.O. Box 30120-00100 Nairobi

Shareholders must provide their full details (full names, ID/Passport Number, Shares CDSC Account Number) when submitting their questions and clarifications by email, post or delivery. All questions and clarifications must reach the Company on or before Tuesday June 16, 2020 at 10:00am.

Following receipt of the questions and clarifications, the directors of the Company shall provide written responses to the questions received to the return postal address or email address provided by the shareholder, no later than 12 hours before the start of the general meeting. A full list of questions received and the answers thereto will be published on the Company’s website no later than 12 hours before the start of the general meeting.

7. Shareholders are requested to vote for the Resolutions in advance of the meeting by accessing the online portal <https://digital.candrgroup.co.ke> or dialling *384*041# and following the various prompts regarding the voting process. **The voting period shall be closed on Thursday June 18, 2020 at 10.00am for purposes of tallying the votes which shall be presented on the AGM date.**
8. In accordance with Section 298(1) of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf. A proxy need not be a member of the Company but if not the Chairman of the AGM, the appointed proxy will need access to a mobile telephone. A proxy form is attached to this Notice and is available on the Company’s website www.absabank.co.ke. Physical copies of the proxy form are also available at the following address: Custody and Registrars Services offices, IKM Place, Tower B, 1st Floor, 5th Ngong Avenue. To be valid, the proxy form must be duly completed by the shareholder or his attorney duly authorized in writing. If the shareholder is a body corporate, the instrument appointing the proxy shall be give under its common seal (if any) or under the hand of an officer or duly authorized attorney of such body corporate. A completed form of proxy should be emailed to proxy@candrgroup.co.ke in pdf format or delivered to Custody and Registrars Services, IKM Place, Tower B, 1st Floor, 5th Ngong Avenue Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484- 00100 Nairobi, so as to reach the Registrar not later than 10.00 a.m. on **Tuesday June 16, 2020**. Duly completed form must be supported by a copy of ID/ valid Passport of the member and include the ID/Passport, email or telephone number of the proxy to facilitate registration. Any proxy registration that is rejected will be communicated to the shareholder concerned no later than Wednesday June 17, 2020 to allow time to address any issues.
9. The AGM will be accessible to shareholders who will have registered to participate in the general meeting. Duly registered shareholders and proxies will receive a short message service (SMS/USSD) prompt on their registered mobile numbers, two (2) weeks prior to the AGM as a reminder of the AGM and the open voting period. A second SMS/USSD prompt shall be sent one (1) day before the AGM, reminding duly registered shareholders and proxies that the AGM will be the following day.
10. Duly registered shareholders and proxies can access the Virtual AGM using their log in credentials via <https://digital.candrgroup.co.ke>. Shareholders without internet access can access the Virtual AGM using their log in credentials via USSD ***384*041#**.
11. Results of the AGM shall be announced in the meeting and published within 24 hours following conclusion of the AGM on the Company’s website: www.absabank.co.ke.

Shareholders are encouraged to continuously monitor the Company’s website www.absabank.co.ke for updates relating to the AGM due to the continuous evolving situation with Covid-19 and the Government directives being subject to change. We appreciate the understanding of our shareholders as we navigate the changing business conditions posed by Covid-19.

Proxy form

Custody and Registrars Services Limited
IKM House, Tower B, 1st Floor, 5th Ngong Avenue
P. O Box 8484-00100, Nairobi

*I/We _____ of _____
_____ being *a member/members of Absa Bank Kenya PLC, hereby
appoint:

or failing *him/her _____

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the Forty-First Annual General Meeting of the Company to be held on **Friday June 19, 2020** and at any adjournment thereof.
As witness *I/we affix *my/our *hand/hands this _____ day of _____ 2020.

Signature(s) _____

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

***Delete whichever is not applicable.**

Proxy form

1.

Shareholders wishing to participate in the meeting should register for the AGM by visiting the online portal <https://digital.candrgroup.co.ke> or dialling *384*041# and following the various prompts regarding the registration process. Shareholders will not incur any cost for such registration. In order to complete the registration process, shareholders will need to have their ID/Passport numbers which were used to purchase their shares and their Shares Account or CDSC Account Number at hand. For assistance shareholders should dial the following helpline numbers (020) 760 8216 and (020) 869 0360 from 9:00am to 3:00pm from Monday to Friday. Any shareholder outside Kenya should dial the helpline numbers or email digital@candrgroup.co.ke to be assisted to register.
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In accordance with Section 283 (3) of the Companies Act, 2015, the following documents may be viewed on the Company's website www.absabank.co.ke i) a copy of this Notice and the proxy form; ii) the Company's Integrated Report together with the audited financial statements for the year 2019, iii) a matrix of the proposed changes to the Memorandum and Articles of Association of the Company.
4.

Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by:

(i)

Accessing <https://digital.candrgroup.co.ke>; selecting "Attend Event", "ABSA AGM", "Q&A" tab and submitting their questions; or

(ii)

sending their written questions by email to digital@candrgroup.co.ke; or

(iii)

to the extent possible, physically delivering their written questions with a return postal address or email address to the registered office of the Company at Absa Headquarters, Waiyaki Way, Nairobi or to Custody and Registrars Services offices at IKM Place, Tower B, 1st Floor, 5th Ngong Avenue; or

(iv)

sending their written questions with a return postal address or email address by registered post to the Company's address at P.O. Box 30120-00100 Nairobi

Shareholders must provide their full details (full names, ID/Passport Number, Shares CDSC Account Number) when submitting their questions and clarifications by email, post or delivery. All questions and clarifications must reach the Company on or before **Tuesday June 16, 2020** at 10:00am.

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5.

Shareholders are requested to vote for the Resolutions in advance of the meeting by accessing the online portal <https://digital.candrgroup.co.ke> or dialling *384*041# and following the various prompts regarding the voting process. **The voting period shall be closed on Thursday June 18, 2020 at 10.00am for purposes of tallying the votes which shall be presented on the AGM date.**

6.

In accordance with Section 298(1) of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf. A proxy need not be a member of the Company but if not the Chairman of the AGM, the appointed proxy will need access to a mobile telephone. A proxy form is attached to this Notice and is available on the Company's website www.absabank.co.ke. Physical copies of the proxy form are also available at the following address: Custody and Registrars Services offices, IKM Place, Tower B, 1st Floor, 5th Ngong Avenue. To be valid, the proxy form must be duly completed by the shareholder or his attorney duly authorized in writing. If the shareholder is a body corporate, the instrument appointing the proxy shall be give under its common seal (if any) or under the hand of an officer or duly authorized attorney of such body corporate. A completed form of proxy should be emailed to proxy@candrgroup.co.ke in pdf format or delivered to Custody and Registrars Services, IKM Place, Tower B, 1st Floor, 5th Ngong Avenue Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 10.00 a.m. on Tuesday June 16, 2020. Duly completed form must be supported by a copy of ID/ valid Passport of the member and include the ID/ Passport, email or telephone number of the proxy to facilitate registration. Any proxy registration that is rejected will be communicated to the shareholder concerned no later than Wednesday June 17, 2020 to allow time to address any issues.

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Duly registered shareholders and proxies can access the Virtual AGM using their log in credentials via <https://digital.candrgroup.co.ke>. Shareholders without internet access can access the Virtual AGM using their log in credentials via USSD *384*041#.

9.

Results of the AGM shall be announced in the meeting and published within 24 hours following conclusion of the AGM on the Company's website: www.absabank.co.ke.
- Shareholders information
- List of Abbreviations
- "Applicant" or "BAGL"

Barclays Africa Group Limited, a public company incorporated in South Africa (registration number 1986/003934/06), the shares of which are listed on the JSE.

"BAGL Board" the Board of Directors of BAGL. "BAL" Barclays Africa Limited, a public company incorporated in the United Kingdom (registration number 8116606).

"Barclays Africa Subsidiaries" Barclays' African businesses in Botswana, Ghana, Kenya, Mauritius, Seychelles, Tanzania, Uganda and Zambia.

"Barclays Bank" Barclays Bank PLC, a public company incorporated in the United Kingdom (registration number 01026167).

"Barclays Kenya" Barclays Bank of Kenya Limited, a public company incorporated in accordance with the laws of Kenya (registration number C.18208), the shares of which are listed on the NSE.

"Barclays Kenya Board" the Board of Directors of Barclays Kenya.

"Barclays Kenya Shares" ordinary shares of Shs 0.5 each in the issued share capital of Barclays Kenya.

"Barclays Kenya Shareholders" holders of Barclays Kenya Shares.

"Circular" this document dated 16 December 2014

"CMA" the Capital Markets Authority of Kenya established under the Capital Markets Act (chapter 485A, Laws of Kenya).

"JSE" the Johannesburg Stock Exchange.

"Shs" Kenya Shillings, the lawful currency of Kenya.

"NSE" the Nairobi Securities Exchange.

"Private Transaction" the proposed private intra-group transfer by BAL of its entire shareholding in Barclays Kenya to BAGL, outside of the NSE.

"Regulations" the Capital Markets (Licensing Requirements) (General) Regulations, 2002.

"ZAR" South African Rand, the lawful currency of South Africa
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